Dr. Reddy's Laboratories Ltd. (DRREDDY)

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BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
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Dear Sir/ Madam,
Sub: Transcript of the Earnings call conducted on May 10, 2023
Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and financial year ended March 31, 2023, conducted on May 10 ,
2023. Also please note that this transcript of the call has been uploaded on our website.
The weblink to access it: https://www.drreddys.com/investor#investor -meet
This is for your information.

Thanking you
Yours faithfully,
For Dr. Reddy’s Laboratories Limited
K Randhir Singh
Company Secretary, Compliance Officer & Head -CSR

“Dr. Reddy's Laboratories Limited
Q4 FY '23 Earnings Conference Call”
May 10, 202 3

Moderator : Ladies and gentlemen, good day, and welcome to the Dr. Reddy's Q4 FY 23 Earnings Conference Call. As a reminder, all participants' lines will be in a listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Richa Periwal . Thank you, and over to you, ma'am.
Richa Periwal: Thank you. A very good morning and good evening to all of you and thank you for joining us today for the Dr. Reddy's Earnings Conference Call for the quarter and full year ended M arch 31, 2023. Earlier during the day, we released our results and the same are also posted on our website. This call is being recorded, and the playback and transcript shall be made available on our website soon.
All the discussions and analysis of this call will be based on the IFRS consolidated financial statements. The discussion today contains certain non -GAAP financial measures. For the reconciliation of GAAP to non -GAAP measures, please refer to our press re lease. To discuss the business performance and outlook, we have the leadership team of Dr. Reddy's comprising Mr. G V Prasad, our Co -Chairman and Managing Director; Mr. Erez Israeli, our CEO; Mr. Parag Agarwal, our CFO; and the entire Investor Relation s team.
Please note that today's call is a copyrighted material of Dr. Reddy ’s and cannot be rebroadcasted or attributed in press or media outlet without the company's express written consent. Before I proceed with the call, I would like to remind everyone that the safe harbour contained in today's press release also pertains to this conference call.
Now I hand over the call to Mr. G V Prasad. Over to you, sir.

G.V. Prasad: Thank you. Thank you very much. Good evening, and good morning to all of you. Welcom e to the annual earnings call . My best wishes to you. I'm delighted to be here today along with the members of the executive team. As you may have seen in our published results, this year has been an outstanding year for the company, a year in which we set all -time highs in our reported sales, profits and generated a healthy cash fl ow. And we continue to strengthen our core businesses while investing in building businesses of the future.

Our sustained investments are being made to drive manufacturing excellence, strengthen our pipeline, and we continue to build efficiency and product ivity in our R&D as well as operations and continue to augment reaching customers by opening new markets and new channels.

Looking beyond the financial performance. During the year, we made great progress on multiple fronts, and were recognized for th ese achievements.

Noteworthy among these are the recognition by CNBC TV18 under the 'Master of Risk - Health care and Pharma ' segment, and we secured leadership ban d scores from the CDP for the action on climate change and supplier engagement. We also fea tured in the Bloomberg Gender Equality Index, the S&P Global Sustainability Yearbook, the DGSI Sustainability Index in the Emerging Markets category, and were also awarded by the Economic Times as being among the best organizations for women in the year 20 23. Our largest finished dosages factory was

recognized by the World Economic Forum as part of its Global Lighthouse Network. These recognitions are an endorsement of our commitment to building a sustainable, high -performance organization focused on the ne eds of patients as well as society. I am excited about how far we have come in the past few years and by the opportunities we have for the future , as we continue to make efforts to brin

g to life our credo of 'Good Health Can't Wait'. With this, I'd like to hand over the call to Parag for taking you through the financial performance of the company.

Parag Agarwal : Thank you, Prasad. Greetings to all of you and I hope all of you are doing well. I am delighted to take you through our results for the quarter 4 and full year of fiscal 2023. FY23 has been a year of strong financial performance with the highest ever sales , record profitability and robust cash flow generation from operations. Let me provide you with a quick rundown of our Q4 and FY23 financials. For this section, all the amounts are translated into U.S. dollar at a convenien ce translation rate of INR82.19, which is the rate as of 31st March 2023. Consolidated revenues for the quarter stood at INR6,297 crores, that is U.S. $ 766 million and grew by 16% on year -on-year basis and declined by 7% on a sequential quarter basis. Year -on-year growth was dr iven by growth in bot h generics and PSAI businesses.

This was further augmented with income from divestment of a few non -core brands in India. Quarter -on-quarter decline was primarily due to sales volatility in the NAG business. The revenues for the financial year 2023 stood at INR24,588 crores, that is U .S. $2.99 billion and grew by 15%. The growth was mainly driven by new product launches, partly offset with price erosion. Consolidated gross profit margin for this quarter has been 57.2%, an increase of approximately 430 bps over previous year and decline of 210 bps on quarter -on-quarter basis. Year -on-year increase was driven by new product sales with higher gro ss margins and favourable foreign exchange.

Quarter -on-quarter decline was primarily due to product mix and lower operating leverage, although partly offset by divestment income. Gro ss margins for the global generics and PSAI were at 61.7% and 25.2% for the quarter. Gro ss margin for FY23 has b een 56.7%, which is an increase of 360 bps over FY22. The increase was driven by new product sales with higher gro ss margins, high er government incentives and favourable foreign exchange, partly offset with the impact of price erosion.

Gross margins for the global generics and PSAI were at 62.1% and 16.2% for the year. The SG&A spend for the quarter is INR1,799 crores, that is U.S. $ 219 million and increased by 15% YoY , while it remained flat quarter -on-quarter. The year -on-year increase is largely on account of sales and marketing investments and adverse impact of forex translation.

The SG&A spend for the year is INR6,803 crores, that is U.S. $ 828 million and has grown by 10%. The SG&A cost as a percentage to sales was 27.7% an d is lower by 130 bps over previous year due to better operating leverage. The R&D spen d for the quarter is INR5,37 crores, that is U.S. $ 65 million and is at 8.5% of sales. Our R&D efforts are focused towards building a healthy pipeline of new products across our markets, including biosimilars. The R&D spent for FY23 is INR1,938 crores, that is U.S. $ 236 million. R&D percentage to sales for the year stood at 7.9%. The EBITDA for the quarter is INR1,631 crores, that is U.S. $ 198 million and the EBITDA margin is 25.9%. The EBITDA for the year is INR7,308 crores, that is U.S. $ 889 million.

EBITDA margin for the year is at 29.7%, which is ahead of our aspirational target of 25%. Our profit before tax for the quarter stood at INR1,326 crores, that is U.S. $ 161 million and that for the year stood at INR6,037 crores, that is U.S. $ 734 million. Our profit before tax for the quarter grew by 434% yea r on year and for the year it grew by 87%.
Effective tax rate has been at 27.6% for the quarter and at 25.3% for the year. The effective tax rate was lower in FY23 largely due to changes in the company's jurisdictional mix of earnings. We expect our norm

a l ETR to be in the range of 24% to 25%. Profit after tax for the quarter stood at INR959 crores, that is U.S. $ 117 million and that for the year stood at INR4,507 crores, that is U.S. $ 548 million.
Reported EPS for the quarter is INR57.62 and that for the year is INR270.85. Operating working capital reduced by INR364 crores, which is U.S. $ 44 million, against that on December 31st, 2022, mainly supported by an improvement in receivables. Our capital investment stood at INR258 crores, which is U.S. $ 31 million in this quarter and INR1,132 crores, which is U.S. $138 million during the year. The free cash flow generated during this quarter was at INR1,596 crores, which is U.S. $ 194 million. The free cash flow generated during this year wa s at INR4,009 crores, which is U.S. $ 488 million. Consequently, we now have a net surplus cash of INR5,046 crores, that is U.S. $ 614 million as on March 31st, 2023.
Foreign currency cash flow hedges in the form of derivatives for the U.S. dollar are approx imately U .S. $774 million, largely hedged around the range of INR82.4 to INR84.5 for the dollar, RUB 7,380 million at the rate of INR1.045 to the ruble, and Australian dollar 4.2 million at the rate of INR57.8 Australian dollar, maturing in the next 12 months. With this, I now request Erez to take you through the key business highlights.
Erez Israeli: Thank you Parag . Good morning and good evening to everyone. As Prasad highlighted, we have delivered strong financial performance in FY23. We closed the financial year with double -digit top line and bottom line growth, with EBITDA and ROCE margin exceeding the 25% levels. This impressive performance was reflected in our cash flow, and we continue to have a strong balance sheet. We progressed well on our st rategic priorities and were able to invest in our organic capabilities and business development opportunities to thrive and deliver on our purpose over the long term.
Let me take you through some of the key highlights of the year.
1. We witnessed underlying growth momentum in FY23 across all businesses, adjusted for COVID products' contribution during last year.
2. Revenue in North America Generics and in Branded markets of India and EM crossed the $1 billion mark for the second consecutive year.
3. We divested certain non -core brands in India to focus on strengthening the core.
4. Our EBITDA is at 30%, and our ROCE is at 35%.
5. We generated a strong free cash flow, leading to a net cash surplus of $614 million.
6. We also see positive momentum on BD /M&As with acquisition of Novartis Cardiovascular brand in India, Mayne Pharma ’s U.S. generic prescription product portfolio, and Eton's branded and generic injectable products in the United States.

7. Significant progress also made in our biosimilar businesses. We see a launch of biosimilar Stimufend which is Pegfilgrastim by Fresenius KABI in the U.S. We completed and we saw the completion of clinical studies of Rituximab biosimila rs, and we already filed in U.S., Europe, and the UK MHRA. We saw the completions of phase one study of biosimilar tocilizumab, and global phase three study was initiated.
8. Recently we received approvals for three products in China, namely Sevelamer, Sitag liptin , and Carboprost, and our partners got G EA approval for Nicergoline tablets.
9. We are also progressing well in our digitalization, as w ell as our ESG journey.
10. Our diversified global presence, capability, and strong balance sheet make us a partner of choice. We continue to work towards strengthening our position as a partner of choice, including in horizon two spaces. From a horizon two perspective, we signed some strategic licensing deal s in April 23, including the below
a. With Cardiacare for the ir wearable for a trial fibrillation treatment
b. With T heranica for the wearable in

management of migraine
c. With the New Zealand based WZTL to bring the third generation CAR T asset for clinical trials in India
d. With Junshi Bioscience to bring Toripalimab to India and other markets.
We are investing in develo pment and trials of these DTX , CAR T , biosimilar asset s in keeping

with our stated horizon two strateg y. We see them as a future growth driver s.
Now let me take you t hrough the key business highlights for the Q4 and FY23. Please note that all the reference to the numbers in this section are in respective local currencies. Our North America generic business recorded sales of $312 million for the quarter, with a strong growth of 18% year over year and 17% decline on sequential basis.
On a full year basis, we recorded sales of $1,268 million , with a growth of 26% over the previous year. This growth was largely led by new product launches such as L enalidomide, Sorafenib tablets and T imolol gel, and growing market share in certain key existing products, which more than offset increased price erosion. We launched 6 products during the quarter and over all 25 products during the year. We expect the launch momentum to further improve in FY24.
Our Europe business recorded sales of Euro 56 million this quarter, with year over year growth of 7% and sequential quarter growth of 9%. On a full year basis, the sales are Euro 210 million and has grown by 9%, driven by base business volume and new product launches. We launched 5 new product s during the quarter and 35 for the full year in Europe across all markets. We expect this launch momentum to continue in FY 24.
Our Emerging Market business recorded sales of Rs 1,114 crores , with year over year decline of 7% and seq uential quarter decline of 15%. On a full year basis, Emerging Market sales have been roughly flat at Rs 4,553 crores . However, the sales have grown by 13%, adjusted for the COVID -related products and divestment income in FY22. We launched 10 new products during the quarter and 94 new products during the year across various countries of the Emerging Markets. Within the EM segments, the Russia business in Q4 declined by 34% on a year to year basis and 17% on a Q oQ basis in c onstant currency. In FY23, Russia business declined by 9% in constant currency. The decline is attributable to divestment of few non-core brand s during the

previous year. During the year, there has been normalization in the channel /customer stocking level af ter the uptick seen in Q4 FY22. We have been navigating the evolving geopolitical uncertainties and have managed the ruble currency fluctuation with effective hedging.
Our India business recorded Q4 sales of INR1,283 crores with a year ov er year growth of 32% and sequential increase of 14%. On a full year basis, our sales were INR4,893 crores with a growth of 17%. Excluding the benefits of the divestment income and adjusted for COVID -19 related products, the year over year sales growth for the quarter has been 11% and for the full year has been 13%. As per the IQVIA report, we are ranked n umber 10 at MAT March ’23 level. India remains our priority market and we are committed to continue to grow this business at a healthy rate.
Our PSAI business recorded sales of $95 million with a year over year decline of 4% and flat sequentially. On a full year basis, the sales were $362 million with a decline of 12%. The decline was primarily due to high base effect of COVID related products. We expect this business to grow during FY24.
Our R&D efforts are focused on developing value, accretive products including several generic injectables and biosimilars where there is a patient need. We have done 195 global generic filings including 12 ANDAs filed in the U.S. and 130 drug master files filed globally including 12 drug master files in the U.S, during FY23 and are on track to

accelerate on this in FY24. We are
progressing well in development of our biosimilar products and working on some niche opportunities in our Horizon 2 initiatives.
Our strong balance sheets provide financial flexibility to support future growth, invest in business development opportunities, and we will continue to maintain a disciplined approach to cash management and acquisitions.
We continue to focus on optimizing workplace efficiency and productivity. We remain focuse d on strengthening our core generics and API business and delivering more from strong foundation. We are building a pipeline of products to meet the evolving need s of patients and health care professionals t hrough investment s in internal R&D as well as strategic acquisitions.
With this, I would like to open the floor for questions -and-answers.
Moderator: The first question is from the line of Balaji Prasad from Barclays.
Balaji Prasad: Thanks for taking my questions. Just wondering if you could provide a bit more detail around your deals with just discussing what the responsibilities will look like on both ends. And just what really convinced you about their asset and its potential ? Thanks.
Parag Agarwal : Balaji, we were not able to hear you well. I'm afraid you will have to repeat the question.
Erez Israeli : Can you repeat, please?
Balaji Prasad: Sure. Is this better? Can you hear me better now?
Erez Israeli : Yes, please .

Balaji Prasad: This is Michella on behalf of Balaji. I was just wondering if you could provide a bit more detail around your deal with Junshi just discussing what responsibilities will look like on both ends.
And also, just wondering what convinced you about just their asset and its potential.
Erez Israeli: So strategically, we are looking for unmet need , especially in India. And we believe and we are in a great dialogue with the innovation industry in China, and w e are trying to bring products that we believe that we can bring value and we believe that this product showed very, very nice results and can be absolutely considered stand ard for sale and where we can bring it to India in a very affordable pr ices versus the alternatives. And this is our purpose. We are trying to bring a great help in the affordab ility terms. And that was the main incentive behind this deal.
Moderator: The next question is from the line of Sur ya Patra from PhilipCapital.
Surya Patra: Congratulations for the great set of numbers, sir. Sir, my first question is on the U.S. business front. So, is it possible to share that what is the sequential growth in the U.S. that we would have seen of ex of Revlimid in the current quarter?
Erez Israeli: So, we cannot give guidance per product with or without , you know very well. What I can s ay is that we are very consistent. So likely we are going to continue to see growth in all of our spaces including the United States with and without the product. And it will be driven primarily for the organic activities, specifically for the United States, besides the Revlimid, we are going to lau nch somewhere between 25 to 30 products as well as the contribution of our recent acquisitions and likely that we will see also additional activity through the year .
Surya Patra: Sir, is it possible to give some extra colour on the launch momentum that you have mentioned in your opening remarks for the U.S. market, which you believe that to be strong in the current financial year?
Erez Israeli: Yes, I think that the investment in R&D and especially on products that hopefully or likely to have less competition than the others is paying off. And as well as the type of patent fleet that we will see in FY '24 as well as the years after. So right now, that's the numbers that I mentioned, 25 to 30 products can be meaningful laun ches with a lesser of a competition. An

d we will
continue to accumulate this kind of products also in the years after. So, it's absolutely our strategy in the U.S., and we will continue to focus on that.
Surya Patra: Sir, my second question is on the comp osite question, let's say. We are seeing a strong cash accumulation and simultaneously, we are seeing multiple M&A activities by us to improve our focus on the domestic formulation business, which has now achieved around 20% of the total revenue base. And we are mentioning that this is going to be one of the focus market for us? So, could you share your thought process, sir, on the kind of capital allocation to build this business in the near future? And ultimately, what is the kind of a business mix that y ou want to make, achieve it for domestic formulation considering the p otential sales growth and all that, if you can share.
Erez Israeli: Yes, absolutely. So, in India, our primary growth will come from, one, focusing on our brands. We identified focu s therapeutic areas as well as the focus brands. And we have doubled down

on that by increasing our footprint by going to more cities, etcetera. So, this is one growth, specifically to your question. The second one is that we are collaborating with the inn ovation industry in the United States, in Israel, in China and other places as well, of course, with companies and institutes in India to bring innovation to India. We are doing it as both with our own internal R&D as well as with external R&D.
Some of the deals, I mentioned in my script and more to come. We are doing it both on Horizon 1 as well as Horizon 2. And our path of growth is people see us as a very attractive partner being compliant with all the international norms, given our reputation in the ma rketplace, and we are leveraging it to bring more and more innovation into India. And that's also part of the capital allocation will go to a deals like this. In addition, we are always looking for opportunity also for acquisitions. There is nothing that w e can report at this stage. But it's absolutely something that we are open to do all the time. For the initial part of the capital allocation, all of our spaces, including U.S., Europe, India, etcetera, our B2B business, we are looking for potential complementary deals.
The type of deals that we are looking for is complementary. We are looking for products that we don't have or capabilities that we don't have. Unlikely that you a re going to see megadeals or this kind of stuff. This is not our comfort zone. We are looking for primarily unmet needs or complementary products that will fit our portfolio in that way.
Surya Patra: So that is really great to know. And ju st lastly, any colour that you can add to the Pegfilgrastim expectations in the progress post launch?
Erez Israeli: Sorry yes, the product, as you know, is marketed by Fresenius . I don't have any expectation of

anything like that , we as a partner, have a certain arrangement with them and if they will be successful, we will be successful as well.
Moderator: The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: My first question is on the U.S. business; you have been obviously very consistent in terms of new launches. But can you talk a bit more about the kind of price erosion, which we are seeing in your existing product? And my second part of the question is co mpared to oral solids in injectables, what kind of price erosion you are witnessing?
Erez Israeli: So, the nature of the U.S. did not change in the last quarter. It's a similar structure of the market and similar behaviour of players. Specifically for th e quarter, the mix of products that we had, we saw less of a price erosion that will be quarters before, but the fundamental structure of the market did not change. So likely that when we

will face competition in certain products, then we'll see an erosion that's the nature. But specifically, we saw a better mix this time.
Comparing injectables to o ral solid, both are very competitive. It's more of a function of how many players are attracting the customers and so both injectable as well as oral solids can see a high level of erosion, but also from time -to-time product with less competition and therefore better pricing situation.

Damayanti Kerai: My second question is, as you continue to invest in your business and long -term growth drivers, how do you see R&D and SG&A costs moving from here on? And you obviously have done better than your aspirational EBITDA margin for this year. But on a more sustained basis, how do you see this like margin trajectory moving?
Erez Israeli: So, we are maintaining the 25 -25 as a long term, and we discussed it in previous meetings, and there will be years and quarters that we will exceed it. There will be maybe also year that it will be below, which has happened also in the past. But we are very much there. What we are doing is that we are allocating the extra results that we invest.
And especially in R&D, the R&D likely to be somewhere between 8% to 9% also going forward. And it's naturally nominal will grow because we are growing the sales, and this is allowing us to invest in the biologics , it allow s us to invest in products that we are partners with other and we need to do some clinical trials. And of course, very important on the generic R&D, especially focusing on products that are likely to have less competition.
Moderator: We have the next question from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: On the ROW markets, historically, if I exclude the last year because of COVID impa ct, we have grown that market north of 20% or 25%. As we go forward, should we see the ROW market going back to those levels of growth. And this is the excluding Russia. That's my first question.
And second, on the India business, could you quantify the di vestment income in the current quarter? And excluding that, how should we look at growth? Is there more divestment that we see from the India perspective? Or do you think this is based on which we should grow? And do you think you can grow in line with the market in India?
Erez Israeli: On the ROW question yes, the answer is yes. We are aiming for our traditional growth and also give or take without guidance, that range of growth that we saw. And indeed, when you are taking out all the one -offs and the fluctuation of currency, we are growing very, very nicely.
This is primarily as we are accelerating the development and the filings of products in all these markets and also focusing on the footprint, especially on the hospital business. So yes, the answer is that we will see growth and some of those markets with an accelerated growth versus the past.
As for India, the divestment was INR264 crores, and that's the value we've got. And specifically, we see more, yes, from time to time, but nothing significant that we are going and what we are also very busy with is actually to bring more and more products , and we are enhancing the collaboration discussions and the BD deals that will be for India. So, it's a kind of organic plus inorganic . But most of the inorganic will come from collaboration rather than kind of M&A acquisitions of other companies.
Neha M anpuria: And just to extend the India question, do you think we can grow in line with the market, keeping aside the collaborations, etcetera, because that would take time to reflect the numbers just from the effort that we have been putting in the business over the last few years. Could we see Reddy’s go back to or at least try to get in line with IPM growth?

Erez Israeli: We believe that we should be better than the IPM growth.
Neha Manpuria: In FY 24, itself ?
Erez Israeli: In FY 24 and after.
Neha Manpuria: And one last question, if I may. On the Russia business, I didn't quite catch what you mentioned in the quarter. Was there any specific impact from channel inventory being cleared in the quarter? I'm not sure what you mentioned.
Parag Agawwal : So, Neha, the impact is actually in the base, if you remember when the conflict started at that time, we have said that yes, there was up stocking. And to that extent, in Q4, same time last year, the base was high, and that's impacting the year -on-year growth.
Neha Manpuria: There's nothing specifically in this quarter?
Erez Israeli: Yes. So, nothing specific happened in this quarter. And most of the sequential decline stuff primarily timing of product. There is a specific timing of ten ders of the biologic products and stuff like that. So, we can sell that in Russia business as usual .
Moderator: The next question is from the line of Ankush Mahajan from Axis Securities.
Ankush Mahajan: So, my question is related to the gRevlimid that has an incremental revenue for U.S. business. So, could you throw some light on it? What is the sustainability run rate for this molecule in upcoming quarters? And excluding this gRevlimid, how do you see the EBITDA margins for the U.S. business?
Erez Israeli: So, on the product , we want it to continue to be meaningful product and may fluctuate from quarter -to-quarter, but -- it is going to be there probably for the entire agreement timelines . The fluctuation is primarily patterns of ordering, but we as you know, it's a limited volume arrangement, and we believe that it will serve us well to the entirety of the agreement. As for the activities outside of it, it's going to continue to grow.
I mentioned in your previous discussion , all the time we have products that have less competition than others. Naturally this product is bigger than the other, but likely , because in the future, we are going to see products like that . And that 's what we are also focusing on so the profitability as well as the growth of our U.S. markets will continue to be in the same range also in the years to come and quarters to come.
Ankush Mahajan: And sir, what are the EBITDA margins that we -- sustainable EBITDA margins?
Erez Israeli: Like I mentioned, we are going to sustain the 25 -25 on a long -term basis. We are not guiding for EBITDA per market, as you know. And from time to time, it will be more than that and it will be maybe times about it in terms of a function of how much we want to put into the R&D, likely that there will be higher through the time that we will have Revlimid and the combination of other low competitive products.

Ankush Mahajan : So, if I do my calculations and we're exclud ing Revlimid, base business is still on the lower side in terms of growth. So, any strategy for the base business?
Erez Israeli : I don't share that observation.
Ankush Mahajan : Thank you, sir. Thanks.
Moderator: Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Yes. Thank you for taking my question. So, the first question on strategy to leverage our U.S.-generic portfolio for Europe and other markets. And we have seen significant growth in Europe geography over the last two, three years. But in your view, how far along we are in that journey? Let's say in U.S., we have roughly around 140 products, 150 products. Ho w many products we would have already launched in Europe? How many in pipeline? And if you can throw some light there, it would be helpful?
Erez Israeli : Yes, we decided to focus on Europe when we took the decision on the diversification. Thi

s i s
working well for us. And in terms of where are we in the journey, somewhere in the beginning. So I do see that most of the growth in Europe are ahead of us. We are planning to launch many products in Europe in the next coming years, as well as to make ot her moves, including inorganic. So, we see Europe as a focus market, especially around Germany. So, Germany will be the focal market. And of course, the rest of the big countries in Europe , we believe that we have to offer, including biosimilar s. So likely that you continue to see growth in Europe also in the next coming years, including next year.
Kunal Dhamesha: And this leveraging of portfolio when you launch same product, does it become highly ROIC -accretive in your view, even beyond what our aspirational target is, or it helps us achieve that 25% ROIC target? On a portfolio level, product portfolio.
Erez Israeli : Yes, absolutely. Because it's primarily leverage. And obviously, it's a piece in the puzzle. Europe is still rel atively small compared to the other spaces. But over the time, it's getting more -and-more positive impact on the overall average. But it's a good thing.
Kunal Dhamesha: Sure. And the second question on the CTO -1 observation. What's the kind of nature of

observation? And have we submitted the response to U.S. FDA? Or are we in the process of submitting a response?
Erez Isreali : It's a minor observation. We will address it. And we did not submit it yet. We just got it. I think we have 15 days, if I 'm not mistaken. So, we will submit it on time. I believe that this will be helpful.
Kunal Dhamesha: Sure. Thank you, and all the best.
Erez Israeli : Thank you.
Moderator: Thank you. The next question is from the line of Madhav Marda from FIL Industries. Please go ahead.

Madhav Marda: Hi, good evening. Thank you so much for your time. Just had one question. Basically, we've accumulated a lot of free cash flow in recent times. And I think have been doing some M&A activity already. Just wanted to understand, given I think in general, a lot of the peers have good free cash flows and net cash balance sheets in the industry. So, when we're looking at M&A, aren't good assets very aggressively bid? We've seen that in the past as well in the i ndustry. I just want to understand that for a good asset, is it easy to get it at a good IRR, or how should we think about M&A opportunities, given we have a good cash balance available today ?
Erez Israeli : Yes, so if you recall, it was part of our strategy to close the debt and accumulate cash, anticipating this situation, anticipating at the time, the increase in the interest rate and inflation. So, we are now looking for opportunities that one, will of course fit us strategically, and seco nd, will be in good valuation. So now I think there are certain areas and certain type of products that potentially can get a good multiples. And that's what we are looking for.
In addition to that, we are looking for, we are using this money for the type of licensing and type of boosting the portfolio also for the future. And the money will be used also for that. We are not the type of company that is seeking what you call transformational acquisitions that are unlikely that you'll see in our case. But we will see, hopefully, more deals than we saw in the past.
Madhav Marda: So basically, our M&A will be more bolt -on, the kind that we've done in recent times as well. That's the idea?
Erez Israeli : Let's call it business development, which is inc luding licensing and we'll include the product acquisitions, collaboration with companies, and also M&A.
Madhav Marda: Got it. Okay, thank you.
Moderator: Thank you. The next question is from the line of Cyndrella Thomas Carvalho from JM Financial. Please go ahead.
Cyndrella Carvalho: Thanks for the oppor

tunity. So, I just wanted to clarify this. Sorry for asking on generic Revlimid again. But is the higher volume share reflected in this quarter, or will it be reflected next quarter?
Erez Israeli : If you're talking about the Lenalidomide, we cannot share quantity numbers. And what I said is it continues to be meaningful to us and in accordance to the agreement terms that we have.
Cyndrella Carvalho: Okay, thank you. And in your opening remarks, you highlighted about the Chinese product approvals that you have received. When and where should we start reflecting these into earnings? And what is our outlook here, if you can help us understand?
Erez Israeli : Yes, this is a reflection of the efforts that we had through the years by submitting more products. And China focusing on those products since we can get G EA status and be one of the early entry for the market. So, I think getting product approvals in less than a couple of weeks is a big achievement for a company like us. What we see, we see pick -up all the time as a significant impact on our results.

We will see more about, let's say, from starting in FY 24, but more likely we'll see bigger numbers in FY 25 and FY 26 fiscal as the submissions and the approvals and the timing of those G POs will take place. That's what we anticipate. And right now, we are in the pace of 15 product to 20 product submissions per year. And naturally, with the cycle of approvals that happened in China and the timing of the G POs, it will be more meaningful. But let's say the strategy so far is working well because it's a leveraged strategy in which we have an outlet for the very, very important markets. We are very pleased from this approval.
Cyndrella Carvalho: Thanks. This is helpful. And coming to the PSAI business, co mpared to your peers, we have not seen the top line growth. However, the gross margins have definitely improved Q -on-Q. So how should we see the outlook for this business? We've been positive on growing this business. But does anything change here at this point in time, or is it some seasonal impact that we have seen in this quarter, and we should start seeing growth from next fiscal onwards? How should we

read this?
Erez Israeli : We will see both. We will see growth and we will see improvement o f profitability. For us, this market also in the past, and I'm excluding also in this segment, we used to record also COVID sales. So, if I'm excluding the COVID, what we saw is at th at time, it was a decrease in prices of some of portfolio as well as inc rease in some of the raw material. Now we see the reverse. What we see that we are launching new products and most of the sales are to more territories, especially in Asia. And we see also a better mix of products. And we see an ease on the supply chain a nd to a certain extent procurement. So actually, now I see a positive momentum that is building on both growth as well as profitability.
Cyndrella Carvalho: But we should see this gross margin level sustaining ?
Erez Israeli : I hope that it will be even enhanced, not just sustained for sure, but we are aiming for enhancing it.
Cyndrella Carvalho: And the top line, any number that you would like to share, like only double digits, a mix double digits, anything, any color that can be helpful?
Erez Israeli : No, we are aiming for double digits. We are not guiding, but we are aiming for double digits for all of our markets, including our PSAI.
Cyndrella Carvalho: Thank you so much. I'll join back the queue.
Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Yes, thanks for the opportunity. So again, on North America's sales, given that FY 23 had a certain strength -related exc lusivity as well for generic Revlimid and competition to s

ome extent
kicking in the coming quarters. So, considering these aspects, I just would like to understand, will we still grow in FY 24 in U.S. sales, North America sales?

Erez Israeli : I believe that we will grow not just because of the product. We will grow because we are also launching 25 to 30 products. And the combination of all that mix should grow u p in the United States.
Tushar Manudhane: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Ashish S Thavkar from IIFL Asset Management. Please go ahead.
Ashish Thavkar: Yes, thanks for the opportunity. So, I have this question since we have been maintaining this 25% EBITDA margin guidance. But if we just try to strip off one -time big opportunities and say some one -off non -recurring items, the EBITDA margins on the core business seem to be lower versus what we were earlier guiding for. So, if you could help us understand for FY 24, as we're going to FY ‘24, would you like to provide some color as to directionally of what we as investors can expect?
Erez Israeli : Yes, first, I don't share the observation that it's less than what we guide . So that's a starting point. And we may need to clarify it. We will be maintain ing the 25 -25 message on the long -term basis, in which we will allow us both to grow, give great return to the shareholder, as well as to finance the future. And what you see is that we are building a bigger and better p ortfolio as time goes by. And plus, the balance sheet is probably the best ever in terms of both cash flow, as well as no additional substantial risk that exists in the balance sheet.
So, this is, of course, allowing us -- much better, also, utilization of the working capital. So, this will allow us a better ROC E, also, in the future.
Ashish Thavkar: Yes, fair enough. So lastly, on this India business, you did mention that FY 24, you expect to beat the IPM growth. And we have been acquiring assets, trying to strengthen our portfolio.
What gives you the confidence that FY 24, we can beat the industry growth? We just wanted to have some understanding on that.
Erez Israeli : I'm confident that we'll do it. And we need to recall that, for me, I know that we are looking at external sources, like IQVIA, et cetera. But the most important for me is what is our bottom -line growth. And that should be very healthy. So, the answer is that I am confident. And I believe that we will grow the bottom line even fa ster than we'll grow the top line.
Ashish Thavkar: Okay. Fair enough. Thanks, all the best.
Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital Advisors. Please go ahead.
Nitin Agarwal: Thanks for taking my question. It is on the Mayne portfolio that we acquired in the U.S. Can you give us some more color on what opportunities you see in that portfolio, in terms of to grow the portfolio from the current side?
Erez Israeli : Yes, it's a portfolio that has a certain lower level of competition, especially in women health. It's allowed us to get back to women health , something that was missing for us, as you know, through

the years. And it's also, there were many products in the pipeline that Mayne did not launch. And something that we'll be able to do in the future. So, if you wish, we have a triple impact. One, we believe that we can do well with this product. Second, we will be able to launch more products. And third, we can launch some of these products in other markets. And relatively, the economy of the deal is relatively attractive for us. So, we are very pleased so far with the progress of the main acquisi tion.

Nitin Agarwal: So, I think it's fair to assume, given the new product launches that you have opportunities that you have, we see poss

ibilities for growing the business from where we acquired it?

Erez Israeli : That's what we are aiming to, yes.

Nitin Agarwal: And from a profitability perspective, is this a business which is higher than our corporate profitability right now?

Erez Israeli : I cannot share information about the specific profitability of products. But we beli eve that the nature of the products and the mix of the product that have less competition is always favorable versus those with a high level of competition. This is the nature of the business.

Nitin Agarwal: And besides the acquisition that you made, the p art of this investment that you made in the U.S. gene rics, do we still are open to investing more money in U.S. gene rics by way of acquisition? Or this is more of a special case transaction which came our way?

Erez Israeli : We will continue to look for opportunity in the U.S. market, including gene rics, if it will fit the financials and if it will be complementary to what we do. So, we will continue to look for opportunities, both organic and inorganic, in the U.S., not just now also in the future. It is a very important market for us.

Nitin Agarwal: Okay, sir, thank you.

Moderator: Thank you. The next question is from the line of Prakash Agarwal from Axis Capital. Please go ahead.

Prakash Agarwal: Yes, hi, good eveni ng. Thanks for the opportunity. If I heard that right, I just wanted to reconfirm that you mentioned that you expect double digit growth from across markets, including the U.S. Would that be correct?

Erez Israeli : I do. Not necessarily every quarter and not necessarily all the time. But absolutely, this is the long-term aspiration for us . Absolutely, that's what we are aiming for in the short term. But I cannot promise you that it will happen e very quarter and every product and every situation, obviously.

Prakash Agarwal: So, asking for fiscal ‘24 specifically, sir?

Erez Israeli : Specifically, that's what we are aiming. We are aiming for double digit growth.

Prakash Agarwal: And ex cluding the acquisition with the base portfolio and some one -offs, it is possible, as what you see?

Erez Israeli : I believe that it's possible.

Prakash Agarwal: Okay. That is helpful. And just to follow -up on this, the U.S. generic market, I me an, many companies have been talking about while price erosion remains more or less similar, there is a lot of volume opportunities that is coming, new business opportunities, etcetera, so would you say that we would have also brought these in the last thr ee, six months, given there's some U.S. FDA issues with the PSAI?

Erez Israeli : I'm not sure I understand the FDA comment. Can you clarify that?

Prakash Agarwal: Yes, so what we hear from some of the peers is that they are getting some volume opportunities, like new business opportunities, NBOs, where they need to supply a few of the products where earlier they were not contracted, largely due to the U.S. FDA issue s by the peers. So, are we getting some volume -based opportunities to supply in the U.S. market?

Erez Israeli : We do from time -to-time. I'm not considering it as a strategic issue, but we do from time -to-time have a situation. So, give or take, if I saw correctly, about 10% to 15% of the SKU in the United States in some sort of a shortage for all kinds of reasons, not just the FDA, but all kinds of reasons. And in those situations, you have always an opportunity for one -time buy and stuff like that.

Prakash Agarwal: And have you seen anything incremental in the last quarter is what I'm trying to get some color on? I mean, given we have seen some large companies having some issues .

Erez Israeli : Yes, so nothing that I see as st rategic. In general, we are not building ourselves on the failures of others. We are trying to build ourselves with our own capabilities.

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rakash Agarwal: Fair enough . And lastly, on the run rate that we see in the past, it was $225 million, and then it came back, the base business side to $ 250 million, and then we saw some big jumps. And now

things are normalizing, and you still maintain it is going to be volatile, but material. And I also understand that market share of these Revlimid are, it change s, right? It increases every six, 12 months or maybe calendar year. So would it be fair to say that, with the new launches that you spoke about and Revlimid continuing, this is an addition to the first question. So that is the key to grow double digit. Would that be a fair assessment that on that Revlimid base also you will grow?
Erez Israeli : The growth in the United States will be from new products, as well as volume from other products, as well as better costing. All of that will contribute, absolutely. But I cannot guide you on with and without or this kind of stuff. I will not be able to do that.
Prakash Agarwal: Okay, lovely. And lastly, while you sp oke about growth across markets, would you say with this kind of launch and product visibility across markets, these kind of margins could be sustainable?
Erez Israeli : Yes, I believe so. I believe that that's why we are guiding for the 25 -25, which will enable us even to finance Horizon 2. So, if you recall, we said that about 50 to 100 basis points on Horizon 2, and we are able to cater that within the margins. So, we are strategically positioned well that

we are able to finance our futur e and at the same time to provide these margins and ROC E to the shareholders.
Prakash Agarwal: But we are doing better than what we are guiding, right? That's what I'm asking. Will we be able to continue with this kind of performance?
Erez Israeli : Now we are doing better and maybe there will be also a period of time that will be not better, but right now we are doing better, yes.
Prakash Agarwal: Okay, lovely. Thank you and all the best.
Erez Israeli : Thank you.
Moderator: Thank you . We will take that as our last question for today, ladies and gentlemen. I would now like to hand the conference over to Ms. Richa Periwal for closing comments. Over to you, ma'am.
Richa Periwal: Thank you. Thank you everyone for joining us today for the earnings call. For any further queries, please reach out to the investor relations team. Thank you, have a great day.
Moderator: Thank you. On behalf of Dr. Reddy's Laboratories Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2023

July 31, 2023

National Stock Exchange of India Ltd. (Stock Code: DRREDDY-EQ)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)

Dear Sir/ Madam,

Sub: Transcript of the Earnings call conducted on J uly 26, 2023

Pursuant to Regulation 30 of Securities and Exchang e Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter ended June 30, 2023, conducted on July 26, 2023. Also please note that this transcript of the call has been uplo aded on our website.

The weblink to access it:
https://www.drreddys.com/investor#investor-meet

This is for your information.

Thanking you

Yours faithfully,
For Dr. Reddy’s Laboratories Limited

K Randhir Singh
Company Secretary, Compliance Officer & Head-CSR

“Dr. Reddys Laboratori es Limited
Q1 FY24 Earnings Conference Call”
July 26, 202 3

Moderator: Ladies and gentlemen, good day , and welcome to the Dr. Re ddy's Q1 FY '24 Earnings Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during thi s conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded . I now hand the conference over to Ms. Richa Periwal from Investor Relations team. Thank you, and over to y ou, ma'am.
Richa Periwal: Thank you, D orwin. Thank you. A very good morning and good evening to all of you and thank

you for joining us today for the Dr. Reddy's Earnings Conference Call for the quarter ended June 30, 2023.
Earlier during the day, we have released our results and the same is also posted on our website. This call is being recorded and the playback and transcripts shall be made available on our website soon. All the discussions and analysis of this call will be based on the IFRS consolidated financial statements. The discussion today contains certain non -GAAP financial measur es. For a reconciliation of GAAP to non -GAAP measures, please refer to our press release.
To discuss the business performance and outlook, we have our CEO - Mr. Erez Israel i & our CFO - Mr. Parag Agarwal, along with the Investor Relations team.
Please note that today's call is a copyrighted material of Dr. Reddy's and cannot be rebroadcasted or attributed in press or media outlet without the company's expressed written consent. Before I proceed with the call, I would like to remind everyone that the safe harbor contained in today's press release also pertains to this conference call. Now, I hand over the call to Mr. Parag Agarwal. Over to you Parag.
Parag Agarwal: Thank you, Richa. Greetings to everyone ! A warm welcome to our Q 1 FY2024 Earnings Call.
We had a strong start to the year with robust sales and record profitability.
I'll start today with an overview of our financials for the quarter. For this section, all the amounts are translated into US dollar at a convenience translation rate of Rs. 82.06 which is the rate as of 30th June 2023.
Consolidated revenues for the quarter stood at Rs. 6,738 crores, that is $ 821 million and grew by 29% on YoY basis and by 7% on a sequenti al quarter basis. Adjusted for brand divestment income on a re -based comparator; the underlying growth was higher at 35% on YoY basis and 12% sequentially. The growth was driven by the generics business mainly in US, Emerging Markets & Europe. Excluding th e one -off gains from brand divestment, loss of revenue from divested portfolio and NLEM related price reduction, India business registered a high single digit growth.
Consolidated gross profit margin for this quarter has been 58.7%, an increase of ~880 b ps over previous year and 150 bps over previous quarter. The improvement in gross margin was primarily driven by favorable product mix, supply productivity savings, better manufacturing

leverage partially offset by brand divestment income during previous p eriod. Gross margin for the Global generics and PSAI were at 63.9% and 15.0% for the quarter respectively .
The SG&A spend for the quarter is Rs. 1,770 crores, which is $ 216 million, an increase by 14% YoY while a decline of 2% QoQ. The YoY increase is in line with busi ness growth and is on account of investment in sales & marketing, digitalization and other business initiatives. The SG&A cost as % to sales were 26.3% and is lower by 340 bps YoY and 230 bps QoQ due to better operating leverage.
The R&D spend for the quar ter is Rs. 498 crores, that is $ 61 million and is at 7.4% of sales. Our R&D efforts are focused towards bui

lding a healthy pipeline of new products across our markets including biosimilar development.
The EBITDA for the quarter is Rs. 2,137 crores, that is $260 million, and the EBITDA margin is 31.7%. This is largely driven by gross margin expansion and productivity initiatives across the value chain. Our profit before tax for the quarter stood at Rs. 1,846 crores, that is $225 million, an increase by 26% YoY and 39% over previous quarter.
Effective tax rate has been at 24.0% for the quarter. The effective tax rate was higher than the previous year mainly due to changes in the Company’s jurisdictional mix of earnings. We expect our ETR to be in the range of 24% to 25%.
Profit after tax for the quarter stood at Rs. 1,403 crores, that is $ 171 million. Reported EPS for the quarter is Rs. 84.22.
Operating working capital increased by Rs. 710 crores which is $87 million, against that on March 31st, 2023 , mainly due to an increase in receivables and inventory. Our capital investment stood at Rs. 362 crores, which is $ 44 million in this quarter.
The free cash flow generated, before acquisition related payout, during this quarter was at Rs. 674 crores whic h is $ 82 million. Consequently, we now have a net surplus cash of Rs. 4,985 crores, that is $ 608 million as on June 30th, 2023.
Foreign currency cash flow hedges in the form of derivatives for the U.S. dollar are approximately $783 million, largely hedge d around the range of Rs. 82.7 to Rs. 84.4 to the dollar, RUB 6,775 million at the rate of Rs. 1.02 to the Ruble & AUD 3.7 million at the rate of Rs. 57.9 to Australian dollar maturing in the next 12 months.
With this, I now request Erez to take us through the key business highlights.
Erez Israeli: Thank you, Parag, and a warm welcome to everyone participating in our

Earnings call today. As always, we appreciate your interest in our company.
We have commenced fiscal 2024 with a robust first quarter performance. Our sale s for Qtr -1 grew 29% and EBITDA grew 20% reflecting the strength of our portfolio and well -diversified geographical spread. Adjusted for settlement income in current & base period and brand divestment in base period, our sales for Qtr -1 grew 35% and our EB ITDA grew 111%.

We improved the drivers in our core businesses for sustainable growth through productivity improvements, market share gains and new product launches. We are making considerable progress across our strategic priorities.
Let me take you thr ough some of the key highlights of the quarter:
1. Sustained strong revenue growth driven by momentum in US and Russia markets.
2. Generated healthy EBITDA at ~32% and annualized RoCE at ~39%
3. High cash generation leading to net cash surplus of more than $ 608 mn at the end of quarter after paying the consideration towards Mayne portfolio acquisition.
4. Completion of commercial integration activities and launch of Mayne Pharma's acquired generic prescription portfolio.
5. Received approvals for 4 product s in China including our partner products since Apr'23.
6. Embarked trade generics in India and launched a dedicated trade generics division. Through this initiative, we will be increasing our participation in Retail Pharmaceutical market.
7. Entered chil d nutrition space in India with the launch of CeleHealth Kidz Gummies.
8. Biologics License application for proposed biosimilar Rituximab candidate DRL_RI accepted by US FDA, EMA and MHRA for review, this is another key milestone in our global biosimilars journey.
9. Forayed into the fast -growing OTC wellness space in US with the relaunch of recently acquired brand of Premama® a portfolio of high -quality dietary supplements designed to support the entire motherhood journey.
10. Collaborated with Mark Cuban Cost Plus Drug Company, aimed at increasing access to essential medications for Wilson disease patient

s and entered into an in -licensing agreement
with Tenshi Kaizen for launch of Loratadine for private label OTC business.
11. Entered into an agreement with the Bill & Melinda Gates Foundation to develop injectable contraception drug for low - and middle -income countries in Asia and Sub -Saharan Africa, including India. This initiative will strengthen our portfolio in the wom en healthcare space.
12. Successfully concluded USFDA inspections of f ollowing 4 facilities recently - our API sites CTO 1 & CTO 3 at Bollaram, our formulation site FTO SEZ PU 2 & API site CTO 6 at Srikakulam . We continue to maintain a state of constant vi gilance and compliance at our manufacturing sites.
13. Released our first Integrated Report which weaves together the material aspects of our business and their interplay with our purpose, values, strategy, governance, performance, and outlook.

14. The Fin ancial Times (London) named us an Asia -Pacific Climate Leader 2023. This award is to appreciate companies that have achieved the greatest reduction in their greenhouse gas emissions intensity and made further climate -related commitments.
Now, let me take you through the key business highlights for the quarter. Please note that all references to the numbers in this section are in respective local currencies.
Our North America Generics business recorded sales of $389 million for the quarter with a strong Yo Y growth of 69% and a 25% increase on a sequential basis. The growth was bolstered by Lenalidomide sales, new product launches such as, Regadenoson Inj ectable , cycloserince capsules integration of Mayne portfolio, and market share expansion in certain key existin g products which more than offset price erosion. We launched 8 new products during the quarter and expect the launch momentum to continue during FY 24.
Our Europe business recorded sales of € 57 million this quarter, with a YoY growth of 13% while broadly flat sequentially. The growth is attributable to increase in base business volumes and supported by new product launches. We launched 10 new products during the quarter and expect the launch impetus to continue during balance of the year.
Our Emerging Ma rkets (EM) business recorded sales of Rs. 1,155 crores, with a strong YoY growth of 28% and sequential increase of 4%. We launched 27 new products during the quarter

across various countries of the Emerging Markets. Within the EM segment, the Russia busi ness grew by 77% on YoY basis and 7% on a sequential basis in constant currency. The growth is driven by pick up in allergy season and further aided by lower base.
Our India business recorded sales of Rs. 1,148 crores and reported a de -growth of 14%. Exclu ding revenue from brand divestment, loss of revenue from divested portfolio and NLEM related price reduction, India business grew in very high single digit. India remains our priority market and we are progressing well on our innovation model. We have sign ed 2 innovative deals in this quarter and expect these to be an important growth driver in the years ahead. We are creating several growth engines for India business including ramping up growth of existing portfolio, scaling up recently acquired brands, co ntinuous improvement of field force productivity and foraying into trade generics.
Our PSAI business recorded sales of $82 million with a YoY decline of 11% and a sequential decline of 14%. This has been due to lower volume pickup by customers for some p roducts during the quarter. We expect sales to improve over the next couple of quarters on the back of increasing volume pickup, launch of new products and collaboration opportunities.
Our R&D efforts are focused on developing value -accretive products incl uding several generic injectables and biosimilars where there is a patient need. We have filed 4 ANDAs in US during Q1FY24 and

we are on track to accelerate on this in balance of year FY 24.
We are improving our operations and processes to increase efficien cy and overall productivity.
Our strong balance sheet provides financial flexibility to support future growth and we will continue to maintain a disciplined approach to cash management and acquisitions. I am confident

that we will continue the growth momen tum, strengthen our core business, and build a pipeline of products to shape a healthier world.
With this, I would like to open the floor for questions and answers.
Moderator: Thank you very much. The first question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Congratulations on the good set of numbers. First, on the US revenue growth. So, on a sequential basis, we have seen a significant uptick as well. Would you be able to give us some colo ur as to which were the primary driver, was it the acquisition, was it the Lenalidomide uptake in order of their quantum, if you can provide, even qualitatively would be very helpful?
Erez Israeli: Yes. So, this quarter, we had several growth engines. So, it's not just Lenalidomide. We grew market share in key products. This was, let's say, more than previous quarters. We saw relatively less price erosion that we normally do. We had the Mayne acquisition that contribute to that, and Lena. So, it's a combination of all of them. Even without Lena, it was a very healthy growth in the US.
Kunal Dhamesha: Sure. And just continuing on that, in terms of price erosion, I think across companies, there is now consensus that the price erosion has reduced. But do you see that , this reduced price erosion to continue for some time or is it m ore of a transitory phenomenon , which could kind of go away?
Erez Israeli: The model hasn't changed. So, in terms of price erosion, it's obviously a function of how many -- how much competition you got for your baseline on products that did not yet, if you wish, erode to the potential. So, I believe that in our case, we probably will see something similar also in the next coming quarters.
Moderator: Thank you. The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Continuing on the US business. So Erez, you mentioned even without Lena, the base business has grown very well for you sequentially. So, can you elaborate a bit more , whether you're seeing a lot of supply opportunities emerging in the market due to problem s at some of the competitors, etcetera? And do you believe these opportunities will sustain for next few quarters? That's my first question.
Erez Israeli: So it's a combination of timing of RFPs, combination of set of situation that happen to products in which we could supply more, not necessarily a supply shortage, but it could be service or other supply disruption situation that happens, and also activities that we did with certain customers as well. So overall, let's say, it's primarily volume -based growth that's based on the agreements that we have with customers.
Damayanti Kerai: And do you believe this volume -based growth opportunity will continue at least in near term?
Erez Israeli: I believe that the trends will continue. Yes.

Damayanti Kerai: Okay. My second question is on your R&D initiatives. So biosimilars, you mentioned. Can you talk about update in your global portfolio, which is for all the markets where you're focusing?
Erez Israeli: So biosimilars is a global initiative for us. We are pla nning to be in all the markets, including the United States with our portfolio. We are working on about 11 biosimilars, as we speak, in that -- some will be launched before 2030 and some after 2030, starting probably in the beginning of 2027. At this time, I don't wa

nt to discuss specific products, but, let's say, this is a very important initiative for us, and we believe that , it's a place that we want to be a serious player.
Damayanti Kerai: Sure. And my last question is, how do you see your EBITDA margins moving up in next few years, excluding R evlimid ? If you can provide some colo ur on it?
Erez Israeli: So, I'm maintaining, and for me, we have been in this discussion in the past. I'm not taking this product out or another product because every year , we ha ve those products that contribute more to our performance. I'm still maintaining the long -term average of the 25 -25, knowing that right now with Lenalidomide, we will probably be above it. And -- but overall, this is the area that I'm still maintaining that we feel very comfortable that will allow us to fully finance all of our growth aspirations of the future.
So, what we are moderating now is the level of investment that we want to put. Naturally, the more we have, the more we can invest into the future, wh ich is what we are planning to do. But, let's say, in the next coming quarters as long as we have this limited volume agreement in place, likely that it will be above the threshold, the 25%.
Moderator: Thank you. We have the next question from the line of Balaji Prasad from Barclays. Please go ahead.
Mikaela : This is M ikaela on for Balaji. Can you just talk a bit more about what led to the growth seen in Russia and how sustainable this growth is? Thanks.
Erez Israeli: We -- in Russia, we grew, part of it is seasonal. We have most of our businesses in the retail, and we are also playing in the biosimilars. So, in this specific quarter, we enjoyed the seasonality of the allergy as part of it as well as the growth of the b ig brands there. We -- I believe that the growth momentum will be in Russia.
We are expecting a good year in that respect. We are also, so far hedged well on the ruble and protected it well. So, in that respect, the combination of investing in our brands and en joyed the growth momentum that comes from the relevant products that we have, plus a good defence on the ruble helped us to achieve these results.
Parag Agarwal: There is also impact of a low base in the growth that we have reported this quarter. And as yo u know, by its very nature, Russian market is volatile. So, there will be fluctuations from one quarter to another, but we are growing ahead of the market.
Moderator: Thank you. The next question is from the line of Surya Narayan Patra from PhillipCapital India Private Limited. Please go ahead.

Surya Patra: Yes. Congratulations for the great set of numbers, sir. Sir, my first question is on this Mayne's portfolio that has been acquired. So, what is the kind of size that we would have seen this quarter out o f that? And also, if you can give some clarity about the profitability of this portfolio? I'm asking this question because it looks like excluding the R evlimid performance, your base business has seen a sequential improvement. So, from that angle, I was ju st trying to understand the contribution from the acquired operation in the US and its profitability versus the company's blended base business profitability ?
Erez Israeli: So indeed, our base business did well even without Lenalidomide. Mayne, we closed t he deal . In practical, it started to sell in the end of April. And we are actually launching product after product through this period of time. I believe that the main pickup will be in the next coming months , when customers will open their bids and we wil l be able to bid more. So overall, let's say, that the contribution of Mayne will be more significant in next quarters to come than it came in this quarter.
Surya Patra: Okay. So, is it kind of still a USD 100 million annualized size, sir?
Parag Agarwal: Yes, in that range.
Surya Patra:

Okay. Sure. Sir, second question is that regards the Lenalidomide. So, we have almost kind of approaching to finish the first year of supply. And obviously, as per the prescription trends we see that, okay, we have already kind of achieving 6% kind of volume share now. So, is it fair to believe this is the kind of first year number and we should see a progressive improvement in the volume share going ahead?
Erez Israeli: So, you know, we cannot share a specific number on these product s. We are in agreements in

which this volume...
Surya Patra: But this is there in the public domain in terms of the Rx volume. So that is wh y I am asking the question, sir?
Erez Israeli: No, I appreciate the question, but I cannot share. I have the full kn owledge of the quantities obviously and I cannot share that as per our agreement. But what I can say is that these kind of levels of sales of Lenalidomide likely to continue and fluctuate from a quarter -to-quarter based on the supplier , based on the orders and based on the preference of customers. But we believe that it will continue to play to be an important segment products until the end of the agreement, which is likely to be in January '26.
Surya Patra: Sure. Sir, my next last question is about the PSA I business. We have seen sequential correction in the revenue as well as the margins there. So -- and you have also mentioned in your opening remarks, sir, there is a inventory rationalization trend that is on -going. So, do you think , this is a kind of a c ouple of quarter more kind of situation? And generally, the APIs and manufacturing supply opportunity kind of business are likely to face this inventory destocking kind of trend and could have impact on the margins generally in the near term?

Erez Israeli: No, I think, we -- during the quarter, we have a certain pickup that was related to timing of picking up the orders primarily. So, I believe that it will cost itself actually relatively fast already from next quarter from Q2. So overall, I'm confident that our API business will grow this year.
Surya Patra: Sure, sir. I have a couple more. I'll join the queue , sir. Wish you all the best !
Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: My first question is on th e India business. If I look at the number that we reported in fourth quarter and strip out the brand divestment, based on that, we've seen a pretty sharp increase on that base in the first quarter. Did the trade generic -- I know we officially announced th e launch in July. But was there any contribution at all of the trade generic business in the first quarter or if you could give us some colo ur in terms of what's driving the improvement that we're seeing and how much more can this continue to -- I know you talked about a bunch of initiatives, but how should we look at growth in this business from the high single -digit that you pointed in your opening remarks?
Erez Israeli: Yes. Thank you for that. The trade generic did not yet contribute much because we just recently launched it. And so, most of the growth happened from our branded generics, our key brands that we are focusing on. These trends are likely to continue also thr oughout the year and actually going to improve. The activities I mentioned, and we discussed in quite a few occasions on our journey for top five, it's a combination of both the innovation as well as the investment in the portfolio that we have, including the trade.
So, most of the deals that we signed and going to be signed -- we have actually quite a few deals that are in discussions is to bring innovation to India. Actually, Horizon 2, that we have discussed in the past is all about to bring innovation t o India, mostly licensing in, some product acquisitions and some potential partne

rship with other players. These partnerships and that will likely to have an impact from FY '25, FY '26 onwards. FY '24, which I believe we will grow, significant will come pr imarily by the core and branded generics focused brands that we have. Sorry for the long answer. Yes.
Neha Manpuria: Yes, understood. Second on, in your remarks, you also mentioned approvals in China. Now if I look at my ROW business excluding Russia and C IS, we are pretty much in the range that we've been doing for the last four quarters, five quarters, the INR400 crores range. When do we see meaningful contribution start from China or when do we see -- how does the step up from this level happen in the Em erging Market business?
Erez Israeli: Yes. So, all the EMs markets are actually growing in double -digits. Obviously, Russia being a very big market in that space and it's growing 77% almost. The others -- so all of them will grow double -digits, not just with Russia. As specifically for pickup in China, we are now starting to see the results or likely that this trend of approvals will continue. Most of the value we'll start to see, more significant growth in FY '25, but we will see already in FY '24 itself in growth. But the level that we have discussed in the past of our aspiration in China likely that we'll start to see from next year.

Neha Manpuria: Understood. And my last question, Parag, in terms of our investments in the business, should we expect our absolute SG&A and R&D spend to trend up from the current spend that we're seeing for FY '24? I understand this will obvio usly continue to increase. But is this level of investment, what that we have seen in the quarter enough to sort of sustain the growth that we have in result, or should I expect an increase from the current levels?

Parag Agarwal: Neha, we are continuing to invest behind multiple levers as we have been talking in digitalization, behind our brands in sales and marketing. I would expect a slightly higher trend in absolute terms. As a percentage to sales, of course, it will remain very positive because of our top line growth, we will see the benefits of operating leverage, but in absolute terms, we will see a marginally upward trend.

Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM Financial. Please go ahead.

Cyndrella Carva lho: Yes. Congratulations on a great set of numbers. Bringing question back to India, you mentioned about the innovative products, two products that you have signed for India. You mentioned about mother and child. You spoke about gummies. So, if -- and the generic division. So, what kind of investment are we envisaging in all these three different categories that we are talking, which is consumer health, generic -generic business and getting the in -license d product? And in what range should we see this over t he coming two years to three years?

Erez Israeli: So, we are not going to see more investment than what you see already, and like Parag just alluded maybe a slight up. The -- some of it is what we call balance sheet money, meaning that we will sign a deal or acquire a product and it will be a balance sheet move rather than P&L move. So, it's relatively to -- relatively, it's not expensive or not expensive or not going to require much and I'll try to explain why.

Most of the startups, we bring to India is a late-stage innovation, means the product is already there. The product also proved itself in other markets, in most of the cases, it's got approval already either by the US FDA or by European authorities. So, the activity that requires are either licensing fee, some trial -- local trials, registrations, and we are mostly going to leverage our teams in India for doing that.

So, if you wish, it's a marginal investment that give or take, we have already spent in the las

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couple of quarter. And maybe it's marginally up, the more deals that we will do. But I don't anticipate a major use of cash or cost in that element. It's actually pretty straightforward in that respect.

Cyndrella Carvalho: So, the returns will be fairly high is, what you're trying to tell on with the minimal investment. But in terms of revenue, how should we see these, like if we divide in the three segments, how sizable these each segment could be for us say, generic -generic, innovative, in -license? So how big these could be? From a brand perspective , I understand you have something like INR150 crores per brand size in your mind over three years to four years. But what could be -- what it could mean to the entire India business?

Erez Israeli: The intent is to bring a significant number of products to the Indian market in the next coming years. The -- if everything will be successful, we're talking about tens of agreements like that, which we believe will be the main lever to bring us to top five. So if top five means that we need to double our sales gi ve or take in the next coming years, that's the expectation that, the innovation will bring most of that value come into play, and the rest will come from the normal growth of the brands that we will have as well as the trade generics. So, the innovation w ill be the key focus and the main growth driver .

In terms of timing, as we signed the deal, then, of course, we'll need to allow some time for clinical trial, registration time and then, of course, the pickup of the brands as we are introducing those into the health care community. So, it will be kind of a pickup of the brands. So, every one of these brands will take a few years before it will come to its peak sales. But the beauty about it, these are through innovation, they are not switchable. And they'r e bringing a real solution for places that we believe that there is no such a solution or the solution that we're bringing is much better.

Cyndrella Carvalho: Okay. And just one last question. We're seeing a lot of Dr. Reddy's name in terms of shortages of products in US. Are you seeing some opportunities meaningfully for us overcoming few quarters or are you planning to participate in some of them which could be potentially large for us?

Erez Israeli: We do from time to time, but to be honest, I don't feel joy, when we are growing on the expense of others. I actually want the supply to be there for the patients. So, whenever it comes, we are taking it. But I don't see such a strategic growth lever. I'm happy to supply, if it helps patients, but actually wis h that all the companies will be able to sell normally and not to see such a little growth, but it is coming to us as well from time to time.

Moderator: Thank you. We have the next question from the line of Tushar Manudhane from Motilal Oswal Financial Ser vices. Please go ahead.
Tushar Manudhane: Yes. Particularly on the trade receivables as I see, there has been a good jump of almost INR400 crores, INR450 crores, both year -over-year or even quarter -over-quarter. Is this more or less linked to North America business? And is this more to fill up the channel and so the sales could moderate to some extent in the coming quarters?
Parag Agarwal: The increase in receivables is broadly in line with the growth in business and the normal fluctuations that we see depe nding on the timing of supply and the credit terms. So, there's nothing unusual and it's in line with the business growth.
Tushar Manudhane: Okay. And secondly, on the overall gross margin we use to guide for, at least, in the past before Revlimid in the r ange of 52% to 55% for the base business. And since launch of Revlimid, we've seen good, at least 250 bps to 300 bps improvement in the gross margin. So, if you could just indicate the gross margin guidance for say '24?

Parag Agarwal: So yes. See, first of all, we can't ascribe a certain portion of a gross margin of the gross margin to a specific product. As you know, we manage the business on a portfolio basis, and we are

launching new products all the time. This quarter, again, we have launched 8 new prod ucts. And in the next two quarters or three quarters in this year, we are going to launch more products. So, we have to look at the gross margin as a composite. Overall, the drivers of gross margin, as you know, are -- the price erosion obviously brings it down, but we are seeing softening of solvent prices. We are seeing softening of freight rates and so on. And we're also seeing favourable product mix. So overall, I expect our gross margin to range between 56% to 59% in the next few quarters.
Tushar Manud hane: Interesting. And just on extending to your launch aspects or other two products if you'd like to call out, which would be interesting launches over the next 12 months to 15 months in North America segment?
Erez Israeli: I don't want to call out speci fically. We're trying to avoid it because after that we have a lot of discussion on this product. But what we can say is that we believe that we can sustain also the level of activities in North America even post lenalidomide because we have quite a few of very high-value products if we can bring to the market.
Tushar Manudhane: Great, sir. Thanks, and all the best.
Moderator: Thank you. We have the next question from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan : Good evening and thank you for taking my question. I am just looking at the sales mix for the quarter, when I look at it, 47% of revenues coming from the U.S. currently, 17% from India. I remember we had some kind of an aspirational goal to narrow this ove rtime, but we seem to have gone the other way. I know there is a lenalidomide there, which is probably skewing things. But Erez, just your broad guidelines of a more diversified geographic mix and I'm a little also confused with the India strategy because we keep divesting things, right, like the Eris Lifesciences or the JB Pharma.
So, how do we get to top 5 if we keep divesting and you mentioned innovation to kind of help you double, but I'm just wondering what are these opportunities. Shouldn't it be more like a transformative M&A, where we acquire assets like a Wockhardt deal perhaps few years back, right? So -- that are small. So, just want to understand your thought process on this?
Erez Israeli: No, sure. Thank you so much for the question. Indeed, len alidomide make the U.S. obviously in proportion more than before. And I reiterate our commitment to the India market actually being a very important market for us and also reiterate the aspiration to be top 5. Now how should we go to the top 5 is not becau se we're going to guide number 6. I wish I could, but it's -- first, it's not available, and second, it's so expensive. And I don't think our shareholder want us to do that. The way to do that for us is by launching innovation. So, we are -- we saw that in India there are two trends that are coming up.
One, some of the branded generics will have a headwind in the future either because of the trade generic, either because of the digital channels, there will be certain level of potential switches

also. And wh en we looked at our portfolio and we saw what brands we believe are long -term for us, we decided to focus on them and to divest those that we decided to not to focus on. At the same time, we have major efforts to bring a lot of innovative solution to India . And once this will pick up, this will bring us to the desired level even without acquisition. Acquisition, I'm happy to do with a reasonable price, with a reaso

nable risk, but we are not building on it. We can be top 5 even without it.

Shyam Srinivasan : Got it. Helpful, Erez. My second question is on the cash pile, about INR50 billion of net cash sitting now on the balance sheet. So, Parag, any -- what are your like top priorities in terms of capital allocation at this point of time where -- what is the r ank order of things that you would be using that cash pile for?

Parag Agarwal: So obviously, we want to use it for driving business development, M&A. I think, in terms of priority, I would say, first of all, it has to be a strategic fit. We have a clear st rategy for every segment in our business for every geography. And secondly, it must come at the right price. We are not going to chase acquisitions just because we have cash in the balance sheet. Within these boundaries, I would say that acquisitions in In dia and emerging Markets would probably rank higher.

Having said that, if there are good opportunities that come up in U.S. and Europe also, we will grab them just like the Mayne acquisition that we did recently. I think it's a great fit. So, yes, we are chasing acquisitions. I believe that instead of seeing a large acquisition, we will probably see a series of smaller acquisitions. So, a string of pearls strategy, but it depends on what kind of opportunities are available at the right price.

Shyam Srinivasan : Got it. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee : So, if you can talk about what's the revenue base in China currently and you men tioned about the significant growth from FY '25 onwards. So, I understand you're getting like 10 to 15 approvals per year now. So, from a 3 -year perspective with 30 products, 40 products added to your basket in China, how should we think about revenue in C hina in 3 years' time and how does like per product revenue potential you see in China versus, let's say, in U.S.? So, I'm wondering can it be like USD200 million, USD300 million more in revenues in China? If you can give some colour on how should we think about the growth trajectory in that market?

Erez Israeli: So, I see any number of around 2x in the next three years. So, this is the time. The baseline that we are talking, but I'm talking now in market share, has not been necessarily the way we report, is around USD 180 million a year.

Saion Mukherjee : Okay. So Erez, it means like additional 180 million is what you would book, let's say, three years down the line is a fair number to look at in China?

Erez Israeli: If it’s in this range , it could be even more.

Saion Mukherjee : Understood. Okay. And, Parag, my second question would be around R&D, I think you mentioned run rate of around INR500 crores a quarter, right? Is it possible for you to sort of indicate how is this -- like how much of this is going into, s ay Biosimilar development at this point? And secondly, at the time of Analyst Day, you talked about new horizon initiative, Horizon 2 initiatives having an impact of 1,500 basis points on your EBITDA margin. That's the kind of investment you're doing. So, what's the number at this point in time if you have anything to share on that?

Parag Agarwal: Yes. So, Saion, on the second question, right now we are in this range, 50 basis points to 100 basis points on an annual basis is what we are investing behind Hor izon 2. And, of course, going forward, depending on how many of these succeed, it might start inching up. But we will obviously discuss that subsequently in the subsequent calls. Your first question was regarding -- can you just remind me?

Saion Mukherjee : Biosimilar R&D. Yes.

Parag Agarwal: Biosimilars. So, right now our R&D behind Biosimilars would be approximately 20% of the total, and we expect it to progres

sively go up because we are investing behind Biosimilars. Some of the products that we have discu ssed in the past tocilizuma b, abatacept and so on. So, we expect it to progressively go up.

Saion Mukherjee : Okay. And this 50 basis points to 100 basis points that you mentioned does not include or does it include the Biosimilar investment? Do yo u consider it as part of Horizon 2 or this is like separate?

Parag Agarwal: No. So, this 50 basis points to 100 basis points does not include the R&D investments in Biosimilars.

Saion Mukherjee : Okay. Thank you.

Moderator: Thank you. The next question is from the line of Bino Pathiparampil from Elara Capital. Please

go ahead.
Bino Pathiparampil : Good evening and congrats on a great set of numbers. Just a couple of questions. One on Regadenoson could you please help us understand the competitive landscape t here? I know a couple of them -- couple of you guys have launched, but there are more approvals or how many competitors out there in the market right now?
Richa Periwal: So, for Regadenoson, it's a multiplayer product, right? We've launched it in April, and we've seen good progression in terms of our market share. We are happy with the way things are progressing for us.
Bino Pathiparampil : Okay. And any update on your products which you have out licensed, that is Pegfilgrastim and the novel product E-7777 , any updates regarding timelines ?
Erez Israeli: So, on the first one, it was already launched. And so, whatever is the considerations will come, of course, with the progression of several of these products. And as for E-7777 likely that in the

next quarter or the third quarter, depends, it would be December, January, we should expect to see whether it will get approval or not.
Bino Pathiparampil : Okay. And any milestones or any royalties included in the current quarte r from the first product?
Erez Israeli: No..
Parag Agarwal : It's a low single -digit number in absolute terms.
Bino Pathiparampil : Okay. Do you...
Parag Agarwal: It's not material. It's not material.
Erez Israeli: I meant , not material .
Bino Pathiparampil : Okay. And finally on generic or rituximab, now that FDA has accepted your filing, what sort of timeline can we look forward to if everything goes fine? Would you be looking forward to launching it in 12 months, 18 months or something like that?
Erez Israeli: Yes, this is the timeline . So somewhere between 12 months to 18 months, depends, of course on the approval by the US FDA. Once it's getting approved, we will launch it. Now it depends, if response that will come or anything like that, but likely in this ti meframe.
Bino Pathiparampil : Understood. Thank you.
Moderator: Thank you. We have the next question from the line of Ankush Mahajan from Axis Securities. Please go ahead.
Ankush Mahajan: Thank you sir for providing me the opportunity and congrats for good set of numbers. Sir, this is the extension of the question that our base business is improving, and it seems from the number that our base business in the U.S. market and that has improved a lot. Can we s ay, sir, a high single -digit growth Q -o-Q in the bas e business? And I would like to really appreciate if you tell us that what are the factors behind that the base business is improving? What is happening in the U.S. market, sir, at this time in the generic?
Erez Israeli: So, I mentioned part of it is timing of RFPs, agreement with customers, shortage of some products and relatively lower than normal price erosion on the base. So, it's a combination of all of it.
Ankush Mahajan: And can we expect this trend will continue?
Erez Israeli: It should. Yes.
Ankush Mahajan: So, this quarter, sir, there is a high single -digit growth Q -on-Q on base business?
Parag Agarwal: I would just say that it is healthy growth. Even after excluding

Lena as well as Mayne, it is healthy growth. Yes.

Ankush Mahajan : Thank you, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha : Hi, thank you for the opportunity again. So, just coming bac k to the in -licensing opportunities for the India market or the innovation that we have talked about. How does those opportunity fit into our 25% framework for EBITDA margin and ROC? Are they accretive, neutral or would you say dilutive?
Erez Israeli: We -- that's absolutely part of it. So, we should reach those margins with the investment, it means it's including. That's why right now we have that, and we have even higher margins in this. And I used the 25% always as a kind of benchmark of where is our com fort zone. Does n't mean that we necessarily get this quarter -on-quarter, likely that in the next couple of quarters, it will be higher than that including this investment, and likely that the 25% anyway needs to include all

of that as well. So, it will not be below that 25%.
Kunal Dhamesha : Sure. And secondly on the trade gen -- yes.
Parag Agarwal: So just to clarify, 25% EBITDA obviously is for the entire portfolio and across all geographies. So, there are business segments which will be higher and there a re business segments that will be lower than that. So, 25% is our overall aspiration. And that model includes certain part of portfolio which has the in -license.
Kunal Dhamesha: Sure. Sure. Perfect. And secondly on the trade generic business, can you provi de some details as to we have launched this division, how many people have we kind of hired for this, how many products that we are expected to launch, let's say, over the next 2 years to 3 years? And which are the geographies that we are targeting on any particular therapy areas that we are targeting for this business?
Erez Israeli: So, we are not participating in about 50% of the Indian market. So, when you look at our portfolio today, there are certain therapies and the segments that we are not participa ting, which is about half of the market. So, we are targeting, obviously a place in which we believe there is a meaningful play in those areas that we are not participating. We will launch it all over India, for geographic -- geography wise, which will be in all the states of India.
In terms of number of products it will be -- I don't have the exact number, but it's few tens of products that we'll be launching in that direction. As for the pickup in staff, we probably need to see the response of the customers that we -- at the moment, we cannot say it. We'll probably need to wait a quarter or two.
Kunal Dhamesha : Sure. Thank you and all the best.
Moderator : Thank you. That was the last question, ladies and gentlemen. I now hand the conference over to Ms. Richa Periwal for closing comments. Over to you, ma'am.

Richa Periwal: Thank you all for joining us for today's evening call. In case of any further queries, please get in touch with the Investor Relations team. Thank you so much.
Moderator: Thank you. On behalf of Dr. Reddy's Laboratories Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

November 1, 2023

National Stock Exchange of India Ltd. (Stock Code: DRREDDY -EQ)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)

Dear Sir/ Madam,

Sub: Transcript of the Earnings call conducted on October 27 , 202 3

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and half year ended September 30, 2023, conducted on October 27 , 2023. Also please note that this transcript of the call has been uploaded on our website .

Weblink : https://drreddys.com/investor#investor -meet .

This is for your information and records .

Thanking you .

Yours faithfully,
For Dr. Reddy's Laboratories Limited

K Randhir Singh
Company Secretary , Compliance Officer & Head -CSR

Dr. Reddy's Laboratories Limited's
Q2 FY24 Earnings Conference Call

October 27, 2023

MANAGEMENT : MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. PARAG AGARWAL : CHIEF FINANCIAL OFFICER
MS. RICHA PERIWAL : HEAD - INVESTOR RELATIONS &
CORPORATE ANALYTICS

Moderator: Ladies and gentlemen, good day, and welcome to the Dr. Reddy's Q2 FY24 Earnings Conference Call.
As a reminder, all participant lines will be in the 'listen -only' mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Richa Periwal. Thank you, and over to you, ma'am.
Richa Periwal : A very good morning and good evening to all of you and thank you for joining us today for the Dr. Reddy's Earnings Conference Call for the quarter ended September 30, 2023.
Earlier during the day, we have released our results, and the same is also posted on our website. This call is being recorded, and the pl ayback and transcripts shall be made available on our website soon.
All the discussions and analysis of this call will be based on the IFRS consolidated financial statements. The discussion today contains certain non -GAAP financial measures or a reconcilia tion of GAAP to non -GAAP measures, please refer to our press release.
To discuss the Business Performance and Outlook, we have our CEO, Mr. Erez Israeli; and our CFO, Mr. Parag Agarwal, along with the Investor Relations team.
Please note that today's call is a copyrighted material of Dr. Reddy's and cannot be rebroadcasted or attributed in press or media outlet , without the company's expressed written consent.
Before I proceed with the call, I'd like to remind everyone that the safe harbor contained in today's press release also pertains to this conference call.
Now , I hand over the call to Mr. Parag Agarwal. Over to you, Parag.
Parag Agarwal : Thank you, Richa, and a warm welcome to our Q2 FY24 earnings call, and a 'thank you ' to everyone joining today.
We have built on our positive momentum and delivered another strong quarter of financial results , with highe st ever sales and record profitability. In the financial overview section that I will cover today, all the amounts are translated into US dol lar at a convenience translation rate of 83.08, which is the rate as of 30th September 2023.
Consolidated revenues for the quarter stood at Rs. 6,880 crores, that is US $ 828 million and grew by 9% on year -on-year basis and by 2% on a sequential basis. The growth was driven by the generics business, mainly in US and Europe.

Consolidated gross profit margin for this quarter has been 58.7%, a decrease of around 40 basis points over previous year and broadly flat sequentially. Gross margin for the Global Gener ics and PSAI business were 63.6% and 17.8%, respectively.
The SG&A spend for the quarter is Rs. 1,880 crores, which is US $ 226 million, an increase of 13% year -on-year and increase of 6% quarter -on-quarter. The year -on-year increase is primarily on account of investments in sales and marketing, digitalization and other business initiatives.
The SG&A cost as a percentage to sales was 27.3% and is marginally higher by 106 basis points year-on-year and 105 basis points quarter -on-quarter.
The R&D spend for the quarter is Rs. 545 crores, that is US $ 66 million and is at 7.9% of sale s.
Our R&D investments are driven by ongoing clinical trials on differentiated assets as well as other developmental efforts to build a healthy pipeline of new products across our mar kets for both small molecules and biosimilar s.
The EBITDA for the quarter is Rs. 2,181 crores, that is US $ 263 million, and the EBITDA margin is 31.7%. Our profit before tax for the quarter stood at Rs. 1,913 crores, that is US$ 230 million, an increase of 19% year -on-year and 4% over previous quarter. The n

et finance
income for the quarter is Rs. 123 crores.
Effective tax rate has been at 22.6% for the quarter. The effective tax rate was lower than the previous year mainly due to ad option of corporate tax rates under Section 115BAA of the Income Tax Act of India. We expect our normal ETR for the year to be in the range of 24% to 25%.
Profit after tax for the quarter stood at Rs. 1,480 crores, that is US $ 178 million. Reported EPS for the quarter is Rs. 88.8.
Operating working capital reduced by Rs. 598 crores, which is US$ 72 million against that on June 30, 2023, mainly due to decrease in receivables. Our capital investment stood at Rs. 322 crores, which is US $ 39 million in th is quarter.
The free cash flow generated before acquisition -related pay out during this quarter was at Rs. 1,447 crores, which is US $ 174 million. Consequently, we now have a net surplus cash of Rs. 5,906 crores, which is US $ 711 million as on September 30, 2023.
Foreign currency cash flow hedges in the form of derivatives for the US dollar are approximately US$ 648 million, largely held around the range of Rs. 82.9 to Rs. 84.5 to the Dollar, RUB 2,475 million at the rate of Rs. 0.98 to Ruble and AUD 2.7 million at the rate of Rs. 58.06 to Australian Dollar, maturing in the next 12 months.
With this, I now request Erez to take us through the 'Key Business Highlights '.
Erez Israeli: Thank you, Parag, and a warm welcome to everyone participating in our earnings call today. As always, we appreciate your interest in our company.

We are p leased to report a quarter with the highest ever revenue, EBITDA, profit before tax and profit after tax. We saw growing momentum in our products and businesses. Our geographic diversification and productivity improvement in operations enabled operating margin delivery. We continued strategic progress on our various key initiatives to ensure that we are well positioned for differentiated and competitive growth .
Let me take you through some of the key highlights of the quarter.
Sales for Q2 grew 9% and EBITDA grew by 13%, reflecting the portfolio strength and continued momentum in US and Europe. We generated healthy EBITDA at 32% and annualized RoCE at 39%. High cash generation leading to net cash surplus of more than US$ 712 million at the end of the quarter.
A few development s in our global biosimilar s journey in the quarter include s receiving of GMP certificate indicating closure of inspection by the UK MHRA for our Bachupally biologics facility. A pre -approval inspection by the US FDA of our b iologics facility based in Bachupally was concluded with nine observations. We will address them within th e stipulated timeline. The CAR -T asset DRL -1801 was approved for clinical trials in India.
The leading financial publication, Financial Express and E -Cube , in a joint study , have named Dr. Reddy's as a leading company in ESG in India across sectors. The company received SA8000, a multi -site certification which includes six CTO units and 10 formulation units in biologics , and has been successfully audit ed and awarded compliance to ISO 20400:2017. This demonstrates the organization 's commitment to wards our social goals and accountability. We were conferred with the prestigious Golden Peacock Award for Excellence in Corporate Govern ance, 2023.
Now , let me take you through the 'Key Business Highlights for the Quarter '. Please note that all references to the numbers in this section are in respective local currencies.
Our North America Generics business recorded sales of US$ 384 million for the quarte r, with strong year -on-year growth of 9%, while being broadly flat on a sequential basis. The growth was supported by market share expansion in certain existing key products and complete integration of Mayne po

rtfolio, which more than offset price erosion. We launched four new
products during the quarter.
Our Europe business recorded sales of € 59 million this quarter , with a year -on-year growth of 12% and a sequential increase of 4%. The contribution from ne w product launches and improvement in base business volumes more than offset price erosion. We launched a total of 20 products across markets during this quarter.
Our Emerging Markets business recorded sales of Rs. 1,216 crores, a marginal year -on-year decline of 1% and a sequential increase of 5% , primarily impacted by seasonality and unfavourable forex . While we may experience QoQ volatility, full year outlook is on track. We

launched 32 new products during the quarter across various countries of the Emerging Markets .
Within the Emerging Markets segment, the Russia business grew by 4% on a year -on-year basis and 9% on a sequential basis in constant currency.
Our India business recorded sales of Rs. 1,186 crores and reported year -on-year growth of 3% and a sequential increase of 3%. Excluding loss of revenues from NLEM -related price reduction, India business grew in mid -single digit. Our focus on profitable growth , coupled with s ales and marketing execution have led to gradual improvement in business performance.
We further made following strides to access new growth levers and drive differentiation. We signed an in-licensing deal with Hengrui 's NCE , Pyrotinib. We launched 'Neriv io' in India, our first digital therapeutic products addressing the unmet need of migraine patients. We launched a direct -to-consumer platform , 'celevidawellness.com ' for serving the needs of diabetic patients in India.
India remains our priority market and we will continue to strengthen presence in the generic business , while investing and building the innovation spaces.
Our PSAI business recorded sales of US$ 85 million , with year -on-year growth of 5% and a sequential increase of 4%. We expect sa les to improve over the next couple of quarters on the back of increasing volume pickup and strategic collaboration s with regional and global players.
We invested 7.9% of our revenue to empower and enhance our R&D competenc ies. Our efforts are focus ed on developing value -accretive products, including several generic injectable s and biosimilars , where there is a patient need. We have done six global generic filings , including two ANDAs and one NDA filing in the United States during Q2 of FY24 and are o n track to accelerate on this in the balance of the year FY24.
We remain focused on building best -in-class capabilities and commercial infrastructure to leverage our portfolio to expand further. Our ability to adapt , strong execution and financial muscle will enable us to grow our core business and build pipeline of products to meet patient needs.
I'm pleased with the progress that we have made so far this year and we have a clear plan in place to move forward at the pace to deliver on our key objectives an d support the overall growth ambitions of the company.
With this, I would like to open the floor for questions and answers.
Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press '*' and '1' on their touch -tone telephone. If you wish to remove yourself from the question queue, you may press '*' and '2'. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the

question queue assembles. The first question is from the line of Balaji Prasad from Barclays. Please go ahead.
Mikela : Hi, this is Mikela , on for Balaji. Thanks for taking our question. Given India remains a priority market for you, could you just provide

an outlook on your Indian market and just elaborate a bit more on the evolution in your India focus?
Erez Israeli: The focus and the main effort is licensing and collaborating with the partners to bring innovation to India. This is the most important initiative that we have for India. In addition to that, we ident ified a focused portfolio , in which we are growing , and indeed , our biologics focus ed portfolio is growing very, very nicely. The overall performance of the portfolio that we have today is growing in mid -single digit. Part of it is also because we have obviously Cidmus that has a price erosion in line with the plans . While it meets our expectations from a business case, but naturally it has contributed to this decline. If you wish the portfolio that we are focusing on actually grow s in double digit , then actually that's what you're going to see - quarter -over-quarter that we are actually improving our performance.
Mikela: Great , and j ust one follow -up, if I can. What kind of innovations and therapeutic areas are you targeting? And just how willing are partners to launch in India , when you approach them about these deals?
Erez Israeli: There is actually enthusiasm . Naturally , India is an important country, everybody understand s that. There is always a concern about the price point, about the adoption of India and certain requiremen ts that are relevant to localize the product - whether its local production or local trials

or maybe different position of this product. But , in general, people understand that India is an important market, an important country, and they want to have a presence here, and they want to go very much with a reputable company, and we are one of them. Sorry, I lost the first part of the question.
Mikela: Just what kind of innovations and therapeutic areas specifically are you targeting?
Erez Israeli: Yes. Sorry about that. We are targeting primarily areas like cardiovascular, diabetes, CNS, oncology, especially in an area in which we can find standard -of-care or something that is better from the current standard -of-care. So , what is driving us is primarily if we see an innovation that are addressing those areas . This is also the area in which , at least in our analysis , we find the utmost unmet need s.
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: Hi, thank you for the opportunity. So, the first one is on the nine observations for the biologic s plant that we have received. Can you please elaborate on what is the nature of these observations and whether we will need to undertake some corrective preventive actions there?

Erez Israeli: I believe that those observations are addressable. We are going to address all of them in the beginning of November. Some of them will require us to create a CAPA , which means we need to produce certain product for a certain period of time in order to show certain consistency of data, which will take us to January. But overall, I believe that this is addressable.
Kunal Dhamesha: Sure. And s econd one is on the PSAI business. So , if I look at the gross margin for that business , it has gone do wn. Obviously, there's some growth on a quarter -on-quarter basis and year -on-year basis. But , is it primarily due to the unfavourable pricing environment? And if that is the case, do we get the benefit of lower API prices in our global generic s business, i f that is like more widespread pricing decline in APIs?
Erez Israeli: I don't see such a decline in the API like it was in previous years. Most of the growth is coming when new products and launches that likely to happen by the customer for API or PSAI bus iness. So, if you wish, we are now selling the API that will serve them in the next quarters. What we see now is the impact of the new portfolio that

we worked on in the last couple of years, which is replacing the old portfolio from the decade before. And as time will go by, we will launch more and more of th ese product s, and you'll see acceleration in growth because of that.
Kunal Dhamesha: The gross margin for this business , will it also improve ? Because it has come down to now around 13%?
Erez Israeli: So, as we grow the sales, we normally grow the gross margins because it kind of has a relatively higher level of fixed cost. So , as you grow, you're also increasing your margin. That's what is likely to happen.
Parag Agarwal : Kunal, t o clarify , the gross margin for this business, we have reported is 18% during the quarter, not 13%.
Kunal Dhamesha : Sure, I'll check. Lastly, you know, we have mentioned price erosion in US as a growth drag , at least on a quarter -on-quarter basis , perhaps. Now , this price erosion in this quarter , is it limited to a few large products such as Vasopressin or it is more broad -based price erosion that you are witnessing ?
Erez Israeli: The price erosion always affects certain products that went into eit her a bid or RFP or competitive situation in that particular quarter, it's never broad. But , let's say, relatively to other years, this year its more moderate than we are used to in other years.
Kunal Dhamesha: Lastly, on the same thing, the shortage situation and then some of the short -term contracts, et c., are those opportunities continuing into Q2 and probably in Q3, that is what the trend you are seeing?
Erez Israeli: Yes, absolutely , the focus in the US is on continuity, service and susta inability of supply.
Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Thanks for taking my question. First is on the Mayne acquisition. When we announced this acquisition, it had a revenue base of about US$ 65 to 70-odd million. Post clearly five, six months of integration into the Reddy's portfolio, have we seen traction in terms of our ability to

gain more volume in the product because we don't see that in products like NuvaRing, which is stuck in that 2 % - 3% market share . How should we look at the acquired portfolio going forward?
Erez Israeli: Each one o f these product s have different timing in which customers are putting their RFP or open for those kind s of discussions. I believe that this will grow and will pick up volumes as these timelines will be there. Most of those discussions are likely to happen in the second half of the year. So far , I'm happy with this deal. Its meeting our expectations and likely that you will see growth in the next two quarters.
Neha Manpuria: On NuvaRing, sir, any reason why its stuck at about 2 %-3% market share despit e the launch in Feb?
Erez Israeli: Timing of the discussions with customers.
Neha Manpuria: Ok. Understood. My second question is on the India business. We have guided to wanting to grow higher than the market , double -digit in this business. But , for sever al quarters now, that hasn't been the case , at least if you look at the market data. When do we think we get to that growth trajectory ? And the collaborations and licensing that we talked about , when do you actually see that materialize and flow through nu mbers?
Erez Israeli: Likely , that we are going to see it already this fiscal. In terms of the innovation, what we see now is the launch of deals that we signed a year ago. So , it takes about 12 to18 months from the time that you sign a deal until you get your product approval. Naturally, you need to go t hrough the regulatory process. In some of the cases, we need to do clinical trials and then regulatory process and then it takes a bit longer. This is also , right now , the main efforts in terms of build ing the portfolio in India. In each one of them

, it's about - to bring the products that are either going to be the standard -of-care or better than the current standard -of-care. In addition, the products that we are focusing on , in India , are growing in do uble-digits and likely , that they will be more dominant in the future in that respect.
Neha Manpuria: Just to understand this correctly, we are saying that we will be able to achieve double -digit growth in India this year?
Erez Israeli: I believe that in t he end of the year, we should see double -digit growth and continue in the quarters after.
Neha Manpuria: How many of the licensing deals have been completed in India so far , just to get a broad sense? Is there any monetary value that we can attach to this, you know, this is the potential market opportunity or market size of these deals?

Erez Israeli: So, I hope I'm giving you the right numbers, but it should be around 10. We are normally going for a product , which will be at least Rs. 100 crores and of course, some of them can be much more than that.
Moderator: The next question is from the line of Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee: Ya, thanks. Can you tell us on biosimilar Rituximab , what's the timeline you're looking at n ow for the US and European markets?
Erez Israeli: We submitted it in April. We just got the pre -approval inspection. So , we will answer it by November. So , now we hope that it will stay on course and let's say , if everything will be okay, we will be able t o launch it in the beginning of FY25.
Saion Mukherjee: Ok. If I look at quarter -on-quarter revenue in the US, which is sort of flattish, can you just share the dynamics with respect to Mayne contribution , Revlimid and the base business, how each of these buckets have moved quarter -on-quarter?
Erez Israeli: Most of the growth came from volume growth and the Mayne portfolio.
Saion Mukherjee: Ok. And f inally , on the US, how many launches we are expecting for the full year ? How much we have done so far i n the first half? How should we think about material launches from your pipeline , if you can guide something in terms of timeline, where you could expect some material launches to happen?
Erez Israeli: Sure. So, t his year, we are still on track with the 25 to 30 launches, and we have identified a group of between , something similar, 25 to 30 products , which are material that will be launched in FY25, in FY26 and FY27.
Saion Mukherjee: How many , sir, 25 products you are saying across these three years ?
Erez Israeli: 25 to 30 because there's some uncertainty about time of approval. So that's what we can guide.
Saion Mukherjee: When you say material, what kind of revenue potential typically a product with the material contribution would contribute?
Erez Israeli: It has to be at least with a single digit in millions of dollars of sales.
Moderator: The next question is from the line of Surya Patra from Phil lipCapital. Please go ahead.
Surya Patra: Thanks for the opportunity , sir and congrats for the great set of numbers. Sir, first, a clarification

about the government grants. In fact, in the previous year, we have seen something around Rs. 300-odd crores, in the first half , it is more than Rs. 200 crores that we have already booked. So, what is the visibility here and how long this can sustain and this is relating to the PLI only or something else?

Parag Agarwal : So, this includes PLI, but it also has the other export incentives that we are entitled to. Overall, our PLI scheme and the other export incentives this year, would be marginally higher than last year. But quarter -on-quarter, there is always a fluctuation because we have to recognize this in line with the entitlement, sales growth that we sh

ow , as per the scheme. So , there are quarter -
on-quarter fluctuations. But for the year as a whole, it will be higher than last year.
Surya Patra: But this is sustainable, sir?
Parag Agarwal : Yes, it is , for the next several quarters, we expect it to be meaningful.
Surya Patra: Ok, fine. My second question is about the sustainability of the US business. So basically, having seen the run rate of around US$ 380 - 390 million kind of quarterly run rate and kind of the ramp up what we have witnessed in terms of our Revlimid . So, can we see a kind of a progressive performance in the overall US business going ahead ? I'm saying progressive because I believe in terms of the volume limit condition, whatever that is there in case of Revlimid, every 12 months that sh ould see a kind of upward move. So , considering that, how should we see the US business going ahead in terms of the quarterly run rate and all that?
Erez Israeli: The quarters can fluctuate. We discuss ed it in the past , because in the quarter , it very much depends on the ordering patterns of this product. But overall, you should see growth.
Surya Patra: Ok, fine, sir. And m y second question is about this European business. So , in the first half both the quarters we have seen a kind of very strong g rowth , more than 20% kind of growth. What is driving that ? Is it the launch of the biosimilars, introduction of new product s or any improvement in the pricing scenario there, demand situation improving ? Could you give some sense about Europe, why is it delivering this kind of growth and whether it is sustainable even in the subsequent period?
Erez Israeli: So, it's primarily ne w product launches. There is also some volume growth of the base business. And just more markets that we are participating in, more tenders . Most of our growth is coming from injectables and just winning tenders.
Surya Patra: Since we are now seeing progre ss in the regulatory point of view as well as the launch point of view in terms of biosimilars, so , is it possible to share some update about the Pegfilgrastim success in the US and non -US market or even generally for biosimilar s? W hat is the , let's say , annual or quarterly run rate that we are currently having ? If you can give some sense, that would be really helpful, sir .
Erez Israeli: So just to remind, Peg is not our product . It is a product that was part of the arrangement that was done many years ag o with Merck Serono, after that was brought to Fresenius. So , they are selling it, we are getting only royalty . So, by design , its not a big amount. Most of our activities in the biosimilars , today , are in emerging markets, primarily Rituximab and in fact , other products , so India, Russia and other emerging markets. We are ramping up that activity . It is very important to us. We are going to have in the next two years or so , about five Phase -III of

biosimilars to be launched globally , including the United States. The main ramp -up in biosimilars for us will be probably from FY27 onwards.
Surya Patra: Last one question, sir. Obviously, there is kind of a strong cash flow that we have been seeing , also supported by Revlimid or whatever th e case be . We have been seeing a quarterly run rate of, let's say , Rs. 1,500 crores kind of free cash flow and already, we have Rs. 6,000 -odd-crores kind of cash in books. So , could you give some sense of what incremental growth this fund can add to the ov erall visibility of our growth for next , let's say , one or two years or over a period of three years?
Erez Israeli: The beauty of that is we can use this money for deals. Now , it depends on what deals we want to have and in what multiples we will have them. I hope I understood the question right. So , what we want to do with this money is to primarily use it for inorganic activities

, which can
serve us both in the short -term, like we did with Mayne as well as in the longer -term, for example, to acquire assets or products that we can launch in the years after. Absolutely, this is the main use of the money, and this should help us to generate growth. But the timing of it, of course, is not certa in because we don't know what type of deal and when it will impact us.
Moderator: Next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: Ya, good evening sir. The question is on our diabetic portfolio. So , if you can talk about how well are we placed as a company to take the advantage of the upcoming GLP -1 opportunity? So , I believe we have some FTF filings in that. So , in terms of launch , are we ready whenever the expiry happens, we'll be the re? Do you think this product category can be like a US$ 300 to 500 million kind of category for the next five years?
Erez Israeli : So, we're going to be there, definitely day one. And as for the size, I don't know. But obviously, I have a great belief in this category.
Aman Vij: In terms of the important dosages, are we present in all of them , if you can talk about the same?
Erez Israeli: I don't want to discuss specifics , because we d id not make it public . But, we should have all the relevant ra nges, depends on the geography and depends on the country . But we see this category as a global category for us to launch in all the markets that we have a presence.
Aman Vij: You are saying we are ready in terms of whenever expiry happens, if we have FTF filed we can launch in the next day itself?
Erez Israeli: We are ready.
Aman Vij: My second question is on this other biosimilar, which I think we have on the osteoporosis side. If you can talk about the opportunity in US , because I believe there is a patent expiry coming up, so are we planning to launch in the US market? And if yes, do you think we can ?

Erez Israeli: Which product?
Aman Vij: Yes, I was talking about osteoporosis , teriparatide and there are one or two more products that we have. So , I was trying to understand that US patent expiries are coming up. So , do you think we can have a good market share in US markets with our biosimilars?
Erez Israeli: So, I'm not calling teriparatide , a biosimilar. For me , these are still equivalent to small molecules. Biosimilars are normally for products that are bigger like the mABs, etc., But specifically for this product, absolutely, I believe that it will be very nic e for us, and we will be ready to launch it, when its possible.
Aman Vij: On the timeline, so I believe it will be in the next few months only, right, on the US launch of this product?
Erez Israeli: I don't want to speculate on time , at this stage.
Aman Vi j: But we are ready to launch whenever it happens?
Erez Israeli: We will be there.
Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Just on this e -commerce foray, so would like to understand what is the strategy behind it, what kind of investment are we thinking in this particular foray?
Erez Israeli: Investment in e-commerce , it's not a big investment , but it allows us additional channel for our products as well as other nutraceuticals. I believe that it's very nice in other channels in other part of the capabilities that we have now in India. But it ’s not a big investment.
Tushar Manudhane: But in addi tion to the typical nutraceutical products, would we be also having this prescription -based product on this platform?
Erez Israeli: No. The specific platform is direct -to-consumer that you mentioned, which means nutraceuticals and products that do not requ ire prescription - OTC.
Tushar Manudhane: Sir, secondly, just on the trade

receivables , there have been reasonable reductions , if I compare quarter -on-quarter. Any read -through over there?
Parag Agarwal: It is normal, there's nothing unusual. I think it depends on the credit period, the cycle and the receipt of orders. So , we obviously keep a very tight track of all our receivables and collect on time. So , nothing unusual in this.
Moderator: The next question is from the line of Devang Sarawgi, an individual investor. Please go ahead.

Devang Sarawgi: Sir, are we looking at any 505(b)(2) opportunities in the US market?
Erez Israeli: For which product, sorry?
Devang Sarawgi: In general.
Erez Israeli: 505(b)(2) that requires sales force, we will not do. 505(b)(2) that is interchangeable, we would love to do.
Devang Sarawgi: Ok. And w hat would be the price erosion for the quarter?
Parag Agarwal : Price erosion, we are finding the trends to be stable. So , if we look at the last few quarters, we have seen price erosion moderating, and we are now seeing it around the same level. But from one quarter to another, it will typically fluctuate between say high single digit to low double digits.
Devang Sar awgi: Ok. And a re we going to see any price increases as many suppliers are going out of the market?
Erez Israeli : We are not building on that.
Devang Sarawgi: Or it will be product -specific?
Erez Israeli: Its normally product -specific, and we are not building on that. If there is a shortage situati on, we will supply, but we are not building into our models any price increases.
Parag Agarwal: Yes, whenever there's an opportunity. O pportunistic , not strategic.
Moderator: The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: My question is on India business. So first of all , can you tell us how much India sales is currently contributed by chronic therapies? And then second part of my question is how many sales representatives you have for your India business and do you have plans to expand on it?
Erez Israeli: Chronic is abo ut 35% of the business. And as time goes by , because most of what we will launch , would be more chronic in nature, this will grow. As for the numbers of salespeople , if I remember correctly, its a little bit more than 6,000 people and we will grow as we wi ll bring the innovations. So , accordingly, we would adjust the numbers.
Damayanti Kerai: But right now, you do not have any particular need to expand your sales force . As you said, you're focusing more on innovative products as in when you launch you will decide accordingly.
Erez Israeli: I don't see a need to increase, and its more about the productivity of the team and the coverage of this team. But its not so much about the numbers of the people but if we need more, we will add more.

Damayanti Kerai: I think this question was already discussed. So , India, despite many efforts from your end, we have been seeing sales largely remain range bound , somewhere say Rs.12 billion a quarter or so. So, when we can see a significant step up coming up ? So any timelin e, if you can indicate because, I guess for the last six to eight quarters, sales were broadly in this range ?
Erez Israeli: I think you are going to see an improvement already this year. Indeed, we took two decisions about India just to remind, and this is the effect that it comes with it. One, we decided to focus, and we actually made quite a few deals o f divesting brands. So , we kind of trimmed down the base portfolio , because we do not believe that, of course, the changes that will happen with all the challenges of branded generics we have in India, this plan is likely to be successful and we felt that it was a good deal for us. And second, we also acquire d a brand , for ex

ample, CidmusTM,
which we knew at the time that we will face price erosion . It matched the business case that we had on it. I believe that already the brands that we are focusing on are growing double -digit plus . We are going to launch more and more innovation and have more and more collaborations. So , you will start to see this year. And as we will add products to the portfolio, it will continue to grow. Its a focus market for us , its a strategic market for us and we will grow it.
Damayanti Kera i: My second question is, if you can talk a bit about your progress for the China market. How many approvals you have got and what kind of filings have been done so far?
Erez Israeli: We are actually very pleased with the progress over there, especially si nce April, where the number of approvals start to pick up . I think that we had four approvals , and this quarter , I think we got additional two approvals , so six altogether. And we are also filing more than 15 products a year now. I think we can get even to 18, if everything will go well. And most of our products are along the first wave and normally among the first three. So , it's a very interesting area for us in China. At the time we thought that the ramp -up will be earlier than what I communicated in the past, but COVID and also our own execution may be late, but now it's absolutely bearing fruits.
Damayanti Kerai: So, with this portfolio build -up, should we assume China portfolio could start contributing meaningfully from next fiscal or it will be a bit long -term in nature?

Erez Israeli: No, no, from next fiscal , absolutely.
Damayanti Kerai: And my last question is h ow should we look at your R&D spend going ahead as you focus more on differentiated products for your global segments?
Erez Israeli: Likely that it will grow because we are investing more and more in biosimilars. We will continue, of course, to invest in the new molecules. So, you're going to see a mod erated growth. But also, the sales will grow. So , let's say, in terms of percentage, it should be give or take in the range that we are today , maybe a bit higher.
Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: The first question is on the India business. If you knock out the discontinued products , what would have the India sales growth being year -on-year for the quarter?
Erez Israeli: So, without these products and without NLEM, we are about mid -single digit for the quarter.
Gagan Thareja: For US, from 1Q to 2Q, would there have been a material difference in the Revlimid sales for you?
Erez Israeli: I cannot discuss the quantities of Revli mid.
Gagan Thareja: I don't want you to enumerate the number. I'm just asking, would it be a reasonable assumption or inference that there wouldn't have been a material change in Revlimid sales from the first quarter to the second?
Parag Agarwal: Most of the growth, like Erez said earlier, has come from the base business and also the Mayne portfolio.
Gagan Thareja: Is it a correct to summarise that you're saying that India you will exit FY24 , that's Q4 you'll be able to do a double -digit sort of gr owth rate and you will probably be improving from 2Q to 3Q and from 3Q to 4Q , is that a correct inference?
Erez Israeli: That's what we are trying to do, absolutely.
Moderator: The n ext question is from the line of Saion Mukherjee from Nomura. Please go ah ead.
Saion Mukherjee: You mentioned about inorganic activities. The cash balance is significant, and it could continue to rise. If we look at the acquisitions and deals that you've done, they are much smaller in size. The question is are you looking at larger deals going ahead? Is there more activity that you are seeing on the M&A side? And related to that, what's the level of leverage

that as a company you
would be comfortable with?
Erez Israeli: So, we are looking for all deals, small and bigger than usual , for us as needed . But we are not in a rush. It has to be a good deal. It has to be something that will match our strategy, somethi ng that we believe can contribute to our growth , is there products that we want or capability that we are missing . We are not in a rush to spend this money. In that respect also , the money is yielding very nicely now by investing it. As we speak, we are pa rticipating in quite a few processes and we will see what will yield. Likely , that we will spend eventually this money. But , it's important for us that it will be the right strategic deal for us. We are not looking for transformative deals. We are looking for complementary activities for our organic strategy.
Saion Mukherjee: Any view on leverage, Parag, as to what level of lev erage you would be comfortable with?
Parag Agarwal: I would say 2x EBITDA is what we will be willing to go for. Beyond that, we would not like to take a financial risk.

Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Parag sir, on the SG&A expense, that seems to have inched up quarter -on-quarter. I just wanted to get a sense on where are we investing and how should we look at that number over the next few quarters and probably FY25?
Parag Agarwal: So overall, Neha, the increase in SG&A , if you see year -on-year, I think we've gone up by 13% . Apart from the normal inflation, its largely because of investments behind our brands. Also, we are investing in digitalization , I have spoken about it a few times , extensively both in the front end as well as in R&D and in our manufacturing facilities. Like last year , FTO 3 was named as ‘Digital Lighthouse ’. We are now working on getting more facilities certified as ‘Digital Lighthouse ’ because we believe that in the medium -term, this digitalization is going to make a big impact by improving quality, reducing quality incidents, improving productivity and cos ts

and so on. So , these are the areas where we are investing. If you look at overall quarter -on-quarter, we'll see fluctuation. But in aggregate, SG&A as a percentage of sales, a few years back we were at 30%, 31%, and we have been gradually dropping to 29 %, 28% kind of a range. So , I wouldn't like to comment on quarter -on-quarter, but for the full year I would say that's the range we'll be around.

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesh a: The first one is on the in -licensing innovation deals that we are doing for India. Can you highlight what is the typical payback period for these kind s of deals?

Erez Israeli: So, normally, the pay-out is very good because we hardly put in down payments for that. And so most of the deals have very small down payments. And normally, we are getting healthy margins that enable us to buying a transfer plus investment. So normally, the pay-out will be within the first three years , taking into account the time that it takes to build the brand. So , most of the investments is actually not because of the pay-out to the partner but rather , the investment in building brands in a country like India, which normally takes about three years.

Kunal Dhamesha: Let's say, for markets like India, are these deals some of these innovators would be doing it more on a profit share basis or are they more interested in, let's say, upfront payme nt and then some royalties?

Erez Israeli: So, most of the deals will be certain milestones and some royalties, and giving us the flexibility to market it in places we want and with the right mix of SG&A. So , that normally will be the case, but we will also have cases in whic

h it will be a profit sharing.

Kunal Dhamesha: Second question is on the biosimilar business . Now, that we are kind of close to launching our first biosimilar in the US, probably somewhere in FY25. What type of front -end investment would we be looking for, for sales force or the formulary access personnel and how much drag it could be on our SG&A?

Erez Israeli: So, Rituximab that will be launched in the US will not be launched by us. So , this is a sales force that is with our partner. The products that we will launch will be from FY27 onwards and for that we will have to build the sales force.

Moderator: The next question is from the line of Surya Patra from Phil lipCapital. Please go ahead.

Surya Patra: Sir, just one clarification I wanted to have. In terms of the margin profile, let's say, for India business and the base US business, let's say, excluding Revlimid . So, what could be the differential in terms of the margin profile of these two businesses?

Parag Agarwal: We don't disclose geo graphy -wise margins, but I can confirm that the margin profile of India business would be better than our North American business.

Surya Patra: Even Russia would be similar to India or slightly lower than India?

Parag Agarwal: Russia is also a branded generics market, and therefore, it 's margin profile is also quite healthy.

Surya Patra: So, that means Russia is in between of India and US , that is how we should think ?

Parag Agarwal: I'm not ranking the market. I'm just pointing out that both Russia and India are branded generics business, and therefore, their margin profile is better than the unbranded businesses in US and Europe.

Moderator: We have no further questions. I would now like to hand the conference over to M s. Richa Periwal for closing comments. Over to you, ma'am.

Richa Periwal : Thank you all for joining us for today's evening call. In case of any further queries or clarifications, please do not hesitate to get in touch with the Investor Relations team. Thank you once again.

Moderator: On behalf of Dr. Reddy's Laboratories Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2024

February 5, 2024

National Stock Exchange of India Ltd. (Stock Code: DRREDDY -EQ)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)

Dear Sir/ Madam,
Sub: Transcript of the Earnings call conducted on January 30, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and nine months ended December 31 , 2023, conducted on January 30, 2024. Also please note that this transcript of the call has been uploaded on our website .
Weblink :https://www.drreddys.com/cms/sites/default/files/2024 -02/DRL_Q3FY24%20Earnings%20Call%20Transcript_30Jan2024_final.pdf

This is for your information and records .

Thanking you .

Yours faithfully,
For Dr. Reddy’s Laboratories Limited

K Randhir Singh
Company Secretary, Compliance Officer & Head -CSR

Dr. Reddy's Laboratories Limited's
Q3FY24 Earnings Conference Call

January 30, 2024

MANAGEMENT : MR. EREZ ISRAELI: CHIEF EXECUTIVE OFFICER

MR. PARAG AGARWAL: CHIEF FINANCIAL OFFICER
MS. RICHA PERIWAL: HEAD - INVESTOR RELATIONS
& CORPORATE ANALYTICS

Moderator: Ladies and gentlemen, good day, and welcome to the Dr. Reddy's Q 3FY24 Earnings Conference Call.
As a reminder, all participant lines will be in the 'listen -only' mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note tha t this conference is being recorded.
I now hand the conference over to Ms. Richa Periwal. Thank you, and over to you, ma'am.
Richa Periwal : Thank you. A very good morning and good evening to all of you and thank you for joining us today for the Dr. Reddy's Earnings Conference Call for the quarter ended December 31, 2023.
Earlier during the day, we have released our results, and the same is also posted on our website.
This call is being recorded, and the pla yback and transcripts shall be made available on our website soon.
All the discussions and analysis of this call will be based on the IFRS consolidated financial statements. The discussion today contains certain non -GAAP financial measures or a reconciliat ion of GAAP to non -GAAP measures , please refer to our press release.
To discuss the business performance and outlook, we have our CEO, Mr. Erez Israeli, and our CFO, Mr. Parag Agarwal, and the entire Investor Relations team.
Please note that today's call i s a copyrighted material of Dr. Reddy's and cannot be rebroadcasted or attributed in press or media outlet s, without the company's expressed written consent.
Before I proceed with the call, I'd like to remind everyone that the safe harbor contained in today's press release also pertains to this conference call.
Now , I hand over the call to Mr. Parag Agarwal. Over to you, Parag.
Parag Agarwal : Thank you, Richa, and greetings to everyone. A warm welcome to our Q3FY24 earnings call . Thanks for joining.
I am pleased to take you through our financial performance for the quarter. For this section, all amounts have been translated into U .S. dollar at a convenience translation rate of Rs.83.19, which is the rate as of December 31st, 2023.
We continued our growth trajectory in the third quarter and delivered another quarter of financial results with highest ever sales and robust operating profit.
Consolidated revenues for the quarter stood at Rs. 7,215 crores, which is $ 867 million and grew by 7% on YoY basis and by 5% on a sequential basis. The growth is led by the generics business in U.S. & Europe , with contribution from both base business and new product launches.

Consolidated gross profit margin stood at 58.5% for the quarter, a decrease o f 73 bps over previous year and 18 bps sequentially. The decrease was on account of price erosion for certain of our existing products, partly offset by improvement in product mix and productivity. Gross margin for the Global generics and PSAI businesses were at 61.9% and 29.4% respectively.
The SG&A spend for the quarter is Rs. 2,023 crores, which is $ 243 million, an increase of 12% YoY and 8% QoQ. The YoY increase is primarily on account of investment in sales & marketing activities, digitalization capabi lities, and new business & innovation initiatives. The SG&A cost as percentage to sales were 28.0% and is higher by 148 bps YoY and 72 bps QoQ.
The R&D spend for the quarter is Rs. 557 crores, which is $ 67 million, an increase of 15% YoY and 2% QoQ. The R &D spend is at 7.7% of sales and is higher by 60 bps YoY and lower by 20 bps QoQ. The investments are driven by ongoing clinical trials on differentiated assets, as well as other developmental efforts to build a healthy pipeline of new products across o ur markets , for both small molecules and biosimilars.
The

other operating income for the quarter is Rs. 97 crores as compared to operating expense of Rs. 73 crores for the same quarter last year. The other income was higher on account of sale of non-curre nt assets.

The EBITDA for the quarter is Rs. 2,111 crores, which is $ 254 million , posting a growth of 7% YoY. The EBITDA margin stood at 29.3%.
Our profit before tax for the quarter stood at Rs. 1,826 crores, which is $219 million, posting a growth of ~12% YoY and a decline of 4.6% over previous quarter.
The net finance income for the quarter is Rs. 96 crores as compared t o net finance expense of Rs. 14 crores for the same quarter last year.
Effective tax rate has been at 24.5% for the quarter. The effective tax rate was marginally higher in comparison to the same period last year, mainly due to an increase in the proportion of the Company's profits coming from higher tax jurisdictions, partly offset by adoption of corporate tax rate under section 115BAA of the Income Tax Act of India. We expect our normalized ETR for the year to be in the range of 24% to 25%.
Profit after tax for the quarter stood at Rs. 1,379 crores, which is $ 166 million, p osting a growth of 11% YoY and a decline of 7% over previous quarter. Reported EPS for the quarter is Rs. 82.7.
Operating working capital increased by Rs. 1,227 crores , which is $148 million, against that on September 30th, 2023, mainly due to increase in inventory and receivables. Our capital investment stood at Rs. 307 crores, which is $ 37 million in this quarter.

The free cash flow generated, before acquisition relat ed payout, during this quarter was at Rs. 22 crores, which is $ 2.6 million.
Consequently, we now have a net surplus cash of Rs. 5,907 crores, which is $ 710 million as on December 31st, 2023.
Foreign currency cash flow hedges in the form of deri vatives for the U.S. dollar are approximately $672 million, hedged around the range of Rs. 83.4 to Rs. 84.6 to the dollar & AUD 1.1 million at the rate of Rs. 58.3 to Australian dollar maturing in the next 15 months.
With this, I now request Erez to take u s through the key business highlights .
Erez Israeli: Thank you , Parag, and a very warm welcome to everyone joining us today.
I am delighted to report yet another quarter with highest ever revenues and robust operational performance. We made progress during the quarter on strategic collaborations to bring novel therapies to India and to improve our position in new avenues of growth globally. We are also humbled by the recognitions received for the progress we have made on our sustainability agenda.
Let me take you through some of the key highlights of the quarter:
Sales and EBITDA grew by 7% each. The sales growth was primarily driven by improved market share for our existing products in US, continued momentum in our Europe business, contribution from n ew products, partially offset by price erosion in certain existing products due to competitive landscape. We g enerated healthy EBITDA margin at 29% and annualized RoCE at 37%. Net cash surplus was $ 710 mn at the end of quarter.
We e ntered an exclusive de velopment and c ommercialization deal with U.S. based Coya Therapeutics for their product COYA 302. It is an investigational combination biologic for treatment of the neuro -degenerative disease, ALS.
We r eceived an approval from UK MHRA for our proposed bev acizumab biosimilar.
We acquired a leading women’s health and dietary supplements portfolio of brands called MenoLabs in the US. With this and our recent entry into the UK consumer health space through the launch of anti -hay fever medicine , Histallay , as an OTC, we are taking steps to strengthen our OTC business globally.
The USFDA completed a routine cGMP inspection at our formulations manufacturing facility (FTO -3) in October 2023 as well a

s a GMP and Pre -Approval Inspection (PAI) at our R&D
facility in December 2023. We were issued Form 483s with 10 observations at FTO -3 and 3 observations at our R&D facility. We have submitted our response within the stipulated timeline.

Our efforts in sustainability and ESG continue to gain mom entum, and external recog nition. We became the 1st Indian pharma company to be featured in the Dow Jones Sustainability Wo rld

Index for 2023 and retained our place in the Emerging Markets Index for the 8th year in a row. We were a warded 'Gold Medal' status by EcoVadis. We were u pgraded in MSCI ESG ratings from BB to BBB . We were a warded Golden Peacock for Corporate Social Responsibility, 2023 . Further, we are the first Indian pharma company to pledge towards a plantation initiative covering 2,900 hectares by 2028 , as part of the Wo rld Economic Forum's 1 t.org.

Now, let me take you through the key business highlights for the quarter. Please note that all references to the numbers in this section are in respective local currencies.

Our North America generics business recorded sales of $401 million for the quarter with a growth of 7% on YoY and a sequential increase of 4%. The benefit of market share expansion in certain existing key products, revenues from new launches and integration of acquired portfolio was partly offset by price er osion due to competitive environment. We launched 4 new products during the quarter. We recently acquired MenoLabs portfolio of women's health and dietary supplements brands in the U .S., which complements well with our U .S. self-care and wellness business portfolio.

Our European generics business recorded sales of €55 million this quarter, with a YoY growth of 8% and a sequential decline of 6%. The contribution from new product launches and improvement in base business volumes helped offset price erosion. During the quarter, we launched a total of 6 products across markets. Earlier this month, we entered the UK OTC/consumer health market with the launch of branded allergy medication, Histallay.

Our Emerging Markets business recorded sales of Rs. 1,283 crore s, a marginal YoY decline of 2% and a sequential increase of 6%. The benefit of new products and price increases in certain markets was more than offset by unfavourable forex. We are on track to deliver double digit growth for the year. We launched 30 new products during the quarter across various countries of the Emerging Markets. Within the Emerging Markets segment, the Russia business grew by 3% on YoY basis and 7% on a sequential basis in constant currency.

Our India business recorded sales of Rs. 1,180 crores and reported a YoY growth of 5% and a marginal sequential decline. We anticipate the base business to deliver double digit growth in the coming quarters. We are focusing on licensing and collaborations to bring innovation to India. Roll out of Nerivio marked our entry into digital therapeutics. We are seeing adoption by doctors and repeat purchases indicate high patient satisfaction scores. India remains our priority market and we will continue to reinforce our presence in core generics busines s, while investing and building the innovation spaces , in line with our strategy.

Our PSAI business recorded sales of $94 million with a strong sequential growth of 11% and a marginal YoY decline of 1%. Excluding sales of COVID products in the same period last year, sales growth was in high single digit. We expect sales to improve on the back of strategic collaborations with regional and global players.

Last quarter, we invested 7.7% of our revenue to strengthen our R&D capabilities. Our efforts are focused on developing complex value -accretive products, including several generic injectables and biosimilars , in line wi

th our patient -centric strategy to enable access and affordability. We also continue to invest in innovative solutions through strategic partn erships, such as the recent collaboration with Coya Therapeutics on investigational therapy. We have done 9 global generic filings, including 2 ANDAs in U .S. during Q3FY24.

We have been re cently ramping up our inventory to reduce the risk of supply chain disruptions and building inventory for our pipeline products. We are also strengthening our position by building best in class capabilities and commercial infrastructure to leverage our portfolio to expand further. We continue to develop our pipeline and scale up our biosimilars business, being our 'pivot to growth ' strategy. Our ability to source external innovation through strategic business development and collaboration will ena ble us to address unmet needs of patients and support the overall growth amb itions of the company.

With this, I would like to open the floor for questions and answers .

Moderator: Thank you very much. We will now begin the 'Question & Answer' session. Anyone who wishes to ask a question may press * and 1 on their touch -tone telepho ne. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets only, while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Balaji Prasad from Barclays. Please go ahead.

Mikela: This is Mikela, on for Balaji. Thanks for taking our questions. Just two from us. First one is, what is your latest thinking on generic pricing trends, particularly in the U .S.? And could you

provide a bit more color on how you see this trending going forward? And second one, what are your thoughts around the Chinese pharma market in 2024? Thanks so much.
Erez Israeli: So, the first question is just continuation of the pricin g environment that we saw in the last couple of quarters . So, we are , give or take , in the same environment, meaning that relatively to other years , it is less than it used to be . More focused on service, sustainability of supply . But obviously , the business model did not change . And, in every place that competitors are coming, we see price erosion in the same neighbourhood like we have discussed in previous quarters. As for China, we do see very good tracking for approvals. We got nine approvals since the beginning of this fiscal and 3 in the last quarter. So, for us , the momentum continues in China.

Moderator: Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Hi, thank you for taking my question and congratulations on a good set of numbers. First one , on the U .S. product launch and filing momentum. So, if I look at the first nine -month s data, we have launched twelve products in the U .S., and we have just made e ight new filings and our total pending ANDAs also have come down from 90 in Q 4FY22 to now 79. So, is it because we are focusing on a few therapy areas, more complex? If you can provide some color there , would be helpful.
Erez Israeli: So, yes, we do have l ess filings, let us say, overall, because we are now focused on products that we believe is meaningful. But it is still a healthy number of files . I believe that you'll see in the next coming months more filings that are coming, just timing of those files. On the launch piece, we will have more than 20 this year. So, it looks like a healthy number. But , obviously in the U.S., what is important is the type of product launches, not the number of launches, but so far it looks healthy for us.
Kunal Dhamesha: Sure, and then just a follow up on that . Now, we have acquired this MenoLab s, if you can provide some clarity as to how doe

s this fit into our strategy? W hat was, probably , the last 12 months sales for these brands ? And what is the acquisition value that w e have paid, and does the increase in borrowing quarter -on-quarter relate to this?
Erez Israel■: So, at the start, at that time of what we call Horizon -2, we decided to focus , in general , as a company , on three type of segments - NCE & NBE, I'm talking primarily collaborations or BD/acquisitions ; OTC and nutra ceuticals ; and digital therapeutics. Specifically , for the U .S., we decided to focus on OTC in several areas , including working on digital aisle on our private label as well as brands in women ’s health. So, we acquired Premama in the past and now , we have complementary products , brand s that were added to it. The idea is to create franchise in women health supplements. So, that is the kind of , if you wish, diversified U .S. business , to areas that have different pattern s of demand and supply and the brand awareness. I don't recall exactly the sales of MenoLabs , because we are talking about the range of millions of dollars there. So, it is relatively small . We believe that we can take it from there.
Kunal Dhamesha: And, after this what would be our U .S. revenue contribution from the wellness product s or OTC product s? I think earl ier we used to provide it in 20F or the quarterly filing . I'm not sure now do you provide that?
Erez Israeli: So, the OTC, if I may, on an annual basis, should be about 10% , give or take , of the overall U .S. business.
Kunal Dhamesha: Thank you. I have more questions. I will join back the queue.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Ya, thanks for the opportunity. Sir, firstly , on the receivables which have increased on a quarter -on-quarter basis - is this on certain select products or is it across the portfolio ? And for which

markets?
Parag Agarwal : No, receivables increase is primarily in line with the top -line increase. So, it's nothing unusual. It's across the market , but largely concentrated in the U .S. So, it's in line with the normal top - line increase.
Tushar Manudhane: Ok. Secondly, gross margin for PSAI segment has been higher for the quarter , compared to the previous quarters. So, anything in specific you'd like to comment?
Erez Israeli: Yeah , we are growing. And, because of the nature of the business that has normally a high level of fixed cost s. So, when you are increasing the sales, you normally will have better margins. So, it's just a reflection of the growth. I'm happy that we are back to growth. It took us quite some time to achieve that. I think now w e are, it looks like, in the right direction.
Tushar Manudhane: Ok. Because, s econd quarter, the PSAI revenue was Rs. 960 crores with 13% gross margin and now, it is Rs. 1,040 and the gross margin has improved to almost 22%.
Erez Israeli: Yes, so it's a combination , again, of the mix and the combination of more sales . And there was nothing unusual in that. It's just a type of growth.
Tushar Manudhane: And just lastly, considering the launches and the filings and the market share gain for the existing products, if you would like to share outlook for the U .S. business for FY25 , we are approaching now at the end of FY24. So, if you could share some color on that?
Erez Israeli: You know that we are not giving guidance, but we are supposed to continue to do well in all the levers. So far it looks healthy for both commercial products, service t o the customers, and price environment. Lenalidomide is going to continue to be meaningful. So, all the levers should continue to work well also in the next coming quart ers.
Moderator: Thank you. The next question is from the line of Neha Manpuria from

Bank of America. Please go ahead.
Neha Manpuria: Thank you so much for taking my questions. I f I were to look at the SG&A spend increase that we have seen in the quarter or even if I were to look at it over a three -year period, I know you 've mentioned that we've been investing in Horizon -2 projects that you talk about. But from a monetization point of view, when should we start seeing this contributing to revenue? I'm just trying to understand, when should we start seeing operating leverage in the higher spend? And do you think this number continues to trend up from where we are?

Erez Israeli: Yes, so part of it which is related to the investment we put now in certain brands in India , will give results already in FY25 , because that's the nature of the game. So, we are creating demand. Some of it is related to investment that will take more time as we are putting money into building products that will be launched in FY25 -26 and even 27. So, likely that, this level, at least value wise, will continue to be a bit higher, but I do see more g rowth in revenue. So, overall, it should be in the same environment that it used to be in the past , meaning before that. But let's say to your questions, part of it will be already in FY25 and part of it will be in FY26 instead.
Neha Manpuria: And, you kno w, if I were to dig a little deeper on the points on the launches . I know in your analyst meet; you've mentioned certain areas that you're working on. But , out of the 20 -25 launches that you talk about in the U .S., can we try to understand as to how many o f these could be the ‘bread and butter ’ launches that we need , to offset the base business and how many of these could be meaningful products? Some color there would be helpful.
Erez Israeli : Yes, so we have overall about 26 products that can be launched , if it will get approval . We will know then when and only how in the market that can be launched. And I'm talking about products that can be meaningful. What meaningful means, probably in tens and millions and more than that. This is what is, let's say, for the second discussion, meaningful. The question is what combination of that will get to the market and what will be the sale that? Of course , I don't know, but we are building on that to offset the period after lenalidomide . In addition to that, we are planning to have a growth in the other levers as well as potential business that will come. So, the combination of those is supposed to lead & address to that.
Neha Manpuria : And, you know, just to follow up on that, the 26 pr oducts would be over the next 2 years, 3 years, how should I look at the timeline for that?
Erez Israeli : So, potentially, with all the cautions about this kind of product s, I refer to product that are supposed to be in the next two years, 25 and 26. If it 's going to 27, we have more products , of course, subject to approval, subject to winning court cases, subject to all the normal challenges that go into bringing products to the market. But , let's say , it's a healthy list of ‘tough to make ’, ‘tough to develop ’ products.
Neha Manpuria: Understood. And my last question on the biosimilar pipeline. Could we talk about how many products we are developing for the U .S. and European market? And when should we start

expecting , some sort of a timeline , or let 's say a progress update on the pipeline that we're looking at for biosimilars?
Erez Israeli : We are talking about 6 products by FY30. And again, subject to receiving approval in those timelines and subject to winning the patent cases. But this is what we are aiming for. If you recall, at the time when we had the change that we made , after the arrangement that we had , at the time , with Merck Serono , we decided to skip a couple of years and to move to products that we have a chance to

be 'first-to-market .' This is the strategy. The first product should come in the beginning of calendar 2027 and then , the rest of the product s by FY30. Then , of course , we

have a bunch of products that will come later between FY31 and FY35 and ongoing. So, that' s right now the pace for which we are planning .
Moderator: Thank you. The next question is from the line of Damayanti Kerai from HSBC Securities and Capital Markets. Please go ahead.
Damayanti Kerai: Hi, thank you for the opportunity. My first question is for your India business. So, you obviously mentioned you're working on some innovative product s, digital therapeutics etc. to improve market offering. But I just want to understand like how far these opportunities are right now for you because it appears that this kind of product uptake might take some time and meanwhile , your India business is , I'll say , growing slowly than the market. So, how do you bridge your growth versus market growth till the time those innovative products start delivering results?
Erez Israeli: Sure. First, just to calibrate, a part of the reason that people see single digits is that for Cidmus, the brand that we acquired, the price erosion that we had, which we anticipated is part of the business plan that we to ok into account when we acquired this brand, contribute d about 2% for that decline. Plus , in the base of last quarter last year, we had also products that we divested. So, if we are taking those, we are already in the p lace of double digits. But going forward, what's more important, we identify brands that should grow even faster than the market. So, I'm talking about bra nds that will grow at the pace of 1.5x the market for those specific brands, so we are building behind t hem. And in addition to your point, indeed, those pick up may take time, but it's a very significant pipeline that we are building now. All the products that we are bringing in innovation are better than the current standard of care, so it will be meaningf ul growth , more in the medium term. In April 25, I'm expecting to see double digit growth of India business from the big ones.
Damayanti Kerai: Okay, that's comforting to hear. My second question is on your U .S. business. So, obviously you delivered a very good set of numbers. So, a few reasons you mentioned - pickup in market share for some key products etc. So, just want to understand, was the Revlimid contribution for the third quarter even much higher than what we saw in the first and second quarter? An d have you seen like what kind of pickup you have seen on the Mayne portfolio?
Erez Israeli: So, you know that I cannot speak unfortunately on quantities on lenalidomide . I can also say that it's absolutely within our expectation s. And I'm expecting it to be meaningful also in the future. As for Mayne, we see pick up. We see that it is growing. So far it is within our expectation. I'm happy for this acquisition.
Damayanti Kerai: Ok, thank you. And my last question is, can you talk about your progress in som e of GLP -1 products, specifically for anti -obesity indication s, which you might be targeting for, say, U .S. or other export markets?

Erez Israeli: So, we decided, like many others, to be in this segment. It's a very important segment for us. It's in our in terest from both areas. First, we are very much into anti -diabetic s, not just in India, but also actually globally and we build ourselves. And the second is the peptides, as a family , we believe that it's a core strength for us , both on the API as well as on the sterile facilities that we have. So, the combination of that, we want to play in these markets very much, and to address some of the needs. So, we are planning to launch globally, we mean in all the countries

that we
have a reach, these products when the relevant patent situation will allow us to do that.
Moderator: The next question is from the line of Surya Patra from Phillip Capital. Please go ahead.
Surya Patra: Thanks for this opportunity. So, m y first question is on the U .S. business. In fact, the base U .S. business excluding, let's say, Revlimid and the recently acquired Mayne's portfolio, it looks like that Y -o-Y we are kind of seeing i s flattish performance , despite the improved pricing scenario in the U .S. So, could you qualify that whether that is the k ind of trend what we have also seen and what is the kind of growth that we are anticipating for the base business?
Erez Israeli: So, I can confirm that the base business is growing, and this is attributing to our ability to and the efforts that we put on b oth inventories and service, and obviously relationship s with customers. I anticipate that these trends will continue , also, in the future . And naturally , with the geopolitic al situation in certain areas , concern about sustainability of supply is an important topic for customers. And we see ourselves as a partner to help them with that challenge. And , wherever we are successful, we also see more sales.
Surya Patra: Ok. Regard s the recent M&As what we have seen, let's say , leveraging the cash flow generation from Revlimid, I think we have done a couple of acquisition s and already announced 3 -4 odd kind of in-licensing arrangements. So, cumulatively, all these initiatives should have also contributed to the growth in the base business. So, in fact, could you share that, what is the kind of incremental growth that such M&A initiatives would have added to the base business? And going ahead over a period of, let's say, next 3 -4 years , I mean, beyond Revlimid opportunity, so what base business growth that you are anticipating out of the M&A activities?
Erez Israeli: So, I'm not calling M&As as base business. It's by design, new stuff that we are adding to t he company. It's not just M&A s - we have all kinds of collaboration s - licensing in , JVs, also M&A s. All of that is primarily to strengthen the future portfolio as per the strategy, whether it's in, like I mentioned, it can be on the base product s like Mayne , but mostly , it is about what we call Horizon -2 - again NCEs & NBEs, OTC & nutra ceutical s and digital therapeutics. So, actually most of the efforts are coming from that. In addition to that, we are always looking for opportunity. By the way, it's not the money from gRevlimid . It's the money that we make 'also' from gRevlimid, but also from the other activities of the company. How much it will contribute? As much as we'll be able to buy. We potentially have a significant financial capacity, and we are very active in the market . At the same time , we are not buying for the sake of buying or for the sake of any other reason. We buy , because we feel it's a good deal for us and it s meaningful for our strategy. So, like I said, in the past we are not on a shopping spree. We are buying what we believe is good for us and strategic for us.

Surya Patra: Regards the inspection outcomes for the Bachupally facility. So, what risk that one should assign to it or what is your practical assessment here , sir? Do you find any risk to the existing b usiness , given the kind of number of observations that has been issued to you? And the nature of the observation that has been highlighted?
Erez Israeli: Yes, so you're talking about the FTO -3, I'm assuming.
Surya Patra: Correct .
Erez Israeli: So, first, what is the risk? The risk is we get an O AI. Is there a possibility for that? Yes, there is a possibility. There is always a possibility, but there is a possibility that it will happen. What I can update is that first , we address

ed all the observation s in stipulated time. After that, we ga ve,
twice , to the FDA , with the blessing also of external consultants , data that shows that the CAPA that we put in place is working. This is happening in two instalments , one in December and one in January. And I believe that it's a robust answer, but, of course , we will wait for the FDA response for that.
Surya Patra: So, just one last clarification from my side. Whether you have commented on the MenoLabs size and potential contribution to our U.S. business?
Erez Israeli : No, I did not , because I don't remember the numbers. I apologize for this.
Richa Periwal: And we've not disclosed the number, but as Erez had mentioned, couple of millions is what is there. And as the business progresses, we'll keep updating you all.
Moderator: Thank you. The next question is from the line of Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil : Hi, good morning, good evening. Just a couple of quick questions. One, you have this product , gLumify, which you have been licensed in the U .S. So, is there any timeline we can get regarding the approval of the same?
Erez Israeli: I don't have any information about this one.
Richa Periwal: That is there actually in the pipeline product, and we'll keep updating once , when the approval

is in place.
Bino Pathiparampil : Second on biosimilar Rituxan. Could you give some color on what sort of timelines you have in mind for the launch? Also , given the recent inspection of U .S. FDA and the outcome, etc.?
Erez Israeli: So, we submitte d in April. We got the FDA inspection on time in October. We addressed the FDA observation s. We did not receive any additional information. So, if everything will be without any CRL or any query that will come from the U .S. FDA, the earliest that we can get approval is the end of April, but of course , it may be late , if we will get any query or CRL.

Bino Pathiparampil : Understood. Okay. And Erez, you mentioned about this biosimilar pipeline , which kind of starts from CY, calendar year 27, and going into t he 30s. Do you have some products which could be among the first wave or the first biosimilar to some of the products within that?
Erez Israeli: This is the intent. All the products that we are developing, we are developing with the intent to be either first or in the first wave.
Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Ya, thank you. Good evening and t hank you for taking my question. Erez, just the first one is on the overall CDMO kind of space, I know you have a subsidiary. But just want to understand, are you able to see more demand coming from global innovators towards India based companies , including companies like yourself or your subsidiary? So, that's the fi rst question. And are you investing in capacities , either on the small molecule s side or the biologic s side for manufacturing for CDMO?
Erez Israeli: So, its ‘yes’ for both. The caveat is that still our business is not th at big, so I cannot say that it’s an overall global trend , but the trend that we see is the growth. And indeed, we do invest in capacity , both in the labs as well as for production , for products that we have contracts and we know that the capacity will be, of course, be paid by those contracts.
Shyam Srinivasan: So, Erez, I'm just trying to understand from a capital allocation standpoint, will this be significant for you or you think we have enough other projects in the pipeline for us to be, you know, or do you think this will be a sm all part and will not be ramping up?
Erez Israeli: The CDMO is not in the overall scheme of things, capital allocation will not be big. But it’s a business that should go from tens of millions of dollars to hu

ndreds of millions of dollars, that's the expec tation. But , in the overall scheme of things of the whole size of the company, it's a relatively small business.
Shyam Srinivasan: Just a second, a financial question to Parag. I'm just looking at your disclosure around net cash generated after removing t axes and looking at FC F. So, the conversion has been low. So, just want to understand, I know there has been an acquisition you paid out for in the quarter one, but just want to understand , either in terms of CAPEX or in terms of intangible build -up, is there something that we need to keep in mind?
Parag Agarwal: So, I think the only thing I would point out is what Erez mentioned, which is we are investing in strategic inventory build -up. So, we are investing in new product pipeline build -up. Also, becaus e of the supply chain, the sea routes disruption, we don't want to lose any sales. So, we are also increasing inventory in our front -end markets. So, it’s primarily the working capital impact, apart from the receivables increase, which is in line with norm al sales. So, that’s the key reason. Otherwise, our cash flows on various fronts continue to be healthy. The conversion is healthy.

Moderator: Thank you. The next follow up question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Thank you for the opportunity again. Just continuing the last question on the inventory build -up. So, how much of our product would probably be going through sea route now and anything going through R ed Sea route as of now?
Erez Israeli: So, the majority of the products are going for the sea route. The situation creates an opportunity to move something by air , in a strange way, certain products are even better to do by air now. But of course, this is a volatile situation and may change. Bu t in general, we are trying to address

the majority. The majority means that for us it should be 80% plus. The second one is that we are trying to have as much inventory in the U .S., very close to the customers, part of our service to address customer need . We see that as an advantage for us , as we can give the customer a service that they may not get from others. So, this strategy, of course , leveraging the fact that we have a healthy balance sheet helped us a lot to grow.

Kunal Dhamesha: Sure, sure. And just one related question in U .S. Over , let’s say, the last three to four quarters, how has the one -time or short -term supply opportunities behaved for you? Are those supply opportunities increasing ly coming to you or decreasing in the last three, four qua rters?

Erez Israeli: I would say that the one -time situation is not big. And there is no , let’s say, tangible trends on that. For me, it's more of the fact that if we are gaining share, we are gaining it for the long term. This is more something that we are focused on. And most of the growth that we have in our base products is more longer term in nature , rather than a one -time buy.

Kunal Dhamesha: So, is it fair to say that now the agreements that are being done are for a little longer period of time versus what it used to be, let's say, two years back?

Erez Israeli: Every customer has its own pattern of procurement. I don't want to go into details, but in general, we do see appreciation of the approaches we are taking. So, we are trying to position as a partner for customers in certain areas.

Kunal Dhamesha: Sure, sure. And one on the India business. So, we have said that we want to focus on our key brands. We have identified in India where we want to grow 1.5 times the market rate. Could you provide some ballpark number as to how much of these key brands will be contributin g to our India business?

Erez Israeli: So, most of the contributions to the overall growth that India is supposed to do , will co

me from
those brands. So, when they will grow at the pace we mentioned , the overall India business will grow by double digit s.

Kunal Dhamesha: Sure. And the last one, because you are focusing on the GLP -1 opportunities, can you provide some color on how much is our peptide manufacturing capacity? And are we manufacturing anything currently for regulated or semi -regulated markets?

Erez Israeli: We are focusing not just on GLP -1. We are focusing beyond that, like other peptides, etc. But to your point, yes, we are making, but most of the volume s is yet to be launched , because the products are still under patents or are still under approval process , by either ourselves or by partners, external partners.

Kunal Dhamesha : But any capacity that you want to put out ? Like some of the other global players have put out that the y can manufacture 32,000 litre capacity to manufacture GLP -1.

Erez Israeli: Let's say that we invested a lot in our capacity, both on the API as well as on the finished products. I will not tell out the numbers of the capacity.

Moderator: Thank you. The ne xt follow -up question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Ya, thanks again for taking my question. Just to confirm, out of the 26 products that you mentioned , Erez, in the U.S. pipeline which are meaningful, n one of these would be from Bachupally? Would that be a fair assumption? Bachupally, FTO -3?

Erez Israeli: In FTO -3, we do have, I think, two products that are part of that. And , so in the case that we have an issue, we will have to move it to a nother site that we have, if it will come into that situation.

Neha Manpuria: From a pipeline dependence, upcoming launches, how important would FTO -3 be ? Just to understand the risk in case of an adverse outcome?

Erez Israeli: Not significant. Most of the products are oral solid , most of them commercial, so not significant. Obviously, we don't want it, it’s not nice to our reputation, et cetera , but it’s not significant. Most of the growth will come from Vizag and not from Bachupally.

Neha Manpuria: Got it. And Parag, on the moderation in the gross margins that we have seen in the generics business - how much of that would be, I mean, the quarter -on-quarter moderation, would all of that be because of pricing pressure or is there any other big factor t here? I think FX would be the other one, I'm assuming.

Parag Agarwal: It's more of a mix issue, Neha. I mean, pricing is obviously there, but it's very stable. So, pricing doesn't stand out, but it is just that the offset from new product launches from the product mix has been a bit lower, that's all. So, it's not that the price erosion is higher, price erosion still remains at the same level. It's the upside from the other things that we see in terms of product ivity, in terms of product mix. T here is some timing issue I would say there. So, overall, well within the normal range. So, I shouldn't assume that the incremental business that we've seen in U .S., et cetera, is a lower margin business, and hence , that's reflective in my gross margin.
Parag Agarwal: No, no, that's not right. Yes, you should not assume that.
Moderator: Thank you. Ladies and gentlemen, that was our last question for today. As there are no further questions, I would now like to hand the conference over to Ms. Richa Periwal for closing comments.
Richa Periwal: Thank you all for joining us for today's evening call. In case of any further queries, please contact the Investor Relations team. Thank you once again on behalf of Dr. Reddy’s Laboratories Limited. That concludes this conference. You may now disconnect your lines. Thank you.

Call: May 2024

May 13, 2024

National Stock Exchange of India Ltd. (Stock Code: DRREDDY -EQ)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)

Dear Sir/ Madam,

Sub: Transcript of the Earnings call conducted on May 7, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and year ended March 31, 2024 , conducted on May 7, 2024 . Also please note that this transcript of the call has been uploaded on our website and are available at the following link .

Weblink : https://www.drreddys.com/cms/cms/sites/default/files/2024 -
05/DRL_Q4%20and%20FY24%20Earnings%20Call%20Transcript_7May2024.pdf

This is for your information and records .

Thanking you .

Yours faithfully,
For Dr. Reddy’s Laboratories Limited

K Randhir Singh
Company Secretary , Compliance Officer & Head -CSR

Dr. Reddy's Laboratories Limited's
Q4 and FY24 Earnings Conference Call

May 7, 2024

MANAGEMENT : MR. G. V. PRASAD : CO-CHAIRMAN & MANAGING
DIRECTOR
MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. PARAG AGARWAL : CHIEF FINANCIAL OFFICER
MS. RICHA PERIWAL : HEAD - INVESTOR RELATIONS
& CORPORATE ANALYTICS

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and f ull year FY24 Earnings Conference Call of Dr. Reddy's Laboratories Limited.

As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' and t hen '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Richa Periwal. Thank you and over to you, ma'am.

Richa Periwal: Thank you. A very good morning and good evening to all of you and tha nk you for joining us today for the Dr. Reddy's Ea rnings Conference Call for the q uarter and full year ended March 31, 2024.

Earlier during the day, we have released our r esults and the same is also posted on our website. This call is being recorded and th e playback and transcript shall be made available on our website soon. All the discussions and analysis of this call will be based on the IFRS consolidated financial statements. The discussion today contains certain non -GAAP financial measures. Fo r a recon ciliation of GAAP to non -GAAP measures, please refer to our press release.

To discuss the business performance and outlook, w e have the leadership team of Dr. Reddy's comprising Mr. G. V. Prasad - our Co -Chairman and Managing Director; Mr. Erez Israeli - our CEO; Mr. Parag Agarwal - our CFO and the entire Investor Relations team. Please note that today's call is copyrighted material of Dr. Reddy's and cannot be rebroadcasted or attributed in the press or media outlet , without the companies expressed written consent.

Before I proceed with the call, I would like to remind everyone that the safe harbor contained in today's press release also pertains to this conference call.

Now, I hand over the call to Mr. G. V. Prasad. Over to you, sir.

G. V. Prasad: Thank you, Richa. Good morning and good evening to all the participants here. Welcome to the annual Earnings Call of Dr. Reddy's. I am delighted to be here today along with the members of the Management Team and the IR team. As many of you know, I join the Earnings Call each year at the end of the financial year.

FY24 marks our 40th year of serving patients , with a legacy of innovation, affordability and sustainability. Guided by our purpose of 'accelerating access to afford able and innovative medicines ' for our patients, in the last four decades, we have moved from our beginning as an API business to generic s and OTC medicines, biosimilars, drug discovery and services. As we bring to life our credo of 'Good Health Can't Wait ', we have accelerated our journey through licensing and collaboration in the areas of novel medicines and consumer health.

We delivered strong financial results in FY24. Our growth and profitability this year have been driven by our performance in the U .S. We have also made significant progress on future growth drivers through licensing, collaboration, and pipeline building. Our focus in 2025 will be to further strengthen our core businesses through superior execution as we invest and build the future grow th drivers.

I am grateful to our people, the healthcare community, partners , stakeholders for the trust reposed in us . We are committed to increasing the number of patients we serve around the world through our exciting pipeline of products and services. As we do this , we remain committed to the elements of sustainability – preserving the environment, positive social impact and good governance.

With this, I'd like to hand over the call to Parag for taking you through the financial performance of the compan y.
Parag Agarwal: Thank you, Prasad. Greetings to everyone and I hope

you are doing well. I am pleased to take
you through our financial performance for quarter 4 as well as for the full year of fiscal 2024.
As indicated earlier by Prasad, FY24 has been yet another year of outstanding financial performance, with all -time high revenues of over $3.3 billion, and highest ever profits. This fiscal, we recorded a double -digit growth in revenues, EBITDA as well as P AT.
For this section, all amounts have been translated into U .S. dollar at a convenience translation rate of Rs. 83.34, which is the rate as of March 31st, 2024.
Consolidated revenues for the fourth quarter stood at Rs. 7,083 crores, which is $ 850 milli on and grew by 12% on year on year basis, with a sequential decline of 2%. Adjusted for brand divestment income in India, on a re -based comparator, the underlying overall growth was higher at 17% on YoY basis. The underlying YoY growth is largely driven by the generics business in U.S. and Emerging Markets. The QoQ decline is mostly on account of decline in revenues from Russia, the U .S. and India. The revenues for the financial year 2024 stood at Rs. 27,916 crores , that is $3.35 billion and grew by 14%. The growth was primarily driven by improvement in the base business volumes across several geographies.
Consolidated gross profit margin stood at 58.6% for the quarter, an increase of 140 b asis points over previous y ear and 7 b asis points sequentially. The YoY increase was on account of improvement in product mix and productivity linked cost savings, partially offset by brand divestment income during the previous period. Gross margin for Global Generics and PSAI were at 62.0% and 28.6% respectively.
Consolidated gross margin for FY24 stood at 58.6%, an increase of 193 basis points over FY23. Gross margin for the Global Generics and PSAI business were 62.9% and 23.2% respectively for full fiscal FY24.

The SG&A spend fo r the quarter is Rs. 2,048 crores, which is $ 246 million, an increase of 14% YoY and 1% QoQ. The YoY increase is primarily on account of investment in sales & marketing activities and new business initiatives. The SG&A cost as % to sales were 28.9% and is higher by 34 b asis points YoY and 87 basis points QoQ. The SG&A spend for the year is Rs. 7,720 crores, that is $926 million and has grown by 13%, largely in line with the business growth. The SG&A cost as a percentage to sales wa s 27.7%, which is in line with the previous year. While we continue to invest in strengthening our existing brands, in digitization initiatives, expanding into new businesses to create future growth platforms and developing our talent, we are focused on op erational excellence and productivity improvement across all aspects of our operations.
We continue to invest in R&D to support future business growth. The R&D spend for the quarter is Rs. 688 crores, which is $83 million, an increase of 28% YoY and 24% Q oQ. The R&D spend is at 9.7% of sales and is higher by 119 b asis points YoY and 200 basis points QoQ. The R&D spend for FY24 is Rs. 2,287 crores, that is $274 million and has grown by 18%. R&D percentage to sales for the year stood at 8.2% as against 7.9% during the last fiscal. The increase is primarily on account of higher number of filings and our development efforts to build a healthy pipeline of complex products across our markets, for both small molecules and biosimilars.
The other operating income for the quarter is Rs. 66 crores as compared to Rs. 28 crores for the same quarter last year. The other operating income for the fiscal is Rs. 420 crores as compared to Rs. 591 crores last year. The other operating income was lower on account of one -time settlement income reported in the previous year.
The EBITDA for the quarter is Rs. 1,872 crores, that is $ 225 million, a growth of

15% YoY
and a decline of 11% QoQ. The EBITDA margin stood at 26.4% and is higher by 53 basis points YoY and lower by 2 83 basis points QoQ. The EBITDA for the year is Rs. 8,301 crores, that is $996 million, recording a growth of 14%. EBITDA margin for the year is at 29.7%, which is largely in line with the previous year.
The net finance income for the quarter is Rs. 102 cr ores, as compared to Rs. 80 crores for the same quarter last year. The net finance income for FY24 stood at Rs. 399 crores , as compared to Rs. 285 crores last year.
Profit before tax for the quarter stood at Rs. 1,602 crores, that is $192 million, a grow th of 21% YoY and a decline of 12% over previous quarter. Profit before tax for the year stood at

Rs. 7,187 crores, that is $862 million, recording a YoY growth of 19%.
Effective tax rate (ETR) for the quarter has been lower at 18.4% and t hat for the year has been at 22.5%. The ETR during the quarter is lower due to a one -time benefit accruing on account reversal of a tax provision, re -measurement of Deferred Tax asset owing to increase in US state tax liability and adoption of corporate ta x rate under section 115BAA of the Income Tax Act.
The ETR was lower for full fiscal FY24, mainly due to adoption of corporate tax rate under

section 115BAA of the Income Tax Act of India. We expect our normal ETR to be in the range of 24% to 25%.
Profit after tax for the quarter stood at Rs. 1,307 crores, which is $157 million, posting a growth of 36% YoY and a decline of 5% over previous quarter. Profit after tax for the year stood at Rs. 5,569 crores, that is $668 million, a YoY growth of 24%.
Reported EPS for the quarter is Rs. 78.4 and that for the year is Rs. 334.
Operating working capital as of 31st March 2024 was Rs. 11,293 crores, which is $1,355 million, an increase of Rs. 482 crores, which is $58 million over December 31, 2023. The increase is mainly driven by higher inventory and receivables.
Our capital investments in this quarter stood at Rs. 503 crores, which is $60 million and Rs. 1,518 crores which is $182 million during the year. The free cash flow generated during this quarter was Rs. 529 crores, which is $63 million. The f ree cash flow generated during this year before acquisition related pay -out was at Rs. 2,672 crores, which is $321 million. Consequently, we now have a net surplus cash of Rs. 6,459 crores, that is $775 million as on March 31, 2024.
Foreign currency cash f low hedges in the form of derivatives for the U.S. dollar are $903 million, hedged around a rate of Rs. 83.6 and 84.20 to the dollar, maturing over next 12 months with knock in available, which allows participation when U .S. dollar strengthens and for the Ruble are RUB 2,550 million at the rate of Rs. 0.882 to the Ruble maturing in the next 3 months.
With this, I now request Erez to take us through the key business highlights.
Erez Israeli: Thank you, Parag, and a very good morning and good evening to everyo ne.
FY24 has been a year of progress across our businesses. We focused on our strengths, while also identifying and maximizing opportunities to diversify and differentiate our business, leveraging new technologies and driving efficiencies. Dr. Reddy's del ivered a strong full year performance, with highest ever revenues and EBITDA.
Let me take you through some of the key highlights of the year as well as the most recent quarter:
We have d ouble digit revenue growth in Q4 at 12% and for the full year at 14%. Our r eported EBITDA margins stood at 26% plus for the quarter, whereas we ended the full year at a robust 30% plus. We delivered higher returns with our annualized ROCE at 35.5%. Net cash surplus was $775 m illion as we exited the year.
We have consistently ma intained that strategic collaborations will play an important role in our growt

h story. Apart from growing our core business of generics, we invested in businesses of the future under the three spaces of consumer health, digital therapeutics, and access to novel molecules.

Recently, we have joined hands with the global FMCG giant, Nestlé, to form a joint venture (JV) company to bring nutraceuticals to consumers in India. The JV will leverage the trusted global brands of Nestlé Health Science and the well -established commercial capabilities of Dr. Reddy's in India.
In Q4, we entered into an exclusive partnership with Sanofi to market and distribute its vaccine brands in India. This has taken us to the second position amongst vaccine players.
Our partnership w ith Bayer in India for the second brand of the molecule, Vericiguat, brings this new class of drugs in heart failure management to patients in India, in and beyond metros in Tier-I and Tier -II towns and strengthens our play in the chronic segment.
Our part nership with Pharmazz enables us to market Centhaquine in India, which has demonstrated significantly better and promising outcomes in the management of hypovolemic shock.

Our long -running strategic collaboration with Amgen was recently strengthened with a n agreement to bring to India, romosozumab injection, under their brand Evenity®, which is used to treat osteoporosis in women after menopause , who are at high risk of fracture.
As part of our self -care and wellness business in the U nited States, we acquired MenoLabs, a portfolio of women's dietary supplement brands, from Amyris, Inc.
We entered the UK consumer health market with the launch of allergy medication, Histallay.
We launched Bevacizumab, our first biosimilar in the UK.
In the digital therap eutics space, after a successful launch in India, the drug -free migraine management device, Nerivio®, has now been extended to Europe, starting with Germany and also to South Africa.
Further, we have launched a Condition Management program in India called 'DailyBloom IBS', India's first -ever digital integrated care plan to manage Irritable Bowel Syndrome.
In 2023, we had undertaken a pilot launch of a direct -to-consumer , e-commerce website, 'Celevida Wellness', for diabetes nutrition. We have decided to wi nd down the pilot to repurpose our resources to other initiatives.
On the regulatory front, t he USFDA has provided a VAI status to two of our facilities in Bachupally, Hyderabad - our formulations manufacturing facility, FTO -3, following their routine cGMP inspection in October 2023 as well as our R&D facility, following their GMP and Pre-Approval Inspection in December 2023.

The USFDA has issued a Complete Response Letter to our Biologics License Application. This has no impact on the development or manufacturing of any current or pipeline product. We will continue to work closely with the USFDA to address and resolve all concerns within stipulated timelines.
We have delivered consistent industry -leading performance across key ESG ratings. We have been included in the S&P Global Sustainability Yearbook 2024 for the 4th consecutive year, making it to the top 10% score category for the first time. We received an 'A' rating in CDP Supplier Engagement, which is in the Leadership Band. Also, we are the only Indian Pharma company to get an 'A minus' rating in Climate Change and Water Security for our 20 23 CDP disclosures.
Through all these efforts, including the learnings from challenges, we remain committed to meet the unmet needs of patient s and to enhance the standard of care. We continue to be a 'partner of choice', given our commercial strengths an d footprint, our strong governance, ESG and progressive people practices, and of course, our financial discipline.
Now, let me take you through the key business hi

ghlights for the quarter and the full year. Please
note that all references to the numbers in this section are in respective local currencies.
Our North America Generics business recorded revenues of $392 million for the quarter , with a growth of 26% on YoY and a sequential decrease of 3%. On a full year basis, we recorded revenues of $1,568 mill ion, with a growth of 24% over the previous year. The increase was largely on account of market share expansion in certain key products, integration of the acquired Mayne portfolio and forex gains. This was partially offset by price erosion. We launched 5 new products during the quarter and a total of 21 products this fiscal. We expect the launch momentum to continue in FY25.
Our European Generics business recorded revenues of €58 million this quarter, with a YoY growth of 3% and a sequential growth of 4%. On a full year basis, the revenues were €228 million, recording a growth of 9%. The improvement in base business volumes and contribution from new product launches during the year helped offset price erosion. During the quarter, we laun ched a total of 6 products across markets, taking the aggregate launches in Europe for the fiscal to 42.
Our Emerging Markets Generics business recorded revenues of Rs. 1,209 crores in Q4, a YoY growth of 9% and a sequential decline of 6%. On a full year b asis, Emerging Market revenues were Rs. 4,864 crores, a growth of 7%. On a YoY basis, market share expansion and revenues from new products, more than offset the unfavorable forex. We launched 17 new products during the quarter across various countries of the Emerging Markets and a total of 106 in FY24. Within the segment, the Russia business grew by 9% on YoY basis but declined 13% sequentially in constant currency. Similarly, on a full year basis, Russia grew 16%.

Excluding the income from brands divested last year, India business recorded a double -digit YoY growth of 11% in Q4, a sequential decline of 5% and a 5.5% growth for the fiscal. As per IQVIA, our IPM rank was at 10 for the quarter and 11 for FY24. Including the divestment income, our India busine ss recorded revenues of Rs. 1,127 crores in Q4 , with a YoY decline of 12%. On a full year basis, revenues were Rs. 4,641 crores, a decline of 5% over the previous year.

Our focused brand approach, coupled with sales -rep productivity improvement has led to steady improvement in our performance during the quarter. 3 new brands were launched this quarter, taking the total number of brands launched to 13 this year.

Our PSAI business recorded revenues of $99 million in Q4FY24, with a year -over-year growth of 4% and sequential growth of 5%. On a full year basis, the revenues were $359 million, with a marginal decline of 1% over the previous year. We filed 48 D rug Master Files this quarter, taking the annual total to 133.

We continue to focus on research and development to create a robust product pipeline, that would drive future growth. Our R&D investments this quarter stood at Rs. 688 crores, up 28% year on year, driven by our biosimilar products pipeline as well as development efforts across generics and our novel oncology assets in Aurigene. Further, we will complement our in -house efforts with partnerships and collaborations to develop innovative solutions. We have done 21 global generic filings, including 9 ANDAs and 1 NDA in U .S. during Q4FY24. Total number of global filings for the year stands at 43, with 17 ANDAs and 2 NDAs in the U .S.

Our capital allocation priorities remain unchanged, with our number one priority being to reinvest in the business, both in the pipeline as well as in building businesses of the future. Our strong balance sheet provides financial flexibility, and we remain committed to pursuing value - enhancing business development transactions to augment our organ

ic growth efforts. As we exit the fiscal year on a positive note with a robust financial performance and strategic moves that take us a step closer towards our medium to long -term goals, I look forward to sustained growth momentum in the base busines ses and seamless integration of acquired assets in the next fiscal.

With this, I would like to open the floor for questions and answers .

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press '*' and '1' on their tough -tone telephone. If you wish to withdraw yourself from the question queue, you may press '*' and '2'. Participants are requested to please use handsets while asking a question. Ladies and gentlemen, we will wait for a mo ment while the question queue assembles. The first question is from the line of Neha Manpur ia from Bank of America. Please go ahead.

Neha Manpuria: Thanks for taking my question. My first question is on the Nestlé JV that we announced last month. If yo u could give us some color on, when we should start looking at probably roll out of these brands and how should we think about ramp up of the entire JV revenue flowing through ?

Will it take a couple of years before it starts, contributing to margins or would there be some incremental investment required? And just to follow on on that, will the JV contribution be over and above the double -digit growth in India that we have talked a bout in the past? Is that the way we should think about it?

Erez Israeli: Yes, it is going to be above that and at the same time, it will take time to bring the brands that are currently outside of India , to register them, to adjust them to the India regul atory needs or the taste of the people and obviously to build the brands in India. So, the way the JV will work is both parties are bringing the current nutraceuticals t hrough the JV. And then , there's a certain sequence to bring the bran ds, primarily of Nestlé Health Science to India – register, qualifying them, building them. L ikely that in the first three years, it will be some level of investment , it is not going to be a material investment in terms of total effort, but the revenues will come only in the years after that.

Neha Manpuria: Essentially, I should assume that this starts contributing to the India business probably post FY26?

Erez Israeli: It will be post FY26, likely even post FY27 . So the first couple of years will be years in which we will bring those products and build the brands in a certain sequence. So, normally people will see the growth , but this has the potential to be a meaningful business, but it will take time to

build it.
Neha Manpuria: Great. And my second question is on the R&D spend - we have a pretty high R&D spend this quarter, you talked about it in your opening remarks. When can we start seeing the complex product pipeline that we are t alking about, or the biosimilars, contribute to earnings, particularly in the U .S. market ? Some of the areas if you could talk about and the guidance for next year for R&D, please?
Erez Israeli: Yes. So, in terms of contribution to the growth, the small molecules, we will see that already in FY25, some of them and more of them in FY26 and some of them in FY27 -28. So, this is the pipeline that we have discussed in the past. In terms of the biosimilars, what will come from internal activity is , likely that in FY27, we will start to see the products coming. The level of R&D for next year will be around 8.5% to 9%. This is the range most likely we are going to have.
Moderator: Thank you. The next question is from the line of Kunal Dhamesha from Macquarie Capital. Please go ahead.
Kunal Dhamesha: Good evening, thank you for the opportunity. So, f irst one on the U .S. business, just a clarity, you have said that

there was a base erosion on quarter -on-quarter basis, so would the base include generic Revlimid contribution as well when you say base erosion ?

Erez Israeli: Yes, the quarter obviously includes the sales of Lenalidomide. The decline is a combination of sequence of service - it is not a market share loss - it is more of a sequence of supply as well as certain price erosion that was on the base business , unrelated to Lenalidomide.
Kunal Dh amesha: Sure, a nd in terms of the U .S. price revision, while it continued, have you seen any change in the recent trend where it is again accelerating at a higher pace in recent months?
Erez Israeli: So, the overall sentiment is unchanged. Still the lion s hare, I think , of the interest is sustainability of service and supply and this is still the case. At the same time, we did face competition in some of our big products and in those products, we did see price erosion , which to some extent was compen sated by growth of other products. So, on those specific products, we did see price erosion.
Kunal Dhamesha: And for the next year, how many product launches we have planned for the US market?
Erez Israeli: So, about, twenty plus .
Moderator: Thank you. The next question is from the line of Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee: Hi, thanks for taking the question. I have j ust one question on R&D. We have seen a significant step up and as you mentioned in your guidance, it looks like you are talking about more than $300 million of R&D spend next year. If you can provide like where this money is being spent , in terms of biosimilars or NCE research and other generic s activity?
Erez Israeli: So, the R&D is spent obviously on the small mol ecules as well as the big molecules. I think the main contribution to the growth is the timing of the clinical trial of the biosimilars, which is about 20% of the R&D spend. So, if you wish , between the small molecules and the big molecules, you have about 60% that goes to the small molecules , about 20% that is going to the biosimilars and the 20% that goes to either API or o ther initiatives, like licensing -in, and activities like that.
Saion Mukherjee: Ok, thanks. And my second question would be, how do yo u see the growth in emerging markets in the years ahead, particularly with respect to China and some of the key markets like Brazil, if you can talk about your outlook for fiscal 20 25 and 2026?
Erez Israeli: So, it will continue to grow. It will continue t o grow in double digits. China looks good. We are now consistently submitting 14 -15 products a year. So, this is likely to continue . And, also, we got some interesting approvals. So, overall in constant currency, I believe that , we are in a good shape. Obviously, there is a risk of forex, this remains the same. We have certain level of protection, but obviously if it will come, it may offset it, but overall, it looks good.
Moderator: Thank you. The next question is from the line of Balaji Prasad from Barclays. Please go ahead.

Mikaela Franceschina : Hi everyone, t his is M ikaela. I am for Balaji. Thanks for taking our question s. So, we see you

launched 4 new products in the US during the quarter. Could you just provide a little bit more detail on these launches? And my second question is , if you could provide a bit more detail on the CRL issue to th e BLA for biosimilar Rituximab. W hat are the next steps here and what does this entail?
Erez Israeli: Yes, on the launches this quarter, as I mentioned, we launched 5 products during the quarter. We kind of mentioned the names along the way. We will try to provide it to you in a second. As per the CRL, we got certain questions , primari ly about the CMC of the product . And we are p

lanning
to ad dress that around the September timeframe . And then , obviously I am assuming , it is a six month goal date after that.
Moderator: Thank you. The next question is from the line of Tarang Agrawal from Old Bridge. Please go ahead.
Tarang Agrawal : Hi, congrats for a really strong set of numbers. Just a couple of questions. Capital expenditures stepped up quite a lot in both FY23 and FY24. If I look at 2024 alone, its roughly Rs. 2,700 crores of capex. So if you could just give us a sens e, in terms of a broad set of baskets , where this Rs. 2,700 c rores would have been d eployed. So, that is number one. Second, till date if between P&L and balance sheet, if you could give us a sense on what your cumulative investments in biosimilars has been and third , just a general sense on where your overall biosimilar business is at?
Erez Israeli: So, about capex. F irst of all, most of our capex is growing towards expansion, let us say give or take around 75% of it is going to expansions and normally , the other is going what we call maintenance. The maintenance is also whether you need to replace certain stuff or related to compliance or investment in digital , etc. Also, in the future , in terms of distribution of the capex , also for next year, we are investing primarily the capex in products that we want to launch and we will create capacity , both in the API as well a s in our injectable facilities. S o more than 50% of the capex is going that direction. In addition to that , we are building ad ditional capacity in our biologics plant in Bachupally as well as in our APSL services on both biologics and small molecules. So, by and large, this is where the capex is going. Is it sufficient? I don't remember the rest of the question.
Tarang Agrawal : Yeah, this is alright. So, when you say expansion, these are broad buckets. I mean it is going into API, injectable, biologics and Aurigene , right?
Erez Israeli: Correct.
Tarang Agrawal : Okay. If you could give us an update on your biosimilar business from here on and what have your cumulat ive spends been on this business till March 2024?
Erez Israeli: So, in terms of biosimilar . Just to remind us all, we decided to focus on product s that we have a chance to be ‘first to market ’. And when we initiated that strategy, we kind of bypass ed the

products that we had the chance to be late to market. So, our first meaningful products will come in 2027 and after that more products will follow. Right now, we are not discussing specific names, but that is the overall plan. What you can assume, and I men tioned it before that if 20% is going to R&D, this is give or take , also at the leve l of flows that we have in here, because right now we don't have meaningful sales to cover for it. And this is something that is likely to breakeven and beyond , to be profitab le once we will launch in FY27 our first biosimilar in Europe and United States.
Tarang Agrawal : So, therefore, would it be safe to presume an investment of anywhere between $50 to $60 million per annum on biosimilars? Would that be a reason able estimate from here on?
Erez Israeli: Yes, in the ballpark.
Moderator: Thank you. The next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.
Nitesh Dutt: Thanks for the opportunity. I have a question on our manufacturing strategy for the India business. So, I just want to understand, number one, what percentage of your manufacturing in India is being turned in -house versus outsourced? And are you expecting to maintain a similar mix go ing forward and second for the outsourcing part, how many suppliers do we typically have? Is it like a fragmented supplier base or consolidated amongst a few companies?
Erez Israeli: So, when you say supply, you mean global or for In

dia?
Nitesh Dutt: India .
Erez Israeli: So, right now, about 60% of what we do is in-house, give or take, and likely that these numbers will increase in the future because we do have localizations of some of these products in the

future. As for the numbers of partners, I don't re call the exact number, but I am assuming that it is a double digit, but I don't have the exact number on top of my head.
Nitesh Dutt: Got it. And a follow up on that, the government has been placing a lot of emphasis on stricter implementation of Schedule M norms and quality standards, right . So how can it impact our procurement strategy on the outsourcing front? So, can it lead to some sort of consolidation of supplier base or maybe an increase in the procurement cost etc., because if the quality cost increases for our suppliers then our COGS might increase.
Erez Israeli: So, I can tell you that for Dr. Reddy’s we have one standard of quality. We believe that all people deserve the same quality, no matter what is their nationality, and that is the policy of Dr. Reddy’s. We encourage everybody to do the same. So, for us any guidance in this direction, we see that as an opportunity and if there are people that need to upgrade their system, it is good for India.
Moderator: Thank you. The next question is from t he line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: So on Rituximab , just trying to understand the progress as far as the Europe filing is concerned ?
Erez Israeli: Rituximab, we are planning to launch in th e UK. As we speak, we did not do it yet. So, we believe that we should get the approval soon. We are after the qualifications in the UK, and we are waiting for the inspection of the EMA as well.
Tushar Manudhane: Understood. Secondly, on the inventory , I see quarter -on-quarter reasonable increase , if you could explain that ?
Parag Agarwal: Let me take that question. The increase in inventory is primarily because of some of the geopolitical risks which are there , which are having some impact on the routes of supply. So, we proactively build inventory to make sure that there is no loss of sales. That is the primary reason for the increase.
Tushar Manudhane: Understood. And lastly, sir, this SG&A expense also , we ha ve seen an increase over past 3 -4 quarters . So is this the run rate to consider for FY25 or will there be further increase in this?
Parag Agarwal: Overall, if you look at the SG&A expenses this year for the full year , as a percentage to sales, it is about 27.7%, which is the same as last year. Now quarter -on-quarter, you will find fluctuations happening. Broadly, we are investing behind our brands and sales & marketing, behind our capabilities , while also driving productivity. Broadly, I would say that SG&A over the next 12 months or so , as a percentage to sales would remain in the similar range.
Moderator: Thank you. The next question is from the line of Ankush Mahajan from Axis Securities. Ple ase go ahead.
Ankush Mahajan: Thanks for the opportunity. Sir, if you see that we have U.S. sales of $390 million . On sequential basis, it has decreased. Just tr ying to understand, sir, if this decrease is in the base business or in the gRevlimid business?
Erez Israeli: The sequential decline, part of it is normal pattern of ordering of the product and part of it is some price erosion that we got on a few products. It is a combination of both.
Ankush Mahajan: Sir, what is the full year guidance of EBITDA margins for FY25?
Erez Israeli: So, as you know, we are not giving guidance. In general, we are repeating that in the long term, the place that we want to be is 25% EBITDA with 25% ROCE and double digit growth . It is something that we are consistently saying that this is the range that we would want to b

e in.
Sometimes , we will be above it, sometimes will be below that, but we feel very comfortable that this is a place in which we can both invest for the future , and it allows us significant room for investing in the future , as well as bring very , very healthy return to the shareholders. This year, we will be, by and large, higher than that, but there will be timing where it can be even lower than that, but th is is where we feel comfortable to be. So, we are now giving a kind of overall guidance, but we are not giving guidance for specific quarter or specific year.

Ankush Mahajan: So, sir, when we say 25% EBITDA margins , that includes gRevlimid also?
Erez Israe li: Like I mentioned before, this is the overall guidance, not for specific products. As you can see, when we launch the product, our margins were higher, so you can do the math.
Moderator: Thank you. The next question is from the line of Surya Patra from Philip Capital. Please go

ahead.
Surya Patra: Thank for the opportunity. Sir, my first question is on the pricing trend that you would be seeing for gRevlimid . And how sustainable the pricing trend currently we are having for that ? Because there are mul tiple rounds of new player entries that we have seen, so whether that has impacted the realization potential of the product in the recent period?
Erez Israeli: So, I am not going to discuss quantities or prices of this product. We need to remain confidential to our agreements. And what we can say is that , it is going to stay a meaningful product for us through out the period of the agreement .
Surya Patra: Then my first question would be on the domestic formulation business . So, obviously as per your indication , that you have taken multiple initiatives , to either introduce branded products or to expand qualitative products, long term, sustainable growth driving kind of products for the domestic formulation business. B ut in the initial period possibly may not contribute much. So, if you can give some sense, let' s say over a period of 3 years from now, what is the f air revenue mix that you should be seeing for your domestic formulation business?
Erez Israeli: You can see that we have a flow of agreements that are coming. What we say is that the branded generic business t hat we have in India will grow. This quarter, its grow th was in double digit , if you take out the divestments that we ha d in the same quarte r last year and likely that this will continue. On top of it, we have started to launch , already , products . For example, we launched Nerivio® and we will launch other products that will come and this will be on top of it. So, naturally, the expectation of India is to grow beyond the growth that is expected from the branded generics. Right now, it looks like a very healthy pipeline that is coming up , on both the NCEs, the nutraceutica l deals that I mentioned, etc. T he expectation of both businesses, i f you a sk about the long term , is to be top five in India. If you want an assumption, it is the neighborhood of around Rs. 12,000 crores , somewhere in FY30. But this is obviously the neighborhood that we are striving to be in. We believe that this is what the top five, give or take , will be at that period of time.
Surya Patra: But is it fair to believe, sir, this domestic formulation business is going to be the growth leader for Dr. Reddy 's over next few years? Is that fair to believe?
Erez Israeli: Yes, absolutely. India is a very important market for us and we want to grow and we want to grow the rank . And it is a growth engine, but it is a lso our main hub for innovation, on both the back end as well as the front end. And the main place in which we believe that we can bring

value, because most of the people that ar

e collaborating with us have an interest in our brand in India as well as in our go -to-market capabilities.
Surya Patra: My second question is about biosimilar business initiati ves and also in collaboration with the R&D spend that we are likely to have . So whether you have talked about 9% kind of R&D spend guidance for the subsequent period, sir?
Erez Israeli: I mentioned that 20% of R&D is going to biosimilars.
Surya Patra: And are you indicating, in line with the quarterly trend of R&D spend as a percentage to sale , this is the kind of sustainable run rate going ahead ?
Erez Israeli: We believe that it is sustainable for us to be in, what I said 8.5% to 9% , and it could be some fluctuation depends on the timing of the Phase III of the products. But we believe that it is sustainable.
Surya Patra: So, an exten ded question to that only, sir. S o we know that , having seen the kind of challenges that is there abou t biosimilar success in the U .S. business and the kind of upfront investment that is required for each molecule to develop a biosimilar, so what is the kind of a 'right to success ' that you do think for your biosimilar st rategy ?
Erez Israeli: So, I mention ed the timelines before . We decided , at that time, to skip the products that will be late to market , in order to be among the first one s to launch the products and we still hope to do that. The second one is that we are not developing only for the U .S. Obv iously , the U .S. is a very important market for us, but we are developing globally . And actually for us, it is about U .S., Europe, India and Emerging Markets and each one of them, on the molecule s that we chose , are meaningful markets for us.
Moderator: Thank you. The next question is from the line of Madhav Marda from F idelity International . Please go ahead.
Madhav Marda: Hi, good evening. Thank you so much for your time. Given that India is a core , sort of , focus market for us over the longer term, j ust wanted to get your thoughts on any risks that you see from rise of organized pharmacy retailing in the country , like it happens in most developed markets that we have seen over the past few years? And rise of generic -generic drugs in the

country, which the government has also tried to push last year, obviously which didn't shape up. Just your thoughts on some of the se factors and how they could play out for the country going ahead ?

G. V. Prasad : So, there have been several attempts to make this generic -generic business a success , but given the enforcement gaps in quality and concerns of doctors about quality, we feel that the branded generics business will continue for a while. We don't see any imminent danger of it being commoditized by generic -generic s.

Madhav Marda: Given that some of the organized pharmacies come in, don't they solve for the quality angle?

G. V. Prasad : Organized pharmacies are still a small portion of the overall sale s. If you look at the mere market share, it is probably in the 12% to 15% range at the most.

Erez Israeli: So, just to make sure, we do see, obviously, a certain portion, like, by the way , everywhere in the world , will become generic -generics. At the same time, the market is growing as well. We recognized that trend a long back and I discussed it in previous meetings. This is why our main efforts are about actually true innovation, patent protected, etc. We believe that the brands, our brands that we decided to continue to focus on , will stay for a while , like I just said.

Moderator: Thank you. The next question is from the line of Bino Pathiparampil from Elara Capital. Please go ahead.

Bino Pathiparampil: Hi, good evening. Just a question on a couple of products in the U.S. One, you had acquired th is ANDA to generic Lumify® from Slayback Pharma . What is the status, when do you expect an approval? I believe it was already filed when you acquired it. When do you expect approval and launch?

Erez Israeli: To the best of my knowledge, it is an approved product by now. You asked whether it has got approval - it is approved.

Bino Pathiparampil: And, any timelines for the launch?

Richa Periwal: We expect the launch to happen in this quarter only.

Bino Pathiparampil: Second, believe you are also working on the peptides, so any update on how do you see the Liraglutide opportunity panning out over the next 2 -3 years?

Erez Israeli: So, indeed this is a very important segment for us, long term. We put a lot of efforts , we are still putting efforts on both the API as well as the finished g oods . Globally , we are planning to do it in each one of the markets. Specifically for the product s, both Victoza® and Saxenda®, obviously , we have , what we believe , are the dates of launch for each one of them and we want to launch when we can.

Bino Pathiparampil: Now, is it like a couple of years away or 4 years away? What is the rough idea of when you see the opportunity coming up?

Erez Israeli: For e ach one of these products , there is a date . I cannot confirm a date of launch.

Richa Periwal: We wil l share it at an appropriate time.

Erez Israeli: At this stage, we cannot, but whenever the market will be open, we are planning to be there.

Moderator: Thank you. Ladies and gentlemen, that will be the last question for today. I would now like to hand the conference over to Ms. Richa Periwal for closing comments. Over to you, ma'am.

Richa Periwal: Thank you all for joining us for today's evening call. In case of any further queries, please get in touch with the Investor Relations team. Thank you once again on behalf of Dr. Reddy's Laboratories Limited. That concludes this conference. You may now disconnect your lines.

Moderator: Thank you. On behalf of Dr. Reddy's Laboratories Limited, that concludes this conference. Ladies and gentlemen, we thank you all f or joining us. You may now disconnect.

Call: Jul 2024

July 2, 2024

National Stock Exchange of India Ltd. (Scrip Code: DRREDDY -EQ)
BSE Limited (Scrip Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)
Dear Sir/ Madam,

Sub: Transcript of the Investors call condu cted on June 26, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor call conducted on June 26, 2024. Also pl ease note that this transcript of the call has been uploaded on our website and is available at the following link.
Weblink: https://www.drreddys.com/cms/cms/sites/default/files/2024 -07/DRL_Nicotinell%20Acquisition%20Investor%20Call%20Transcript_26Jun2024.pdf .

This is for your information and records
Thanking you.
Yours sincerely,
For Dr. Reddy’s Laboratories Limited

K Randhir Singh
Company Secretary, Compliance Officer and Head -CSR

Encl: As above

Dr. Reddy's Laboratories Limited's
Investor Call to discuss a cquisition of Nicotinell® and
related brands outside of the US from Haleon plc

June 26 , 2024

MANAGEMENT : MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. PARAG AGARWAL : CHIEF FINANCIAL OFFICER
MR. PATRICK AGHANIAN : HEAD – EUROPE GENERICS
MS. RICHA PERIWAL : HEAD - INVESTOR RELATIONS
& CORPORATE ANALYTICS

Investor Call Transcript
June 26, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Conference Call. As a reminder, all participant lines will be in the 'listen -only' mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then zero on your touchtone phone. Please note that this conference is being recorded.
I, now, hand the conference over to Ms. Richa Periwal. Thank you and over to you, ma'am.
Richa Periwal: Thank you, Sag ar. A very good morning and good evening to all of you and thank you for joining us at such a short notice. Earlier today, we have entered into a definitive agreement with the Haleon plc to acquire Nicotinell and related portfolio.
To discuss the acquisition, we have the leadership team of Dr. Reddy's comprising Mr. Erez Israeli, our CEO, Mr. Patrick Aghanian, our Head of Europe Generics Business, Mr. Parag Agarwal , our CFO and the entire Investor Relations team. This call is being re corded and the playback and transcripts shall be made available on our website soon. Please note that today's call is a copyrighted material of Dr. Reddy's and cannot be rebroadcasted or attributed in press or media outlet without the company's express wri tten consent.
Before I proceed with the call, I'd like to remind everyone that the Safe Harbor contained in today's press release also pertains to this conference call. Now, I hand over the call to Mr. Erez Israeli. Over to you, Erez.
Erez Israeli: Thank you, Richa. Good morning and good evening to all of you. Thank you for joining this call at such a short notice. Really appreciate it. I'm delighted to announce that , today , we signed an agreement with Haleon plc to acquire the global consumer healthcare p ortfolio in the Nicotine Replacement Therapy, we also call it NRT, category , in line with our stated strategy. We have consistently maintained that , in addition to focusing on our core business of generics, biosimilars, and API, we would also be investing in gro wth driver s of the future in three areas. One is access to novel molecules like NCEs, NBEs, and CAR -T, digital therapeutics, and consumer healthcare, including nutrition and OTC wellness products. We have been increasing our pr esence in consumer heal thcare, including two recent acquisitions of women's health portfolio in the US, namely Menolabs® and Premama® for menopause and fertility, respectively, a launch of anti -allergy medication like Histallay® in the UK , and a nutraceutical joint venture with Nestl é India to bring well -known global range of nutraceutical health solution s of Nestl é Health Science to India.
Through these acquisitions, we are adding a market -leading brand, Nicotinell®, along with three local market -leading brands such as Nicabate®, Habitrol®, and Thrive® to our portfolio in all formats, such as lozenge, patch, gum as well as pipeline assets outside of the US . Nicotinell® is the second biggest brand globally, excluding the United States , in the Nicotine Replacement Therapy category. The brands have a successful footprint in 30 plus markets, mostly in eveloped markets like Europe, Canada, Australia, New Zealand, Japan, and with the potential for expansion in emerging markets. Complementing and building on our existing global presence and capabilities, these acquisitions give us a strong footprint in Europe, as well as other global

markets, as well as access to key customers, making this a perfect anchor around which a global OTC platform will be built.
The portfolio has maintained stea dy sales over the years , with revenue s of GBP 217 million generated in 2023. The portfolio also has healthy profitability and is margin -accretive for Dr. Reddy's . The acquisition will be for a total conside

ration of GBP 500 million, including an
upfront ca sh payment of GBP 458 million, an earn -out payment of up to GBP 42 million, payable in calendar year of 2025 and 2026.
This acquisition will be funded through internal accruals. The closing of the transaction is subject to satisfactory completion of custom ary conditions and regulatory approvals. The transaction is expected to close in early Q4 of calendar year 2024.
Operation s will move to us in a phased manner and we will leverage established supplier relationship s to ensure seamless transition. While the focus over the next few quarters will be on successful integration of this acquisition, leveraging our strong balance sheet and healthy cash flow that will continue to be generated, we will continue to identify and evaluate value - creating inorganic opportu nities and business deals across geographies, including India.
We have made progress on our pipeline and over the next two to three years, we are planning certain key launches , with a significant revenue contribution from complex generic s, including peptid es, and biosimilars.
Our in -house R&D efforts will also be complemented by collaborations. In recent months, we

have successfully concluded multiple strategic collaborations for near -term and long -term business drivers, such as a deal to market Sanofi's vaccines and Bayer 's heart failure drug in India, s trengthe ning our long -term collaboration with Amgen in India, initiate d a joint venture with Nestl é India for nutrition al product s, with Alvotech for their biosimilar, denosumab , in the US, UK and Europe, with Theranica for a drug -free migraine management device in Nerivio® in India, South Africa, and multiple markets in Europe.
This deal mark s an important milestone in building global consumer health care business and takes us a step closer towards our medium to long -term goals. I would like to reiterate that the acquisition of global portfolio, including brand Nicotinell®, is a logical extension of our efforts in consumer healthcare or OTC, in the recent years. I'm looking forwar d to strong execution and to continued growth and momentum in the base business, as well as seamless integration of acquired assets in the coming quarters.
With this, I would like to open the floor for questions and answers.

Moderator: Thank you very muc h. We will now begin the question and answer session. Our first question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Hi, thank you for the opportunity. The first question is on the profitability of the acquired business. While we have said that it is accretive to our profitability, can you provide some color as to what has been the EBITDA margin or operating margin for this business and how it has moved in the last three years?
Erez Israeli: Yes, thank you, Kunal . This asset is very profitable. We are going to use some of this profit also for investment in the brand asset. We believe that there is an opportunity to grow the brand as well as there are certain considerations of expenses that we'll have to incur at t he beginning. So if you add all of that, it should be in line of our normal guidelines, even maybe a plus of it, of the 25%.
Kunal Dhamesha: Sure. And secondly, when you look at our current OTC business, the first part is what is the size of our current OT C business? And if you can give some color as to how it is split between US and other than US market? And then how does this acquisition fit into our current piece of OTC business? Do you see any cost synergies coming out of it and the revenue synergies co ming out of it?
Erez Israeli: Sure. So it's primarily complementary to what we have. We have about $140 million of business today in OTC across markets. This i s, by design , complementary to this effort. This deal is not including the U

S. So this deal is pr imarily outside of the US, especially in markets in which we have OTC but it's not as big and strong.
And it can serve as a platform because now you have access to customers and access to markets and access to talent, that allow s you to bring more products . So I'm just, Kunal, using your questions to exp lain. We call it an ‘anchor deal ’, meaning that around that we can continue to add assets to it , because we have the basic capabilities to invest behind it. So , it's primarily complementary.
And the main synergies will come by the ability to grow the assets, to use it as a platform for additional products, and to go to markets in which we are now do not have the relevant p resence , for example, India, China, and other markets like that.
Kunal Dhamesha: So it is more like what we have been doing with our generic s portfolio - utilizing it for the US portfolio, utilizing it for the other markets, similar kind of cross -selling opportunities - is it the way to see it?
Erez Israeli: Yes, so we can absolutely use this portfolio for other markets. Absolutely.
Kunal Dhamesha: Sure.
Parag Agarwal: Kunal, I just want to clarify that Erez mentioned that our current OTC business is about $140 million. That's in our North American business. Globally, our OTC business is a pproximately 10% of our total business, which is in excess of $300 million. I hope that clarifies.

Moderator: Thank you. Our next question is from the line of Neha Manpuria from Bank of America. Please

go ahead.
Neha Manpuria: Yeah, hi. I hope I'm audible. Sir, on the platform that we've acquired, how do you think this can grow? And if I were to take a slightly longer view on the entire OTC business, from the current $300 million, with the Nestlé portfolio, the menopause acquisition in the US, how big can OTC be for Dr. Reddy's, let's say, in fiscal '27, fiscal '28? How should we think about the size of this, potential of this business, including the acquisition in a few years from now?
Erez Israeli: Yes, so obviously, we are aiming for a very sizable opportunity. So , it depends on the timeframe that we are discussing. So for the initial part of your question, this type of business was not a priority for Haleon. And they did not invest much in this business. We believe tha t there is an opportunity to grow this business by investing in it. That's why I also guided for the 25%. We want to use some of the money to invest in it. And , this is in the current geographies.
In addition to that, there is ability to come to other geo graphies, especially in Asia. And if you add the other components of the OTC, like you mentioned Nestlé stuff, this is, of course, is adding hundreds of millions of dollars to this, but some of it will build over time, because these are brands that needs t o be introduced, being, of course, built organically over time. So what you're going to see, it's a kind of organic growth of those brands. But absolutely, we are aiming for a significant sizable team that one day, I hope , will speak in billions in the OTC after all of those moves will happen.
But in terms of ‘26, ‘27, ‘28, it's about modera te growth on the introductions, the activities in products that we did not launch yet will not impact significantly by that period of time. It will take more time for them.
Neha Manpuria: So essentially, for the existing $300 million base to double, y ou know, it will take us longer? Is that a fair assump tion?
Erez Israeli: It can be even triple, it's just a matter of what is the time that it will take. The current business is now growing in single digits and we believe that we can grow it faster than what it is. All the places that are related to build ne w brands, like in the case of Nestl é, this will take more time. Because we need to introduce it and normally , it takes three to four years to est

ablish a good brand in a market like India.
Patrick Aghanian: My name is Patrick Aghanian and I just wanted to add to what Erez was just mentioning. I think in this category, you need to look at it in two contexts. The first one is the macro drivers, both in developed and developing markets.
Whilst in developed markets, smoking has – classical smoking, meaning tob acco, cigarett e smoking, sorry, has declined, i t has unfortunately been overtaken by new introductions, such as vaping. And this phenomenon , we see especially amongst younger populations in developed markets. Fortunately, governments are now beginning to take action against vaping and we see our role to play in that.

In developing markets, where , still, cigarette smoking is very prevalent, sin taxes as imposed by the government s are relatively low, certainly, compared to developed markets, w e still see a lot of opportunities in the years ahead , as more and more governments take up the fight against smoking.
Just, to also , mention that, in addition to sin taxes and other regulations, simple legislation such as prohibition of smoking in closed spaces, is also is hugely impactful in terms of driving this category.
Neha Manpuria: Understood. A nd Patrick, thank you for that, b ut just to follow up, Erez also mentioned adding more products to this platform. We a lready have an allergy medicine, OTC product in Europe.
Are there complementary aspect s to adding more products? Does the market access help? Is that why the growth will accelerate over time?
Patrick Aghanian: Sorry, your voice is not so clear. I understood the first part of the question, but not the second part. The first part was, are there any other products? And then , the second part I didn't catch. Sorry about that.
Neha Manpuria: Does the platform really help to add products, add more assets to it? Does it accelerate the growth of the OTC platform, or does it have operating leverage benefits?
Patrick Aghanian: Okay, so first of all , this asset comes with a pipeline of new launches. In consumer healthcare space, innovation is , I suppose, critical in any busin ess, but in consumer healthcare as well. So , there is a pipeline of new products, which are already underway. In fact, they have just launched sprays at the beginning of this year in the Nordic countries in Europe. And sprays are indicated, for example, fo r vaping. And they are going to expand this. Other products are going to be also introduced in the next few years. So there is a pipeline of new products which is coming with

this asset.
The second thing about this asset is that it straddles for 30 plus countries. And although the top 12 account for roughly 80% of the business and the top 12 also straddle c ontinents, starting from Canada, all the way to Japan and Australia and New Zealand, the size of these businesses in each of those countries is not small. Meaning this is not an asset where you have one country dominating, and then you have a lot of small countries , which are just as a tail. It's actually very healthy, sizable businesses in each one of those countries.
Third, this is an asset that allows us to inter face with retailers, whether it s pharmacy chains or mass market retailers. These are very sophisticated operators. And this particular category is very valued by them. It's very valued by them for two reasons. Number one, because it actua lly promotes health. And this is very important from the point of view of the retailers, for their point of view of self -image, I suppose. And the second reason is because it s a very high -priced item for their selection of products. And since we are the nu mber two brand in this category, it positions us very nicely to play a role and also have access to these retailers, which , then of course allows us to leverage other products which we are developing, whethe

r it's in this category
or other categories, in o rder to gain space on the shelf.

Neha Manpuria: Wonderful. That's very clear. Thank you so much Patrick.
Moderator: Thank you. The next question is from the line of Abdul kader Puranwala from ICICI Securities. Please go ahead.
Abdulkader Puranwala: Hi. Thank you for the opportunity. First question is on the asset base. So the revenue part is quite understood. Are you also going to acquire the manufacturing units or some sort of an asset base , along with this entire business?
Patrick Aghanian: Erez, I can take the question.
Erez Israeli : Yes. Please take.
Patrick Aghanian: So, this business is asset light. There is no manufacturing facility , which is associated with this business. It is served by CMOs and these CMOs are located primarily in Europe. The p roduction process for these products is actually a bit complicated and capital intensive. There are not that many suppliers and the relationship is that this business has with the CMOs is longstanding. It stretches for more than 20 years and we look forwar d to working with those CMOs , in order to drive this business forward in line with our strategic aspiration.
Abdulkader Puranwala: All right. Understood. And my second question is on what kind of approvals you will require before you close this transaction ? I mean, are there any major , stringent government regulations , which can be a potential hurdle for the completion of this acquisition?
Patrick Aghanian: I don't think we have anybody from legal on the line, but I can take the answer to the question. There are four approvals that we would need. We believe all of them are manageable. They are actually located mostly in emerging markets. Brazil , we need a merger control. Kingdom of Saudi Arabia we need to also and United Arab Emirates another one where w e need it. And finally there is one approval that we would need for Sweden, but other than that, there are no other approvals that are necessary for the completion of this transaction.
Abdulkader Puranwala: Got it , sir. Thank you.
Moderator: Thank you. Ou r next question is from the line of Damayanti Kerai from HSBC Securities and Capital Markets India Private Limited. Please go ahead.
Damayanti Kerai: Hi, thank you for the opportunity. My question is regarding the initial cost or investment , which you might require to grow this particular franchise. So can you quantify what kind of spend you are foreseeing for this franchise? And with scale -up, do you think the margins can improve significantly from the current level , which you indicated at a round 25%?
Patrick Aghanian: So, I can try to answer this question. But first before I try to answer your question, I'd like to speak a little bit about the specifics of this business. I feel you need to know a little bit , why it is such an attractive asse t so that you may appreciate what I'm about to answer to your question.

First of all , this is a business which by its very nature is very complex for the consumer. The consumer has a psychological factor at play , when they are taking this therapy to stop s moking.

They know it's harmful for them, but they still do it. And it takes anywhere between 8 to 30 attempts during their lifetime. I repeat again , there are different sources, but the data that at least we have analyzed shows th at there are anywhere betw een 8 to 30 attempts during their lifetime , before a consumer successfully quits smoking. So we see a very long -term play here with this category.

As already mentioned , this business has not been a priority for Haleon for a while and therefore , the investments have been kept at a level which is low. And for us to grow this business and also to address the unmet needs, we know that they exist - whether existing unmet needs or futu

re

unmet needs, for example, vaping I mentioned earlier. Clearly, w e have to invest more and increase the level of investment which we plan to do in line with what our aspiration is.

So indicatively speaking, we will be increasing our A&P investment, but also our capabilities in terms of understanding the consumer. This is very important. The marketing tools available today were not available 20 years ago. When you're trying to engage a consumer in a very complex psychological dynamic, what was available 20 years ago was a very simple probably 30 second ad on TV and some advertorials. Today, you have a whole gamut of tools at your disposal, some of which are actually very cost effective. They were not so cost effective previous ly or they didn't exist. So, yes, we will be seeking to invest to grow this business.

Erez Israel i: And just to add to Patrick and this is why I gathered that it is a margin accretive and it is absolutely within the guidelines that we normally do. We will use that in the same way, meaning for us that , 25% is always a decision , not an outcome. M eaning , we want to use the excess of this to invest into the future. And this is where we believe is a sweet spot that is also relevant for the asset. The asset has the potential to go beyond that once we feel that we invest and we put everything in place. So, fo r the long term for sure. But, in the short term , the idea is that it will be accretive , and it will enable us the growth that we want and the total shareholder return. But at the same time, we want to use the excess to reinvest in this business.

Damayanti Kerai: Sure. And my second question is very broad on OTC products. So, in OTC, what will be the most important factor , which you should focus to differentiate a product? So like you're number two for this franchise. So, what will differentiate your number two position versus the number one position or number three position?

Patrick Aghanian: So, first of all this brand, as I already indicated occupies the number two position in the markets that it operates. By the way, in one market, it's actually number one. In the Netherlands, it is number one position. In other markets it's a very strong number two , globally speaking. And it is a very , very resilient business . As I indicated with low levels of A&P support , not only have the volumes and the value being m aintained, they have even grown, in some cases, faster than the average for the category.

Plus, as I already indicated with the consumers going through a cycle of 8 to 30 qu it attempts during the lifetime, it's a very sticky business, which is extremely interesting from a marketing point of view. So, we need to build on what has been done in the past. We need to try to engage with existing consumers , who are clearly loyal over the past 20 years or 25 years since this brand is in existence and also try to expand to new consumers.

I mentioned vaping, especially amongst young people. It is a phenomenon that is not very nice to see. People, unfortunately , have the impression that vaping is actually less harmful. It is not the case. There's simply not enough data , yet, but that data is being generated. Anyway, when you speak to governments , clearly, they are beginning to understand that vaping is not as harmless , as the tobacco companies have made it out to be.

So, we also have to start targeting those consumers. I already mentioned that Northstar or the NRT business of Haleon has launched a particular product in the Nordics, specifically with an indicatio n for vaping the spray. That will be expanded to other markets in Western Europe.

Then, there are emerging markets. Already, this business has a good footprint in emerging markets in countries such as Brazil, Korea, in Southeast Asia, for example, Hong Ko ng, Singapore, etc. There are clearly opportunities there

that you see. Saudi Arabia, I already

mentioned etc. So, we have to do that build -up and then target new consumers.

Damayanti Kerai: Sure. That's helpful. Thank you for your response.

Moderator: Thank you. The next question is from the line of Surya Narayan Patra from Phillip Capital India Private Limited. Please go ahead.

Surya Narayan Patra: Yes. Thank you for this opportunity. My first question is about the NRT. What is the outlook of NRT? As in c larification to our earlier commentary , that you mentioned NRT is declining in the advanced market but it is progressing in the developing market. Is it right , that understanding? What is the growth outlook here, NRT , as a therapy? And what is its positioning compared to alternate therapy for smoking cessation?
Patrick Aghanian: If I understood your question the first question. Sorry, I have to repeat it , so that I make sure I understood your question. Your first quest ion was what is the growth prospects? Second , questio n was what are the alternatives, did I understand you correctly, to NRT?
Surya Narayan Patra: Yes.
Patrick Aghanian: Okay. So, first of all, in terms of growth, I thought , I heard you said that there has been a decline. I don't believe, we said, there has been a decline. The category actually has been growing across all geographies in mid -single digits , a little bit lower than mid -single digits. Nevertheless, it's been growing. When you look forward , we believe that this growth will be accelerated. First of all, as I indicated, this business comes with new products, innovation. This business has not had any new launches over the last , I don't know , maybe , seven years, eight years. So it's been starved of new launches. And now we have a pipeline of new launches t hat are going to be introduced.

Furthermore, we're going to support the business in terms of additional A&P spend. So, we believe that we're going to accelerate the growth across the different g eographies.
As I said, there is also a new segment opening up, which is around vaping. Vaping , as I indicated , is, unfortunately , a big issue that we are seeing in both, the developed and developing markets. We believe that , developing markets will also start targeting classical smoking with additional sin taxes and also more restrictions on where people are allowed to smoke. This will definitely give a further push for people to try quitting to smoke. By the way, the NRT cat egory is officially recommended and approved by the WHO. So this is a very important consideration for us in Dr. Reddy's.
And in terms of alternatives, well, there are alternatives that are available. For example, there are prescription medications such a s Bupropion and Varenicline. This is available, but there are prescription drugs. Their mode of action is different , they target the nicotine receptors in the brain. But nevertheless, that's an option. And there are, of course, Behavioral Therap ies, which people can use mostly in the area of p sychological support and counseling. I hope I've answered your question.
Surya Narayan Patra: Yes. So my second point was also about that WHO recommendation to include NRT as an essential list of medicine. What does that really mean in the Emerging Markets or markets other than the US? And have you seen any benefit or have you seen any benefit happening to this NRT therapy , post the recommendation in 2020?
Patrick Aghanian: Sorry, again – if I understood you correctly, you were asking whether this NRT therapy, we see opportunities in developing markets. Did I understand correctly?
Surya Narayan Patra: No, sorry. I'm repeating my question. Say, how should one read this WHO recommendation tha t NRT is part of the essential list of medicines? So this has been recommended in 2020. Have you seen any benefit accru ing to this NRT? And how should progress

ively this recommendation
should benefit us?
Patrick Aghanian: Yes, so definitely , the WHO recommendation is what also makes it attractive for a company like Dr. Reddy's. We are a science -based company and we deal with products which are very important in terms of their unmet medical needs. In terms of what we are seeing in emerging markets, we're seeing more -and-more government tenders. So for example, we're seeing pretty big government tenders going up post 2020. The biggest that has happened recently is in Brazil, where this business has won a significant tender with the Brazilian hea lth authorities. But it is also the same, for example, in Saudi Arabia and in other geographies. And we believe there are other geographies where Haleon has not been present. Haleon, being a British company, historically has not been very active in, for ex ample, French -speaking North Africa, such as Algeria, Morocco, Tunisia, etc. Now , we can potentially access those markets through our businesses that we have set up recently in those places. So yes, we do see increased interest by the side of governments.

Surya Narayan Patra: Just, last question from my side. It's a clarification, in fact. What you mentioned in the initial commentary that this is a business which will require investment to take it forward. But even after the investment, in terms of the prof itability and margins, this will still have margins beyond 25%. Is that understanding right?
Erez Israeli: Yes, this understanding is right. We are saying always that we are comfortable around the 25% as a decision. And that's what we plan to maintain the business, at least in the initial stage.
Surya Narayan Patra: Yes. Thank you, sir. Congratulations for the transaction.
Moderator: Thank you. Our next question is from the line of Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil: Hi, good evening. I hope you can hear me. First question, how does this product sell? Is it only through direct advertisement to the customer? And are there any regulatory restrictions around that?
Patrick Aghanian: So, the product is primarily classified as an over -the-counter medication. In some instances, it is also classified as a prescription medication. It depends on the specific country regulation. But in most of the instances, its an over -the-counter medication. In countries, for example, the develo ped countries, it is sold both in pharmacies as well as outside pharmacies. For example, in supermarkets. For example, in the UK, there is a supermarket chain called Tesco or Sainsbury's. You will find the products in those type of outlets. I hope I answer ed your question.
Bino Pathiparampil: Understood. So, does this acquisition come with the necessary marketing and sales team? Because you will need a hybrid team, right? For direct marketing as well as a team for prescription marketing to the physicians. So, does this acquisition come with a team?
Patrick Aghanian: The transaction involves a combination of a transfer of certain employees from Haleon . I'm sorry, I cannot comment further on that because there is a consultation process in place. Actually, it started with the Works Council. So, that's all I have to say in terms of the transfers from existing employees. And we also have to hire people in addition to that.
Erez Israeli: No, but the answer to your question is there is not going to be a hybrid as most of the business is OTC. So, we will manage it as OT C. In the countries which wi ll require sales force, which is prescription, we will use either our people or use a partner for that. But it's not a hybrid. In each one of the countries, it's mostly OTC or a prescription, b ut you don't need a hybrid model.
Bino Pathiparampil: Understood. Second, the people who get to this product to stop smoking or vaping, how long do they typically use this

product for? Do they use it pretty much lifelong? Or is it like a few weeks and then they stop everything, all types of nicotine?
Patrick Aghanian: This is an excellent question. I wish we had a long time for me to answer this question because I have lots of slides that I can show you. There are different types of cons umers. There are consumers who use this product as a stopgap measure. They use it so that they don't have to come back, meaning they have already quit. But they don't want to restart. So they don't want to

be a re -lapser. So they use it in that context. Th ere are those who don't want to quit, but they want to reduce the number of cigarettes that they are smoking. So there are many different types of consumers wh o actually use this product. It s not just one or two. And that's what makes it so interesting and so attractive because each type of consumer has its own specific driver and need. On the average, when somebody, let's say, wants to quit, they consume the product from anywhere between six months to a year . Generally, what happens if it s the first or sec ond time that they're trying to quit or even the third time, they go into a relapse. They start smoking again. Then they are unhappy. They make a new commitment. They say, okay, I'm going to stop smoking. Then they start again and so forth and so forth. S o it goes through this cycle of start, stop, repeat cycle. I want to just add a little bit of a humor. Hopefully, I know it's late for you, but just as a humor, Mark Twain, the American author, had a very interesting thing to say. He said, giving up smokin g is the easiest thing in the world. I know , because I've done it thousands of times. So this is, I think, the best way to describe what the consumer actually goes through when they're trying to stop smoking and use these products.
Bino Pathiparampil: Than k you. And finally, just one thing. If you could share some rough market share of the number one player and yourself in the overall Nicotine R eplacement market, maybe a rough number indication, just to see how fragmented the market is.
Patrick Aghanian: Yes. So first of all, this is a highly stratified market. M eaning, for example, we are number two. The difference between the number two brand and the number three bran d is a factor of four times. It s a factor of 4x, 4x, I repeat again, 4x. So this is very , very important. It shows the

strength of the brand. And roughly speaking, depending on the geography, I think we're about 25% market share across the different geographies. There's one more thing I wanted to say. Now skips my mind, but if it comes back, I'll come back to you.
Bino Pathiparampil: Thank you very much.
Moderator: Thank you. The next question is from the line of Shrikant Akolkar from Nuvama. Please go ahead.
Shrikant Akolkar: Hi, good evening. Thanks for taking my question. I was wondering if it is possible for you to look at the manufacturing back to India , if there are some CDMOs offering such services?
Patrick Aghanian: So, this business has current CMOs set up. The relationship with the current CMOs is longstanding. They stretch back, as I indicated, many years. In some cases, going back to the 1990s. We are looking forward to continue to work with these CMOs to first ensure a smooth transition and to look forward to building this business going forward. New products are very important and the development of these new products also depends to a large extent on these relationships. So we are looking forward to that as well.
Shrikant Akolkar: Okay. And the product development part is done by Haleon or the CDMO partners?

Patrick Aghanian: Its done by the brand owner , together with the CMO. But the actual work is done at the CDMO. So if you will, the idea generation and this is coming from th

e brand owner. In this case, in the future, Dr. Reddy's. But the actual work is done, is outsourced to th e CDMOs.
Shrikant Akolkar: Understood, n ow a little larger question. So last few months, we have seen several initiatives such as Alvotech collaboration, Nestl é JV, and now this acquisition. We already have invested in the CDMO business. And then there are very important peptide , biosimilar R&D projects. So what are the key priorities going forward with so many moving parts in the business? And if you can also, towards the end of this question, if you can answer about the ROC E expectation over the next 4 -5 years. Thank you.
Erez Israeli: So, as we stated in the past, we have two types of businesses. And I'm talking now in the high level. One is the B2B business, which is primarily leveraged business. This is our also legacy business of generics and API, which will continue to invest and grow , primarily with productivity, with products, the launching across markets, and gaining global market share as part of it. And we added to it , the Horizon -2, which is to grow primarily by col laborations of NCEs, NBEs, CAR -T, Nutraceutical and OTC, and this kind of stuff as another growth driver. The focus of those are India, emerging markets, as well as, of course, Europe and the rest of the activities. We are committed, by the way, to grow i n India. We are committed to grow faster than the IPM. We are committed to be number five in India. Most of those investments in something with products that are better than the standard of care will be in India, as well as emerging markets, while OTC is m ore of a global play from the reason that we discussed. So this is helping us to establish what we call an anchor business globally.
In terms of guidance for the future, so th e double digit, the 25% EBITDA , as a sweet spot in which we can both , give enoug h total shareholder return, as well as have enough to invest in business , is still relevant. Again, this is an average. It's not every quarter. It's not every activity. Sometimes , we are above it. Sometimes below it. Its the same for the ROC E. So also in the future, we are planning to be in the same range of double digit, 25% EBITDA on an average, 25% ROC E on an average. And this business will absolutely add to this component. And we have enough financial capacity to go for additional business es. So this is not the end of it. We are actually just at the beginning of the journey. Is this okay?
Shrikant Akolkar: Yeah, yeah. Thank you so much.
Moderator: Thank you. The next question is from the line of Tarang Agrawal from Old Bridge. Please go ahead.
Tarang Agrawal : Okay. Good evening and thank you for the opportunity and congratulations. A couple of questions. You spoke about investing more in the business in order to grow it further. What kind of investments are we talking about? Are we talking about, say, beefing up the product pipeline or more ad spends or probably entering into new markets? Would that largely be what you mean by more investment in the business?

Erez Israeli: Yes, yes.
Tarang Agrawal : Okay.
Erez Israeli: It's a combination of a ll the three.
Tarang Agrawal : Okay. Second, you know, you also spoke about bridging on relationships with Haleon's customers. If you could elaborate a little more on this?
Erez Israeli: Patrick?
Patrick Aghanian: Yes. So this business is currently, as I s aid, sold through pharmacy chains and mass market retailers, depending on the geography. And it is a very important pillar for the success. And we are looking forward to continuing the business with those trade partners into the future. I already indicated the importance. I don't want to repeat again how important it is also for the retailers, this category.
Tarang Agrawal : Okay. So probably use that as a platform to probably introduce other prod

ucts, which we'll have approvals for in those markets?
Patrick Aghanian: Certainly, yes. When we have access and we are already at the table, let's say with this category, it already makes it easier to talk about other things.
Tarang Agrawa l: Okay. Thank you. All the best, guys.
Moderator: Thank you. Our next follow -up question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Thank you for the opportunity again. Just one on the broader revenue split for the a cquired business between Europe, E merging Market s and other developed countr ies, which you can split this GBP 217 million in these three categories?
Patrick Aghanian: So, the business, about 60% of the business comes from Europe , in terms of turnover. Then you have significant pieces coming from Australia, Canada, Japan. And these countries combined, meaning the European countries plus Australia, Canada and Japan and New Zealand, then takes it to 80% of the total turnover, 80, let's say, 84%. And then you have other countries in the back, such as Brazil, KSA and others, Hong Kong, etc.
Kunal Dhamesha: So this is really helpful. And then two more questions on the business. So you said that we have more products in the pipeline. Can you share what s the number of pipeline products? And is it more of a novel delivery system for the nicotine, is the way to think about it? Or there are, at least in Haleon's pipeline, whatever business we are calling? And second is, how has been the ASP increase in this brand or Nicotine Replacement Therapy category in the last three, four years?
Patrick Aghanian: Sorry, I did not understand the last part of your question. Could you repeat again?

Kunal Dhamesha: The average selling price increase in the category in the l ast three to four years?
Patrick Aghanian: Oh, I see. Okay. So first of all, on the new launches, as we get closer to the launches, we will, of course, disclose them. You know, there is a competitive landscape here as well that we have to take into conside ration. As far as the pricing is concerned, you know, pricing power in consumer healthcare is directly related to brand power. The more, the stronger your brand, the stronger your pricing power.
We already discussed earlier about the strength of the brand . So, you know, there is, that's an iron law of consumer healthcare. You have a good brand, then you are more secure. You have a weaker brand, then you are less secure.
Kunal Dhamesha: Sure. Thank you and all the best.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Ms. Richa Periwal for closing comments.
Richa Periwal: Thank you all for joining us for today's evening call. In case of any further queries, please get in touch with the Investor Relations team. Thank you once again on behalf of Dr. Reddy's Laboratories Limited. Over to you, Sagar.
Moderator: Thank you. On behalf of Dr. Reddy's Laboratories Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

August 1, 2024

National Stock Exchange of India Ltd. (Stock Code: DRREDDY -EQ)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)

Dear Sir/ Madam,

Sub: Transcript of the Earnings call conducted on July 27, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter ended June 30 , 2024, conducted on July 27 , 2024. Also please note that this transcript of the call has been uploaded on our website and are available at the following link .

Weblink : https://www.drreddys.com/cms/cms/sites/default/files/2024 -
08/DRL_Q1FY25%20Earnings%20Call%20Transcript_27July2024.pdf

This is for your information and records .
Thanking you.

Yours faithfully,
For Dr. Reddy’s Laboratories Limited

K Randhir Singh
Company Secretary, Compliance Officer & Head -CSR

Dr. Reddy's Laboratories Limited's
Q1FY25 Earnings Conference Call

July 27, 2024

MANAGEMENT : MR. EREZ ISRAELI: CHIEF EXECUTIVE OFFICER
MR. PARAG AGARWAL: CHIEF FINANCIAL OFFICER
MR. M. V. NARASIMHAM : DEPUTY CHIEF FINANCIAL
OFFICER
MR. M. V. RAMANA: CHIEF EXECUTIVE OFFICER –
BRANDED MARKETS
MS. RICHA PERIWAL: HEAD - INVESTOR RELATIONS
& CORPORATE ANALYTICS

Moderator: Ladies and gentlemen, good day and welcome to the Q1FY25 Earnings Conference Call of Dr. Reddy's Laboratories Limited. As a reminder, all participant lines will be in the 'listen-only' mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then zero on your touch tone phone. Please note that this conference is being recorded.
I, now, hand the conference over to Ms. Richa Periwal. Thank you, and over to you.
Richa Periwal: Thank you. A very good morning and good evening to all of you and thank you for joining us today for Dr. Reddy's Quarter 1 FY25 Earnings Conference Call. We have with us the leadership team of Dr. Reddy's comprising of Mr. Erez Israeli, our CEO; Mr. Parag Agarwal, our CFO; Mr. M. V. Narasimham, our Deputy CFO; Mr. M. V. Ramana, our CEO for Branded Markets; and the entire Investor Relations team.
Earlier during the day, we have released our results and the same is also posted on our website. We will begin the call with opening remarks from the management, following which we will have the forum open for Q&A session. Please note that today's call is a copyrighted material of Dr. Reddy's and cannot be rebroadcasted or attributed in press or media outlets, without the Company's expressed written consent.
This call is being recorded, and the playback and transcript shall be made available on our website too. All the discussions and analysis of this call will be based on the IFRS consolidated financial statements. The discussion today contains certain non-GAAP financials measures. For a reconciliation of GAAP to non-GAAP measures, please refer to our press release.
Before I proceed with the call, I'd like to remind everyone that the safe harbor contained in today's press release also pertains to this conference call. Now, I hand over the call to Parag.
Parag Agarwal: Thank you, Richa and greetings to everyone. Thank you for joining the call today. I hope you have received a copy of our earnings release documents and press presentation uploaded on our website. It's my pleasure to present the results for the first quarter of 2025.
We recorded a steady performance during Q1FY25 with a double-digit revenue growth, and stable EBITDA margins and Return on Capital Employed.
For this section, all amounts have been translated into US Dollar at a convenience translation rate of Rs. 83.33, which is the rate as of June 30th, 2024.
Consolidated Revenues for the quarter stood at Rs. 7,673 crores, which is $921 million and grew by 14% on YoY basis and 8% on a sequential basis. The growth is mostly driven by the generics business in the US and recent in-licensing of Sanofi's vaccine portfolio in India.
Consolidated Gross Profit Margin stood at 60.4% for the quarter, an increase of 170 basis points over the same quarter in the previous year and 183 basis points sequentially. The YoY increase is on account of favourable product mix and overheads leverage, partially offset by price erosion

in the generics markets. Gross margin for Global Generics and PSAI were at 64.7% and 23.1% respectively.
The SG&A spend for the quarter is Rs. 2,269 crores, which is $272 million, an increase of 28% YoY and 11% QoQ. The YoY increase is primarily on account of continued investments in new business initiatives, increase in freight rates, annual merit increases and building capabilities to enhance operational efficiencies. The SG&A cost as percentage to sales was 29.6% and is higher by 330 basis points YoY and 67 basis points QoQ. We expect our SG&A to be in the range of 27.5% to 28% for the full fiscal.
Our in-house R&D efforts is further supplemented with collaborations to creat

e a robust product
pipeline for small molecules, novel oncology assets as well as biosimilars to drive future growth.
The R&D spend for the quarter is Rs. 619 crores, which is $74 million, an increase of 24% YoY and a decrease of 10% QoQ. The R&D spend is at 8.1% of sales and is higher by 68 basis points YoY and lower by 164 basis points QoQ. Overall, R&D continues to be a cornerstone of our growth strategy and we expect the investment to be in range of 8.5 to 9% for the full fiscal.
The other operating income for the quarter is Rs. 47 crores, lower versus last year due to a one-time settlement income in the base period.
The EBITDA for the quarter is Rs. 2,160 crores, that is $259 million, a growth of 15% QoQ and 1% on a YoY basis. The EBITDA margin stood at 28.2% and is higher by 172 basis points QoQ and lower by 357 basis points YoY.
The net finance income for the quarter is Rs. 84 crores as compared to Rs. 78 crores for the same quarter last year.
Profit before tax for the quarter stood at Rs. 1,882 crores, that is $226 million, The PBT stood at 24.5% of sales.
Effective tax rate for the quarter is at 26% We expect our normal ETR to be in the range of 24% to 25% for the fiscal.
Profit after tax for the quarter stood at Rs. 1,392 crores, which is $167 million The PAT% stood at 18.1% of sales.
Reported EPS for the quarter is Rs. 83.5.
Operating working capital as of 30th June 2024 was Rs. 11,555 crores, which is $1,387 million, an increase of Rs. 262 crores, which is $31 million over 31st March 2024.
Our capital investments in this quarter stood at Rs. 491 crores, which is $59 million. The free cash flow generated during this quarter was Rs. 227 crores, which is $27 million. Consequently, we now have a net surplus cash of Rs. 6,731 crores, i.e. $808 million as on June 30, 2024.

Foreign currency cash flow hedges in the form of derivatives are as follows - US$858 million, hedged around rate of Rs. 83.7 and 84.1 to the dollar, maturing over next 12 months with ‘knock-in’ available, which allows participation when USD strengthens; RUB 6,175 million with minimum protection rate of Rs. 0.899 to the Ruble maturing in the next 6 months;
AUD 5.5 million at the rate of Rs. 56.1 to Australian dollar maturing in the next 9 months and GBP 458 million at the rate of 1.267 against dollar.
With this, I, now, request Erez to take us through the key business highlights.
Erez Israeli: Thank you, Parag. Good morning and good evening to everyone.
Continuing the momentum of the previous fiscal, we have commenced FY25 on a positive note, with yet another quarter of highest ever revenues and stable margins. Our approach to growth continues to include, both, seeding new businesses and strengthening our presence within existing spaces, in line with our stated strategy.
Let me take you through some of the key highlights for the quarter:
- Double-digit growth in revenue in Q1 at 14%.
- Reported EBITDA margins stood at 28% and annualized ROCE stood at 33%.
- Net cash surplus was $808 mn.
This quarter witnessed a significant milestone in building a global consumer healthcare business with the acquisition of Nicotinell®, the 2nd largest brand and as well as related market-leading brands in the Nicotine Replacement Therapy category in markets outside of the US. The transaction is expected to close in early Q4 of the calendar year 2024 and operations will transition to us in a phased approach.
You may remember that another step taken towards building a robust consumer healthcare business in India was the nutraceuticals joint venture with the global FMCG giant, Nestlé. The JV operations is expected to go-live soon.
Strategic collaborations are an important part of our growth story. We have recently signed following deals:
- We licensed Takeda’s novel gastrointestinal drug, Vonoprazan, for comm

ercialization in
India.
- We partnered with Novartis Pharma to distribute two of their leading anti-diabetes brands, Galvus® and Galvus Met®, in the Russian retail market.
- We received exclusive rights from Ingenus Pharmaceuticals to commercialize Cyclophosphamide Injection in the US.
- We collaborated with Alvotech for commercialization of their denosumab biosimilar candidate in the US on an exclusive basis, as well as in Europe and UK.

- Nerivio®, the drug-free migraine management device, is now available in 5 countries, namely, India, Germany, Spain, UK and South Africa.

- Our CDMO, Aurigene Pharmaceutical Services, inaugurated a 70,000 sq.ft. state-of-the-art CDMO biologics facility in Genome Valley, Hyderabad, India.

On the regulatory front, in May, the USFDA completed a routine GMP inspection at two of our formulations manufacturing facilities in Duvvada, Vizag and issued a Form 483 with two observations. In June, the USFDA completed a GMP inspection at our API manufacturing facility in Srikakulam, Andhra Pradesh and issued a Form 483 with four observations. We will address and resolve the issues within the stipulated timelines.

We continue to be recognized for our focused efforts in ESG. We were the only Indian Pharma Company to be featured in the 2024 list of 'Global 500 Most Sustainable Companies' by Time Magazine and Statista. For the 2nd consecutive year, we were named 'Asia-Pacific Climate Leader' in 2024 by Financial Times, scoring the highest amongst Indian Pharma peers. We won the 'Masters of Risk' award in 'Healthcare and Pharma' at the India Risk Management Awards. Through these efforts towards sustainability, we endeavor to contribute to the well-being of our patients, our people, and our planet.

Now, let me take you through the key business highlights for the quarter. Please note that all references to the numbers in this section are in respective local currencies.

Our North America Generics business recorded revenues of $463 million for the quarter with a YoY growth of 19% and a sequential growth of 18%. The increase was largely volume led, coupled with higher market share in certain products, partly offset by pricing pressures in some key products. We launched 3 new products during the quarter, and we expect the launch momentum to continue in the balance of the year.

Our European Generics business recorded revenues of €59 million this quarter, with a YoY growth of 4% and a sequential growth of 1%. The increase in base business volumes and contribution from new product launches during the quarter helped offset price erosion. During the quarter, we launched a total of 12 products across markets.

Our Emerging Markets Generics business recorded revenues of Rs. 1,188 crores in Q1, a YoY growth of 3% and a sequential decline of 2%. On a YoY basis, market share expansion and revenues from new products, more than offset the unfavorable forex. In constant currency, Emerging Markets grew at 9.8% on an overall basis. We launched 17 new products during the quarter across various countries of the Emerging Markets. Within the segment, the Russia business grew by 12% YoY basis and 10% sequentially in constant currency.

India business recorded revenues of Rs. 1,325 crores in Q1, a double-digit YoY growth of 15% in Q1 and a sequential growth of 18%. The growth was primarily on account of additional revenues from the recently in-licensed vaccine's portfolio from Sanofi and new launches. As per IQVIA, our IPM rank is 10. We have launched 13 brands this quarter, in addition to integrating Sanofi's vaccine portfolio.

Our PSAI business recorded revenues of $92 million in Q1 of FY25, a YoY growth of 12% and sequential decline of 7%. The YoY growth was primarily on account of improvement in volumes as well as new product launches.

We filed 11 Drug Master Files this quarter.

Our R&D investments this quarter stood at Rs. 619 crores, up 24% on a YoY basis, driven by our biosimilar products pipeline, development efforts across generics, as well as novel oncology assets in Aurigene. Further, we will continue to complement our in-house efforts with partnerships and collaborations to develop innovative solutions. We have done 22 global generic filings, including 1 ANDA in the US during Q1 of FY25.

We continue to focus on our core businesses of generics, biosimilars and APIs, while investing in growth drivers of the future in three areas – consumer healthcare, access to novel molecules, and digital therapeutics. We are confident that these strategic growth initiatives, coupled with our disciplined financial management, investment in our people and driving operational efficiency, will enable us to deliver sustainable growth in the coming years.

As you may all be aware, Parag will be retiring effective 31st August 2024, as he would like to devote his time to making a meaningful difference to the lives of voiceless animals. I want to thank Parag, for his 4 years of service to Dr. Reddy's as the CFO and for the impact he has had on the Company as well as our stakeholders. Parag has driven a strategic vision for the Company, which has placed Dr Reddy's in a strong position for future growth.
I am pleased to announce that M. V. Narasimham, also popularly known as 'MVN', who is currently serving as the Deputy CFO, will take over as a CFO from August 1st, 2024. MVN has been associated with Dr. Reddy's since fiscal 2000. He is already a member of our Management Council and is a seasoned strategic and financial leader.
Please join us in wishing both, Parag and MVN, the very best in their new journeys ahead.
And with this, I would like to request MVN to say a few words, and then we'll open the floor for questions and answers.
M. V. Narasimham: So, thank you, Erez, and greetings to everyone. I would like to thank Parag for his invaluable leadership and mentorship. He has been instrumental in Dr. Reddy's financial success and I look forward to building on the strong foundation that he has created. I also look forward to meaningful engagement with all of you and analyst community going forward. Thank you.
Richa Periwal: We can open the floor for Q&A now.
Moderator: Thank you very much. We will begin the question-and-answer session. Anyone who wishes to ask a question may press '*' and 1 on their touch-tone telephone. If you wish to remove yourself from the question queue, you may press '*' and 2. Participants are requested to use handsets while asking a question. Participants are also requested to ask not more than two questions at a time and to re-join the queue, in case of incremental queries.

Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have our first question from the line of Kunal Dhamesha from Macquarie Capital.
Kunal Dhamesha: Hi, thank you for the opportunity and congratulations on a good set of numbers. First one, on the cash flow from operations, which seems to have come down meaningfully, despite our working capital is largely similar to the last quarter, right? So, what is driving the sequential moderation in cash flow generation?
Parag Agarwal: Hi Kunal, thanks for that question. The reason the free cash flow is a bit on the lower side is because of fluctuation in factoring. You know, we do the factoring in various markets, largely in the US, depending on the interest rates and the benefit we get. And because of that, we have rolled back factoring a little bit in this quarter. But overall, the operational cash flow generated from the business is in line with the normal trends.
Kunal Dhamesha: Sure. So it should pick up going forward, right?
Parag Agarwal: Yes, yes. Absolutely, yes.
Kunal Dha

mesha: Sure. And second one on the SG&A expense, while you have highlighted that we are incrementally investing in the new horizon growth levers, etcetera, there is a step jump in SG&A expense. So is there any one-off included in this quarter's SG&A expense?
Parag Agarwal: So, I said that in my opening comments, Kunal, that in this quarter, as usual, we are investing in new business initiatives. There are also some one-offs like increase in freight rates because of some route issues in the Red Sea, also a few one-offs and so on. And this is the normal fluctuation that happens from one quarter to another, depending on the sales and the level and the phasing of investments. Overall, we are confident that our SG&A percentage is going to be within the range of 27% to 28% for the full year. So yes, this is pretty much normal. It's just quarter-on-quarter fluctuation.
Kunal Dhamesha: And the percentage you described is including the amortization?
Parag Agarwal: No, that's not material. That's a normal amortization of intangibles that we always have, the normal level of amortization is included. What is one-off, I would say, is a spike in the freight cost, as I said, and a few other one-offs.
Erez Israeli: Amortization, Kunal, will be primarily after we close the Nicotinell® transaction. It will not be relevant before we close the deal.
Kunal Dhamesha: Sure. And, one for Erez on the launch momentum in the US. I think you have launched three products in this quarter. And I think that our usual guidance is around 20-plus products, right? So are we on track to achieve that? And secondly, you also mentioned that we have roughly 25 'first-to-file' filings according to us, right? So out of these 25, how many of these are expected to be launched in, let's say, next two to three years?

Erez Israeli: So the answer to the first part, yes, we are on track. How many exact 'first to file', anybody knows? I don't know exactly to tell you, Kunal. We will come back to you. I don't recall the number on top of my head, but, naturally, a few of them will be there. But I don't remember how many exactly.
Kunal Dhamesha: Sure, sure. Thank you and all the best.
Moderator: We have the next question from the line of Neha Manpuria from Bank of America.
Neha Manpuria: Hi, good evening, everyone. Hope I am audible. So, Erez, my first question is on the OTC piece. Now, with the acquisition of the NRT portfolio, the Nestlé JV going online, how should we think about the potential size of the OTC business, let's say, in fiscal '27, '28? How big do you think this business can be? And are there any more acquisitions or capital allocation that you see in the consumer healthcare business to make it larger?
Erez Israeli: Yes. So, the OTC and consumer care, in general, is a focus for us. I'm kind of building on your question. We will have basically, primarily four spaces - one is the B2B generics, the other is branded generics and innovation, the third one is consumer care and the fourth is biologics. So that part is a little bit more than US$300 million, about US$320 million currently, spread across North America, Europe, India, Russia, etcetera.
The new acquisition, once completed, will be somewhere around a US$300 million, so altogether it is US$600 million-plus and growing. So naturally, it's going to be an important part of the business. Likely, that we want to build on the platform of the NRT acquisition and to add more assets in the future. So, we see it as, obviously, a business that will speak in billions in the future, but obviously, it will very much depend, both, on the growth as well as our ability to buy more assets.
Neha Manpuria: Do you think we can get to that billion-dollar mark with the existing assets - with the Nestlé JV, with the NRT assets, with MenoLabs and the existing base by fiscal '27, '28? Would that be a fair assumption, or do you think you need more to get to that billion-dollar number?
Erez Israeli: For the billion-dollar, we will need to buy more.
Neha Manpuria: Okay, got it. And my second question is on the fourth growth lever that you mentioned, biologics. I think you've mentioned denosumab is a near-term opportunity. We also have abatacept. If you could give us some color on the timelines for filing of these assets. And therefore, when should we expect launch of both these products?
Erez Israeli: You are talking about denosumab?
Neha Manpuria: Denosumab and abatacept.
Erez Israeli: So, denosumab is next year. And what are the other products that you asked, sorry?
Neha Manpuria: Abatacept.

Erez Israeli: Abatacept should be December '26, hopefully and depends on the approvals or max beginning of '27 calendar.
Neha Manpuria: Sorry, December'26 is the filing?
Erez Israeli: So, filing should be at least a year before that.
Neha Manpuria: Sorry, Erez, I missed that. So you said abatacept filing should be in '25?
Erez Israeli: Abatacept filing should be in the end of calendar '25. And launch should be in the end of calendar '26, assuming approval on time.
Moderator: We have our next question from the line of Amey Chalke from JM Financial.
Amey Chalke: Thank you for taking my question and congrats on a good set of numbers. The first question I have on the US business - for the quarter, we have seen a good quarter-on-quarter jump, almost US$50 million to US$60 million. Is it possible for the management to give some breakup? How much would be contributing from the new product launches, which we have recently done? And how much would be from the base business improvement?
Erez Israeli: So most of it is from the base business. Most of it is the products that we had before and the contribution of the three products helped the growth, but the lion's share of the growth came from products that we had before.
Amey Chalke: So, going ahead, how should we think of the quarterly US run rate? Is it normalized from here or do you expect it to maintain at US$450 million?
Erez Israeli: No, what I'm expecting from the US is to continue to grow. So I, kind of, maintain the

discussions that we had in the past. We have the capability - and I'm excluding even lenalidomide in this kind of discussion - to grow in single digit, meaning, to compensate for any price erosion on a year-to-year basis. That's what we did in the last six years and this is what we are going to do.
And, from time to time, we have those upsides that come to us, like ‘first-to-market’ or specific situations. Right now, it looks like that the North America activity should continue to grow throughout the year. Quarter-to-quarter, it's hard to tell. It's always fluctuating. So I cannot guide on quarters, but I can absolutely say that we are going to continue to grow throughout the years.
Amey Chalke: Sure. The second question I have on the India business growth which is around 15%. In the opening remarks, we said that some of it is coming from the vaccine business which we acquired. Is it possible to quantify how much will be the base business growth?
Erez Israeli: Yes. So, let's say, without the vaccines, it's probably mid-single digits, without it.
Amey Chalke: Sure. Thank you so much. I will join back the queue.

Moderator: Thank you. We have our next question from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Hi. Thank you for the opportunity. Continuing on India, so, I just want to understand now, Sanofi vaccines contributed meaningfully in your India numbers. Is this the current base which we should assume? Like you will be growing from the base of 1Q in coming quarters or how should we look at India growth in near term as well as in medium term?
Erez Israeli: The baseline of India, without acquisitions, will be double digits this year.
Damayanti Kerai: Okay. And this base business, you said, it grew in single digits during the quarter excluding the acquisition.
Erez Israeli: It was mid-single digits and it will be double digits for the year and for sure, for the next quarters.
Damayanti Kerai: Sure. And can you update us on Nestlé JV - how that is progressing?
Erez Israeli: Progressing very nicely and we hope that in the beginning of August we can announce ‘Day 1’, likely, August 1st, but we will announce when it will come.
Damayanti Kerai: In August?
Erez Israeli: August 1st.
Damayanti Kerai: Okay. And my second question is on your biologics effort. So can you let us know, what is the kind of spend you are doing for this line of business and you earlier mentioned meaningful sales could be starting from '27, right? So between now and '27 if you could just talk on the cost part for your biologics effort?
Erez Israeli: Yes. So, on Biologics, we have just maybe just to frame what we call biologics in the company. We have biosimilars, which is about, I think, if I'm not mistaken, 20% of the R&D and about 10% of the capex. In addition to that, we are ready to scale-up our CAR-T, to launch in India. And we are working on that as well - they would normally not classify, I'm assuming that you asked me about the biosimilars, but this is also a very, very important activity for us.
In addition to that, we are engaging in licensing-in for various markets. So, we mentioned denosumab already, but we have also local activities in which we are licensing products for specific markets, especially in Emerging Markets. Likely, that until the end of the decade, we will have a significant number of deals that we are working on for those markets. And then after denosumab, the next global product for us will be…and Rituximab, of course, that we got recently the approval of Europe, and we hope that we will get later in the year, for the US…we will have abatacept, like I mentioned to Neha before, likely in the end of '26, beginning of '27.
Damayanti Kerai: Okay. And all these products which are coming, say in '26 and beyond, you will be marketing on your own, right, or the way the previous two products has gone through partners?

Erez Israeli: Besides Rituximab - there's a partnership with the Fresenius - the rest, we will do by ourselves, including United States.
Damayanti Kerai: Okay, Erez. Thank you for your response.
Moderator: Thank you. We have our next question from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Ya, thanks for the opportunity. Just, again, on the North America sales, on the base portfolio which is like ex-Revlimid, as you highlighted, the price erosion is in the range of high single digit. And despite that the sales pegged year-on-year or even quarter-on-quarter, there has been a very reasonable jump. So, just to understand, if there was any specific product opportunity because of a product shortage or some competitor going away or how to think about the base business and the sustainability of run rate?
Erez Israeli: So, first I did not mention the number that you are saying. So, please don't quote me, because I did not say it. Second, yes, it is going to be consistent and we see that the growth is not from a particular product. It's actually multiple products, primarily because of the great service that we are giving in United States to customers.
Tushar Manudhane: Got it, sir. And on the India base, sir, the growth has been quite moderate, ex Sanofi. So how do you think of scaling up this growth?
Erez Israeli: As I mentioned, the growth will be double digits, even without inorganic and the inorganic will be on top of it.
Tushar Manudhane: All right, sir. Thank you.
Moderator: Thank you. We have a next question from the lin

e of Surya Patra from PhillipCapital India Private Limited. Please go ahead.
Surya Patra: Thanks for the opportunity and congrats for the great set of numbers, sir. Sir, my first question is on the Aurigene biologics facility what we have inaugurated, how big is the investment there? And also I wanted to understand, is it for the biosimilar pipeline what we have created by Dr. Reddy's or it is targeted towards the CDMO opportunity that we have been talking about? So, if you can give some clarity on this?
Erez Israeli: Yes, that specific investment is for the CDMO activity of the biologics for Aurigene. So that's the primary purpose of this. The level of investment is a few hundreds of crores, I don't remember exactly how much.
Surya Patra: Few hundred crores, you said, sir?
Erez Israeli: Yes, in terms of capex.

Surya Patra: Okay. See, generally in the CDMO business, many times we find that it is backed by some contract or some association or some kind of collaboration with our target parties. So is it as of now currently backed by that and when do you think that regulatory clearance of this plant that one should expect?
Erez Israeli: So it does, we do have contracts that pay for this investment. These are all early stage projects that come from innovators. So it doesn't require now any specific regulatory activity. Naturally, if it will continue with this kind of traction, we will need to have a scale up and then discussion and this will come probably later through the years. Right now, it's primarily for R&D activities. So it's more of the ‘D’ of the CDMO, rather than the manufacturing.
Surya Patra: Okay. And my second question is on the volume share rise, as per the settlement in case of Lenalidomide, whether you have seen that volume share rise, which was indicated as part of the contract, sir?
Erez Israeli: The product is growing exactly in accordance to the contract. The volume is impacted primarily by the type of agreement and less about capturing market share or anything like that. And so far so good. We are selling the product exactly in accordance to the contract.
Surya Patra: Sure, sir. Just one small clarification. With regards to the freight cost, in what you have mentioned Parag sir, so how serious and critical is this cost issue? It did for the quarter and is it fair to believe that this is likely to continue at least in the next couple of quarters, the way the trade is happening with US and China?
Erez Israeli: So most of it is related to, obviously, the conflict in the Middle East. We need to circle Africa and in some of the cases, because of the timeline, we need to fly material, instead of shipping it by sea. So obviously, this is the primary issue. So obviously, I wish I could know by when this conflict will end, hopefully it will end. But yes, the impact is a few times, of course. I don't remember exactly how much but that's the impact.
Surya Patra: Okay. Is it fair to believe that less than 1% kind of swing sequentially what we have seen in SG&A. Large part of that is because of this freight cost.
Erez Israeli: I will not say large part. It should be around Rs. 50 crores or Rs. 60 crores or something like that. So I don't think large part. The main part is investment in capabilities and new products and new business initiatives. We are leveraging the fact that, if you recall our previous discussions, we want to be, give or take, it's never that accurate, in the sweet spot, in which we are delivering enough for the shareholders but also investing in the future. So we are absolutely using the

opportunity to invest more in the business, whether its R&D or capex or new businesses. And the SG&A, if you wish, the lion part is there. But yes, also freight cost and other one-offs are also there, like Parag mentioned.
Surya Patra: Thank you, sir. Wish you all the best.

Moderator: Thank you. We have our next question from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Good evening and thank you for taking my question. Well, we are generating about, whatever, 220 to 230 to 240 million per quarter in terms of cash flow in a quarter. We have about a billion dollar of cash and cash equivalents. We're going to pay for this NRT, which I think the upfront payment will likely be happening. But even after that, we seem to have lots of cash and cash flow generation. So I just want to understand in the next 2, 3 years, the areas where will we likely be investing. So, all I was asking about capital allocation and a billion dollars of cash and cash equivalents and probably cash flow generation of 200 million per quarter. We'll likely pay for the NRT therapy coming up next. But even after that, we are going to have significant cash and cash flow generation. So the question is around the 2 to 3 years which are the areas we're going to likely continue to invest. I believe Erez, in your comments on India, you said that excluding acquisitions, we'll grow double digits. So maybe in India, which are the areas we are likely to look at, as well.
Erez Israeli: Yes. So thank you for the question. Indeed, a very important strategic, question. First, we believe that we have about US$2.5 billion that we can invest inorganically. That depends, of course, on the time, but we have enough financial capacity without even changing dramatically ratings or anything like that. Actually, it should not impact the rating at all.
We want to invest in each one of the four spaces that I mentioned. We do want to invest in our B2B generics, in our innovation, in our consumer care, as well as in biologics. The primary way to use it is less of mergers and acquisitions and more about collaborations, licensing, and from time to time, we will buy also assets or rights to the assets. So our preference is to have access to product or products that are complementary to our portfolio that allow us to be in a very comfortable, strategic position, in each one of the segments and each one of the geographies. Largely, we are aiming for a high level of IRR and for sure, better than the cost of capital that we have for the company.
In addition to that, we are using the cash for internal activities. So, we are investing in capex, especially in the capabilities like biologics and CDMO and our injectables. We believe that we have a very interesting pipeline for the future, primarily complex injectables and primarily many peptide products. So, this is where the capital allocation will go. And we are building the growth of the next 5 years - '26, '27, etcetera - as we speak, and we are using the relatively comfortable financial position that we have now, in order to invest and to build that position for the future. Hopefully it addressed your question.
Shyam Srinivasan: Thank you, Erez. Just one follow-up. In the past, in terms of deals in India, valuations have been a hurdle. Do you think our philosophy will likely change now, if you were to look at transactions in India? Recently, many of your peers have done, can I say, high valuation acquisitions? Is it something that Dr. Reddy's will be also willing to look at?
Erez Israeli: We are looking at all the deals in India. Just to be very clear, India was, is and will be, forever, a very important market for us and for sure, a very important country for all the activities of Dr.

Reddy's. India is absolutely a focus and we are going to invest in India. We feel, the fact that the branded generics market is now single digit, plus the cost of capital went up over the years, and presently in this situation that if you have a cash transaction, at least, we don't see a reason to buy EBITDA in which on

ly the interest that we will pay to the banks will be more than the EBITDA that we'll get. So, for this kind of transaction, we will not do. If the deal is better than our cost of capital, absolutely, we'll do it. And India will be absolutely a priority.

Shyam Srinivasan: Got it. Thank you, Erez, and all the best.
Moderator: Thank you. We'll take our next question from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.
Abdulkader Puranwala: Hi, thank you for the opportunity. My first question is pertaining to the vaccine business, what we have in-licensed from Sanofi. So could you just understand how the growth profile has been in this particular segment? And what are the kind of investments you will have to do to grow this business?
Erez Israeli: We acquired this business from Sanofi, as what we call the 'bridge'. It's an anchor product, that will allow us to bring to the segments in the future, additional products. So, when we identify a space that we want to claim, we are trying to build what we call the 'anchor activities' that will allow us the capability - whether its product management, sales force, whether know-how of the product, etcetera. So, the intent is to buy, to grow it in the best way we can, the current business, but to add on it over a period of time, additional products that will come from licensing-in from other companies.
Abdulkader Puranwala: Okay. So, have we also taken some MRs, which will be pertaining to Sanofi who would now be in our payrolls? Or how is arrangement there?
Erez Israeli: We got also the sales people from Sanofi.
Abdulkader Puranwala: Okay. Thank you.
Moderator: Thank you. We have a next question from the line of Jainil Shah from JM Financial. Please go ahead.
Jainil Shah: Thank you for the opportunity. So, my question is related to the NRT acquisition. So, Haleon, in their press release, have mentioned that the gross assets related to the acquisition of GBP413 million. So if you can explain why is it so high? And is it fair to assume that a large part of this would be goodwill.
Erez Israeli: See, I did not personally see the Haleon's balance sheet. So you probably need to ask them. I'm assuming that it's mostly intangibles.
Jainil Shah: Okay, thank you, sir.

Moderator: Thank you. We have our next question from the line of Kunal Dhamesha from Macquarie Capital. Please go ahead.
Kunal Dhamesha: Thank you for the opportunity again. I just wanted to understand, has there been any business impact from the Microsoft outage that was there last week for us?
Erez Israeli: No, zero effect on us.
Kunal Dhamesha: Sure. And secondly, on the Nestlé JV, I didn't understand what will start from August 1st. I think we have incorporated JV as of now. But you are saying the operational activity will start from August 1st?
Erez Israeli: Yes. So, the 'Day One' is the day in which the JV will work together. And whatever we record will report and what we had until now plus what Nestlé used to have before it.
Kunal Dhamesha: Okay. So it's basically adding our current products like Celevida, etcetera, into the JV is the way to understand it, right? And then yes, also Nestlé's products. Sure. And then I think the initial activities is to kind of customize the product, Nestlé's products, global products for Indian market, etcetera, right? For that, we'll have to invest. So this investment will be part of P&L investment? Or would this be more like Balance Sheet investment, which will capitalize till we commercialize those products?
Erez Israeli: So let me clarify, maybe. First to your first part, yes, the product activities and the other products that we have, we will add to it the Nestlé activities and both of them will be part of the JV starting from August 1st. As related to investments and all the stuff, the intent is, over time to bring additional brands prima

rily from Nestlé to the JV and to introduce them to India and to grow them. Specifically, at the very beginning, I don't participate the impact on the P&L, for sure, not in a significant way.
Kunal Dhamesha: Sure. That's very helpful. And the last one from my side. I believe we also undertook the expansion of our biologics facility, right? So is that complete now? And with that completion, if you can help with the current capacities? Is it more than enough to cover us for the next 2, 3 biologics or biosimilar that we have in pipeline?
Erez Israeli: We are still investing in our Bachupally facility. The intent is to become something like 50 kilolitre in that facility. This probably will take us additional two years to reach that level. So you want to see additional capex in Bachupally, at least, for the next two years.
Kunal Dhamesha: Sure. And 50 KL is the aspiration, as in like the future capacity? What is the current capacity?
Erez Israeli: I think 15, if I remember, 15 KL.

Kunal Dhamesha: 15 KL to 50KL. Perfect, thank you and all the best.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Ms. Richa Periwal for closing comments. Over to you.

Richa Periwal: Thank you all for joining us for today's evening call. In case of any further queries, please get in touch with the Investor Relations team. Thank you once again on behalf of Dr. Reddy's.
Moderator: Thank you, members of the management team. On behalf of Dr. Reddy's Laboratories Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

November 11, 2024

National Stock Exchange of India Ltd. (Stock Code: DRREDDY -EQ)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)

Dear Sir/ Madam,

Sub: Transcript of the Earnings call conducted on November 5, 2024

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and half -year ended September 30, 2024, conducted on November 5, 2024. Also please note that this transcript of the call has been uploaded on our website and is available at the following link .

Weblink : : https://www.drreddys.com/cms/cms/sites/default/files/2024 -
11/DRL_Q2FY25%20Earnings%20Call%20Transcript_5Nov2024.pdf

This is for your information and records .

Thanking you.
Yours faithfully,
For Dr. Reddy’s Laboratories Limited

K Randhir Singh
Company Secretary, Compliance Officer & Head -CSR

Dr. Reddy's Laboratories Limited's
Q2FY25 Earnings Conference Call

November 5, 2024

MANAGEMENT : MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. M. V. NARASIMHAM : CHIEF FINANCIAL OFFICER
MS. RICHA PERIWAL : HEAD - INVESTOR RELATIONS ,
STRATEGY & CORPORATE ANALYTICS

Moderator: Ladies and gentlemen, good day, a nd welcome to the Q2FY 25 Earnings Conference Call of Dr. Reddy's Laboratories Limited. As a reminder, all participant lines will be in the 'listen -only' mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, ple ase signal an operator by pressing star (*), then zero , on your touch -down phone. Please note that this conference is being recorded.
I, now, hand the conference over to M s. Richa Periwal. Thank you, and over to you, ma'am.
Richa Periwal: Thank you. A ver y good morning and good evening to all of you and thank you for joining us today for Dr. Reddy's Q2 FY 25 Earnings Conference Call. We have with us the leadership team of Dr. Reddy's comprising of Mr. Erez Israeli, our CEO; Mr. MV Narasimham, our CFO, whom we fondly call as 'MVN ' and the Investor Relations team.
Earlier during the day, we have released our results, and the same is also posted on our website.
We kick off today's call with MVN taking us through the financial highlights of the quarter. This will be followed by Erez, sharing his thoughts on operating environment and business performance. Post which, we open the forum for Q&A.
Please note that today's call is a copyrighted material of Dr. Reddy's and cannot be re - broadcasted or attributed in press or media outlet s without the Company's expressed , writt en consent. This call is being recorded, and the playback and transcript shall be made available on our website soon. All the discussions and analysis of this call will be based on the IFRS consolidated financial statement s. The discussion today contains c ertain non -GAAP financial measures. For a reconciliation of GAAP to non -GAAP measures, please refer to our press release.
Before I proceed with the call, I would like to remind everyone that the 'safe harbor ' contained in today's press release also pertai ns to this conference call.
Now , I hand over the call to MVN.
MV Narasimham: Thank you, Richa. A very warm welcome to all. It is my pleasure to interact with you for the first time and present results f or Q2 FY 25.
We delivered a strong performance this quarter with broad -based top line growth and healthy operating margin s, resulting in highest ever quarterly sales and PBT. As you all know, we completed the acquisition of the NRT portfolio and paid an upfront cash consideration of GBP 458 million. We also completed the transaction with Nestlé India on 1st August, and all business activities of the Nutraceuticals portfolio is now being carried out through our subsidiary, 'Dr. Reddy's and Nestlé Health Science Limited '.
Following the completion, Nes tlé India was allocated share of the subsidiary, representing a 49% stake. We have also recently completed 5 -for-1 stock split , following the approval from our Board and shareholders.

Let us now look at the financial performance of the quarter. For this section, all amounts have been translated into US dollar at a convenience translation rate of Rs. 83.76, which is the rate as of September 30th, 2024.
Consolidated revenues for the quarter stood at Rs. 8,016 crores, which is $957 million and grew by 17% o n YoY basis and 4% on a sequential basis. All markets contributed to this quarter's YoY growth.
Consolidated gross profit margin stood at 59.6% for the quarter, an increase of 92 basis points over the same quarter of the previous year and a decrease of 81 basis points sequentially. The YoY increase was primarily on account of an improved product mix and manufacturing

overhead leverage, partially offset by marginal price erosion in generics markets. The QoQ decline was on account of overall mix change. Gros s mar

gin for Global Generics and PSAI were at 63% and 30% respectively.

The SG&A spend for the quarter was Rs. 2,301 crores, which is $275 million, an increase of 22% YoY and 1% QoQ. The YoY increase was primarily on account of investments in new business initiatives, building capabilities, higher freight costs, annual merit increase and certain one-time costs related to the acquisition of NRT brands. The SG&A spend as a percentage to sales was 28.7% and was higher by 138 basis points YoY and lower by 87 b asis points QoQ. Excluding the one -time acquisition related cost, SG&A spend was at 28.1% of sales. We expect SG&A to be in the range of 27.5% to 28% for the full fiscal.

The R&D spend for the quarter was Rs. 727 crores, which is $87 million, an increase of 33% YoY and 17% QoQ. We are developing a robust pipeline of small molecules, biosimilars and novel oncology assets, through internal and collaborative efforts, to drive future growth. The R&D spend was at 9.1% of sales and was higher by 115 basis points YoY and 100 basis points QoQ. We expect the investment to be in the range of 8.5 -9% for the full fiscal.

The other operating income for the quarter was Rs. 98 crores, lower versus Rs. 180 crores last year, due to a one -time product related settlement inco me in the United Kingdom in the same quarter of the previous fiscal.

The EBITDA for the quarter was Rs. 2,280 crores, that is $272 million, an increase of 5% YoY and 6% QoQ. The EBITDA margin stood at 28.4% of sales and was lower by 326 basis points YoY an d higher by 30 basis points QoQ. Excluding the one -time acquisition related cost as mentioned earlier, the underlying EBITDA margins stood at 29.1% of sales.

Impairment loss was of Rs. 92 Crores on intangibles related to a product in the Mayne portfolio that was facing procurement constraints from its contract manufacturer.

The net finance income for the quarter is Rs. 156 crores, as compared to Rs. 123 crores for the same quarter last year.

Profit before tax for the quarter stood at Rs. 1,917 crores, that is $229 million. PBT as a % of revenues was at 23.9%. Excluding the one -time acquisition related costs and impairment charge as called out earlier, the underlying PBT margin stood at 25.7% of revenues.

Effective tax rate (ETR) for the quarter was at 3 0%. Pursuant to the amendments in Finance Act 2024 resulting in the withdrawal of indexation benefit , the Company reversed a deferred tax asset of Rs. 48 crores created in earlier periods on land . Excluding the impact of this one -time reversal, adjusted ETR for the quarter on the underlying PBT is 25.9%. We expect our normalized ETR to be around 25% for the fiscal.

Profit after tax , but before minority interest , for the quarter stood at Rs. 1,342 crores, which is $160 million. PAT margin was at 16.7% of revenues.

The non-controlling interest share of profit after tax for the quarter was Rs. 86 crores. This primarily includes the share of a one -time deferred tax asset recognized upon transfer of Dr. Reddy's nutraceuticals brands to the subsid iary.

Profit after tax excluding the non -controlling interest for the quarter stood at Rs. 1,255 crores, which is $150 million. This is at 15.7% of revenues. Excluding the impact of one -time acquisition related cost, impairment charge, tax reversal and non -controlling interest share as indicated earlier , underlying PAT margins stood at 19% of revenues.

Reported EPS is Rs. 15.0 4. The EPS has been derived on the increased number of shares post the stock split and after n on-controlling interest.

Operating work ing capital as of 30th September 2024 was Rs. 12,066 crores, which is $1,441 million, an increase of Rs. 511 crores, which is $61 million over 30th June 2024.

Capex cash outflow for the quarter stood at Rs. 735 crores, which

is $88 milli on. The free cash flow generated during this quarter was Rs. 204 crores, which is $24 million. Post acquisition - related upfront pay-out, we have a net cash surplus of Rs. 1,889 crores, i.e., $226 million as on September 30th, 2024.

Foreign currency cash flow hedges in the for m of derivatives are as follows. US dollar is $693 million, hedged around rate of Rs. 83.9 and 84.1 to the dollar, maturing over next 12 months which allows participation when USD strengthens and RUB 5,290 million with minimu m protection rate of Rs. 0.905 to the Ruble maturing in the next 6 months.

With this, I, now, request Erez to take us through the key business highlights.

Erez Israeli: Thank you, MVN . And a very good morning or good evening to everyone on the call . Thank you for joining us this time.
Our growth momentum continued in Q2FY25 across all markets, translating into yet another quarter of highest ever revenues and operating profit.

The quarter witnessed two milestones in our journey towards building new businesses. Our venture with Nestlé for nutraceutical products in India was operationalized in August. We also completed the acquisition of Nicotinell® and related brands in the Nicotine Replacement Therapy category in September.
We continue to strengthen our presence in existing spaces by building best -in-class capabilities and commercial infrastructure to leverage our portfolio globally, and by driving operational efficiencies. We remain focused on our core businesses of generics and APIs, while also investing in our pipeline, as well as growth drivers of the future, in line with our stated strategy.
Let me take you through some of the other key highlights for the quarter. One, d ouble -digit growth in revenue in Q2 at 17%. Two, b oth reported EBITDA margins and annualized ROCE were over 28%. Adjusting for one -time expenses related to the NRT acquisition, the EBITDA margin was higher at 29.1%.
Net cash surplus was $226 million . This is after making an upfront payment of GBP 458 mil lion towards the recently acquired NRT portfolio.
Our subsidiary, Aurigene Oncology, announced promising results of Phase 1 study for India’s first trial for novel autologous CAR -T cell therapy for multiple myeloma. Further, the USFDA approved the IND for AUR -112, an asset developed by Aurigene Oncology for the treatment of lymphoid malignancies.
We have secured a Marketing Authorization from the European Commission for our rituximab biosimilar, our first such MA in Europe.
We recently entered into a volunt ary licensing agreement with Gilead Sciences to manufacture and commercialise HIV treatment drug, Lenacapavir, in 120+ countries.
On the regulatory front, the USFDA classified three of our facilities as ‘VAI’ – this includes two of our formulations manufac turing facilities in Duvvada, Visakhapatnam, following their routine GMP inspection in May 2024 , as well as our API manufacturing facility in Srikakulam, Andhra Pradesh, following their GMP inspection in June 2024. In August, the USFDA completed a product -specific Pre -Approval Inspection at our formulations manufacturing facility, FTO SEZ PU1, in Srikakulam, Andhra Pradesh and issued a Form 483 with three observations. We have responded to the observations within stipulated timelines. In September, the USFD A completed a routine GMP inspection at our R&D centre in Bachupally, Hyderabad and closed the inspection with zero observations.
Sustainability continues to remain central to our business strategy. Recognizing our focused efforts in sustainability, KPMG I ndia awarded us their ESG Excellence Award 2024 in the ‘Large -cap Pharmaceuticals & Healthcare’ category. Further, we were featured amongst the ‘Top 15’ Most Sustainable Companies 2024 by Businessworld India.

Now, let me take you through the key business h ighlights for the quarter. Please note that all references to the numbers in this section are in respective local currencies.
Our North America Generics business recorded revenues of $445 million for the quarter with a YoY growth of 16% and a sequential d ecline of 4%. The increase in sales volumes helped offset single -digit price erosion and additional generic competition in certain base products. We launched 4 new products during the quarter and will close th e full year with 15-20 launches.
Our European Generics business recorded revenues of €63 million this quarter, with a YoY and sequential growth of 7%. The increase was largely contributed by revenues from new launches, partly offset by pricing pressure on certain of our products. During t he quarter, we launched a total of 8 products across markets.
Our Emerging Markets Generics business recorded revenues of Rs. 1,455 crores in Q2, recording a strong YoY and sequential growth of 20% and 23%, respectively. On a YoY basis, market share expan sion and revenues from new products launched in RoW markets, more than offset

the unfavorable forex. We launched 22 new products during the quarter across various countries of the Emerging Markets. Within the segment, the Russia business grew by 27% YoY ba sis and 23% sequentially in constant currency.
India business recorded revenues of Rs. 1,397 crores in Q2, with a double -digit YoY growth of 18% and a sequential growth of 5%. The growth was primarily on account of additional revenues from the recently in -licensed vaccine's portfolio from Sanofi and new brand launches. As per IQVIA, our IPM rank continued to be at 10. We have launched 3 brands this quarter, in addition to integrating the nutraceutical products under our subsidiary, 'Dr. Reddy's and Nestlé Health Science Limited'.
Our PSAI business recorded revenues of $100 million in Q2FY25, a YoY growth of 18% and sequential growth of 9%. The YoY growth was primarily on account of improvement in volumes and growth in the CDMO business, which is also repor ted thereunder. We filed 22 DMFs globally this quarter.
We invested 9.1% of our revenue s to strengthen our R&D capabilities. Our R&D investments this quarter stood at Rs. 727 crores. Our efforts are focused on developing complex, value - accretive products, including several generic injectables , peptides and biosimilars, in line with our patient -centric strategy of enabling access and affordability. We have made 60 global generic filings, including 2 ANDAs for the US market during Q2FY25.
In addition to inve sting in our development pipeline, we continue to strengthen our presence in our core areas of business, while also collaborating to build businesses in three areas – consumer healthcare, access to novel molecules, and digital therapeutics. We are also eva luating value creating inorganic opportunities in existing spaces, as well as businesses of the future. We are certain that these strategic investments, coupled with our sharp focus on improving efficiencies will enable us to deliver sustainable growth as well as profitability. And w ith this, I would like to open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Hi, thank you for the opportunity and congratulations on a good set of numbers. First one on the North America business, we have written that the sequential decline is primarily due to volumes. So sequentially, is it fair to assume that th e pricing was stable?
Erez Israeli: The prices are relatively stable in the way we normally ca lculate them. We did not have major issues on the big pro ducts that we normally discuss . As for

the sequential, I would not take it too seriously. Part of it is a normal supply chain behavior that comes into inventory of the distributors or inventory of the retailers . We can definitely guide that we'll continue to grow in America on the base products as well. So , I will not read too much into that. You'll see different numbers in the next quarter.
Kunal Dhamesha: Okay. And this decline in sales volume, one , you said is the channel inventory adjustment. And could it also be some seasonal products not kicking in in this quarter?
Erez Israeli: Yes. So it was mostly about supply chain. There is no real decline. So , there is no loss of market share or anything like that. Actually, if at all, we have a gain of market share. So I will not read too much about the sequentia l decline. I think , year-over-year actually reflect s the situation.
Kunal Dhamesha: Sure. And then the second one on the India Business . We have posted around 18% growth. But let's say, if we remove the Sanofi vaccine business, would we be at the double -digit growth for our base business?
Erez Israeli: It's almost there. It's 9 -point -something percent , even without the vaccine s. So, almost there.
Kunal Dhamesha: So, we have improved a lot from the single digit to low double digit in this quarter?
Erez Israeli: So yes, we are in the double -digit even without the vaccine s. Obviously with it we are well there. So, it's in the right direction , but it's almost there.
Kunal Dhamesha: Sure. And then do you think that this can again accelerate beyond what we have done in Q2 in the coming quarters, given the launch momentum has been very strong, right? We have been launching a lot of products in India?
Erez Israeli: Absolutely.
Moderator: The next question comes from Neha Manpuria from Bank of America. Please g o ahead.
Neha Manpuria: Thank you for taking my question. My 2 -part question is related to the US business. Given we have seen a host of facilities clearing inspection s in the last few months and while we are launching products, we have not really seen hig h-value launches from Reddy's in the recent times. So, when do you think we launch certain of these limited competition high -value products for the US business? When do we start seeing that?

And second, our R&D has stepped up a fair bit. But I did see fil ing momentum has been fairly muted. So w hen does that R&D spend reflect in higher filing or higher -quality filing, better filing and therefore, revenue s?
Erez Israeli: Yes. So on the first question, I hope that you'll see it probably in Q3, but I cannot guarantee that. It's about the ability to get approvals. But we have a couple of those kind of products waiting for approval by the USFDA. And I hope already in Q3, we wi ll see that. Let's say, the remainder o f the year and for sure, in FY 26, we should see a much better take on that.
As for the filing of the R&D, we are primarily focusing on the, what I call, high -quality R&D . We are not going for the 40 files per year, b ut we are spending on the, let's say, more selective type of products, but with a higher value. And we are doing globally, not just in the United States. So every product is going globally . Plus, the investment in biosimilar is primarily for abatacept. So , this is where the R&D money is going to. I believe that there is a better yield and better improvement performance of R&D and we should eventually see it also in the numbers.
Neha Manpuria: Got it , sir. And sir, the R&D spend, how much of this would be for biosimilars and the onco logy asset? And any updates that we can get on the timing for our two biosimilar filings?
Erez Israeli: Sure. Out of the total R&D, 36% is going to both biologics as well a s Aurigene. Aurigene is our innovative arm. And the rest of it is going for the

generics. The generic s is about 50% of the number of the R&D and 14% is attributed to the API. So this is give or take the pie. But about biologics , I believe that the most imp ortant product we will launch in the beginning of 20 27, and this is abatacept . And w e have a couple of licensing activities that is not impacting the R&D, but will be impacting, obviously, the portfolio that we'll have. One of them is denosumab. And of cou rse, this is on top of what we do now with rituximab and bevacizumab in Europe.
Neha Manpuria: And we were supposed to file deno sumab towards the end of this year. Are we on track of filing deno sumab in the US market?
Erez Israeli: Yes. So Europe is on time and also the United States will be filed also by the end of the calendar year.
Moderator: Next question comes from Amey Chalke from JM Financial. Please go ahead.
Amey Chalke: Thank you for taking my question. My first question is on Revlimid . So, in first half, whatever the sales we might have booked for lenalidomide , do y ou expect the sales to be similar in second half? Or you expect the run rate to be on the lower side?
Erez Israeli: You know it, I cannot speak about the sales of Revlimid , per se , because of the agreement. But let's say, you are going to see that it will continue to be very healthy also in the remain der of the year and also in FY 26.
Amey Chalke: Sure. The second question I have, if you can tell us about the preparation for the GLP -1 products for both US and ROW markets, which are going to face patent expiry or where we are going to launch these products .

Erez Israeli: Sure. So first of all, on the overall question on GLP-1, it's a very important segment for us, primarily because of focus on peptides, especially on the API side. So we identified close to , in addition to Semaglutide, liraglutide, etcetera, we are talking about 14 or 15 GLP -1s that are coming up. Obviously, those will mostly be with the patent dates that will be in the next decade. But, let's say, we are going for the entire segment as we speak . Specifically, for Semaglutide, we are planning to be on Day 1 in all the markets that will be open and that we will have, of course, from an IP standpoint, clearance to launch. A nd that's basically the plan, and we are ready with our internal capabilities on both , API as well as our formulations.
Amey Chalke: Sure. Just last question I have on the spend. Our SG&A spend, excluding amortization or depreciation, have gone up sharply over the last 2 to 3 years. I understand we have a big opportunity in US where we are generating good profits, which we are reinvesting in the business. But let's say, post FY 26, do you expect this SG&A spend to remain elevated like this? Or you expect some correction after?
Erez Israeli: Indeed, we increased the SG&A in the last few years, primarily because of the mix of markets that we have. We are focusing more on India, on emerging markets. And these are, as you know,

very profitable markets for us. And they paid well also for those SG&A. So , the level of SG&A in B2B market s is obviously lower. So , part of the SG&A growth is also part of the mix of the market s that is changing, and it's actually changing in a healthy manner.
In terms of the growth of the SG&A, it wi ll be much, much more moderated. I will say flat to moderate, depends on the quarters and the years that we will discuss because like you said, we had an opportunity to build that kind of a franchise and infrastructure in many, many emergin g markets and now it's well established.
The caveat for that will be that we're naturally going for India for innovative products. We are licensing those products. Naturally, some of these products will require certain investments. So likely this will do them, but I don't think it will

be materially change the level of SG&A, and it's not going to happen also very soon.
MV Narasimham: So, I also just want to add, if you look at adjusting one-time costs of this quarter , our SG&A is 28.1% of the sales, and then we expect on a full year basis, it will be in the range of 27.5% to 28%.
Moderator: The next question comes from Balaji Prasad from Barclays. Please go ahead.
Mikaela Franceschina : Hi, this is Mikaela on for Balaji. Thanks for taking my question. We're just wondering how you can leverage the situation where 'Make-in-America ' for generics gets a stronger emphasis? And if you do increase manufacturing in the US, what would this mean for operating margin? Thank s so much.
Erez Israeli: We are not increasing manufacturing in the US . The products that we are launching in the US will be made outside of the US, primarily in India.

Moderator: The next question comes from Harith Ahamed from Avendus Spark. Please go ahead.
Harith Aham ed: Hi, thanks for the opportunity. My first question is on the rituximab biosimilar, for which we got an EMA authorization recently. So , will you be able to share some color on the timelines for launch and our expectations from this particular product? And for the same product in the US, I believe we are awaiting clearance of our facility in Bachupally, which was last inspected in October '23. So , what is the status of that inspection? Do we have a final classification from the FDA? That's my first question.
Erez Israeli: Yes. So , thank you for the question. So the European launch is planned for February '25. And as for the US, we did submi t our response to the US FDA. And obviously, we will wait for this approval . Likely that it w ill be in the first half of FY 26. So of course, it depends upon when we will get the approval from the US FDA.
Harith Ahamed: Okay. And on generic Nuvaring for whi ch we've disclosed a Rs. 90 crore s impairment this quarter. So , can you share what percent of the intangibles related to this product has been impaired? What I'm trying to understand is whether this product is completely out of our expectations? Or do you still expect some revenues from this product?
MV Narasimham: So, we have provided for the full carrying value , because the existing contract manufacturing organization is unable to supply the product. Hence , we have provided for 100% of the carrying value.
Harith Ahamed: Okay. Sir, last one with your permission. The i ntangibles related to the Haleon portfolio acquisition, which I believe is around Rs. 5,500 crores. Over what time frame will we be amortizing this? I'm trying to understand the impact on our P&L.
MV Narasimham: So, largely around 20 -plus years. Currently, we are still evaluating , but I think it will be somewhere in the 22 - 23 years range.
Moderator: The next question comes from Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Hi, thank you for the opportunity. My question is on R&D. So , you mentioned you are focusing on high -quality R&D. So , can you just talk about the segments or products which you are working on? And do you think you can launch some material products in, say, next 1 to 2 years in the US market, specifically, which can help you to cover up some sales lost on the Revlimid part. So that's my first question.
Erez Israeli: So, on the first part of the question, like I mentioned to Neha - about 50% of the R&D goes to generics. So , this is primarily peptides and injectable s, especially complex injectables. The biologics is going primarily on the pipeline that we have, but most of the money , in the short term, will go on the clinical trials of abatacept. And, then we have the investment in the next set of products for first -to-market, which will come later. This is on the API side, mostly GLP -1 type

of product s and the oncology products of Aurigene . So this is one.

On the second part of the question - yes, there is a healthy pipeline of about 20 -plus products of that nature , that have relatively higher value. Of course, most of them are approval dependent. So it's hard to know when exactly we will launch them, but we are ready, and they should contribute to that. And this is including, obviously, Semaglutide in which there is a patent date - we were asked before about that - and this will be launched once the market will open up for this.

Damayanti Kerai: Sure. My related question is you mentioned peptide s, GLP -1 is one of your focus segments. On the R&D part, I understand you are covering the entire product basket, which will open up in market in coming years. But on the manufacturing part, do you have in -house manufacturing capability, or you intend to get it done through some manufacturing par tners?

Erez Israeli: So, we are going to make it in -house, both the API s as well as the finished dose a nd we are primarily dependent on our own internal capabilities.

Damayanti Kerai: Okay. So mostly, it will be done in -house and maybe some parts can be d one through external parties?

Erez Israeli: Yes, yes, absolutely. The part that is not done by us is the device. The d evice itself, we are not making. But our main strength is on the API , as we have those certain technologies , primarily microwave, that all ow us to scale it up very, very nicely. And this is probably our biggest advantage so far in this segment.

Damayanti Kerai: Sorry, I think I missed. So you said API is your strength, but the formulation that can be done through CMOs? Is that right?

Erez Is raeli: So, we are making the API. We are making the formulations. We can also use CMOs for formulation s, but primarily, it will be made by us. And the part that we have to buy is the device - the device we are buying.

Damayanti Kerai: Okay. Understood. My second and last question is on the Nestl é JV. So , you concluded the deal in August. Like what kind of sales or any number you have booked in the second quarter? And from here on, what kind of ramp -up you see , in terms of putting more products in the portfo lio or in terms of revenue . How should we see updates there?

Erez Israeli: So, right now, it's very small in terms of growth , because most of the Nestl é products are not yet registered and brought to India. So , the main intent of this franchise is to bring the Nestl é brands that are very successful outside of India to India and to bring them over time.

So, at this stage, we are talking about tens of crores . It's not material - let's say - somewhere between Rs. 50 to 60 crores. It's not significant. The main impact will come, obviously, from the ability to grow the brands in the future. So , this is the kind of business that it will take us time to scale it up. But we believe that it's very good and very sticky fo r many, many years to come.

Moderator: The next question comes from Bino Pathiparampil from Elara Capital.

Bino Pathiparampil : Hi, good evening. Just fol lowing up on a previous answer - abatacept, you said could be a launch in early '27. Did you mean calendar '27?

Erez Israeli: Yes, calendar '27, yes.

Bino Pathiparampil : Okay. And I was looking at the Russia growth adjusted for the currency fluctuations . It seem s the first half growth in Russia and CIS is a bit muted, probably around the mid -single digits. Any particular reason? And what's the outlook for the rest of the year?

Erez Israeli: So, like I mentioned, Russia is doing really, really well. So in constant currency, we grew 27% in Q2 . And ind eed, there is some devaluation, but I think we have also the right reasons for it. So overal

l, it is likely that you're going to see this high level of double digit in Russia. You have some seasonality in Russian products. So , not every quarter is growing in the same way. But overall, this is the level of growth, especially as some of our peers are not investing in Russia the way we do, and we are gaining rank as we speak.

Bino Pathiparampil : Okay. And , one last question on PSA I. There is a lot of optimism in the market around the CDMO business opportunity coming India's way. Are you seeing that helping your PSAI business in any way?

Erez Israeli: So, it does contribute to our growth. For us, strategically, I see CDMO, primarily , as an area

which help s us to build relationships and build capabilities, especially in R&D as the CDMO is working on the products of the future, and it allows us to scale ourselves up, both small molecules a s well as in big molecules. It has also contrib uted to the growth. And I hope that we will be able to see triple digit on sales of API, if not next year or the year after, but in this range of time. So it's a nice growth. In addition to that, most of the growth in the P SAI comes from collaborations and partners that we have across the globe . This is an important, strategic pillar for us as part of the B2B business.
Moderator: The next question come s from Surya Patra from Phillip Capital. Please go ahead.
Surya Patra: Sir, my first question is on the Nic otinell® business integration. So having completed the transaction, if you can share your thought process now about your growth plans, your integration strategy of this business across various markets and your margin and cost positioning for that business?
Erez Israeli: Sure. So we are going to get the market s in a certain sequence. And just to make sure that I'm explaining it in the right way. N aturally, it's a c arve out of brands from activities that Haleon is having today. So , for some of those countries , we have to create either a legal entity or sales force or distribution agreement or any of that. So , there is an agreement of sequence of countries in which we are going to get and we will be ready to accept those countries with relevant infrastructure, both internal and external. The starting market will be UK in April and in the next 12 to 14 months, we should get more than 80% of the sales managed by us. Until then, it will be managed by Haleon.

Obviously, in terms of numbers, we will start to recognize them already in Q3. So from Q3 onwards, you will see the full impact of that, including some commissions that we need to pay for Haleon for doing the work for us during this perio d of time.
We see three types of synergies that will come once we will manage it directly. One is our ability to invest and focus on those brands. This we feel that this brand ha d certain lack of focus or lack of attention for several years. And we believ e that by doing that, we can increase the growth. By the way, the brand is growing single digits already today.
And second, we can bring it to more markets, more countries. And number three , much more important, we appreciate that there is a lot of change s we can do in terms of innovation - different products, different packaging, different life cycle management of the brand, etcetera. So between the three , we believe that we can add value to these brands. And so right now, focus is on the integration, lik e I mentioned, to get it and to build the infrastructure. And post that, obviously, to invest and to grow it further.
Surya Patra: Sure, sir. Second question is about the CDMO business again. Because of our manufacturin g base and positioning within the U S, whether this Bio-Secure Act development will offer any kind of a meaningful kind of footprint for our CDMO operation s, which has been kind of relatively muted or seeing a kind

of muted performance since some time. Do you expect any kind of meaningful kick -start to the momentum there?
Erez Israeli: We do see more projects that are coming on the biologics side of the CDMO, which is relatively new to us, but we definitely see that the B io-Secure Act, as you mentioned , brings more attention to this segment. An d yes, I believe that it will translate to future business. And yes, I do see an opportunity. I cannot tell you that it's huge at this stage, but it's absolutely in the right direction.
Surya Patra: Okay. Just last one clarification for the US business gro wth. You mentioned you are seeing some volume -related impact in the quarter. But is it possible to give some sense, excluding of lenalidomide, some color to the growth Y -o-Y for the quarter or for the first half , what growth that we would have seen for the base business?
Erez Israeli: So again, like I mentioned to Kunal, I would not read too much on the sequential. On the year -to-year, we are growing the base business, and it's not just lenalidomide . So we are growing that. And I will not read too much into the Q -on-Q.
Surya Patra: No, I wanted to know just on a Y -o-Y basis, sir, for the first half?
Erez Israeli: Y-on-Y, we're growing.
Moderator: The next question comes from Tarang Agarwal from Old Bridge. Please go ahead.
Tarang Agarwal: Congrats for a very strong set of numbers. Three questions. First on Russia. The Rs. 600 crores investment in working capital - what's driving this now? And basically, just wanted to understand or get a bit more color on the business , in terms of how worki ng capital intensive is

that business, some dynamics on the market. Some point, I think DRL had a 2.5% market share in that market. How has that moved? And what's the volume market share there?
MV Narasimham: We have managed working capital through factori ng and short -term loans. Now , it is becoming costlier. And then as a group, when we evaluated this working capital funding as an equity from India to subs idiary, it is beneficial at overall level. That's why we are infusing as an equity towards working cap ital requirement.
Erez Israeli: As for the market share, I don't remember exactly the numbers, but we definitely increased market share and increased our ranking in Russia. So we're clearly growing primarily because of focus. We are a company that's still focusing on this market and there are companies with less focus. I think this is going to very much going to help our side. I think overall in terms of market, both in months as well as quarters, we are growing faster than the market in all segments , on R x, on OTC etcetera.
Tarang Agarwal: Erez, just to get a sense, I mean, how big is the covered market in Russia where Dr. Reddy's operate? And I mean, it's a sizable business now almost $300 million. So how big is the market? And my sense is that the end ma rket may not be growing, but from your vantage, could you expect this business to grow at the same speed as which you probably see your India business growing?
Erez Israeli: I believe so. I believe that you are going to see continuous growth. Indeed, the m arket itself is not growing in volume, but obviously, value, you see a growth because, of course, the situation in a country, price increases, etcetera.
Tarang Agarwal: Okay. Sure. Second, on capex, overall, if I see the trajectory over the last 3, 4 years , we see a lot of investments in R&D , buying products between market access and as intangibles. In terms of physical infrastructur e, if you could give us a sense, where are you in terms of your utilizations between your injectables, your oral solids and yo ur API business? And what are the kind of investments that you are looking at, in terms of expanding your physical infrastructure from here on?
Erez Israeli: Yes. So most

of our investment is in the following spaces. We are investing in our injectables. We are investing in our biosimilars. And we are investing in our API business. And most of the investment in the API business, which is about right now, let's say, give or take 50% of the capex is primarily to build capacity for the GLP -1, as well as the oth er peptides in the pipeline that we discussed before. There are many, many peptides , not just GLP -1. And we are gearing up for the launches o f some of these products in FY 25, '26, '27, etcetera.
Some of the GLP -1, in terms of API can be very, very big. And I believe , that we are one of the most reliable suppliers today, not just to ourselves, but also to the entire industry , of the API, and it i s actually very big opportunity for us , in that respect. So let's say, between the injectables, the biosimilars and the peptide s is the lion's share of the physical infrastructure. And all of it is in India.

Tarang Agarwal: Sure. And last question on the Nestl é JV. How long should the current capital contribution between you and the partner hold the JV in good stead? I mean how far along will we see till further capital contribution of the JV?
Erez Israeli: So, I believe that it will take us a couple of years to build a meaningful size and a meaningful brand recognition, primarily because the brands are new. It's not a brand that we have taken from India. It's a brand that we need to build. The idea is to build the #1 nutraceutical company. Both companies see this for the long term. But unli kely that we'll see a major contribution to profit in the next coming years. It will be primarily investment and whatever we gain, it will be unlikely that we'll reinvest. So it's primarily more of a longer -term type of activity. But , like I mentioned before, I believe - very sticky and very meaningful.
Moderator: The next question comes from Kunal Randeria from Axis Capital. Please go ahead.
Kunal Randeria: On denosumab, the first biosimilar launch in the US should be in year '24. Given that you are yet to file for it, just wondering how many players do you expect will be ahead of you when you eventually launch?
Erez Israeli: You are talking about denosumab?
Kunal Randeria: Yes.
Erez Israeli: Denosumab, it depends, of course, on the success of the others, b ut it should be somewhere

between number 3 to number 5, I believe.
Kunal Randeria: Right. And would this be like a late FY26 launch?
Erez Israeli: It should be FY26.
Moderator: The next question comes from Anubhav Agrawal from UBS. Please go ahead.
Anubhav Agarwal: Just one question on SG&A. So this year, we'll be about 27.5% to 28%. Can you qualitatively give a sense that once in a more normalized stage - once the generic Revlimid is more normalized, let's say, FY 27, once you have ramped up the biosimilar portfolio and also infrastructure for that , what would this number look like in a rough range? And , so when I look at pre -COVID, you guys were doing 29%, 30%. Would you go back to that? Or would you retain 27%, 28%. Can you give a rough sense in a more normalized stage?
MV Narasimham: I believe it will be in the same range for next year at this point of time, but it will not increase significantly.
Anubhav Agarwal: Yes. But next year, you still have the support of generic R evlimid . So I'm just tr ying to understand, one, let's say, one -off revenues are not there. On a more sustainable base business, what would this -- would you go back to pre -COVID number 29%, 30%? Or would you still be at 28%?

MV Narasimham: I think as Erez had explained earlier, our new products also kicking in and thereby , a top line growth will also come. So hence, we believe it will continue to be around that range.
Anubha

v Agarwal: Sure. And you're saying that this is beyond next year as well - same range of 28% continues per year?
MV Narasimham: Around that range . We cannot give exact guidance - it would be largely in that range.
Moderator: The next question comes from Vishal Manchanda from Systematix. Please go ahead.
Vishal Manchanda: Good evening and thanks for the opportunity. On rituximab biosimilar launch in Europe, would you be selling on your own? Or you would have a partner there? And how long would you take to ramp that up to its full potential?
Erez Israeli: We will sell on our own. We have a li st of, primari ly, tenders that we know we can participate in and hopefully, we'll be successful in them. But let's say, on the B2B side of the biosimila r, it should be relatively fast, in accord ance to the date s in which the tenders will be open. In Europe, you have als o the physician countries. In this, obviously, we will have to do some legwork and it will take some time. But yes, there is no reason why we should not see this relatively fast.
Vishal Manchanda: And would this be a $100 million plus opportunity for you?
Erez Israeli: I cannot guide there that much. I don't think it will come to this range, but I cannot quote numbers for this one.
Moderator: The next follow -up question comes from Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Yes. So just for abatacept time line that we have given, it is for the biosimilar launch and not the new indication that our partner is trying. Is the understanding correct ?
Erez Israeli: Sorry, I'm not sure I got the question. On the biosimilar, sorry?
Kunal Dhamesha: So Abatacept, I think , we are developing the biosimilar, and we have out-licensed this biosimilar to Coya for the indication of ALS, right? So the launch time line that we are talking about is for the biosimilar version that we are developing, right?
Erez Israeli: Correct. This is not for the Coya product . The Coya product will come whenever they will finish the clinical trial.
Kunal Dhamesha: And what stage of development are we on the biosimilar side , in terms of the clinical trial or filing?
Erez Israeli: We are in Phase III, and we are supposed to gear up to submit and to launch it in the end of calendar '26 , beginning of '27.
Kunal Dhamesha: Okay. So as of now, let's say, pati ent enrol ment and a ll will be over? Do we have those details?

Erez Israeli: I don't know if it's over or soon to be over, but it’s in a very advanced stage.
Moderator: The next question come s from Surya Patra from Phillip Capital. Please go ahead.
Surya Patra: Just one clarification, sir. When we talk about the GLP -1 API capability. So here, we do say that it is complete end -to-end integrated at our end itself.

Erez Israeli: So we have the API. We are making also the finished product. So in that respect, it's completely back integrated and we are buying the device, if I go t the question right.
Surya Patra: Yes, within API, the complete manufacturing capability that we have. And hence, it is a full end - to-end integrated operation for us?
Erez Israeli: Yes, it is.
Moderator: As there are no further questions, I would now like to hand the conference over to M s. Richa Periwal for closing comments.
Richa Periwal: Thank you all for joining us for today's evening call. In case of any further queries, please get in touch with Aishwarya or myself. Thank you once again on behalf of Dr . Reddy's.
Moderator: Thank you. On behalf of Dr. Reddy's Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

January 29, 2025

National Stock Exchange of India Ltd. (Stock Code: DRREDDY)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)

Dear Sir/ Madam,

Sub: Transcript of the Earnings call conducted on January 23, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter ended December 31, 2024, conducted on January 23, 2025. Also please note that this transcript of the call has been uploaded on our website and is available at the following link.

Weblink: https://www.drreddys.com/cms/cms/sites/default/files/2025-01/DRL_Q3FY25%20Earnings%20Call%20Transcript_23Jan2025.pdf

This is for your information and records.

Thanking you.

Yours faithfully,
For Dr. Reddy’s Laboratories Limited

K Randhir Singh
Company Secretary, Compliance Officer & Head-CSR

Dr. Reddy's Laboratories Limited's
Q3FY25 Earnings Conference Call

January 23, 2025

MANAGEMENT : MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. M. V. NARASIMHAM : CHIEF FINANCIAL OFFICER
MS. RICHA PERIWAL : HEAD - INVESTOR RELATIONS ,
STRATEGY & CORPORATE ANALYTICS

Moderator: Ladies and gentlemen, good day, a nd welcome to the Q 3FY25 Earnings Conference Call of Dr. Reddy's Laboratories Limited. As a reminder, all participant lines will be in the 'listen -only' mode, and there will be an opportunity for you to ask questions af ter the presentation concludes. I, now, hand the conference over to M s. Richa Periwal. Thank you, and over to you, ma'am.

Richa Periwal: Thank you. A very good morning and good evening to all of you and thank you for joining us today for Dr. Reddy's Q 3FY25 Earnings Conference Call. We have with us the leadership team of Dr. Reddy's comprisin g of Mr. Erez Israeli, our CEO; Mr. MV Narasimham, our CFO, and the Investor Relations team.

Earlier during the day, we have released our results, and the same is also posted on our website. We kick off today's call with MVN taking us through the financia l highlights of the quarter. This will be followed by Erez, sharing his thoughts on business performance. Post which, we open the forum for Q&A.

Please note that today's call is a copyrighted material of Dr. Reddy's and cannot be re - broadcasted or attributed in press or media outlet s without the Company's expressed , written consent. This call is being recorded, and the playback and transcript shall be made available on our website soon. All the discussions and analysis of this call will be based on the IFRS consolidated financial statement s. The discussion today contains certain non -GAAP financial measures. For a reconciliation of GAAP to non -GAAP measures, please refer to our press release.

Before I proceed with the call, I would like to remind eve ryone that the 'safe harbour ' contained in today's press release also pertains to this conference call.

Now , I hand over the call to MVN.

MV Narasimham: Thank you, Richa. A very warm welcome to all.

We continued our growth trajectory and delivered consistent results, with a double -digit top -line growth and steady margins, while continuing to invest in our R&D, innovation and commercial capabilities. This is the first quarter of consolidation of the acquired Nicotine Replacement Therapy (NRT) busines s, and this resulted in delivering, yet again, highest ever quarterly revenues and EBITDA in Q3FY25 for the company.

Let us look at the financial performance of the quarter. For this section, all amounts have been translated into US dollar at a convenienc e translation rate of Rs. 85.55, which is the rate as of December 31st, 2024.

Consolidated revenues for the quarter stood at Rs. 8,359 crores, which is $977 million, a growth of 16% YoY and 4% QoQ. This includes revenues from the acquired NRT business of Rs. 605 crores. Excluding NRT revenues, the underlying growth is 7.5% on a YoY basis and a decline of 3% QoQ.

Consolidated gross profit margin stood at approximately 59% for the quarter, an increase of 19 basis points over the same quarter of the previous year and a decrease of 91 basis points sequentially. The YoY increase was primarily on account of improvement in product mix and manufacturing overheads leverage, partially offset by price erosion. Gross margin for Global Generics and PSAI were at 61.3% and 28.6% respectively.

The SG&A spend for the quarter was Rs. 2,412 crores, which is $282 million, an increase of 19% YoY and 5% on a QoQ basis . The YoY increase was primarily on account of recently acquired NRT business, investments in ne w business initiatives, building capabil ities and higher

logistics cost due to increased freight rates. The SG&A spend as % to sales was 28.9% and was higher by 82 basis points YoY and 15 basis points on a QoQ basis .
The R&D spend for the quarter was Rs. 666 crores, which is $78 million, an increase of 20% YoY and

a decrease of 8% QoQ. The continued investment in R&D was primarily towards development of complex generics and biosimilars. The R&D spend was at 8% of sales and was higher by 25 basis points YoY and lower by 110 basis points on a QoQ basis . We expect the investment to be in the range of 8.5 -9% for the full fiscal.
The EBITDA for the quarter, including other income, was Rs. 2,298 crores, which is $269 million, an increase of 9% a YoY basis and flat QoQ. The EBITDA margin stood at 27.5% and was lower by 176 basis points YoY and 95 basis points on a QoQ basis .
The net finance expense for the quarter is around Rs. 2 crores, as compared to a net incom e of Rs. 96 crores for the same quarter last year, primarily on account of unfavourable forex impact and lower interest income post NRT acquisition consideration pay-out.
As a result, profit before tax for the quarter stood at Rs. 1,874 crores, that is $2 19 million. PBT as a % of revenues was at 22.4%. This includes profit before tax from the acquired NRT business of Rs. 124 crores.
Effective tax rate for the quarter was at 25.1% v ersus 24.5% in the base quarter. We expect our normalized ETR to be around 2 5%.
Profit after tax attributable to the equity holders of the parent for the quarter stood at Rs. 1,413 crores, which is $165 million, a growth of 2% YoY and 13% QoQ. This is at 17% of revenues.
Reported EPS is Rs. 16.94. The EP S has been derived on the increased number of shares post the stock split and after Non -controlling interest.
Operating working capital as of 31st December 2024 was Rs. 12,782 crores, which is $1.49 billion, an increase of Rs. 716 crores, whi ch is $84 million over 30th September 2024.
Capex cash outflow for the quarter stood at Rs. 709 crores, which is $83 million. Negative cash flow for this quarter was Rs. 209 crores, which is $24 million. We have a net cash surplus of Rs. 1,603 crores, i.e., $187 million as on December 31st, 2024.

Foreign currency cash flow hedges in the form of derivatives are as follows:

- US dollar is hedged through structured derivatives, $285 million for next quarter at Rs. 83.9 and $681 million maturing over next financial year with minimum protection rate of Rs. 85.7 to the dollar, which also allows participation when USD strengthens, and
- RUB 1,903 million , with minimum protection rate of Rs. 0.90 to the Rouble , maturing in the next 3 months.

With this , I now request Erez to take us through the key business highlights.
Erez Israeli: Thank you, MVN and a very good morning and good evening to everyone.
We have delivered another steady quarter with a double -digit top -line growth, an EBITDA margin of 27.5% and a R eturn on Capital Employed of 28%.
We remain committed to our stated strategy of strengthening our core generic businesses, while also investing in our future growth drivers, primarily in three areas - consumer healthcare, access to innovative products and biosimilars. We are focused on driving productivity in research & development, scaling our manufacturing and commercial capabilities and leveraging our market access to capture opportunities, while operating efficiently.
Following the completi on of acquisition of the Nicotine Replacement Therapy business in September, we are now focusing on its seamless integration, which will happen in a phased manner starting April 2025. During the transition period, the seller, Haleon, will provide distribut ion and related services across all markets. Q3FY25 is the first quarter of consolidation of NRT business financials.
Let me take you through the other key highlights for the quarter:

- One - Double -digit growth in revenue at 16% with EBITDA margins at 27.5% , RoCE at 28% and $188 m illion of net cash surplus.
- We launched Toripa

limab, the first and only immuno -oncology drug approved for the treatment of nasopharyngeal carcinoma and Elobixibat, a first -in-class drug to treat chronic constipation, under the bran d name BixiBat® in India.
These launches are in line with our strategy to address issues of availability and accessibility of affordable innovation in India, through in -house and collaborative efforts.

■ We also made progress on our Biosimilars journey. We secured the Marketing Authorization for Rituximab in the UK. Denosumab has been filed in both US and Europe.
■ On the regulatory front, in November, the USFDA completed a GMP inspection at our facility, CTO -2, in Bollaram, Hyderabad and issued a Form 483 wit h seven observations. We have responded to the observations within the stipulated timelines.
■ We have integrated sustainability in our business operations and continue to be recognized for our focused efforts in ESG. We were placed #5 globally amongst pharma companies assessed in the 2024 S&P Global's CSA, with an ESG score of 79/100. We continue to be members of the DJSI World Index for the 2nd year in a row, along with the DJSI Emerging

Markets Index for the 9th year in a row. MSCI ESG rating has been upgraded to 'A' in Decembe r. We continue to feature amongst NIFTY 100 ESG Sector Leaders. Further, Science Magazine named Dr. Reddy's in their top 20 global pharma and biotech employers for the 3rd consecutive year.
Now, let me take you through the key business highlights for the quarter. Please note that all references to the numbers in this section are in respective local currencies.
Our North America generics business recorded revenues of $401 million for the quarter, which was flat on a YoY basis, with a sequential decline of 10%. The benefit from volume growth and new launches was offset by price erosion, resulting in a flat YoY growth. Sequential decline was on account of lower sales from few products, including Lenalidomide. We la unched 4 new products during the quarter and will close the full year with 15 – 20 launches.
Our European Generics business segment includes NRT financials from this quarter. Europe recorded revenues of €134 million this quarter, a strong YoY growth of 142 % and a sequential growth of 114%. Excluding NRT, the segment recorded a YoY growth of 2 2% and a QoQ growth of 5% in INR terms . We gained from growth in our existing products and new product launches, which more than offset price erosion. During the quarte r, we launched a total of 9 products across markets.
Our Emerging Markets business recorded revenues of Rs. 1,436 crores in the quarter, with a YoY growth of 12% and a decline of 1% on a sequential basis. YoY growth was on account of new product launches in Russia and R est of the Worlds markets and was further aided by higher base business volumes. We launched 20 new products during the quarter across various countries of the Emerging Markets. Within the segment, the Russia business grew by 20% YoY basis i n constant currency.
India business recorded revenues of Rs. 1,346 crores in Q3, with a double -digit YoY growth of 14% and a sequential decline of 4%. We benefitted from growth in our broad product portfolio, including the in -licensed vaccine portfolio an d new launches. We launched 6 brands this quarter. As per IQVIA, our IPM rank continued to be at 10 and we outperformed the IPM with a MQT growth of 10.3%, while IPM growth was at 7.4%.
However, excluding the in -licensed vaccine portfolio, our growth was at 5%.
While many of our brands outperformed their respective categories, select brands in Cardiac and Gastro -intestinal therapy areas witnessed a slower pace of growth. We are poised to return to market -leading growth in these therapy areas in the coming quarters.
Our PSAI business recorded revenues of $97 million in Q3FY25, a YoY growth of

3% and
sequential decline of 3%. The YoY growth was primarily on account of new product launches and improved volumes. We filed 23 DMFs globally this quarter.

We inv ested 8.0% of our revenues to strengthen our R&D capabilities. Our R&D investments this quarter stood at Rs. 666 crores and we are increasingly focusing on development of our complex generic pipeline, including promising GLP -1 assets and biosimilars.
We a re also building commensurate capacities, enhancing our manufacturing and commercial capabilities, and investing in new technologies to capitalize on growth opportunities. We have made 53 global generic filings during Q3FY25.
We remain committed to sustain ability, quality, and operational excellence. We continue to

invest in the three areas of strategic focus, which are consumer healthcare, innovative products and biosimilars, to build a solid foundation for future growth. Our strategic investments in R&D, recent acquisition and capex puts us in a position of strength in this journey.
We are excited about the opportunities ahead and remain steadfast to drive sustainable growth.
With this, I would like to open the floor for questions and answers.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Hi, good evening and thank you for the opportunity . The first one on the India business. So we have grown at around 16% year -on-year, but if we just look at the core business, how that performance has shaped up ? And we have also mentioned that there is some weakness in cardiac and gastrointestinal segment, lower volume pickup. So is it transit ory in nature? Or is there something more to be taken into account there?
Erez Israeli: Yes. So indeed, all the other categories will outperform the market and actuall y all of them grew double digit, beside these two segments. As for both of them, there ar e solutions in terms of, let's call it, the actual execution of the way we do sales and marketing as well as the product performance , per se. Specifically, to gastro, I have no doubt that it will come relatively soon. Cardiovascular may take an additional quarter as we need some more adjustments to do. We are investing more in both businesses in order to grow them faster. So , we are very much focused on that. Other than that, the business in India did pretty well.
Kunal Dhamesha: Sure, sure. Erez, one more question on our biosimilar foray now. We have already filed Rituximab now, with Denosumab also filed, but with partner. So if you could throw some light on the economics here , for Denosumab? And in terms of, let's say, eventual launch, can we assume that this would be the second product after Rituximab and then followed by another one , Abatacept , is the way we should look at?
Erez Israeli: Yes, that's how we should look at it. So Denosumab is actually supposed to facilitate Abatacept launch becau se the two products are going for the same segments and, give or take , to the same type of doctors. So it was also the strategic rationale of why to license the product. We wanted to create the team and the capability in the marketplace , to be able to then gain more or faster market share on Abatacept. So this was also the rationale.

In terms of timelines, normally in the US, it takes about 12 months, give or take , for approval. So, as we submitted in December, give or take, this is where we should expect the launch. In Europe, it's a bit slow er. We submitted in October. So, likely , it normally takes around 14 - 15 months to get all the approvals. So , that's also where the time that we were supposed to launch Denosumab. And yes, it will be after Rituximab in Europe , yes

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Kunal Dhamesha: Sure, sure. And with your permission, last one for MVN. The Rs. 1,240 million of NRT PBT that we have specified , would it include any allocation of in terest expense or just the amortization?
MV Narasimham: Only amortization. No interest.
Kunal Dhamesha: Okay, okay, thank you and all the best.
Moderator: The next question comes from Neha Manpuria from Bank of America.
Neha Manpuria: Yeah, thanks for taking my question. Erez, on the US business, you mentioned that a few products have seen moderatio n quarter -on-quarter, including Revlimid®. While Revlimid®, we understand there's lumpiness, but what was the reason for th e decline in the base business, excluding Revlimid®? Have we lost market share? Is the pricing erosion higher than we were expecting? Any colour there?
Erez Israeli: So, nothing major happened. The products that declined were the famous product s that got competition like Icosapent and Suboxone®. Competition entered for some of them 9 months ago , some of them 6 months ago. So, there was certain continuation. This happened also before. Nothing major happened , per se. Against that, most of the growth that compensate d for it was primarily market share . It was l ess about new products and more about market share.
Neha Manpuria: So, just to get this correctly, we have lost market share in some of these prod ucts and hence, the decline. So, this is the new base we need to work with ? Is that understanding, right?
Erez Israeli: It's a combination of market share and prices.
Neha Manpuria: Understood. Okay. Got it. And my second question is on the consumer healthcare business , on the NRT transaction. Given that Haleon is still running t he business for us till the time the integration happens, how should we look at investments in the business and the ramp -up in the NRT portfolio ? Would that happen only after the integration is done? Is that fair to assume that in the next 12 months, the f ocus would be in actually integrating and then , probably the business

would go into investment stage?
Erez Israeli: No, we do have an agreement with the m on investment and increase of, even , investment in certain areas. This is a business that actually is now gaining momentum. It is growing actually for the second year in a row, and we want to continue that momentum. So there is a certain agreement of gross to net, how much marketing expenses we should put at a time. Once, of course, the market will come to us, we don't need to pay that fee anymore to Haleon. So , it will

save that amount of money that we are paying a certain amount of money for the service that they are giving us as we speak. And it will allow us, of course, to accelerate this process.
In terms of priority, absolute ly, integration is a priority, but also to grow the business. So , to grow the business, to build the capabilities, there is a lot of innovation that was not done there and to introduce it. The real growth will come post this integ ration, but we are going to invest more also in this 12 to 14 months of the time that we get those markets. We are not waiting for that.
Neha Manpuria: Okay. And that investment will flow through our P&L in the SG&A costs. That's a fair assumption?
MV Nara simham: Yes.
Erez Israeli: Yeah, absolutely.
Moderator: The next question comes from the line of Amey Chalke from JM Financial.
Amey Chalke: Thank you so much for taking my questions and congrats to the management on a good set of numbers. So , first question I have is on Semaglutide. We understand that Dr. Reddy's is one of the players who have filed for the Canada market , where the patent expiry is expected somewhere early next year. At present, there are two to three players for this market. By the time we would be launching this product in this market, do you expect the players

to increase? Or
what would be the competitive scenario at that point of time?
Also, if you can also explain Canada market, how similar is it with respect to US , when it comes to price realizati on, market share gains, etcetera, how easy or difficult it is to gain market share in Canada ? Particularly because we have seen in case of Revlimid®, there were a few players who had filed for this product even for Canada, but ra mp-up had not been very encouraging. So if you can give some colour on the Canada market with respect to the S emaglutide opportunity.
Erez Israeli: Sure. I'll do my best. First, the product, if I recall correctly, January '26 is where the patent expiration will happen for Ozempic®, and this is the product that generic version of it is expected to be launched , if we will get approval. I believe we are positioned well to get approval for that period of time. And naturally, it is a very important market for us . Normally, between the time that you submit the product to the Canadian authorities , until you g et approval is 12 to 14 months. So, if they want to be in the market in January of '26, they have to have already file d it to be on time. Anyone that filed aft er that date likely to get approval only after that. So , what you're going to see is probably the sequence in which people will get approval, and we hope to be the first one in the pack. And of course, but for that, we need to get the approval.
Second, it 's a product that, although possible, but it's not easy to make the APIs and as you know, you need to make the auto -injector, the pen, and it requires capacity to align for that. The way you take market share in Canada is , in that respect, similar to what you are familiar with in the United States or in the UK , in which you are collaborating with the main distributors and the

retailers to gain market share , they normally share this product. In this respect, you should look at it like it's a retail product, and that's probably what you do.
The reimbursement mechanism in Canada is different. Every product that is coming is taking , by law , the reimbursement price down. So , in terms of the pricing versus the reimbursement pricing, naturally, the more competition will come , the price will go down accordingly. This is very normal in Canada.
So poten tially, it could be that earlier in time, it will be more of a limited competi tion. And of course, it will intensify over time , as more people will join and the reimbursement price will go down. But to put a scenario, you know, time will tell who will get approval, who will not get

approval. At least , we believe that we have a good chance, let's see.
Amey Chalke: Sure. And one more question related to Semaglutide. Considering there is too much demand, which is expected to be there when the generic player s enter ing this market all over the world. I believe , from the supply point of view, there would b e a constraint in terms of both, API as well as the p en assembly lines?
So, how are we going to ensure that our execution would be better there? Are we blocking some of the capacity, both in the pen as well as API side? How are we going to keep that thing in check?
Erez Israeli: We are working on this project, including capacity , for the last 10 years. It's not that 10 years ago, we knew that the product will be that big. This is obviously information that came over time. But , if you see the level of R&D and capex, you can assume that a big portion of it went for this activity.
By the way, it's not just the API. It's the API for both the synthetic as well as the semi -synthetic. It's about both internal as well as external options for manufacturing. It is about having access to the relevant devices. We are working it for quite some time. And indeed, not everybody will have to be able to cater with t

his magnitude. I agree with it. But, I'm assuming that the product is so attractive that eventually it will be very competitive marketplace. But at least in the initial days, people will have to build a certain level of capacity and market access to make it happen.
I just want to make sure that in full transparency, it's not just abo ut specific markets like Canada, there are about 80 markets that can be open for 2026 because the product i s in demand in all the markets in the world, but there are certain markets in which the innovat or product has not even come to it. We believe that it's also a nice opportunity , in its own merit .
Amey Chalke: Sure. Just last question on the SG&A spend. I be lieve because we have Revlimid® opportunity at present, which is giving us a good cushion to spend more, there is a good amount of discretionary spend, which is happening at present. So , is it possible for the management to give some visibility on how much this spend is discretionary at present, which could reduce post Revlimid®? Or you think because these Semaglutide kind of opportunities are there, it might continue?

Erez Israeli: Let m e take it. I mentioned to you in the past, we feel very, very comfortable with 25% EBITDA, which allow us, as we mentioned it in the past, to give a great return to the shareholders as well as allow us to invest in our system. Absolutely, we took an advant age of the fact that we had a few years of generic Revlimid®, and we absolutely took it to invest more.
This money, we use d to buy the NRT business. With this money, we put more capex, you see, we have much more capex. The investment that we mentioned before on Semaglutide, it was part of it. The activities that we mentioned, of growing the base as well as the productivity , as well as the big products like Semaglutide, Abatacept, as well as BD wi ll allow us to grow. We will continue to invest also fur ther into the future because we a re also building growth engines , not just for the immediate future like '26 and '27, but also for '28 or '29. We are planning to be in the neighbourhood for quite some time. If we will not have this money, absolutely, we have the ability, because a lot of our expenses are discretionary, especially SG&A and R&D, we will absolutely adjust our expenses accordingly . So that level of the philosophy that , you know, we want to stay profitable is important to us.
Moderator: The next question comes from the line of Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil: Hi, good evening. C ouple of questions from my side. Would you give some colour on Iron Sucrose filing that you have done? Or do you expect approval anytime soon?
Erez Israeli: So, we filed it actually a long time ago. We recently got a CR L on the API side, which we are planning to address. So we thought that it's a good opportunity to launch it in these coming months. This right now will be delayed because we need to answer th e CR L, yes.
Bino Pathiparampil: Got it. Second on Abatacept, some of your competitors have tried in the past, but it seems it's a difficult product and some of them seem to have given up. What gives you the confidence that your product can see through the FDA approval process?
Erez Israeli: We had a very successful Phase I. And normally, when you pass Phase I, you have a good chance to, of course, to be very succ essful in Phase III. Also , so far, the rollout and the fact that we even finished the rollout for all the patients is very encouraging. We did it in actually very, very good timing. We believe in our clinic al and I hope that we will be able to submit sometime next year.
Bino Pathiparampil: Got it. And last one question, if I can, on Lenalidomide. Going into FY 26 in 4Q that is in Jan '26, the kind of settlement with lower volume restrictions ar

e coming to an en d. So how should
we look at Lenalid omide? Will it continue a rough, quarterly estimate smoothly until 3Q of next year and then drop off? Or do you think it will get front entered in the next year?

Erez Israeli: I don't know exactly how the quarters will be , because this is a decision normally by the customers. It's not that we are planning this way. We are serving the customer in the way they want to be served. But yes, we likely that we will not sell in this level of pricing, let's say, post somewhere Sept ember, maybe October of calendar '25.

Now , exactly how it will work, I don't know. But post that period of time, unlikely that it will come , because of what we normally call shelf adjustment. So give or take, until that period of time, you should see simi lar behaviour of the product as you saw in the last say couple of years.

Moderator: The next question comes from Surya Narayan Patra from PhillipCapital. Please go ahead.

Surya Narayan Patra: Thanks for the opportunity, sir. First question is on the NRT po rtfolio acquisition. See, while we have indicated that the SG&A cost this qu arter has seen a kind of uptick, post this acquisition and integration , and even after that, the PBT percentage of the NRT portfolio around 21% looks interesting. So, how to think about the profitability of this acquired asset going ahead , because current quarter is anyway seeing the support of Haleon? And simultaneously, we have also thinking about spending more on building the portfolio and franchise. So while it looks interesting in terms of the profitability compared to our base business. So going ahead, how should we think in terms of the synergy benefit at the margin and profitability level for this acquired asset?

Erez Israeli: It should c ontinue to be profitable. So , we a re absolutely going to finance the additional investment for its growth, and we are planning to keep it profitable. There is no plan now to go for, let's say, 2 - 3 years of investment and then take it from there. The idea is to , indeed , spend more, but , for sure, 20 -plus digit o f EBITDA should continue on this asset.

Surya Narayan Patra: Okay. My second point is on the N estlé JV and the domestic business. Put together, I'm asking this question. So , how long that we will take for the Nestle JV to really contribute meaningfully to the growth of the domestic business? That is one.

And the second part of the domestic business question is while we do anticipate this is the business segment which should be growing the fastest among all other business segments for Dr. Reddy 's over the next few years , but right now, it is not even matching the industry growth momentum. So , how should one think and what will start contributing incrementally so that it can re ach the anticipated growth rate?

Erez Israeli: So, the question on Nest lé, this is absolutely go ing to take time. The reason for that is that we need to bring the products to India. We need to invest behind brands that are not today recognized in India. So , it's not that you're investing behind something that is already known. As I'm sure you know well, it takes time to build brands . Both Nest lé and us are very much aligned to that. By the way, so far, the business is doing even ahead of our expectations. S o I'm very happy about it. But , in terms of significant contribution to the growth, it will take a couple of years.

As for your comment about the India business, I mentioned it with the previous questions. Actually, the business is doing well. We do have two segments that underperformed , we mentioned it also - the GI and the cardiovascular . We have a plan to bring it on track, but the business is actually doing well. What we believe really will drive the business, I'm saying it for quite some time, actually for quite some y ears, w e

believe very much in introducing innovation
to India, rather than branded generics. I strongly believe and I'm emphasizing also today that the

branded generics growth will decline over time because of various reasons that we discussed in the past. And I believe that the right products to bring to India are technologies that are addressing unmet need that are with patent protection, and that's what we are building on. I believe in what we said and very committed to what we d iscussed in the past. We are going to grow and become top five in India.

Surya Narayan Patra: Okay. So, the momentum, accelerated growth will be seen in the domestic side starting next year onwards, sir, or it is '27 onwards?

Erez Israeli: No, we are growing also today. We are doing it both organic and inorganic. We are growing in 15-16%. For me, growth is everything. And we are growing faster than the market. The market is growing 7%, and we are going to grow about 15%. This will continue.
What we d o not take into account, at this stage , because of valuation is, of course, major acquisition s, as we discussed in the past. Right now, at least, the multiples of India were too high for us, and we are trying to do this organically . This is why it's taking more time. But we are very bullish and India is a very, very important , focus market for us.
Moderator: The next question comes from Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Hi, thank you for the opportunity. Erez, my question is again on Semaglutide. So , what kind of addressable market you are looking at outside of the US ? You mentioned a lot of markets will open up starting 2026. And with the kind of capabilities which we have built on API or on the device front, what kind of market s hare you are looking for yourself?
Erez Israeli: So, the markets will open in a certain sequence in '26. The most notable markets will be Canada, India, Brazil. The 80 markets that we are discussing are primarily markets in which there was no patent protec tion. These are markets in, primarily , emerging markets like in Asia, Africa, Latin America . Much smaller markets in nature, but cumulatively and demand -wise, it can add a very nice growth to that. We are working on both B2B and B2C. We have global partners , who they are licensing our product , that have great presence in those markets and in some of them, we are going to do it by ourselves. So it's a combination of selling API, selling finished dose, and of course, marketing the product.
And we are going for all the products, Ozempic®, Segovia® and the oral product . So overall, it's something that will come in multi -markets. This sp ecific product, as you know, US and Europe will come later into the year s.
Damayanti Kerai: Okay. But any size indication, which you are targeting, say, for the bigger addressable markets?
Erez Israeli: It's hard to tell market share because we don't know yet who is going to compete in which one of these markets, etcetera. But naturally, in all the markets that we will be first, we have a high expectation of performance, obviously, from th ose market. But any number that I will indicate to you will be wrong. Time will tell. It's not that we are hiding . We really don't know.

Moderator: The next question comes from Tus har Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Sir, just on Abatacept, the time line to file the product I missed in the comments, if you could repeat?
Erez Israeli: So if everything will go right, we should submit i t in December of '25.
Tushar Manudhane: December of this year?
Erez Israeli: December 2025. Yes.
Tushar Manudhane: Got it. And then assuming 12 to 15 months time-line for the regulatory review cycle, right?
Erez

Israeli: Like the Muslim s say Inshallah. We hope for the best. Normally, it's about 12 months. So , let's hope. But let's say, from the patent point of view, Janu ary of '27 will be a great time line, if we can achieve it.
Tushar Manudhane: Understood. And will this product be manufactur ed completely in -house , as in drug product as well as drug substance?
Erez Israeli: You are correct. We will make both drug substance as well as drug product.
Tushar Manudhane: Understood. And just one more, if I may squeeze in, with respect to Semaglutide , while the addressable market size seems to be difficult to highlight. But broadly, given that ex North America market, let's say, Canada, India, Brazil market, can this product do as much as Revlimid® has done for us in North America?
Erez Israeli: I wis h. First of all, the product has the potential to be big, but let's see. We need to see what will be the prices, what will be the market share, etcetera. But there is a potential for something significant. Like I mentioned before, it's not a product replacing one product.
The growth post Revlimid® will come from four elements that I mentioned before . First of all, the growth of the base market products. We have about Rs. 30,000 crores sales that is growing double digit of base business, including, of course, the new products that will be launched that are now not that big. Second one, we discussed, we are aligning our expenses to the relevant revenues that we have and we are creating that level of productivity as well. Number three, we have those spec ial products like Semaglutide and Abatacept . And number four, we have BD . We are all the time doing BD. So, all four elements will grow. It's not one silver bullet. We highlighted specifically Semaglutide at that time, because of the timing in which this p roduct is going to affect, and I'm happy that you guys picked it up. But it's not that Semaglutide will

replace Lenalidomide. All the business lev ers will have to grow, and this should allow us to
continue to grow the company also post the arrangement of R evlimid®.
Moderator: The next question comes from Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Hi, thanks for taking my question. Just one question on Semaglutide. Is the oral formulation available for launch in 2026 in India and the other emerging markets? Or it would just be injectable and oral would come sometime later ? If you can highlight the time lines for different formulation s?
Erez Israeli: Oral will come later. In some places, there are also patents on the oral and the other formulations. So, in most of the markets, it will come between 12 to 18 months after Ozempic®. But we are planning to be on D ay 1 in all the places that we can with this product .
Saion Mukherjee: So, in calendar 2027, we can see oral launches?
Erez Israeli: In some markets, it can be '27 and some of it will be '28.
Moderator: The next question comes from the line of Foram Parekh from Bank of Baroda Capital Markets.
Foram Parekh: Thank you for the opportunity. My question is on the European market. So , ex of NRT, the European market has grown at 22%. So , how sustainable is this growth rate going forward? And if you could explain the reason for this kind of growth?
Erez Israeli: First of all, it is sustainable. We are launching products. There are various le vers in primarily five countries that we are operating in. So today, we are working in primarily in the top five, but we are expanding also to five more. And so , it's a combination of new products, volume growth in the product s that we launch and new markets. So it's absolutely sustainable.
Moderator: The next question comes from the line of Anubhav Agarwal from UBS. Please go ahead.
Anubhav Agarwal: Two questions. One is for MVN sir. Just trying to understand the sel

ling expens es in this quarter.
So, do they include any selling expense for NRT or they don't?
MV Narasimham: Yes, it includes the NRT business ’s SG&A.
Anubhav Agarwal: So, just trying to understand the SG&A sequentially, December over the September quarter . Selling e xpenses excluding amortization is up like Rs. 50 - 60 crores, whereas NRT itself should have selling expenses of Rs. 150+ crores. So what else has gone down that net increase is only Rs. 50 - 60 crores for us?
MV Narasimham: So, if you maybe recap our last quarter ’s discussions, I think th ere was one exceptional expense of stamp duty of Rs. 52 crores in the previous quarter. And this quarter , we have full NRT expenses. So, if you look at that then, you'll get the right mat h.
Anubhav Agarwal: Okay. Sure. Second question is you guys have earlier mentioned that you have two good products in the US. You talked about Iron Sucrose has a CRL on the API. What about the other? Is there any query or inspection or anything pending for it or do you still expect the approval for the other product now?

Erez Israeli: So, there were no other queries that came r ecently. As for inspections, yeah , we do expect inspections at all the sites that were not inspected for quite some time. So , we do have about five or six sites, I need to count , that should see inspections. Of course, those inspections will come at the time that the FDA will choose to do. But there are no pending activities , per se . So all the rest is business as normal , if you wish .
Anubhav Agarwal: Sorry, my question was very specific to the product. So you guys have mentioned two approvals, one, you talked about Iron Sucrose, second is for another product. Do you still expect approval of the other product anytime now? Or is that pending some query or a nything else?
Erez Israeli: I don't know which other products you are referring to, but I'm expecting approvals of 15 to 20 products in the US , in addition to Iron Sucrose.
Anubhav Agarwal: Sorry, Erez .
Erez Israeli: Also, Iron Sucrose, we just mentioned, answering your question, that we got the CRL for it .
Moderator: The next question comes from Vishal Manchanda from Systematix. Please go ahead.
Vishal Manchanda: Thanks for the opportunity. So, on Abatacept filing, whether you'll be filing both the IV and the subcutaneous versions in December 2025?
Erez Israeli: The answer is yes, we do. But , the time of launch is not the same because there are additional

patents on this up to 10 years, which takes us, if I remember correctly , to the beginning of '28.
Vishal Manchanda: So, subcutaneous is the beginning of '28.
Erez Israeli: This is what we believe is the time to enter the market as per IP.
Vishal Manchanda: Okay. And second, on the Semaglutide filing in Canada. Are th ere any device patents that can block your version as a substitutable version to the innovator copy?
Erez Israeli: We don't think so.
Vishal Manchanda: And is your device identical to the innovator device or you have a different device?
Erez Israeli: We ha ve a great device.
Vishal Manchanda: And just one final one, whether we should expect your SG&A expenses to stay at current levels, 28% of sales going forward?
MV Narasimham: Yeah, around this level.
Vishal Manchanda: 28%.
MV Narasimham: Yeah.

Moderator: The next question comes from Shashank Krishnakumar from Emkay Global. Please go ahead.
Shashank Krishnakumar: Hi, thanks for taking my question. First one was just wanted to get your sense on the broader US biosimilar landscape , given that our incremental investments are being directed towards biosims. We're increasingly seeing PBMs launching their own private labels. I think starting this year, several Humira® biosimilars wi

ll also face formulary exclusions. So how do you see th e overall US biosimilar landscape shaping up , given that there are several products in the pipeline?
Erez Israeli: So, I'm assuming it's more of a strat egic question. So, first of all, a lot of products, you know , it will come gra dually, but for the next d ecade, will be off -patent . Many, many products and many bio-specific s as well. So in that respect, it creates an opportunity. Second will be , there will be , absolutely , products that will be more crowded and the refore, very high level of competition, and you will have product s that will be less crowded , in that respect. Absolutely , we are going to see private labels, we're going to see all kinds of phenomen a related to pay ing for the products. So, we are preparing for a very competitive landscape. And like I mentioned in the past, we are going to select certain products that we believe that we can make a difference in and add value to the respective markets. We are trying to go for limited number but with, hopefully, less competition type of a product. And hopefully, we will be right in the way we select it. So far, I believe that the product s, starting from Abatacept , are meeting this criterion .
Shashank Krishnakumar: That's helpful. And secondly, just had a question on DFD -29. Are we also eligible for sales - based royalties here given that the product has no w been approved?
Erez Israeli: Yes, we do.
Moderator: The next follow -up question comes from Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil: Just quick housekeeping questio ns. One, the depreciation and amortization rate this quarter, is this quarter a good benchmark to project it forward?
MV Narasimham: So, this quar ter's amortization includes NRT business ’s amortization. It will continue.
Bino Pathiparampil: So, this rate i s a stable rate to look forward to? Okay. Second question, the Russian currency has depreciated. Have you hedged the currency and for how long?
MV Narasimham: So, we have both, I think, cash flow and balance sheet hedges. This quarter, we have a little bit impact, I think, because of the Rouble volatility in the balance sheet. O n the cash flow hedges, I think as per our policy, we don't cover 100%. We cover some extent and then there, we are not losing any value.
Bino Pathiparampil: Okay. So this quarter, R ussia reported revenue s in INR will be roughly at the current market rate of Roubles, right?
MV Narasimham: Yes. This quarter, I think , if you see constant currency and INR both 19% and 20%, not much difference, both INR and Rouble terms.

Moderator: Thank you. The next follow -up question comes from Surya Narayan Patra from PhillipCapital. Please go ahead.
Surya Narayan Patra: Yes. Just a clarification , thanks for this . In case of the Semaglutide opportunity, what is the level

of integration that we are havi ng in terms of our manufacturing capability , to the level of advanced intermediate s, intermediate levels or it is API and formulation?

Erez Israeli: So, we are fully integrated for all the stages of the API , we are making the peptides from the basic buildi ng blocks , as well as the formulation. We are buying the device.

Surya Narayan Patra: And it is for both solid state as well as liquid state, as you mentioned, the entire value chain that you said?

Erez Israeli: The entire value chain, yes.

Moderator: Than k you. Ladies and gentlemen, we will take that as our last question for today. I, now, hand the conference over to Ms. Richa Periwal for closing comments.

Richa Periwal: Thank you all for joining us for today's evening call. In case of any further queries or clarifications, please get in touch with Aishwarya or myself. Thank you once again.

Moderator: Thank you. On behalf of Dr. Reddy's Laboratories Limited, th

at concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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May 15, 2025

National Stock Exchange of India Ltd. (Stock Code: DRREDDY)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)

Dear Sir/ Madam,

Sub: Transcript of the Earnings call conducted on May 9, 2025

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and financial year ended March 31, 2025 , conducted on May 9 , 2025 . Also please note that this transcript of the call has been uploaded on our website and is available at the following link .

Weblink : https://drreddys.com/cms/sites/default/files/2025 -
05/DRL_Q4FY25%20Earnings%20Call%20Transcript_9May2025.pdf
This is f or your information and records .

Thanking you .

Yours faithfully,
For Dr. Reddy’s Laboratories Limited

K Randhir Singh
Company Secretary , Compliance Officer & Head -CSR

Dr. Reddy's Laboratories Limited's
Q4 and full year FY25 Earnings Conference Call

May 9, 2025

MANAGEMENT : MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. M. V. NARASIMHAM : CHIEF FINANCIAL OFFICER
MS. RICHA PERIWAL : HEAD - INVESTOR RELATIONS ,
STRATEGY & CORPORATE ANALYTICS

Moderator: Ladies and gentlemen, good evening, and welcome to the Quarter 4 and full year FY 25 Earnings Conference Call of Dr. Reddy's Laboratories Limited.

As a reminder, all participant lines will be in the list en-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference call, please signal an operator by pressing '*' then '0', on your touch tone phone.

I, now, hand the conference over to Ms. Richa Periwal. Thank you, and over to you, ma'am.

Richa Periwal: Thank you. Good morning, and good evening to all of you.

Thank you for joining us today for the Dr. Reddy's Earnings Conference Call , covering the quarter and full yea r ended March 31, 2025. We appreciate your time and participation.

Joining us today is the leadership team of Dr. Reddy's Limited, comprising of Mr. Erez Israeli , our CEO , Mr. M. V. Narasimham , our CFO; and the Investor Relations team.

Earlier today, we r eleased our results, which is now available on our website. We will begin today's call with MVN presenting the financial highlights for the quarter and the year. Following this, Erez will share his thoughts on the business perfo rmance. We will, then, open the floor for a Q&A session.

Please note that today's call is a copyrighted material of Dr. Reddy's and cannot be re - broadcasted or attributed in press or media outlet , without the Company's expressed written consent. This call is being recorded, and both the playback and transcript will be available on our website soon.

All discussion and analysis in this call will be based on the IFRS consolidated financial statements. Additionally, today's discussion include s certain non -GAAP financial measures. For the reconciliation of GAAP to non -GAAP measures, please refer to our press release.

Before we continue, I would like to remind everyone that the safe harbo ur provisions outlined in today's press release also apply to this conference call.

Now I hand over the call to MVN.

M. V. Narasimham: Thank you, Richa. Greetings to everyone, and I hope you are all doing well. I am pleased to present an overview of our financial performance for the fourth quarter and full year FY25.

Fiscal year 2025 was another milestone y ear for the organization, marked by strong financial performance. We achieved record -high revenues exceeding $3.8 billion and crossed the $1 billion threshold in Earnings before Interest, Tax, Depreciation and Amortization (EBITDA) for the fi rst time. Both revenue and EBITDA registered double -digit growth for the year.

Please note that all figures in this section are translated into US dollars, using a convenience translation rate of ■85.43, the rate prevailing as of March 31, 2025.

Revenue Performance

Consolidated revenues for Q4 FY25 stood at ■8,506 crores , which is equivalent to $996 million , reflecting a year -over-year growth of 20% and a sequential increase of 2%. For the full year, revenue s were at ■32,554 crores and $3.8 billion, representing a growth of 17%. These results include contributions from the acquired consumer healthcare business in Nicotine Replacement Therapy (NRT) , which added ■597 crores in Q4 and ■1,202 crores for the full year. The overall revenue growth was driven by this strategic acquisition and the contributions from our generics portfolio across geographies. Excluding sales of the NRT business, revenue growth was 12% YoY for bo th the quarter and the year, and 2% sequentially for the quarter.

Gross Margins

The consolidated gross profit margin for Q4 was 55.6%, reflecting a YoY decline of 300 basis points and a sequential decline of 312 basis points. The declin e was

mainly due to
reduced manufacturing overhead leverage and higher milestone income recognized in the comparative period. Gross margins for the Global Generics and Pharmaceutical Services and Active Ingredients (PSAI) segments stood at 59.3% and 26.3% for the quarter. For the full fiscal year, the consolidated gross margin remained stable at 58.5%, consistent with FY24. Gross margins for Global Generics and PSAI were 62.0% and 27.1%, respectively.

Selling, General & Administrative (SG&A) Expenses

SG&A e xpenses for the quarter amounted to ■2,406 crores , which is $282 mil lion, marking a YoY increase of 17% and remaining broadly flat quarter -over-quarter. SG&A as a percentage of the sales was 28.3%, representing a decline of 63 basis points YoY and 57 basis points QoQ. For the full fiscal, SG&A expenses amounted to ■9,387 crores , which is $1.1 billion, up by 22% YoY . This increase is primarily driven by the recently acquired NRT business in the consumer healthcare segment, investments in other commercial act ivities and higher freight rates , impacting logistics costs. We continue to maintain a disciplined cost structure, while strategically allocating resources to strengthen existing businesses and expand into new growth segments.

Research & Development (R&D) Investments

R&D remains a key pillar for long -term growth. We continue to enhance our internal R&D efforts, with strategic external collaborations for innovation assets. R&D expenditure for the quarter stood at ■726 crores , which is $85 million , representing a YoY increase of 6% and a QoQ increase of 9%. As a percentage of reven ues, R&D investment was 8.5%, lower by 118 basis points YoY and higher by 57 basis points sequentially.

Full-year R&D investment was ■2,738 crores ($320 million), reflecting a YoY increase of 20%. The investment was largely focused on building a differentiated pipeline, spanning small molecules, biosimilars, complex generics, including peptides and novel oncology assets.

Other Key Financial s

Impairment Loss is ■77 crores in Q4 and ■169 crores for the full year. The impairment pertains to certai n product related intangibles from Mayne portfolio and other product related intangibles forming part of the Company’s global generic business in India and Europe due to adverse market conditions.

Other Operating Income is ■247 crores in Q4 versus ■66 cro res for same quarter last year and ■436 crores for the full year versus ■420 crores in FY24.

Q4 increase is primarily on account of reclassification of foreign exchange gain relating to foreign operations, from FCTR , the full form of FCTR is f oreign curre ncy translation reserve), post divestment of Shreveport manufacturing facility.

The net benefit to P&L on account of FCTR reversal after adjusting severance and other one - time costs is ■121 crores.

EBITDA

EBITDA for the quarter was ■2,475 crores ($290 mil lion), registering a YoY growth of 32%

and QoQ growth of 8%. EBITDA margin was 29.1%, an increase of 267 basis points YoY and 160 basis points sequentially. For FY25, EBITDA stood at ■9,213 crores ($ 1.1 billion), reflecting a YoY growth of 11%. The annual EBITDA margin stood at 28.3%, down from 29.7% in FY24, reflecting a decrease of 143 basis points.

Finance Income and Profitability

Net Finance Income was ■235 crores in Q4 vs 102 crores in previ ous year and ■472 crores for the full year as compared to ■39 9 crores last year. Higher YoY income is due to net foreign exchange gains.

Profit Before Tax (PBT) was ■2,005 crores ($235 million) in Q4, up 25% YoY and 7% QoQ. PBT for the year was ■7,678 crores ($899 million) for the full year, a YoY growth of 7%. PBT margin was 23.6% for Q4 as well as FY25. PBT includes ■ 89 crores for the quarter and ■101 crores for full fiscal fro

m the NRT portfolio.

Effective Tax Rate (ETR) was 20.8% for Q4 and 25.4% for the full year. ETR for the quarter is lower due to reversal of previously recognized tax provision pertaining to prior years and FCTR transferred to the income statement is not subject to taxation. The full -year ETR is higher than the previous year, mainly due to the reversal of a previously recognized deferred tax as set related

to land indexation and the recognition of a previously unrecognized deferred tax asset on operating tax losses, compared to the period ended March 31, 2024. We expect the ETR for FY26 to be similar to the current fiscal level.

Profit After Tax (PAT) attributable to equity holders was ■1,594 crores ($187 million) in Q4, up 22% YoY and 13% QoQ, translating to a margin of 19%. Full -year PAT was ■5,655 crores, reflecting a YoY growth of 2% and a margin of 17%.

Earnings Per Share stood at ■19.1 for t he quarter and ■68.1 for the full year.

Based on the company’s performance, the Board has recommended payment of a dividend of ■8 per equity share of face value ■1/- each, equivalent to 800% of face value, for the year ended March 31, 2025, subject to app roval of the members of the company.

Cash Flows and Balance Sheet

Operating working capital as of March 31, 2025, stood at ■12,590 crores, a reduction of ■192 crores compared to December 31, 2024, primarily driven by improved receivables management.

Capita l expenditure was ■767 crores in Q4 and ■2,699 crores for FY25.

Free cash flow for the quarter was ■1,110 crores and ■1,332 crores for the full year before acquisition -related pay -outs.

As of year -end, the company maintained a net surplus cash position of ■2,454 crores (i.e., $287 million) post NRT acquisition pay -out in September.

Foreign currency cash flow hedges executed through derivative instruments as of March 31, 2025, are as follo ws. An amount of USD 786 million has been hedged using structured der ivative contracts maturing over the course of the next financial year. These contracts provide a minimum protection rate of ■85.90 per US dollar, while retaining the potential for upside participation in the event of US dollar appreciation. An amount of RU B 2,500 million has been hedged with a minimum protection rate of ■0.91 per Russian Ruble. These contracts are scheduled to mature within the next three months.

With this, I now request Erez to take us thro ugh the key business highlights .

Erez Israeli: Thank you, MVN, and a very good morning and good evening to everyone.

Dr. Reddy’s delivered another year of robust performance, marked by highest ever annual revenues and profits. Fiscal year 2025 was characterized by double -digit growth across all business segments. During the period, we continued to strengthen our core generic businesses, while investing and building our three strategic growth areas namely - Consumer Health, Innovation and Biosimilars. Our efforts remained focused on driving operational eff iciencies,

strengthening our pipeline and enhancing organizational capabilities. In parallel, we executed on value -accretive inorganic initiatives to complement our organic growth, in alignment with our stated strategic objectives.

I would now like to high light some of the key financials for the fiscal year, as well as important updates of the fourth quarter.
■ We sustained momentum and delivered healthy, double -digit revenue growth of 20% in Q4 and 17% for the full fiscal year.
■ EBITDA margins remained resili ent, exceeding 29% for the quarter, and closing the full year at over 28%.
■ Return on Capital Employed (R oCE) reached 27.7%, underscoring our continued focus on capital efficiency and value creation.
■ We concluded the fiscal with a net cash surplus of USD 2

87 million, thereby enhancing our
financial flexibility to support future growth initiatives.
Our biosimilars strategy progressed this quarter through key strategic partnerships:
■ We secured exclusive commercialization rights for the daratumumab biosimilar candidate from Henlius, in the United States and Europe, reinforcing our oncology portfolio.
■ We signed an agreement with Bio -Thera to commercialize ustekinumab and golimumab biosimilar candidates, with a primary focus on Southeast Asian markets.
■ The United States Food and Drug Administration (USFDA) also accepted the filing of our partnered denosumab biosimilar, marking a key milestone in our advancement within regulated biosimilar markets.
The phased integration of our newly acquired Nicotine Replacement T herapy (NRT) business is moving forward as planned. The United Kingdom was successfully integrated at the start of this month and we are on track to complete the integration of the Nordics in the next phase.
We are de monstrating our commitment to bringing innovation to India and improving healthcare access through strategic partnerships:
■ We expanded our collaboration with Sanofi to introduce BeyfortusTM (nirsevimab), a novel drug for preventing respiratory syncytial virus (RSV) .
■ In partnership with ALK -Abel ló, we launched SensimuneTM, an immunotherapy product for house dust mite -induced allergies.
■ We commenced participation in the Government of India’s Jan Aushadi program with one of our products.
We divested our Shreveport manufacturing facility in Louisia na, United States.

On the regulatory front, o ur API manufacturing facility, CTO -2, located in Bollaram, Hyderabad, received a Voluntary Action Indicated (VAI) status from the USFDA, following a successful GMP inspection conducted in November 2024.
We conti nued to deliver industry -leading performance in sustainability, earning multiple recognitions for our Environmental, Social, and Governance (ESG) initiatives:
■ Our EcoVadis score improved to 73, positioning us among the top 15% of companies assessed globall y.
■ We were also honored with the ‘Climate Action Program 2.0 ■ ’ award by CII , in the highest ‘Resilient’ category within the Light Manufacturing Sector.
■ Recognized in the ‘Leadership ’ category on the Indian Corporate Governance Scorecard 2024 by Institutional Investor Advisory Services.
I will now walk you through t he key business highlights for the quarter and the full fiscal year. Please note that all figures referenced in this section are presented in their respective local currencies.
Our North America Generics business generated revenues of $418 million for the quarter, reflecting a year -on-year growth of 7% and a sequential growth of 4%. For the full fiscal year, revenues stood at $1,727 million, representing a 10% increase over the previous year. This performance was primarily driven by increased volumes in key products and successful new product launches, partially offset by price erosion. This quarter, we launched seven new products, bringing the total for the fiscal year to 18. We expect this l aunch momentum to continue in FY26.
Our European Generics business reported revenues of €140 million for the quarter, reflecting a year-on-year growth of 142% and a sequential increase of 4%. For the full fiscal year, revenues stood at €395 million, representing a growth of 73% compared to the previous year. Our strong performance, driven by contributions from the NRT business, higher base business volumes and gains from new product launches, helped offset pricing pressures. Excluding the contributions of the NRT business, the European Generics business recorded a year -on-year growth of 29% and a quarter -on-quarter growth of 11% in Q4, and a full -year growth of 15%. This quarter, we launched 10 new generic products in Eur

ope, bringing the total for the fiscal year to 39.
Our Emerging Markets Generics business reported reve nues of ■1,398 crore s in Q4, reflecting a year-on-year growth of 16% and a sequential decline of 3%. For the full f iscal year, revenues stood at ■ 5,477 crore s, representing a year -on-year growth of 13%. The performance was mainly driven by higher volumes a nd new product launches, partially impacted by unfavo urable forex.
During the quarter, we launched 26 new products across various Emerging Market countries, bringing the total for FY25 to 85.
Within this segment, our Russia business posted a year -on-year growth of 27% in constant currency for the quarter, although it experienced a sequential decline of 13%. On a full -year basis, the Russia business recorded a growth of 24% in constant currency terms.

The India business recorded revenues of ■1,305 crores in Q4, reflecting a double -digit year -on-year growth of 16% and a 3% sequential decline for the quarter. For the full fiscal, the revenues were ■5,373 crores, representing a 16% year -on-year growth. Exc luding the contribution of the in-licensed vaccine portfolio, the business recorded a 6% growth in Q4 and for the full year, driven mainly by successful new product launches and favo urable pricing.
According to IQVIA, we have maintained our position as the 10th largest player in the Indian Pharmaceutical Market (IPM) and have marginally outperformed the IPM, with a moving annual total (MAT) growth of 8.4%, compared to the IPM's growth of 8%. In addition to the Sanofi & Nestlé portfolio, we have launched 23 brands during the fiscal.
Our PSAI business recorded revenues of $112 million in Q4 FY25, reflecting a year -over-year growth of 13% and sequential growth of 15%. For the full fiscal year, revenues stood at $401 million, representing a growth of 12% compared to the previous year. The growth was primarily driven by increased volumes, contributions from new API launches and growth in our Contract Development and Manufacturing Organization (CDMO) business. During the quarter, we filed 52 Drug Master Files (DMFs), including 7 for the US, bringing the total number of filings for the year to 111.
We remain committed to investing in our pipeline to drive future growth, further supported by strategic collaborations focused on innovation. Our R&D investment s for the quarter amounted to ■726 crores, reflecting a YoY increase of 6%, with a growing emphasis on complex assets such as GLP -1s and biosimilars. Additionally, we completed 95 global generic filings, bringing the total for the fiscal year to 249.
In FY 26, we will continue to expand and strengthen our core businesses, drive value through portfolio management, grow our presence in consumer healthcare, innovative therapies and biosimilars, leverage our commercial footprint and explore value accretive acqui sitions & partnerships and maintain financial discipline to build a foundation for sustainable , future growth.
With that, I would like to open the floor for questions and answers.
Moderator: Thank you very much. Participants are requested to ask not more than 2 questions at a time and to re-join the queue, in case of any incremental queries. Ladies and gentlemen, you may press '*' and 1 to ask a question.
The first question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manp uria: Hi. Thanks for taking my question. My first question is on tariffs. Erez, g iven you speak to the policymakers and customers, what is your sense on the extent of tariff or to what level the tariff could be implemented on generics? Could it be in the A PI? Could KSMs be included?

And the second part is, given that Reddy's does not ha ve any manuf

acturing in the US , what are the mitigat ion factors that we are looking, in case tariff is implemented for generics?
Erez Israeli: Thank you. First, obviously, I wish I knew when and how much tariff will come. We are preparing ourselve s for the scenarios, and we are, obviously , watching carefully the information as it will come.
At this stage, the main effort is to ensure sustainability of supply. So the main acti vity, as we speak, is to work closely with our customers and see what is the need , in terms of future inventories as well as new product demand, identify products that may have supply disruption

and try to help them to address it.
We are all waiting to se e what will be the new policies and accordingly, we will address. If the country of origin will be based on API or forms , I don't know. Most of the people believe that it's for API, but we will need to wait and see for formal communication in that respect.
As for the production footprint in the US , I don't think that at this stage, the generic industry is having a short -term issue here. As a company, we would love to have a footprint in the United States. It just has to be the right asset. We are always loo king for an asset, but we ar e not going to do, at this stage, specific activities to build footprint. If the right opportunity will come to us, we will be more than happy to engage it.
Neha Manpuria: And based on your co nversatio ns with customers, would th ey be open to absorbing an impact of any potential tariffs, depending on how much it is? What's your sense of who bears the burden in case of the tariff?
Erez Israeli: My sense is nobody wants to absorb the tariff. At least, I did not find any player that says 'yes, I would love to '. I think what will happen is there will be a certain adjustment period in which people will have to work together to see what to do with it.
Neha Manpuria: Understood .
Erez Israeli: So, it is primarily about working together. Wh at I want to emphasize is that under any scenario, we will not create shortage of suppl y or supply disruption to the US market. This is very, very important to us. We want to stay in the United States for many years. And that's something that was also clar ified in all of our discussions with our customers.
Neha Manpuria: Understood. My second question is on our cost base. MVN, given that our cost base has ballooned quite a bit, even though our margins are healthy , as we look at gRevlimid cliff three quarter s out, how much flexibility do we have to actually reduce this cost once gRevlimid goes away? So just trying to get to how we get to the 25% margin. I know you have a lot of products, etcetera, which will come through. But from a cost perspective, how much flexibility do we have from an R&D and SG&A perspective to reduce cost?

M. V. Narasimham: So, the gRevlimid 's patent cli ff will happen in January 2026. B ased on our current modelling , we will continue to have, based on what we have guided, sales double -digit growth and then EBITDA & RoCE 25% and above at this point of time.
Neha Manpuria: But in terms of R&D and SG&A costs, would it still be at similar levels?
M. V. Narasimham: Yes, yes, R&D and SG&A will be in the similar zone. I think the SG&A now is like somewhere 28% of the sales, R&D is 8.5% would be in the similar zone.
Erez Israeli: So, Neha, the main way to do , is we are planning to just grow faster the sales than the expenses. This is one main, and we have the levers to do that in all the relevant m arkets. So , if you want I'll just put the levers, that will allow both the growth as well as the margins. First, we are planning to grow the base significantly faster than the expen ses, while using all kinds of productivity measures on the cost. It's not a cost cut. It's all kinds of productivity measures. And of course, we are planning to have some nice products that are coming up, both semaglutide as well as the biosimilars that will come. And business development (BD), we are planning to continue to do B D, and we are engaging with quite a few opportunities mostly likely. So the combination of all of that, I believe that will help us to grow, cover also from the potential decline because of lenalidomide and to keep our margins.
Neha Manpuria: Understood. A nd when you say double -digit growth, I assume is ex-gRevlimid ?
Erez Israeli: Yes, we believe that FY 26 double -digit growth is possible as well as maintaining the margins.
Neha Manpuria: Okay. Thank you so much.
Moderator: Thank you. Next question is from t he line of Dr. Kunal Dhamesha from Macquarie Group. Please go ahead.
Dr. Kunal Dhamesha: Hi, thank you for the opportunity, and good evening. The first question on the gross margin s, which has changed quite a bit dramatically on the Q -o-Q basis, and we have hi ghlighted the reduced operating leverage. But as far as I see, our revenues have grown, right? So , I fail to understand how the operating leverage has worked the other way for us. So , if you can provide some more colour on that, it would be great. That's my first qu estion.
M. V. Narasimham: Thanks, Kunal. Here, one-off costs in this quarter are there as part of the manufacturing overheads , as pe r our policies, that's where it is impacted adversely. Like in the Shreveport plant we divested, we have had a severance cost. That is a onetime cost that impacts , which is part of the manufacturing overhead s.
The second , I articulated earlier, as compare d to Q3, in Q4, our out -licensing income is lower. That will have a direct impact on the gross margi n. That's wh y it is 300 basis points lower in this

quarter. We believe this would be a one -off and then we will go back to our normal level.

Dr. Kunal Dhamesha: Can you please quantify the severance cost one -time impact for this quarter?
M. V. Narasimh am: That we have not given right now, but it's not a very small amount. Maybe, if I have to say , out of 300 basis points , manufacturing overhead - this is one , plus another , our accounting provisions also. Overall, it has impacted 0.8% ; 80 basis points out of 300 basis points.
Dr. Kunal Dhamesha: That's the severance cost. And then maybe another 50 basis points …
M. V. Narasimham: Kunal, it is not the severance cost alone. There are other costs also.
Dr. Kunal Dhamesha: Okay. 80 basis point s is one -off. And then the proprietary product s milestone not coming is incremental to that 80 basis points?
M. V. Narasimham: Yes, that is one. And , then, a little bit on the inventory also, there is an overhead. Overall , put together, that all happened in one quarter , that's why you see there is 300 basis points.
Dr. Kunal Dhamesha: Sure, sure. And just a related question. If I look at the NRT business, the PBT margin between the two quarters has a meaningful delta of around 500 basis points, right? So , is there a seasonality? And , when we look at this business on a full year basis, how should we think about this business? Because based on 2 quarters, it is really difficult for us to understand.
M. V. Narasimham: So, for this business , earlier we have also spoken , our EBITDA margin is in zone of 25%. And why the fluctuation between Q3 versus Q4 - there are a lot of int egration costs, that's where it is impacted. O therwise, when you are modelling , the EBITDA you can take it at 25%.
Dr. Kunal Dhamesha: Okay, sure. And , one question for Erez. If you could provide an update on our or GLP -1 or let's say, generic semaglutide product across various markets and also the abatacept product?
Erez Israeli: Sure. So we are gearing up to launch it during the calendar '

26 , in all the markets that the IP landsc ape will allow us to launch. So , this is still intact, and we are progressing nicely in our preparation for that.
As for abatacept, so far, so good. We are deep into the Phase III. And so far, it looks like the time lines are not change d. We were planning to submit the product somewhere in the end of this calendar year, end of '25 , to be ready to launch the intravenous (IV), immediately after patent expiration. And the same for the subcu taneous, which will be coming a yea r later because of the patent related issue. So , once the IP landscape will allow us to launch it, we will do it. So far, so good.
Dr. Kunal Dhamesha: Right now, it's Phase III which is currently going on, right?
Erez Israeli: Yes. The Phase III is going on, and w e are planning to submit by the end of this calendar year, by the end of '25.
Dr. Kunal Dhamesha: Perfect. I have more questions, I will join back the queue. All the best.

Moderator: Thank you. Next question is from the line of Madhav Marda from Fidelity. P lease go ahead.
Madhav Marda: Hi. Good evening. Just a follow -up to the previous question. Could you help us maybe understand the sizing of the generic semaglutide opportunity for us in markets such as Canada, Brazil, and the other larger E merging Markets (EM) where it goe s off patent next year?
We, obviously , have invested in capacity for generic semaglutide. And , what we understand, looking at penetration rates in, let's say, Canada or Brazil , it is severely underpenetrated, because supply was short and obviously, it was at a very m uch higher price point. So , as some of th ese product suppl ies comes through and prices go down, how do we see the volumes expanding for this product, let's say, in Canada and Brazil? If you could give us some sense there, that will be great.
Erez Israeli: Yes. So naturally, Canada is one of the markets that will open early. And what's stopping the people from launch is that exclusivity that will be finished in the beginning of January of '26.
The product, to the best of our knowledge, based on the marketing rep ort is growing nicely. And at least , in according to IQVIA and the financial reports, the market is around $1.8 billion, which suggests that it's around , give or take, 10 million pens . So, it's a very nice market. The CAGR is big. In some report, I saw 28%, in another report, I saw 39%. It's a very, very high level of growth naturally. And , when we saw the prevalence of the disease , versus the use , comparing to other markets, it looks like that in Canada, there is room for growth a lso quantity -wise. So , it's

an interesting market. And once the IP landscape will allow us to launch it and assuming approval, we see ourselves as one of the companies that have the opportunity to be first or among the first in Canad a. We are planning to do the same in India, in Brazil and the other markets , in accordance to, of course, to whatever the IP landscape will allow us.
Madhav Marda: Okay. So , the 10 million pens which you mentioned, that's the Canada market size today, right? Did I understand that right?
Erez Israeli: Yes. What I quoted to you, the numbers that I mentioned are the relevant reports about Canada.
Madhav Marda: Sir, that's what I was trying to understand that this is at a much higher price. So , would you have any sort of sense , in terms of this 10 million pens - given that if you look at the obese population or the diabetic population in Canada - the size of the potential market can be, maybe , 3x, 4x, 5x. So, could give us some sense of how the market could grow ?
Erez Israeli: Yes. S o, I heard 5x, but my knowledge is not different than yours. They probably read the same report. The prevalence i s still high. The use relative to the prevalence is still low. Now , is it 3x, 4x

or 5x, I don't know eventually what will happen. But clearly , that it is going to be an important product for Canada, and obviously, we are very keen on it.
Madhav Marda: Thank you.
Moderator: Thank you. Next question is from the line of Amey Chalke from JM Financial. Please go ahead.

Amey C halke: Yes. Thanks for taking my questions. The first question I have is on the gross margin drop . Price erosion was one of the reasons given for the gross margin drop. So , is it possible for the management to give us s ome understanding on what the U S business price eros ion is for the year? And how the U S business has done for the year , FY26, excluding gRevlimid?
M. V. Narasimham: So, this gross margin, the price erosion is on a year-over-year basis. And in US, I think , the price erosion is very stable. That's what we have put in the press release. We do not see any challenges even. In fact, the price erosio n is like much lower during FY 25 as compared to FY 24.
Amey Chalke: Sure. And the U S base business - how it has d one for the year? It has grown ? How has it performed?
Erez Israeli: The U S business grew. It grew very, very nicely. And , it's primarily due to the usual - new launches, market share gains. And , just to make sure that , in additio n to what MVN said, the price erosion that was in the U S was relatively low, primarily , as most of the product s, I believe, exhausted the pot ential of the price erosion. So , it's normally when there is no price erosion in United States, it's not always a goo d sign. But , in our case, it was a very low single -digit price erosion within the fiscal.
Amey Chalke: Sure. Second question I have on gRevlimid. I n FY 26, I understand that Jan uary would be when the exclusivity is ending. But , if we consider the quota -related quantities which we would be booking before January, how should we expect the distribution to happen over the next few quarters? Is it evenly distributed? Or do you think that during the first half of FY26, we should expect gRevlimid sales to be booked?
Erez Israeli: So, obviously, it's in accordance to the demand of the customers, but likely that we will finish what we can sell a few months before January , in order to make sure that our customers will not be with the goods on the shelf , in order to avoid the shelf stock adjustments. So , likely that we will stop few months before that.
Amey Chalke: Sure. Just last question, if I can squeeze in. We spoke on Canada market related to semaglutide. However, traditionally, we have seen generic s capturing the branded m arket , where the prescription is typically marketed by the innovators. However, here, the market is severely underpenetrated. Do you think there would be any need for you to market the product , despite it being a generic?
Erez Israeli: We believe that the demand from the customers will be strong enough that we don't need to market the product or introduce it to the market. What I believe can happen is that as the product will be much more affordable, and some of th e use is without reimbursement , so, I believ e that it will create an additional demand. But no, we are not planning to actively market the product as a brand.
Amey Chalke: Sure. Thank you so much, I will join back.

Moderator: Thank you. Next question is from the line of Bino Pathiparampil from Elara Capital. Plea se go ahead.
Bino Pathiparampil: Hi. Good evening, all. Following up on gRevlimid, Erez, are you seeing any significant price erosion in gRevlimid as of now, compared to 6 months back?
Erez Israeli: So, there is price erosion. There is also increase i n quantity. So , it's a combination of both. I will not be able to tell you exactly the amount, as you know. But yes, t

here is a certain level of price erosion.
Bino Pathiparampil: Okay. And just to reconfirm what I heard earlier. I believe , you said that for financial year '26, you can do a double -digit growth and maintain the EBITDA margin at the same level of FY 25. Did I hear that correct?
Erez Israeli: Yes, that's what I said.
Bino Pathiparampil: Okay. Okay. And once the gRevlimid cliff happens, maybe in FY27, the margins may settle down back to your long -term target range of around 25% or so. Is that how we look at it?
Erez Israeli: Yes. So , we always said the 25% is indication for the place that we feel comfortable to be, giving enough total share holder return, but also allowing us to invest in the future. So , we will continue to aim for that amount. It may fluctuate from quarter -to-quarter . Sometimes , it will be above, sometimes below. But yes, we are plan ning to be in this neighbourhood , also in the future and post the lenalidomide era.
Bino Pathiparampil: Understood. And one last question on capex. So this year's capex was, I think, more than double the previous year's level. Where has it mainly gone to? And for next year, what's the level we should look at?
M. V. Narasimham: So, largely, the major capex is going in two fronts. One is for peptides, both to create infrastructure for both Active Pharmaceutical Ingredients (API) and formulations and also to create the biosimilar facilities. Largely, these two are major investment driving factors. Apart from that, certainly, since we are in the complex molecule journey, there are product -specific inves tments as well. So that's where , I think , it is overall capex. And then you are asking for FY26. We believe , at this point o f time , it would be in the similar range for FY 26 as well.
Bino Pathiparampil: Got it. Thank you.
Moderator: Thank you. Next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.
Tushar Manudhane: Thanks for the opportunity. Sir, for the Europe market, FY25, was a great year. If you could sort of elaborate on the g rowth prospects for this region , ex NRT , as well for '26 -'27 maybe?

Erez Israeli: Yes. I agree with you. Europe is a growing area for u s. First of all, we are expanding to more countries. We are launching more products, primarily leveraging the pipeline for the United States. We are going to launch biosimilars in Europe, both rituximab, bevacizumab, and after that denosumab and abatacept. And we are planning obviously to grow the NRT business. So indeed, Europe is going to be an important growth area for us.
Tushar Manudhane: Got it, sir. Sir, as far as semaglutide is concerned, because it can be manufactured using biological route as well as synthetic route . Any colour , if you could share in terms of at least the initial countries like India, Canada, would they be okay to approve the synthetic route ? And the competitive dynamics would be different , if that happens or do you think the comp etitive dynamics would be similar , even if it is approved , either through a synthetic route or a biological route?
Erez Israeli: Yes. So , we believe that the synthetic route can be approved for the injectable, for the pens. And the semi -synthetic route is goin g to be used for the oral product. And that's what we are planning to do, synthetic for the injectables and semi -synthetic for the oral.
Tushar Manudhane: So, likewise, the price erosion basis competition would be higher for synthetic route?
Erez Israeli: It, of cours e, depends on how many people w ill launch the product in each one of the markets. So, it's not so much because of the synthetic versus non -synthetic, it dep ends who has access to capacity , at least at the beginning, and who is going to obtain approva l. So , in terms of competition, I believe that in some of the market s,

they may have some advantage , where it will be, at least , for a short period of time or a longer period of time, depends on the scenario, less competitive, maybe less players that w ill be in the market. And thereafter, it will be very competitive, because many companies are having this product and they will compete for market share. At the same time, the product will grow. So , we are preparing ourselves for the scenario

in which we believe that we have a chance for relatively limited competition, but as well as prepare ourselves for the scenario of high volume, low price, very competitive landscape . We are gearing for both.
Moderator: Thank you. Next question is from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader Puranwala: Hi sir. Thank you for the opportunity. Sir, my first question is on y our India business, where you talked about 6% growth, excluding the vaccine business. So , how should we see this portfolio ramp -up happening next year? Any areas where you think the growth was a little lower this year? And then next year, how should we mode l this business for?
Erez Israeli: So, you are going to see similar growth overall for India also next year. This year, we grew 16%. That kind of range of growth you are going to see also in FY 26. I ndeed, I want to emphasize that, although we highlighted the inorgan ic versus organic, but I want to highlight that most of our growth in India will be inorganic. We are licensing products, we are acquiring products. We are introducing innovation through that. So , it will not be by growing necessarily , only the big

brands, an d I will refer to it in a second, but primarily , by introducing products that have better standard of care.
Having said that, most of our big brands from the past grew actually double digits. There are two areas in which we did not do as well. This is in card iovascular as well as in G astro Intestinal (GI). And , we also have mitigation plans for those , primarily , by adding more marketing resources , addressing the relevant product s and introduction of life cycle management. So overall, between new products, innovation, dealing with those big brands that do not do well, we believe , that we will have a high double -digit gro wth in India next year.
Abdulkader Puranwala: Got it. And sir, my next question is with regards to the recent updates coming from the U S in terms of a certain concession on the regulatory front being offered by the U S agencies , as well as they talking a bout increasing the intensity of surprise inspections for plants based out of India and China. So sir, would love to hear your take on these developments coming from the U S market?
Erez Israeli: Yes. So it's not new. Just this year, the inspection that we had in CTO -3 and CTO -6 were unannounced inspection s. Our facilities are ready for it. This was always the guidelines in the United States for years that it's unannounced. So all of our facil ities are ready for that. That actually is the guidelines for a while. And it will require people , that are not ready for that , maybe to upgrade their systems, but we are ready for it.
Moderator: Thank you. Next question is from the line of Surya Patra from Philip Capital. Please go ahead.
Surya Patra: Yes. Thanks for the opportunity , sir. My first question is on the R&D spend front. What we have seen in the last two-year period, sir, there is a back -to-back ~20% growth annually on the R&D spend front that we have witnessed. So , could you give some visibility about the work that we would have done on the pipeline build -up front, and the likely investment on the R&D side going ahead? And what b uild-up th at we would have created so far as the future pipeline or the growth pipeline for us?
M. V. Narasimham : So here, of course, the R&D investm

ents have been increasing in biosimilars . Like, for abatacept which is in Phase III , certainly, the investments are high. And then in case of our generics, we are continuously focusing on all the GLP -1s. I think , these are all th e complex molecules and require a lot of investment . And Erez also had earlier spoken , that abatacept , once we file it, the revenues starts in calendar 2027 .
So, you will just see the revenues from all the efforts what we are doing now, certainly, a little later, it is not very far off, but definitely in the near term, you will see some of the products will start showing up the revenues .
Moderator: Next question is fr om the line of Shashank Krishna kumar from Emkay Global .

Shashank Krishnakumar: Hi. Thanks for taking my question. Just wanted to check with respect to gRevlimid, given the import alert that has been issued to the Viatris facility. So , could you see any meaningful benefit, particularly in the first half this year? O r is that largely a non -event, given that there are volume restrictions in place?

Erez Israeli: I don't think there will be any impacts on us.
Shashank Krishnakumar: Got it.
Moderator: Thank you. Next question is from Shrikant Akolkar from Nuvama Group. Please go ahead.
Shrikant Akolkar: Hi. Thanks for the opportunity. In the Canadian semaglutide market, there are 4 players who have filed. If you can talk about our approval time lines? And do you think that all the 4 players would be there in the Canadian market wh en the opportunity opens up?
Erez Israeli: I, obviously , don't know who would come or who would not, but we are planning to be there at the date that the market will be open.
Shrikant Akolkar: And the approval time line for us?
Erez Israeli: Approval time li nes will likely be a little bit before the date. So , somewhere in the end of this calendar.
Moderator: Next question is from the line of Krishnendu Saha from Quantum Mutual Fund. Please go ahead.
Krishnendu Saha: When I look at the European r evenue for us, it sounds like U K has grown very fast . Is it because we have started selling N RT out there? And the N RT number which you give out , ■1,200 crores, can I double that just to get the whole revenue fo r the full year? And the last question on gRevlimid. When we speak to Natco, they say that June, September could be a better quarter in FY26. Does it hold true for us also? That's it.
Erez Israeli: So, you know I cannot share numbers or guidance on gRevlimid. So I can only say , like we always do , that it's going to stay a meaningful product for us.
As for the U K, it is primarily due to relatively high level of launch es of new products, plus we launched bevaci zumab , also, in United Kingdom. So , the combination of b oth allowed us to grow in the U K.
Krishnendu Saha: And the N RT, the run rate of ■1,200 crores, is it that we simply double , that is what the number we get for the full year FY26?
M. V. Narasimham : Yes. Certainly, give or tak e, that would be the range.
Krishnendu Saha: And when do we start selling in the U K all by oursel ves? It will be next year, is it?

M. V. Narasimham : Yes, yes. Currently also, we are selling in U K and going forward also, we will continue to sell in the U K. B ut what the numbers we are reporting for U K are without consumer health.
Krishnendu Saha: Right. And if I just can squeeze in the last thing. On the GLP last launch , which happened in the US after Teva, 2-3 players have come in. Do you think the scenario could be th e same when it happens for sema glutide when it launches in the U S? I think , Biocon just got an approval or they have launched. So , is it possible that the market there are a lot of filers, but could be like 2, 3 players l

ike gVictoza or it will be large number of players out there? I am trying to understand the number of players in gVictoza are very less, even after Teva has come in and Novo Nordisk is gone. Because a large number of filers for sema glutide in Canada and India and all, do you think everybody will get an approval and there will be large number of players or like with the GLP in the U S right now, gVictoza, there are only 3, 4 players. How do you think the landscape will be on the competition part, that's what I am trying to understand ?
Erez Israeli: We believe that the landscape of semaglutide will be very competitive. It could be a situation at the time of launc h or around the time of launch , there will be people that may get the approval later or have access to the supply chain later. And , so, it will evolve. And those players that may come before and be there on Day 1 may gain first launch ad vantage. But overall, it's going to be, we believe, a very competitive market, and we are preparing ourselves in terms of cost, supply to high -volume, low -cost type of a product over time.
Moderator: Thank you, Krishnendu. With this, I now hand the conference over to Ms. Richa Periwal for closing comments.
Richa Periwal: We appreciate you joining us for this evening's call. If you have any further questions or require clarifications, please feel free to reach out to the Investor Relations team. Once again, thank you on behalf o f Dr. Reddy's Laboratories Limited.
Moderator: Thank you very much. On behalf of Dr. Reddy's Laboratories Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2025

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July 29 , 202 5

National Stock Exchange of India Ltd. (Stock Code: DRREDDY)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)

Dear Sir/ Madam,

Sub: Transcript of the Earnings call conducted on July 2 3, 202 5

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter ended June 30 , 202 5, conducted on July 2 3, 202 5. Also please note that this transcript of the call has been uploaded on our website and are available at the following link .

Weblink : https://www.drreddys.com/cms/cms/sites/default/files/2025 -
07/DRL_Q1FY26%20Earnings%20Call%20Transcript_23Jul2025_upload.pdf

This is for your information and records .

Thanking you .

Yours faithfully,
For Dr. Reddy’s Laboratories Limited

K Randhir Singh
Company Secretary , Compliance Officer & Head -CSR

Dr. Reddy's Laboratories Limited's
Q1FY26 Earnings Conference Call

July 23, 2025

MANAGEMENT : MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. M. V. NARASIMHAM : CHIEF FINANCIAL OFFICER
MS. RICHA PERIWAL : HEAD - INVESTOR RELATIONS , STRATEGY & CORPORATE ANALYTICS
MS. AISHWARYA SITHARAM : LEAD – INVESTOR RELATIONS

Moderator: Good day, everyone, and welcome to the Quarter One FY26 earnings call of Dr. Reddy's Laboratories Limited. I'm Aishwary a Sitharam and I'm part of the Dr. Reddy's Investor Relations team.
I would like to indicate that all participants will be in the 'listen -only' mode during the opening remarks, and there wi ll be an opportunity for you to ask questions thereafter . Should you need any technical assistance during the call, please use the chat function in your Zoom application. Please note that the chat will not be monitored for any questions to the management. I, now, hand the conference over to Richa Peri wal. Thank you.
Richa Periwal : Thank you, Aishwarya. Good morning , good evening, and a warm welcome to all. Thank you for joining us for Dr. Reddy's Q1FY 26 Earnings Conference call. We truly appreciate your time and participation. Joining us today are members of the leadership team, Mr. Erez Israeli, our CEO, Mr. M. V . Nar asimham, our CFO a nd the IR team. Earlier today, we released our quarterly financial results. These are now available on our website for your reference.
We will begin the session with MVN presenting an overview of the financial performance for the quarter . Following that , Erez will provide his perspective on the business highlights and the strategic outlook. We will then move to the Q &A segment as mentioned by A ishwarya.
Before we proceed , please note that today's call is the proprietary material o f Dr. Reddy's Laboratories and cannot be rebroadcasted or attributed in any media or press outlet , without prior written consent from the company. This session is being recorded, and both the replay and the transcript will be made available on our website shortly.
All commentary and analysis during this call are based on our IFRS consolidated financial statements. In addition, the discussion may refer to certain non -GAAP financial measures; a reconciliation to the GAAP measures is provided in our pr ess release. We would also like to remind you that the safe harbor provisions, as detailed in today's press release apply to all forward -looking statements made during this conference call. With that, let me now hand it over to MVN t o present the financial highlights for the quarter.
M. V. Narasimham: So, t hank you, Richa. A very warm welcome to all. Thank you for taking the time to join us today. I am pleased to walk you through our financial results for the first quarter of FY26.
The quarter began on a positive note, marked by a steady double -digit revenue growth. We delivered an EBITDA margin of 26.7%, modestly ahead of our aspiration of 25%. The inclusion of our consumer healthcare business contributed positively to topline momen tum.
All financial figures in this section are translated into US dollars, using a convenience translation rate of ■85.74, the exchange rate prevailing as of June 30, 2025.

Consolidated revenues for the quarter stood at ■8,545 crores, which is $997 million , a growth of 11% YoY basis and remaining flat on sequential basis. This performance was driven by steady performance across most markets , with the exception of our US generics business.
Consolidated gross profit margin for the quarter was 5 6.9%, a decrease of 350 basis points year-on-year and an improvement of 134 basis points sequentially. The year over year decrease in margins was largely attributable to price erosion in generics segment , particularly in Lenalidomide and lower operating lever age, partly balanced by a better product mix. Gross margin for Global Generics and PSAI were at 60.9% and 13.2% respectively. Lower business margins in PSAI reflects seasonal weakness and under -recovery of overheads.
The SG&A spend for the quarter was ■2,5 65 crores, which is $299 million, an incre

ase of 13%
year-over-year and 7% on sequential basis . The year-over-year increase was primarily driven by strategic, growth -oriented investments in consumer healthcare businesses of NRT and the Nestlé JV for nutraceuticals portfolio . Both businesses represent strategic growth drivers, necessitating focused investment to unlock and sustain their long -term potential. Other SG&A expenses remained well -managed and broadly flat on a year -on-year basis, reflect ing discipline in cost control across core operations. Consequently, SG&A spends accounted for 30% of sales during the quarter and was higher by 44 basis points year-over-year and 173 basis points quarter -on-quarter .
The R&D spend for the quarter was ■624 crores, which is $73 million, remaining broadly flat on a year-over-year basis and declining by 14% sequentially. We continue to make targeted investments in our complex generics, API and biosimilars pipeline to support long -term growth. The R&D spend was 7.3% of sales for the quarter, lower by 76 basis points year-over-year and 123 basis points quarter -on-quarter . For the full fiscal, we expect the R&D investment to be in the range of 7-7.5% of sales.
EBITDA for the quarter, inclusive of other income, stood at ■2,278 crores, which is $266 million, an increase of 5% year-over-year and a decline of 8% on QoQ basis . The QoQ decline was primarily driven by higher SG&A and lower other inco me on a relatively flat revenue base. The EBITDA margin stood at 26.7% and was lower by 149 basis points year-over-year and 243 basis points on QoQ basis .
The net finance income for the quarter is around ■157 crores, as compared to ■84 crores for the same quarter last year.
As a result, the profit before tax for the quarter stood at ■1,905 crores, that is $222 million. PBT as a % of revenues was at 22.3%.
Effective tax rate for the quarter was at 2 5.9% compared to 26.04% in the corresponding period last y ear. We expect the normalized ETR to remain around 25% for the full fiscal year.

Profit after tax attributable to equity holders of the parent for the quarter stood at ■1,41 9 crores, which is $16 6 million, a growth of 2% YoY and a decline of 11% QoQ. This is at 16.6% of revenues.
Diluted EPS for the quarter is ■17.0 4.
Operating working capital as of 30th June 2025 was ■13,32 0 crores, which is $1.55 billion, an increase of ■7 22 crores, which is $8 4 million over 31st March 2025.
Capex cash outflow for the quarter stood at ■683 crores, which is $80 million. Free cash flow generated during the quarter was ■4 33 crores, which is $5 1 million. As of June 30, 2025, we have a net cash surplus of ■2,922 crores, which is $341 million.
Foreign currency cash flow hedges executed through derivative instruments during the period are as follows :
- US$ 648 million has been hedged using structured derivative contracts, scheduled to mature over the next financial year. These contracts provide a minimum protection rate of ■86.13 per US $, while also allowing participation in the event of dollar appreciation.
- RUB 3.75 billion hedged at a fixed rate of ■1.00 per Russian Ruble, with maturity falling within the next four months.
With this, I now request Erez to take us through the key business highlights.
Erez Israeli : Thank you , MVN . A very good morning and good evening to everyone joining us today. We

appreciate your time and interest.
Our performance in Q1 highlights consistent performance and steady progress of our strategic agenda. We delivered a double -digit growth in our base business, advanced critical pipeline programs , including Semaglutide and Abatacept. We remained focused on optimising structural costs and driving operational efficienc ies. We are also c onsistent with our strategic priorities, as we scale our presence in Consumer Heal

th, Innovative therapies and Biosimilars. Overall, our
results were broad -based , except for some softness in US generics market.
Let me now walk you throug h some of the key highlights from the first quarter.
Revenue s grew by 11%, reflecting a sustained business momentum and consistent execution. We delivered EBITDA margins of 27%. The RoCE for the quarter was 22%. We closed the quarter with a net cash surplus of $341 million, reinforcing our strong balance sheet position.
Our biosimilars business gained momentum this quarter through a strategic collaboration with Alvotech for the co -development, manufacture and comm ercialization of pembrolizumab, a biosimilar to Keytruda®.

The phased integration of the acquired Nicotine Replacement Therapy - NRT business - is progressing as planned. Following the successful integration in the UK and Nordics, we are now preparing to onboard additional markets , including Canada, Australia, and other select countries across Western Europe in the next phase.
During the quarter, the USFDA inspected our Middleburgh API facility in New York and issued a Form 483 with two observations. Following our responses, the site has been classified as VAI. The agency also conducted a GMP inspections at CTO -5, our API facility in Miryalaguda, Telangana, and issued a Form 483 with two observations. We have submitted timely responses , in line with regulatory requirements. Last week, the USFDA conducted a GMP and Pre - Approval Inspection at our FTO -11 formulations facility in Srikakulam, Andhra Pra desh, resulting in a Form 483 with seven observations. We will respond within the required timelines.
In recognition of our sustained commitment to sustainability, our Carbon Disclosure Project (CDP) rating for 2024 was elevated to an 'A' in the Climate ca tegory, making us the only Indian Pharmaceutical company with this score and placing us among the top 2% of companies globally. We also retained our leadership status in the Water and Supplier Engagement categories, reflecting our consistent performance ac ross key environmental dimensions.
Let me take you through the key business highlights for the quarter. Please note that all financial figures mentioned are reported in their respective local currencies.
Our North America Generics business generated revenu es of $400 million for the quarter, a 17% year-on-year decline and a 4% decrease sequentially. The softness in the market was primarily due to price erosion in select products, primarily Lenalidomide and timing of procurement of these products by certain c ustomers. During the quarter, we launched five new products and expect a pick -up in the launch momentum in the remainder of the fiscal year, which is expected to support recovery and drive growth in this segment.
Our European Generics business delivered re venues of €131 million for the quarter, marking a 124% year -on-year growth and a 6% sequential decline. The year-on-year performance was primarily fueled by contributions from the acquired Nicotine Replacement Therapy (NRT) portfolio and new product launch es, which provided offset to the pricing erosion . During the quarter, we introduced 13 new generic products across European markets, further strengthening our portfolio and reinforcing our growth trajectory.
Our Emerging Markets business reported revenues of ■1,404 crore s in Q1, reflecting a 10% year-on-year growth and flat sequentially. Growth was primarily driven by higher volumes and further supported by new product launches. During the quarter, we introduced 26 new products across multiple coun tries, reinforcing our commitment to expanding access and deepening market presence. Within this segment, our Russia business delivered a 17% year -on-year growth and a 2% sequential increase in constant currency terms, underscoring its continued momentum , despite mac

roeconomic challenges.

Our India business reported revenues of ■1,471 crores in Q1, delivering a double -digit year -on-year growth of 11% and a 13% in sequential increase. This performance was primarily driven by contribution from new products an d pricing. According to IQVIA, we continue to hold our position as the 10th largest player in the Indian Pharmaceutical Market and have outpaced market growth, with a moving annual total growth of 9.2%, compared to the IPM's 8% growth and MQT growth of 11. 2% vs IPM growth of 8.6% . During the quarter, we launched five new brands, including two Innovative assets , BeyfortusTM, which is a RSV Vaccine & a product called SensimuneTM in Q1, further strengthening our domestic portfolio and reinforcing our growth momentum.

Our PSAI business reported revenues of $95 million in Q1FY26, registering a 4% year -over-year growth , while experiencing a 14% sequential decline. The business moment um is expected to pick up in the coming quarters, positioning us to return to a double -digit growth trajectory for the fiscal year. During the quarter, we filed 12 Drug Master Files.

We remain committed to strengthening our pipeline as a key driver of futu re growth, while actively pursuing strategic collaborations to accelerate innovation and expand our capabilities. Our R&D efforts remain concentrated on complex generics, high -impact areas like GLP -1 group and biosimilars, which are central to our long -term value creation strategy. During the quarter, we completed 11 global generic filings.

As we move through the fiscal year, our focus remains on strengthening our base business, advancing key pipeline assets like Semaglutide and Abatacept, building commerci al strength in regulated markets and improving efficiency and cost structures. We are actively exploring strategic partnerships and acquisitions to diversify and strengthen our portfolio. These efforts reflect our commitment to agility and disciplined exec ution in a dynamic market environment , aimed at delivering sustainable value for our stakeholders.

With that, I welcome your thoughts and questions as we move into the Q&A session.

Aishwarya Sitharam : Thank you, Erez. We will , now, begin the question -and-answer session . To join the question queue , please use the 'Raise hand ' option available on the bar at the bottom of your Zoom application. If you wish to exit the question queue, you may click on the 'lower hand ' option . Participants are requested to not ask more than two questions at a time, and to rejoin the queue in case of any incremental queries.

I would like to reitera te that the chat will not be monitored for any questions to the management. However, in case of any technical concerns, please do feel free to use the chat option to reach out to us.

The first question is from the line of Am ey Chalke, from J M Financial . Amey, p lease go ahead.

Amey Chalke : Thank you for the opportunity. I hope I'm audible. So , the first question I have is on the U S base business. Is it possible to give some guidance on how it has performed quarter on quarter -

whether it has improved or gone down directionally, and how the base business is expected for the F Y26 as well for the U S.

Erez Israeli : Yeah. So , the base business in the U S was decreased. It's primarily timing. So , I will say, I don't see anything relative ly special. There were some key products, especially suboxone. in which there were a kind of orders that move d from a quarter to quarter. I would not give too much importance to it. Overall , the b ase business, the way I see , it's going to be flat to a single digit growth , like we normally are discussing . It, of course, depends on the success in some product launches that we are planning . Most of t

he decline that you see Q -on-Q was attributed to Lenali domide .

Amey Chalke: Sure. Thank you so much. And the second question I have is on Revlimid®. So going ahead , you expect some pickup in coming quarters before going down from Q3. Or you expect the similar trajectory for Revlimid® for upcoming quarters as well.

Erez Israeli : So, you know, we are not discussing specific number s on this product. But it is important to people , we know. Naturally , we are trying to avoid a shelf price adjustment. So , what you should anticipate is one more quarter , give or take , in the range of what you have today, and relatively much less in Q3. And after that some left over, and that's it.

Amey Chalke: Sure. Just last question , if I can squeeze in , on Semaglutide launches in the RoW/ non-regulated market s. When should we expect that to happen ?

Erez Israeli: So, we are prioritizing the capacity that we have , to launch in Canada. So, assuming that this will happen, the launch in the rest of the countries during calendar 2026 will be in 87 markets

overall. Most of them are small. The key will be India, Brazil, Turkey, and countries like that will be after March of 2026. And Canada has an opportunity , like we discussed many, many times , to be before that.
Amey Chalke: Sir, thank you so mu ch. I will join back.
Aishwarya Sitharam : Thanks, Amey . The next question is from the line of Neha Man puria, from Bank of America. Neha, please go ahead.
Neha Manpuria: Yeah, thanks for taking my question. My first question on the U S Pipeline, you know , North America . Obviously, we have Sema , that will that we will probably get to know in the near term. One, if you could tell us what timelines we need to watch for Sema and for Canada particularly. And second, other than that, the single digit growth that you're talking about , does that include any high value launches in the second half that we should watch out for ? And I'm asking this because we also saw a PAI inspection , for the Srikakulam facility recently.

Erez Israeli : Yeah. So , I will start with the last part. Neha , I believe that we will get a VAI . The observation s that we got , to my opinion, are addressable, and we should expect a VAI f rom that .
On the timing of Semaglutide, we are still planning and gearing to get approval of the product somewhere between end of October to beginning of November. And if this will happen , we can launch the product at the time of the loss of exclusivity , in the beginning of January 2026. And that's what we are gearing oursel ves to do. As for the rest of the products , with this analysis that we made, meaning that I tried to give you how I see the trajectory of the year, w e did not take into account a very significant , let's say, out of the ordinary launch . We are planning to launch about 20 products in the United States , but none of the , let's call it , sophisticated products . We learn t from experience.. I look at them as an upside, so it could be upside to that trajectory that that we see .
Another thing on S ema, just to make s ure that people have the complete picture . We are having two assumptions as related to Canada, one that from IP perspective , we will be able to make and ship the product to Canada, which is a country without a patent and, second, that we will get approval in that period of time. Obvio usly, if these 2 assumptions will not happen, it may change the trajectory of Sema glutide.
Neha Manpuria: Okay, thank you so much , Erez. MVN, another question for you, just looking at the gross margin trend for this quarter . You know , given a quarter where we've seen a fair bit of erosion in Revlimid®, we still managed to improve gross margins. If I were to think about the full year, how should we think about gross margins , particularly going into fiscal 27 ? And h

istorically,
you've also mentioned that SG&A cost will be in the 28% of sales range , but obviously it's track ing higher. So , is it fair to assume that this is the new range for SG&A c ost, the closer to 30% mark that we have reported in this quarter ?
M. V. Narasimham: Thanks, Neha. And as far as gross margin is concerned, I think at least for this year, would be in the similar levels, and because there could be higher sales from the base businesses in the branded markets and other BUs. And that's where I think for this y ear. And next year , I just don't want to give you any number at this point of time , range also. Definitely, o nce we launch semaglutide , we can model it. That's where it is, I think , we can see .
As far as SG&A is concerned, I think even for the full year basis, it should be in the zone of like a 28 to 29%, not a 30%.
Erez Israeli: I just want to make sure, Neha. If we successfully launch semaglutide , we should be absolutely good in all the parameters that we are familiar with, meaning the EBITDA as well. So , we are aiming that the base business will be always north of 50%. And in semaglutide, it should be even more than that on the gross margins. And the EBITDA , obviously, like always 25, or north of it . In the time in which we don't have lena, and we don't have sema, likely that these parameters will be lower than that.
Neha Manpuria : Understood. Yeah, go t it. Thank you so much , Erez .

Aishwarya Sitharam : Thanks, Neha. The next question will be from the line of Damayanti Kerai from HSBC .

Damayanti, p lease go ahead.
Damayanti Kerai: Yeah , hi. Thank you for the opportunity. My first question is again on lenalido mide . So, Erez, for 2 Q as well , also, you have mentioned the level should be similar to what you booked in the June quarter, or there is still , like, some room to book higher sales , given , I think , you want to book most of the sales intended for F Y26 in first half itself.
Erez Israeli : Yeah, not too much, because there are also moving parts on prices. The price went down in this fiscal versus last fiscal, but overall , let's call it , similar magnitude. I will not say the same, but similar magnitude.
Damayanti Kerai: Okay . So, on the pricing pressure part , is there a possibility you will be facing higher magnitude , compared to the current level. Because I understand, your competitors are also trying to pass on maximum volume which is possible in first half itself. So , in view of that, will price erosion intensify , possibly from here ?
Erez Israeli: We hope not. I believe not , because most of the booking was done already . In general , naturally, when more companies came this year , they had bigger quotas, and they are trying to sell in less quarters . So, by design , it has created certain density , versus the year before . It is all well anticipated . So, honestly, I don't see any surprise s. And in my discussions, especially in the last couple of weeks, and I met quite a few people during this period of time , we kind of explained it. So , I believe , that what you should see from us , it's, give or take , similar magnitude of pricing as well as quantities and after that , it will be a sharp decline in the other quarter.
Damayanti Kerai: Sure. My second question is on sem aglutide regarding your preparation . So, can you update us on your capacity expansion at Vi zag a nd when do you expect that capacity to come on board ?
Erez Israeli: Yes. So, the launches that will happen in FY26 and F Y27 will not be out of Vizag . It will be with our partner . And using our API, but with the partner . Which means that the capacity of FTO -11 will come from F Y28 onward s. We are likely to have , in the beginning , with our partner, about 12 million pen s in FY27. And if you like to look at calendar 26, because it's v

ery relevant
for the potential Canadian launch , it's about 10 million pen s. This is what we are planning to have.
Damayanti Kerai: Okay, so for 26 and 27 fiscal years , you are good to go with 12 million pen capacity from your partners. Do you think that that will be sufficient to gain meaningful market share in the market s which you are targeting ?
Erez Israeli : We believe so. Naturally , we would love to have more , but we feel very confident about this magnitude. There is maybe potential upside to it , but, this amount I feel very confident about. And now it's a matter of what mix of market s we will get overall, and then what will be the average price for those . This, of course, is unknown. But yeah, I feel very comfortable about this magnitude.

Damayanti Ke rai: Okay, that's helpful. Thank you.
Aishwarya Sitharam : Thanks, Damayanti . The next question is from the line of Madha v Marda from Fidelity International. Madha v, please go ahead.
Madhav Marda: Hi, good evening. Thank you so much for your time. First question was, if you could j ust give us an update on the biosimilar abatacept Phase III trials . How that is progressing ? And by when do we expect outcome for the Phase III trial? That's my first question.
Erez Israeli : So, so far so good. The readout is in November ’25, which is as expected, in accordance to the timelines . Following the readout, which I hope and believe that it will be positive , we are planning to submit the BLA , in order to be on time for the market formation, which is December ‘26 or January ’27, let's say, if we look for the realistic launch because there are some registration s post approval. Just to make sure, you have the full picture, the launch in the beginning of calendar 27 can be of the IV formulation. The subcutaneous formulation , because of IP , will be a year later.
Madhav Marda: Understood. Yeah, that's quite clear. And the second question is on the cost saving measures. So, would you give us some sense in terms of the extent of cost savings that we can drive and if you could give us some sense in terms of , in the R&D spend , given we do have Phase III trial of biosimilar abatacept ongoing , what's the quantum of that spending ? And I'm assuming that spending should not recur next year. So , the extent of cost saving that we can drive for the organization next year. Thank you.
Erez Israeli : Absolutely , you got it right. We use d the time in which we enjoyed the backing , the tailwind that came with lenalidomide, and we boost ed some investment s for the future, including abatacept ; including the creation of the franchise of the GLP – 1; including the build -up of the facilit ies for that; including the acquisition of the NRT Business. So , all of that was done because

we had access to more financial capacity, and we used it. As you said rightly, some of that investment we don't need anymore. Post , for example, November ‘25 will not have to pay for the clinical trial s of abatacept. W e, also, kind of , feel that there are discretionary costs between R&D, SG&A that can be 500 basis points , 600 basis point s that we are planning to adjust in according to the motion. We need to remember that we have also some question mark of how the future will hold between tariff and the semaglutide magnitude. So, according ly, we are preparing for scenario s. So, the idea is between g rowing the base , semaglutide and the expenses as well as success in BD, we will kind of manage to make sure that the growth is coming in the right way.

Madhav Marda: Sir, just to clarify , when you say 500 to 600 basis points . Dr. Reddy’s s ales, you know, it's at about, let's say, ■30,000 crores plus top line . So, 500 to 600 basis points , are you saying there's potential to save ■1,500 to 1,800 crores on cost ? Is that the right way

to think? Of course, like
you said, depends on how the business shapes up. But is that the potential ?

Erez Israeli : The potential is like that , but it doesn't mean that we are going to save all of th at. So, I'm not recommending you to put in the model that much. But absolutely, that's the game that we play. So, we prepared it in advance. Naturally , lenalidomide was a known facto r. We are preparing for it, actually, since we signed the deal. And that's part of the idea. Hopefully, we don't need it, because if the growth will allow us to invest more , eventually, we want to invest because we want to create additional for the future. And we want to be a growing company for many, many years. So , we are trying to manage the famous 25%, 25% , double digit growth also into the future. It's not going to be necessarily every quarter because of this timing of some big products , as you can appreciate. But I'm confident that on the big scheme , we will be there.

Madhav Marda: And if I can ask one last question . When you said that, you know , we have 12 million pens available in F Y27, I guess you're right, that the mix of markets will be important for the profitability. But are we confident, given we plan to launch in more than 80 countries potentially, some of which can be small as well, but that we can sell the entire 12 million pens with or without Canadian approval ? Like, we can sell t he entire volume, at least ?

Erez Israeli : I believe so, for two reasons. One, in all of these markets , we are aiming to be first, or among the first. Second, the demand for this product looks crazy and so far the indication in places that we started to speak to people can confirm this that the demand is there . Yeah , so I believe that it's absolutely possible.

Madhav Marda: Perfect. Got it. Thank you , so much. Thank you.

Aishwarya Sitharam : Thanks, Ma dhav . The next question is from the line of Dr. Har ith Ahamed, from Avend us Spark. Harith. Please go ahead.

Dr. Harith Ahamed: Good evening . Thanks for the opportunity. So , a couple of questions related to your U S Pipeline. The first one is on generic liraglutide, which you had filed sometime in 2023, and I see that there are quite a few gen erics already in the market and it's a fairly decent opportunity. So , what is the status of our filing, and what are the timelines we are looking at?

Erez Israeli : Yeah. So , it's a product that we obviously have , and we are planning to launch it also in the next coming quarters. In some market s, we will be late , in some market s, we will be first to market. Also, as you know, liraglutide is Victoza® and Saxenda®. We believe that with Saxenda® we are going to be first to market, or one of the first-to-market in some places . So, it's a product in the in the mix. It's not as big as s emaglutide. That's why we're not talking about it . But if you recall , we have about 25 pr oducts, as we call them - peptides, or with bigger potential. Neha asked me about it before. I'm not guiding on those products before they're coming , but liraglu tide is definitely one of them, and we're plan ning to launch it.

Dr. Harith Ahamed: Okay, thanks for that . On Semaglutide in Canada , you said earlier that you're making two assumptions. One of them is that there won't be any patent protection for the brand in Canada . So, is there a risk to that assumption? Or is there any scenario where, you know , there could be a patent related hurdle to your launch ?

Erez Israeli : So, just to correct . There is no patent in Canada. What keep s the product from being launched is

data exclusivity that will expire in January ‘26. There is a patent in India , that we are now
litigating in Delhi High Court . And of course, so far , we are following the instruct

ion s of the
court , and we are preparing fo r that. And the second is that we need to get approval. If both will
happen it, we will be good. I don't see a n IP situation in Canada that will stop us.
Dr. Harith Ahamed: Okay, thanks for that. I'll get back in the queue .
Aishwarya Sitharam : Thanks , Harith. The next question is from the line of Dr. Bino Pathi parampil from Elara Capital .
Bino, please go ahead.
Dr. Bino Pathiparampil : Hi. Good evening. Most questions got answered. Just a couple of them. On the PSAI Gross
margins , it was very weak this quarter. I think your press release talks about some operating
leverage issue. But if I look at the top line in PSAI, it has not changed materially YoY or Qo Q.
So why , then, the gross margin decline from mid-twenties to low teens ?
Erez Israeli : So, actually, the API business is healthy. And, the reason for that is some of the demand ed
products for the US are also being back integrated , and also the way we build the inventory. So ,
if you wish, it's attributed to the internal sale. Once there is less internal sales, the re is more cost
allocation on whatever you sold, you know, according to accounting. And that's what created it.
It's actually a very healthy business, and it's growing, and you'll see that it will correct itself in
the next coming quarters.
Dr. Bino Pathiparampil: Understood. In Others , I see about ■165 crores , which is more than the usual quarterly run rate.
Is there any one -time other operating income there?
M. V. Narasimham: So, in this , you know , we have ou t-licensing income from Aurigene . So, it's par t of our regular
business and t his quarter we have that income.
Dr. Bino Pathiparampil: Got it. Thank you. I'll jump back in the queue .
Aishwarya Sitharam : Thanks, Bino. The next question is from the line of Sa ion Mukherjee, from No mura. Saion,
please go ahead.
Saion Mukherjee: Yeah. Hi, thanks for taking my question. Sir, can you share the PLI income or the government
grant that you generally share for the quarter ?
M. V. Narasimham: So, Saion, here, if you remember, like overall ■1,000 crores over a period of 6 years, I think the
first four years quota we have already taken. We have got additional approvals, and then we
have accounted. F or FY26, PLI is not much. I can say almost it is 0. Then on ce again, you will
see the PLI income in FY27-28.
Saion Mukherjee: Okay. So there, there is not much in this quarter is what you're referring ? Okay.

M. V. Narasimham: This quarter, and for the full year , also, very small value is there, not very big.
Saion Mukherjee: Okay, sir, understood. And on the PSAI front , with regard s to Aurigene Pharma S ervices , if you
can throw some light , you know , how you see the CDMO business scaling up ? And what kind
of customer or profile of customer s and kind of products or services you are offering ?
Erez Israeli : So, it is g rowing. I don't know remember how much we sold, but I think $ 17 or 18 million this
quarter, or something like that. We are gearing up for about $100 million of sale s for the full
fiscal . It’s a combination of small molecule CDM, a s well as biologic s CDMO , primarily ADCs .
It's a kind of a combination of both . It is g rowing nicely , and it is not that we are going to be a
CDMO company, but it's a nice , growing business as we speak . And we see that there is enough
traction for those that want , kind of , our size of business, and that create synergy with Dr.
Reddy’s, those that are not afraid from Dr. Red dy’s, but actually want to have a synergy with
us, especially as related to collaboration on clinical trials, R&D activities, and even marketing
rights i n emerging markets.
Saion Mukherjee: Understood. But Erez, like, do you have from $100 million this year? I mean, what should we
expect , let's say 3, 5 years d

own the line ? Do you have som e line of sight of growth on this
business?
Erez Israeli: Yeah, it should be between $250 to 300 million by 2030.
Saion Mukherjee: Understood. Okay, thank you.
Aishwarya Sitharam : Thanks, Saion . The next question is from the line of Tushar Ma nudhane , from M otilal Oswal .
Tushar , please go ahead.
Tushar Manudhane: Yeah, thanks for the opportunity. So , just on this Keytruda® biosimilar. If you could, you know,
throw some light in terms of the kind of spend that will be done on the clinical trial on a combined
basis , Dr. Reddy’s a s well as Alvotech basis.
Erez Israeli: Yeah, if you recall, we are targeting , on biosimilars, being relatively young organization in that
space , that we want to do ourselves are product s with relatively less level of competition. And

this is how we target abatacept, daratu mumab and these kind of products . Pembro is a molecule
that many, many markets want, naturally, being a very, very important molecule in this space ,
but we felt that it's likely to be crowded. So , the exemption of Phase III, n o phase III, plus
collaboration, plus the ability to licensing, create s a situation in which the level of net investment
is not much and then it can create a very good ROI, especially when we are going to the relevant
markets. So , the intent is to launch it in many markets, including the United States, including in
Europe. but with much less burden of a prior investment. This was the thinking behind it.
Tushar Manudhane: Got it. And the trials , again, given that this molecule has been there for multiple indications , so
what is the thought process like? We'll be progressing with certain indication to start with, or the
clinical trials of the biosimilar version would be as good as the innovative m olecule.

Erez Israeli: So, you don't need to do it for the indication. Actually, the type of trial that we do , allow s you,
in each one of the market s to get the same indication that is approved for the relevant market of
Keytruda®. So, you don't need to do it for multiple indication s. You can have one trial and get
all the relevant indications , as it's going to be interchangeable product.
Tushar Manudhane: Got it, and just one more on the R&D spend . Like, you know, this year, it's relatively less as a
percentage of sales like almost 7 -7.5% , let's say, compared to a F Y25, which was almost 8 .5%
to 9% . Given that we have such complex assets in the pipeline , you know , what is , sort of , the
thinking to reduce the R&D spend both as a perc entage of sales as well as , maybe , on the absolute
amount as well ?
Erez Israeli: Like I mentioned before, we have certain level of 500 to 600 basis point , that of what I call
discretionary , that we can play with , in order to match the sales growth as well as to the expenses.
R&D is part of it. So right now, you should think about 7%. We have, of course, enough project s
to go more than that . If the P&L a nd the numbers will allow us , we will do that. And if not, we
can go even down to 6 %. So, we have that flexibility . Like I mentioned , the profitability of the
company is very important for us. This is the level of flexibility that we have on the R &D. Right
now, we are somewhere in the middle, waiting to see how the next quarters will evolve.
Tushar Manudhane: Got you, and just one last one, if I may, and like, while there are many questions asked on
semaglutide , but just broadly, you think this is like , sort of , a 2-year opportunity , one year,
opportunity, or much more than that ?
Erez Israeli : First of all, I see that as many, many years of opportunity . Actually, we are entering a decade of
GLP -1 products. Obviously, it's going to change and evolve. And at the beginning it will be
more like to start to be in the market , to try to

get in those markets that will be first, or among
the first; for certain premium selling our capacity. W e believe that this segment will grow
significantly . We will add capacity , there will be more volume, obviously , lower prices. And we
are going to see brands - branded play, whether consumer care play like in the obesity, or you
know, differentiated devices and stuff like that. So , actually, just the beginning of the journey.
More products will be added by the way. The full portfolio of GLP -1 for the company is 26
products. Obviously , semaglutide as well as the Eli Lilly product will be the biggest, and we are
trying to get for each one of them to be first to market, as well as to create some differentiated
play. So, it will evolve . 2026 is just the first year that we will significantly deal with these
products.
Tushar Manudhane: Sure, sir. Thanks . Thanks a lot for this.
Aishwarya Sitharam : Thanks , Tushar . Participants are requested to restrict the number of questions to two, to ensure
that everyone gets an opportunity to interact with management. The next question is from the
line of Shyam Srinivasan, from Goldman Sachs. Shyam , please go ahead.
Shyam Srinivasan: Yeah, thank you. Thank you for taking my question. Just the first one. We did Capex of $80
million. We have about $350 million dollars in cash. So, just want to understand outlook on

capex for the year , where is it generally being spent for? And the sub question is on $350 million
of cash. So , other than Capex , maybe , what are the other areas or avenues where we are looking
to deploy this cash ?
M. V. Narasimham: So, capex this year , also, would be , more or less , like last year ’s level. We are , overall , for the

full year , expecting cash outflow, in the range of ■2,500 to 2,700 crores . That is the level, and of this entire c apex , a lot of investments is going for peptides and biosimilars.

Erez Israeli: As you know, we are looking for BD. Like I mentioned, we have four levers of growth - the baseline g rowth , special products , cost optimization and BD. We believe , it’s not just this cash , we have also the ability to borrow and that we have $2-2.5 billion of financial capacity. And we are engaging , as we speak , with BD, and hopefully, w ill come , you know. BD, you can never guide , but, we are definitely working on it and we see growth opportunities.

Shyam Srinivasan: Erez, the $2-2.5 billion , what i s the net debt to EBITDA or what is the leverage you have in mind ?

M. V. Narasimham: Shyam, this is going to be maximum 0.5.

Shyam Srinivasan: Understood. Okay, just the second question on the India business . We have outgrown IPM, so just want to understand , you talked about the top 10. But what can help us sustain double digit, or even outperforming the market? And if you could also give us some data points around what our field force is? What is our expansion plan , in terms of distribution in Ind ia? Thank you.

Erez Israeli: Sure. So, Shyam, we decided, and I know you are fully aware of it and appreciate it , that we will not focus on branded generic s. At the time , we believe that the growth in India will come primarily by introducing innovative products which are better than the standard of care that is used today in the market. And the growth that you see now, it is a part of that. So , we are launching innovative product s, in addition to the brand ed generic s. So, the brand ed generic s will be like normal price adjustment s, with some minor volume growth. We will not be that special on the branded generic s. Some products will do more, some less. And that's why I believe in the consistency , because we signed many deals so far on branded product and more to come. So , we believe that we will outpace the market, and that's what will grow our ranking , I'm still committed to

the number 5 in the market. We are doing it in a slow way, because we are not acquiring to be there. We are grow ing that organically, actually, inorganically, if you considering licens ing in . And that's what we are planning to do, and we should see consistent double -digit growth in India in the coming quarters and years.

Shyam Srinivasan: Just the data point on the field force , Erez or MVN . Sorry? Yeah.

Erez Israeli: Yeah, about 10,000 people in 50 teams.

Shyam Srinivasan: Understood. Thank you, and all the best.

Aishwarya Sitharam : Thank you, Shyam . The next question is from the line of Surya Patra from Phil lipCapital . Surya , please go ahead .

Surya Patra: Yeah. Thanks for this opportunity. My first question is about biosimilars. So , it seems that we are busy in in -licensing, doing deals for biosimilar to expand our portfolio there. Could you provide some pipeline visibility for US market? Let's say, starting from F Y27 or 28, which are the key product opportunities that we are targeting for US m arket ?

Erez Israeli: Yeah. So obviously, the key product will be abatacept. Abatacept, like I mentioned before - end of calendar ‘26, January ‘27, we should launch the IV product and in the year after , we will launch the subcutaneous . Then , we will have launches of smaller product s. Obviously, w e will launch denosumab a year prior to that , primarily to prepare for the launch of abatacept . So, we took a licensing of this product for both Europe and US, because it has a similar customer base, especially similar doctors. So , in a way to prepare the team . So, by the time that abatacept will come , we'll have the team ready. In addition to that , after that we'll have pembrol izumab, we will have daratumumab, and obviously more products will come to the US. But , right now , these are the four names that will be in the US. Rituximab , we will have also in the US, b ut with Fresenius , not by our people.

Surya Patra: Okay . My second question is about the Russia business, or particularly , the secondary tariff , either emerging from the European sanction or the U S Sanction on Russia? So , whether this is a kind of a factor of worry for us ?

Erez Israeli: No, if at all, it's an opportunity. We are w orking freely in Russia, great relationship with the country , great team that we have. And if other people will put sanction on it, the sanction s are not relevant to us. And if at all, it's an opportunity.

Surya Patra: Sure, sir . Just last one point on the NRT . We have reported that there is a QoQ g rowth of around 12 odd percentage. So , is there any seasonality in that NRT portfolio? And what growth like -to-like that the portfolio would have seen on a Y oY basis ?

Erez Israeli: Yeah. So, first no seasonality. This is a smoking cession brand . The second, normally , the brand used to grow in single digits. So far we are accelerating it. Still, at least in our business model , we anticipate a mid -single digit growth . Right now, and so far , knock on wood , this acquisition

is exceeding our expectations.
Surya Patra: Grea t. So, yeah, thank you. Wish you all the best.
Aishwarya Sitharam : Thanks, Surya . In the interest of time , we would request all participants to restrict the number of questions to only one. The ne xt question is from the line of Abdul kader Puranwala, from ICICI Securities. Abdul, please go ahead.
Abdulkader Puranwala: Yeah. Hi, thank you for the opportunity. My first question is with regards to semaglutide. So, sir, you know, we spoke a lot on the call , in perspective of the launch timing . But in terms of

pricing, you know, if you could provide some color on, you know, tentatively indicating at what price point you may want to introduce this product in Canada , a

nd, you know , other markets ?
Erez Israeli: As high as we can. Honestly, I wish I could give you a much better answer. It's very much depends on how many competitors will be, what will be the reimbursement . So, the scenarios are very wide , but whatever the market will give us, we will take.
Abdulkader Puranwala: Sure, sir, and just next one question on, you know , on the expenses what you would have incurred on NRT a nd nutraceutical s. So, when you talk about, you know , 500 to 600 bps of cost savings , would it be safe to assume that a lot of that is currently getting incurred toward these two products , which may not happen in the near future , once Revlimid® goes off.
Erez Israeli: No, we are talking about discretionary costs , that are normally costs that you can save at the time that you need to, which are not supporting sales , not support ing marketing. Obviously, we just got the product. We want to grow it. We will invest in it. And we are talking about things that are good to do also on the ongoing basis. But for sure, if you need to save money, less traveling , less meetings, less consultan ts, etcetera. So , this kind of discretionary that will not touch the sales. We are not desperate. We are actually very comfortable with what we do. We knew that lena will come off. But no, we are not planning to cut expenses that are supporting the growth of the company. The priority is to grow the company.
Abdulkader Puranwala: Got it, sir. Thank you for answering my questions.
Aishwarya Sitharam : Thanks, Abdul. The next question is from the line of Foram Parek h from Bank of Baroda Capital Markets . Forum, please go ahead.
Foram Parekh : Yeah, thank you for the opportunity. Most of my questions are answered . Just on the N RT front , should we still assume EBITDA margin to be 25%, or would it be in the neighbo urhood? If you can just throw some light on that.
Erez Israeli : Yes.
Foram Parekh : And on the Europe front , ex of NRT, the growth has come down to 15%. So going forward, do we expect it to bounce back to above 20% , kind of , growth , as we have new product launches and biosimilar launches or can we work out with 15% kind of growth ?
Erez Israeli : First of all , to grow double -digit in generic business is not bad. Yeah , once we will launch the biosimilars, it will accelerate this growth. It ’s hard for me now to calculate the percentage because , I think , we are launching each one of them in ten countries , and it's a pretty complicated . But let's say , we should expect double digit from Europe , but if it's 15 or 20 %, it's hard for me to tell per quarter .

The important part about Europe that it's all leverage activity , these are all products that we have , not just for Europe . And that's the beauty of this business. It is adding to the economy of scale . And so far so good.
Yes, so it's in the neighbo urhood of what you said, maybe, plus . But I'm making a disclaimer that I don't know what will be exact ly the timing of the biosimilar and how it will contribute to that.
Foram Parekh: Sure, no problem. And lastly, if I may squeeze in, can you just throw some colo ur on how you see ahead of the semaglutide launch in India , how do you see obesity market forming ? You know , post the launch , given that the size of the obesity market is very small, with just , you know, 1, 2 innovators , so post generic s, how do you see the obesity market expandin g in India?
Erez Israeli : I believe that it is going to be significant. The unmet need is very , very clear, especially for people that live here in India and so , I believe that it's a big opportunity.

Foram Parekh: Would it be possible for us to quantify ?
Erez Israeli : I don't want to give you unreliable numbers. It's big. The potential is big. I don't want to say how much.

Foram Parekh: Okay. Thanks. No Problem.
Aishwarya Sitharam: Thanks, For am. The next question is from the line of Shashank Krishnakumar from Emkay Global . Shashan k, please go ahead .
Shashank Krishnakumar: Yeah. My first question was on the out -licensing income , which we booked this quarter. Is it possible to quantify that ?
M. V. Narasimham: It's ■120 crores. Shashank, j ust, I would like to add, this is not like a one-time income. This always will be there , few quarters in a year going forward .
Shashank Krishnakumar: Also, my second question was more from a medium -term strategy standpoint. We have typically relied on high -value complex ge neric launches in the U S. Now, how do we , sort of , reconcile that to the fact that we're also looking to , sort of , moderate our R&D spend. I think , you mentioned , possibly we can also reduce it to 6% going forward . So, can we still keep pace with the pace of complex generic launches that we have typically done in the past in the U S, if we, sort of , moderate R&D spend going forward ?
Erez Israeli : Yeah, just to remind R&D spen d are relevant for products that will be launched in the United States between 10 to 12 years from now. So yeah, absolutely, we can decide how much to spend for the future and how much to keep , in accord ance to our performance. I don't see any effect for the immediate terms, because all those products were either , we committed the development , or we have the m filed already.

Shashank Krishnakumar: Yes, t hat's it .
Aishwarya Sitharam: Thanks, Shashank. The next question is from the line of Aman Vij, from Astute Investment Management . Aman, please go ahead .
Aman Vij: Yeah. So, first question is on the semaglutide API side. So , if you can talk about our yields currently and the quality and the pricing compared to Chinese A PI players, because I believe they have a lead . But we are planning to set up a big capacity in India, which is much more than the guidance of 10 to 12 million pens you have talked about for 2 years , which we are targeting. So, could you talk about this site ?
Erez Israeli: So, just for us to calibrate , the 12 million pens is for the launch in ‘26. Obviously , only a small portion of the capacity will be used for th at. We are also in this peptide capacity going to do products for 3rd party , as well as for the future , as well as other peptides. So, that just to clarify it's not the comparative numbers . Second , in terms of cost , we believe that once we will finish the scale up, our products will be competitive with the othe r competitors, including China.
Aman Vij: That is heartening to hear, sir. Second question is on the Delhi High Court patent challenge, which I think by next week , we will get an answer. In my understanding, in the worst -case scenario , isn't it just that even if it goes against us, it means we will be able to launch only two months later, because India patent expires in March , versus Canada in January. So , it doesn't delay beyond two months in worst case scenario . Is the understanding correct ?
Erez Israeli: The understanding is correct , as related to the timing of the launch in India. For us, it is important to enable our launch in Canada. So , the Canadian launch, then, will be more than 2 months , if it will not go our way. Obviously, I cannot react , because it's , you know, the laws in India. I'm not reacting on any sub - judice situation, but we believe that it is going to go in the way that will be satisfactory to us.
Aman Vij: Sure, sir. Just final question , you've talked about 10-12 million kind of capacity , which we have tied up with , say the fill -finish players and the pen players. So , say, in a good case scenario , the demand is, say, 2x our initial assumption , do we have arrangements with both the p

arties , the suppliers as well as the fill -finish players, that is, if the demand is way more ? Because I believe there is shortage of capacity in terms of both fill -finish and devices. So , is there a case where, if the demand is 2 x, we can somehow arrange 2 x volumes also?
Erez Israeli: 2x for calendar year ‘26 will not happen.
Aman Vij: ’27, sir. You said similar number for ‘26 and ’27. right? So , I was more wor ried on ‘27, not on ‘26.
Erez Israeli: Yeah. So , I just want to make sure that you got it right. Calendar ‘26, which is FY27 mostly , it is 10 million ; if you take it as F Y27, it is 12 million. There is some upside to that. But normally

when I am giving guidance , I have to be very , very accurate and reliable in what we are giving .
Double , it will not be , in that period of time.
Aman Vij: Okay, but slight increase we'll be able to manage with the arrangements ? Say 30 - 40% extra than what we are predicting ?
Erez Israeli: Depends on the definition of slight. But , yes.
Aman Vij: Sure, sir, that's it. Thank you for answering the questions.
Aishwarya Sitharam: Thanks Aman . We will take the last question from Dr. Kunal Dhamesha from Macquarie . Kunal , please go ahead.
Dr. Kunal Dhamesha: Hi, good evening. Thank you for the opportunity. Just one on Sema Canada. So , because there are two brand s, one for Type-2 diabetes, which is Ozempic®, and one for weight loss , Wegovy®.
So currently, Canadian authorities are not reimbursing Wegovy®. So, for the weight loss indication , how are we planning to tackle this issue when we launch our product ?
Erez Israeli : We are going to launch only generic Ozempic®. The submission of a generic Wegovy® will happen during the year , but the launch that we are discussing is only for Ozempic®. I do not anticipate any issues with that.
Dr. Kunal Dhamesha: Sure. Can you help us also understand the split of this 10 million pen capacity that we have between single -use pen versus multi -use pen ? Because Semaglutide in Canada is available in both version s, multi-use as well as single -use pen.
Erez Israeli: So, the quantity that I mentioned is in single -use multi -use^ terms.
Dr. Kunal Dhamesha: So, one pen per week is.
Erez Israeli: It's equivalent to one pen a week month ^.
Dr. Kunal Dhamesha: Sure, thank you and all the best.
Aishwarya Sitharam : Thank you. With that, I , now, hand the call over to Richa for the closing comments.
Richa Periwal: Thank you all for joining us today. We appreciate your continued interest in Dr. Reddy’s , and the time that you've taken to engage with us for our Q1FY26 results. If you have any further questions or require additional information, please feel free to reach out to A ishwarya or myself.
With that , this concludes today's earnings conference call. Stay safe and take care.

^ Edit made to response to reflect factual accuracy

Call: Oct 2025

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October 30, 2025
National Stock Exchange of India Ltd. (Stock Code: DRREDDY)
BSE Limited (Stock Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Ltd. (Stock Code: DRREDDY)
Dear Sir/ Madam,
Sub: Transcript of the Earnings call conducted on October 24 , 202 5
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings call for the quarter and half -year ended September 30, 202 5, conducted on October 24 , 202 5. Also please note that this transcript of the call has been uploaded on our website and are available at the following link .
Weblink : https://www.drreddys.com/cms/sites/default/files/2025 -10/DRL_Q2FY26EarningsCallTranscript_24Oct2025.pdf
This is for your information and records .
Thanking you .
Yours faithfully,
For Dr. Reddy's Laboratories Limited
K Randhir Singh
Company Secretary , Compliance Officer & Head -CSR

Dr. Reddy's Laboratories Limited's
Q2FY26 Earnings Call

October 24, 2025

MANAGEMENT : MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. M. V. NARASIMHAM : CHIEF FINANCIAL OFFICER
MS. RICHA PERIWAL : HEAD - INVESTOR RELATIONS ,
STRATEGY & CORPORATE ANALYTICS
MS. AISHWARYA SITHARAM : LEAD – INVESTOR
RELATIONS

Q2FY26 Earnings Conference Call Transcript
October 24, 2025

Aishwarya Sitharam : Good day, everyone, and welcome to t he Q2FY26 earnings call of Dr. Reddy's Laboratories Limited. I'm Aishwary a Sitharam and I'm part of the Dr. Reddy's Investor Relations team.
I would like to indicate that all participants will be in the 'listen -only' mode during the opening remarks, and there will be an opportunity for you to ask questions thereafter . Should you need any technical assistance during the call, please use the chat function in your Zoom application. Please note that the chat will not be monitored for any questions to the management. I , now, hand the conference over to Richa Peri wal. Thank you.
Richa Periwal : Thank you, Aishwarya. Good morning , good evening, and a warm welcome to all. We hope you had a joyful and safe Diwali celebration with your loved ones. Thank you for joining us for Dr. Reddy's Laboratories Q2FY26 Earnings Conference call. We truly value your time and participation. Joining us today are members of the leadership team, Mr. Erez Israeli, our CEO, Mr. M. V . Nar asimham (MVN) , our CFO a nd the Investor Relations team. Earlier today, we released our quarterly financial results. These are now available on our website for your reference.
We will begin today's session with MVN presenting an overview of our financial performance for the quarter . Following that , Erez will share his insights on key business highlights and our strategic outlook. We will then open the floor for questions .
Before we proceed , please note that this call is the proprietary material of Dr. Reddy's Laboratories and may not be rebroadcasted or quoted in any media or public forum , without prior , written consent from the company. This session is being recorded, and both the audio and the transcript will be made available on our website shortly.
All commentary and analysis during this call are based on our IFRS Consolidated financial statements. Please note that certain non -GAAP financial measures may also be discussed. Reconciliations to the corresponding GAAP measures are included in our press release. Finally, a reminder that the 'Safe Harbor ' provisions outlined in today's press release apply to all forward -looking statements made during this call. With that, let me now hand it over to MVN to present the financial highlights for the quarter. Over to you, MVN.
M. V. Narasimham: Thank you, Richa and Aishwarya . Good evening and a warm welcome to all. Thank you for joining us on our Q2F Y26 earnings call . I am delighted to take you through our financial performance for the quarter.
We delivered a steady performance in Q2, achieving near double -digit growth, despite lower Lenalidomide sales. The acquired consumer healthcare business supported the top -line momentum. EBITDA margin stood at 26.7% for the quarter .
All financial figures in this section are translated into US dollars, using a convenience translation rate of ■88.78, the exchange rate prevailing as of September 30, 2025.

Consolidated revenues for the quarter stood at ■8,805 crores, which is $992 million, a growth of 9.8% year-over-year and 3% on sequential basis . While US generics faced pressure from product specific price erosion and lower Lenalidomide sales, overall growth was supported by the integration of consumer healthcare business and double -digit growth delivery across other markets, aided by favourable forex.
Consolidated gross profit margin for the quarter was 54.7%, a decrease of 492 basis points year-over-year and 223 basis points sequentially. The decrease in margins during the quarter was due to lower Lenalidomide sales and product specific price erosion in US Generics, one -time inventory provisions from the discontinuation of certain pipeline products due to technical challenges and lo

wer operating leverage in PSAI business. Gross margin was 59.1% for Global Generics and 18% for PSAI.
The SG&A spend for the quarter was ■2,644 crores, which is $298 million, an increase of 15% year-over-year and 3% on sequential basis . The year-over-year increase was primarily driven by focused investments in the acquired NRT consumer healthcare business and in branded generics, which are key to driving sustainable growth. SG&A for the quarter includes a one -time provision of ■70 crores for a VAT liabilit y in one of our subsidiaries and charges related to a discontinued pipeline product. SG&A spends accoun ted for 30% of revenues during the quarter and was higher by 132 basis points year-over-year and at similar levels on a sequential basis. Excluding the one -offs related to VAT provision, SG&A spends as a % to revenues was at 29.2% in Q2FY26.
The R&D spend for the quarter was ■620 crores, which is $70 million, a decline of 15% year-over-year and broadly flat sequentially. The decrease was due to reduced development spends on biosimilars during the quarter, as major investments for Abatacept have already been

completed. We continue to make focused R&D investments in complex generics, APIs and biosimilars pipeline, while pursuing strategic collaborations to bring innovative assets that support sustainable long -term growth. The R&D spend w as 7% of revenues for the quarter, lower by 203 basis points year-over-year and 26 basis points on a sequential basis .
Other operating income for the quarter was ■267 crores, higher than ■98 crores in the corresponding quarter last year. This was mainly on account of product related IP settlement income in the United States and a one -time reversal of ■88 crores in liabilities related to discontinuation of a pipeline product.
EBITDA for the quarter, inclusive of other income, stood at ■2,351 crores, which is $265 million, an increase of 3% on a year-over-year and sequential basis. The EBITDA margin stood at 26.7%, lower by 174 basis points year-over-year and flat sequentially. Adjusting for the one-time VAT provision mentioned earlier, the underlying EBITDA margin was at 27.5%.
Impairment charge was ■66 crores, including ■54 crores for property, plant, and equipment at our Middleburgh facility , following the discontinuation of a pipeline product, Conjugated

Estrogen. The remaining charge pertains to product related intangibles impacted by adverse market conditions.
The net finance income for the quarter was lower at ■77 crores, as compared to ■ 156 crores for the same quarter last year. The decline in net finance income reflects lower returns from financial investments , following the deployment of cash reserves towards acquisition of consumer healthcare business and other intangible assets, in line with our capital allocation strategy.
As a result, profit before tax for the quarter stood at ■1,835 crores, that is $207 million. PBT as a % of revenues was at 20.8%. On an adjusted basis, excluding the one -time VAT provision, the PBT margin was at 21.6%.
Effective tax rate for the quarter was at 22.2% compared to 30% in the corresponding period last year. The ETR for Q2FY26 was lower primarily due to a favourable jurisdictional mix for the quarter. The ETR in the corresponding period last year was higher d ue to reversal of previously recognized deferred tax asset related to land indexation, following amendments introduced through the Finance Act (No. 2) 2024 to the Income Tax Act, 1961.
Profit after tax attributable to equity holders of the parent for the quarter stood at ■1,437 crores, which is $162 million, a growth of 14% year-over-year, flat on a QoQ basis. This is at 16.3% of revenues.
Diluted EPS for the quarter is ■17.25.
Operating working capital as of 30th September 2025 was ■13,33

1 crores, which is $1.5 billion,
an increase of ■3 crores, which is $0.4 million over 30th June 2025.
Capex cash outflow for the quarter stood at ■511 crores, which is $58 million. Free cash flow generated during the quarter was ■1,046 crores, which is $118 million. As of September 30, 2025, we have a net cash surplus of ■2,751 crores, i.e., $310 million.
Foreign currency cash flow hedges executed through derivative instruments during the period are as follows . US$ 502 million hedged using combination of forwards & structured derivative contracts, scheduled to mature through December 2026. These contracts are hedged at a rate of ■86.9 per US $. RUB 4.28 billion hedged at a fixed rate of ■1.03 per Russian Ruble, with maturity falling within the next four months.
With this, I now request Erez to take us t hrough the key business highlights .

Erez Israeli : Thank you, MVN. Good day, everyone, and thank you for joining us today.
We are pleased to report a consistent performance in Q2FY26, marked by double -digit growth and steady profitability. This performance was driven by contributions across all key markets , except for the US generics business. During the quarter, we continued to make meaningful progress across our strategic priorities , namely , growing the base, scaling our presence in

Consumer Healthcare, Innovative therapies and Biosimila rs. We advanced our key pipeline programs, including Semaglutide and Abatacept. In additio n, we have been driving initiatives to enhance cost efficiencies across our operations , while simultaneously pursuing Business development (BD) activities to support sustainable growth in the coming quarte rs.
Let me now walk you through some of the key highlights of the quarter.
Revenue grew by 10% year -on-year, driven by broad -based growth across businesses, benefitting from acquired Consumer Healthcare and supported by favourable forex. Growth was partially offset by lower contribution from Lenalidomide and some price erosion in US in some select products. EBITDA margin stood at 26.7% . ROCE for the quarter was around 22%. The cash flow from operations was utilized towards plant expansions and acquisition of strategic brands and securing rights for distribution in defined markets. We closed the quarter with a net cash surplus of $310 million, reinforcing the strength of our balance sheet.
We strengthened our innovation -led portfolio through strategic collaborations and launches. We entered the anti -vertigo segment with the acquisition of Stugeron® and related brands across 18 markets in APAC and EMEA from Janssen Pharmaceutica. In India, we strengthened our gastro - intestinal portfolio with the launch of two novel drugs - Tegoprazan, under the brand name of 'PCAB®', and Linaclotide under the brand name of 'Colozo®'.
In partnership with Unitaid, Clinton Health Access Initiative, and Wits RHI, we are working to make Lenacapavir, a long -acting HIV prevention tool, accessible and affordable in low -and middle -income countries.
We continue to make progress on our key pipeline products . The Subject Expert Committee (SEC) under Central Drugs Standard Control Organization (CDSCO), has recommended approval for our Semaglutide injection in India. We received a positive opinion from European Medicines Agency's Committee for Medicinal Products for Human Use (CHMP) for our denosumab biosimilar candidate. The USFDA accepted our Investigational New Drug (IND) application for COYA 302, a partnered , novel drug for the treatment of patients wi th ALS.
We also made steady progress on integrating the acquired Nicotine Replacement Therapy (NRT) business. We have successfully integrated two -thirds of the business by value, including Canada, Australia and select , key Western European markets. The next phase will include Southern Europe, Israel, and Taiwan.

On the regulatory front, several inspections were completed across our global facilities . In September 2025, the USFDA conducted a Pre -Approval Inspection at our Bachupally biologics facility and issued a Form 483 with five observations. The agency recently issued a Complete Response Letter, in reference to the ongoing resolution of observation s pertaining to the Biologics License Application (BLA) of our proposed Rituximab biosimilars candidate. We are actively working to address the se observations. The US FDA concluded a GMP inspection at our Mirfield API facility in the UK, resulting in the issuance of a Form 483 containing seven observations. Additionally, our API sites, CTO -5, in Miryalaguda, Telangana, as well as our Middleburgh facility in New York, were classified as VAI , following successful GMP inspections by USFDA. The GMP and Pre -Approval Inspection (PAI) conducted by the USFDA in July 2025 at our formulations manufacturing facility, FTO 11, has been formally closed. We have received the Establishment Inspection Report (EIR), with the inspection outcome categorized as 'VAI'.
We continue to be recognized for our industry -leading performance in sustainability . We retained our MSCI ESG Rating of 'A' for the 2nd consecutive year. Our ESG Risk Rating from Morningstar Sustainalytics' improved from 23.6 to 18.4, representing a lower ESG risk profile. Our waste management practices were recognized with the 'Diamond Standard' for achieving 99.9% of waste diversion from landfills. Further, our formulations facility at Srikakulam, FTO -11, became India's first pharmaceutical facility t o receive a 'Leadership in Energy and Environmental Design (LEED) Platinum certification' for existing buildings from the US Green Building Council.
Let me take you through the key business highlights for the quarter. Please note that all financial figures mentioned are reported in their respective local currencies.
Our North America Generics business generated revenues of $373 million for the quarter, a decline of 16% year -on-year and 7% sequentially. The performance was impacted by price erosion in select key products, primarily Lenalidomide. During the quarter, we launched seven new products and expect the launch momentum to continue in the second half of the fiscal.
Our European Generics business reported revenues of €135 million for the quarter, a growth of

115% on a year -on-year basis and 3% quarter -on-quarter. The year-on-year performance was primarily driven by contributions from the acquired Nicotine Replacement Therapy (NRT) portfolio and new product launches, which offset the pricing pressure. Excluding NRT, growth was 6% year-on-year and quarter -on-quarter . During the quarter, we launched eight new generic products across European markets, further strengthening our portfolio.

Our Emerging Markets business delivered revenues of ■1,655 crore s in Q2, reflecting a growth of 14% year -on-year and 18% sequentially. Growth was primarily driven by new product launches across markets and aided by favourable forex. During the quarter, we introduced 24 new products across multiple countries, reinforcing our commitment to expanding access and strengthening our market presence. Within this segment, our Russia business delivered a growth

of 13% year -on-year and 18% sequentially in constant currency terms, despite prevailing macro - economic challenges.

Our India business reported revenues of ■1,578 crore s in Q2, delivering a double -digit year-on-year growth of 13% and a 7% increase sequentially. This performance was driven by contributions from new product launches, improved pricing, and higher volumes. According to IQVIA, we have moved up one place to the 9th position in the Indian Pharmaceutical Market (

IPM) for the month of September and continue to outpace market growth, with a moving annual total (MAT) growth of 9.4%, compared to the IPM's 7.8% growth. During the quarter, we launched 11 new brands in addition to the acquired Stug eron® portfolio, further strengthening our domestic franchise.

Our PSAI business reported revenues of $108 million in Q2FY26, registering a growth of 8% year-over-year and 13% sequentially. During the quarter, we filed 37 Drug Master Files globally.

We have further sharpened our R&D focus on programs that offer clear differentiation and strong commercial potential in alignment with our strategic priorities. We have rationalized few pipeline products that face d extended regulatory uncertainty, limited market opportunity or increasing competitive intensity. Our focus is anchored around complex generics, GLP -1 molecules and biosimila rs. In addition, we are actively pursuing strategic collaborations and partnerships to enhance our innovation ecosystem, acc elerate development timelines and expand our capabilities in emerging therapeutic areas. During the quarter, we completed 43 global generic filings.

For the quarters ahead, we focus on robust execution to deliver on our strategic priorities , meaning, grow our base business, focus on our key pipeline assets like Semaglutide and Abatacept, improv e operational efficiency and productivity across the value chain , and w e continue to actively explore partnerships and value -accretive acquisitions that support our strategic vision and innovation momentum , while enhancing our capabilities. These efforts are aimed at driving sustainable growth and delivering long -term value for our stakeholde rs.

And w ith that, I welcome your thoughts and questions as we move into the Q&A session.

Aishwarya Sitharam: Thank you very much, Erez. We will now begin the question -and-answer session. To join the question queue, please use the 'raise hand ' option available on the bar at the bottom of your Zoom application. If you wish to exit the question queue, you may click on the 'lower hand ' option. Participants are requested to not ask more than two questions at a time, and to rejoin the queue in case of any incremental queries. I would like to reiterate that the chat will not be monitored for any questions to the management. However, in case of any technical concerns, please do feel free to use the chat option to reach out to us.

The first question is from the line of Neha Ma npuria from Bank of America. Neha, please go ahead.

Neha Manpuria: Yeah, thanks so much, Aishwarya . Good evening. My first question is on the US business. You know, while I know you talked about product -specific erosion and Revlimid quarter on quarter, should we expect any Revlimid at all in the third quarter? And, second question on the US business, we've seen a product discontinuation this year. Last year, we saw Nuvaring being

discontinued. We continue to spend a fair bit on R&D. How should we think about the U.S. product pipeline? Because , if I look at Reddy's approval history, while we have got a fair bit of approvals , we haven't really got an y meaningful , large launch approval outside of Revlimid , and probably Vascepa was the last one that I can think about. So, Erez, I just wanted your thoughts on how we should look at some of these, more meaningful launches coming through , now that Conjugated Estrogen has been discontinued . How do you think about the U.S. growth?
Erez Israeli : So, we should assume that we will have, but less than what was in this quarter. And likel y that it is either going to be the last quarter, or maybe some tail that will go into Q4. But, by and large, Q3 will still have Revlimid in it.
On the R&D question - first, I agree with you. There were certain products that we tried for a while to get

an approval . And, as we did not get, we , kind of, pulled the trigger on them. We , kind of , gave ourselves certain timelines that if we don't , we just move on. As we speak , the main products in the United States, as related to R&D, will be the biosimila rs. I think the main product , in terms of significant growth in the United States , will be Abatacept . On the small molecules, we do have meaningful products that are coming - primarily peptides, long -acting peptides. Some of them we missed the first -to-file, but they are still meaningful. The overall pipeline is about 1 00 products, as we speak, give or take , in the pipeline and out of that, I would say around 20 that will be considered what you call the complex generics. But as we discussed many times in the past, it's hard to predict on these products. So, your observation is correct. What we , absolutely , did is that we are re-looking our portfolio, and we are focusing on products that we believe that we have a good chance to be first -to-market, as time will come.
Neha Manpuria: Understood, Erez. Erez, if I were to just extend this question then to, let's say, our Sema glutide filing or a n Abatacept filing, what gives you confidence on getting approvals on those filings? Even in case of Abatacept , now that Bach upally, we have got a CRL on Rituximab . I'm just wondering, I know there's always risk to approval, but how should we think about management's confidence in getting approval for Semaglutide in Canada, or next year as we think about Abatacept ?
Erez Israeli : So, let's start with Abatacept , and I'll go to Sema glutide after. On Abatac ept, we are supposed to submit the BLA, and I'm very confident about it , in the end of December of this year, calendar year. End of December 2025, which is exactly the date that we aim to. Here, I have a high level of confidence. It's also important to us because it will open the door for us to launch also the sub-cutaneous , which is the more important SKU , at the beginning of 2028, subject to settlement, of course, of the IP. The confidence comes that we are not going only with Bach upally, but we

increase the chance, because we will have also, for the United States , a CMO that will make the product. I'm less concerned about the European approval, because Bachupally was already approved by the European authority , but not yet by the US FDA. And also, in the case of the U.S., we don't yet know what will happen with the tariff on biologics . While we feel now more comfortable , given all the press , that likely there will be no tariff . We need to see when the guidelines will come . But as a biologic, we don 't know, and we feel the need to have a backup also there . So, if we will not be able to launch from Bachupally , we will be able to launch from the United States, and this will enable us with also a potential challenge, if it will happen on tariff.
On S ema, we are expecting the feedback from Health Canada in the next few weeks. It can be any day, but it can be within the next few weeks . And we will know , if we get a deficiency or not. I'm certain that we will launch all the 12 million pens that I discussed with you last time. Obviously, if it will not be in Canada, it will be in other places, so the launch is going to happen. The question, of course, if we'll get a CRL, or we'll get something in Canada, obviously, the pricing may be different. But, I'm confident that we will sell the produ ct. The question is in which market they would come . Can I guarantee that we'll not get the CRL? No, I cannot. I wish.
Neha Manpuria: Thank you, fair enough. Fair enough , Erez . Thanks so much.
Aishwarya Sitharam : Thank you, Neha. The next question is from the line of Dama yanti K erai from HSBC. Please go ahead.
Damayanti Kerai: Thank you for the opportunity. My fi

rst question is again on Semaglutide. So, Erez, can you remind us , the legal status, which was underway in India, the litigation with Novo on Semaglutide.
Erez Israeli : Sure. We are challenging the patents in India. And, it's currently in the High Court in Delhi. All

the hearings were done, and we are waiting for the decision of the judge. We don't know exactly
when she will submit her decisions. And likely that whoever will not like the decision, will
appeal. So, likely that it will continue after. But at this stage, the hearings are done, and we are
waiting for the outcome of the decision of the judge.
Damayanti Kerai: And sure, and just to clarify, this outcome should not be impacting your plans in the ex-India
market, right? The markets outside of India?
Erez Israeli : Depends what will be the decision of the judge. What we are seeking, we believe that the patent
is invalid, and in any case, as we speak today , by the decision that was done in May, we can
produce and export, not to do it in India, but the court , in the decision back in May , allowed us
to continue to make the product and to export it. In the current state , we can launch in India only
at patent expiration, which is right now dated at March '26.
Damayanti Kerai: Okay, that's clear. My second question is going back to Abat acept. So, just clarifying, earlier
discussions. So, did you mention you have a CMO in place to manufacture that product , in case

Bachupa lly takes some time to get the clearance from the FDA, or what is arrangement? Like,
what kind of risk mitigation strategies are in place?
Erez Israeli : Sure. Correct , I did mention that we will have a CMO in the United States to produce Abatacept ,
in addition to a capacity that is built in Bachupally , India, and it's mitigating three risks. One, is
in case of, again, CRL or any regulatory challenges that we will be able to launch from an already
approved FDA site in America. Second, if there will be any tariff or any other potential
restriction or regulatory burden , as it's related to make or sell biosimilars in the United States.
And the number three, to increase capacity , it's allowing us more capacity , in a case that we will
get a nice market share. So, we're absolutely going with the CMO option in the United States.
Damayanti Kerai: Okay, that's helpful. And my last question is, for Sema glutide, I understand you're working on,
your in -house fill -and-finish capacity . So, can you share the update on that project?
Erez Israeli : It's going on . It will not impact the launches in the next 12 months , because , by the time that we
will have to submit and qualify, it will be post-approval in all the countries. So, we are working
with the partner that we have today . This is the famous 12 million units that we discussed in the
past. This is still relevant, maybe with some upside, but right now, I think , we are about the same
range. And, this will happen with the current partners, but we will have two cartridge lines in
FTO -11, and this will be significantly expanded capacity. To many, many more millions. Let's
say, in that respect, it can go to ev en up to $50 million, but it's all theoretical at this stage. It will
be relevant not for the next 12 months. But for the period after that.
Damayanti Kerai: Sure, that's helpful. I'll get back in the queue. Thank you.
Aishwarya Sitharam : Thanks, Damayanti . The next question is from the line of Dr. Bino Pathiparampil from Elara
Capital. Bino, please go ahead.
Dr. Bino Pathiparampil : Hi, good evening all of you. First question on, the India market, India business had a strong
growth in the quarter. Is there anything in particular that helped you, and was there any impact
related to the GST disruption in the quarter?
Erez Israeli : Yeah, so we managed well the GST. So , the GST was n

ot a significant obstacle for us. We
managed it well. It's just execution of our strategy, the way we discussed it . For many quarters,
we identif ied the therapeutic areas that we want to focus on and we made several inorganic
moves to buy brands , that allow us relevant access, as well as, licensing of innovative products.
And just w orking well, and it's likely to continue. We said all along because we believe that
innovation will allow us to outpace the market. And we feel very, very comfortable now about
that strategy. I think more and more people see that now.
Dr. Bino Pathiparampil: Understood. You have recently done this acquisition of the Stugeron® brand from Janssen . Could
you give some idea about what sort of revenues does that business have in its acquired form?
Erez Israeli : So, a 100 plus in terms of size , something like this.

Dr. Bino Pathiparampil: $100 million ?
Erez Israeli : No, 100 cr, this is India .
Dr. Bino Pathiparampil: That is India ? Okay.

Richa Periwal : Bino, it's India and Emerging Markets put together.
Dr. Bino Pathiparampil: It's 100 cr, and for that, if I'm right, you paid $50 million .
Erez Israeli : Correct .
Dr. Bino Pathiparampil: Okay, understood. And, any benefit of that in the growth for the quarter ? Is some 20 days of that part of India business?
M. V. Narasimham: Not much. Insignificant.
Erez Israeli : You can take it as no real impact.
Dr. Bino Pathiparampil: Got it. And my last question on the margin outlook beyond Revlimid. O f course, we keep asking this every quarter, but if you look at current quarter, even with Lenalidomide, if we remove the Other Income from the EBITDA margin, it is below 23%, and with Lena lidomide further coming down in the next quarters, it may fall even further. So, do you still fully stick to that for a full year of FY27, you will get back to 25% EBITDA margin?
Erez Israeli : I'm not sure how did you get to the 2 3%. I'm aware of 26.7%. But, never mind. Yeah, absolutely, Lenalidomide is with higher margin, everybody knows that. And naturally, it's impacting . And anticipating that , we are discussing for four years . We knew exactly when L enalidomide is going to go. And it's happening exactly as we discussed. We are addressing it with the lever s that I mentioned - growing the base , contain ing the co sts, BD, and focus on these key products. I absolutely believe and I'm maintaining it that in the next two years, we will absolutely get back to the growth and to the margins. The question is, what will be the journey at this point of time? The more Semaglutide we will have, the more growth we'll have, the more BD we'll have , we can actually do it much, much faster. So, we are maintaining our commitment for the margins. We are maintaining our commitment for growth. The question is what will be the scenarios between Semaglutide , Abatacept , and BD primarily? And of course, because on the l evers that we can control better , we are very confident - this is the base and the cost.
Dr. Bino Pathiparampil: Understood. Thank you, I'll join back the queue .
Aishwarya Sitharam : Thanks, Bino . The next question is from the line of Saion Mukherjee from Nomura. Saion, please go ahead.
Saion Mukherjee: Yeah, hi, thanks for taking my question. So , my first question is on the US base business. There has been a lot of price erosion over the last 3-4 years , since you have launched Revlimid. How

is the base today versus, let's say, before Revlimid ? Is it up, down ? If you can give some colo ur, so that we get a sense where we should, you know, assume the number post -Revlimid ?
Erez Israeli : So, it went down, primarily not so much on volume. There were some products, about, I think, five, that faced competition and price erosion. And that's what took it down. It's not significantly down. Most of the decline that you see is Lenalido mide . But if you want to compare, it is down.
Saion Mukherjee: And do you see it, sort of , stabilizing now from the current level, or do you think there is scope for further price erosion, and if you can just give some colo ur on the pricing dynamics in the U.S. at this point. Anything has changed?
Erez Israeli : No, no change . I think it stabilized, and I believe that it s stabilized also for a while, besides the products here and there. But, yeah, I don't foresee additional trends like that in the coming quarte rs on the base products . The erosion that will be , will be on some of the products that we launch . Those can still face erosion, because not all of them, what you call, exhausted their potential erosion. But it's insignificant as we speak.
Saion Mukherjee: Okay. My second question is on Semaglutide. T his 12 million, that you mentioned, you feel confident about selling . So, if not in Canada, where will this volume be absorbed, in your view ? Which markets?
Erez Israeli : Of course. Sure. So , we are going to, either directly or through partne rs, obtain approval in the next, let's say . 12 to 15 months in 87 countries , most of them are very small. The notable countries, besides Canada will be India, Brazil , Turkey . And then we have partners that are selling in several countries of Latin America, so I cannot highlight a particular market, and also in Asia. We have also B2B partners that are also preparing their own launches, and we have partners on both the API as w ell as on those p ens. So, I believe that, the main markets that I mentioned can take , let's say , the lion's share of this quantity . Depends, of course, on the success and the date that we'll actually launch. And the rest will be taken by the B2B parties. Also, the markets that I mentioned are divided to two types of countries, the COPP countries and the non - COPP countries. So , it will be a certain sequence in which it will come to play. So far, and in the demands that we have already , just the orders that we are discussing , gives me confidence that, if the approvals will come, th en we will be able to sell that, yes.
Saion Mukherjee: And Erez, if I can just add, like, this is for 2026. Now, what about 2027? How does this 12

million move up in 2027 in your estimate?
Erez Israeli : So, it can move up, even to, for sure to 15 , but it can move up even further than that , depends on the evolution of the product and the qualification of F TO-11, which will significantly ramp up the capacity . It will be toward s the second half of 2027. I'm talking , now, calendar, not FY.
Saion Mukherjee: Understood. Yeah, thank you, I'll join back.

Aishwarya Sitharam : Thanks, Saion . The next question is from the line of Madhav Mar da from Fidelity International. Madhav, please go ahead.
Madhav Marda: Hi, good evening, thank you so much for your time. I think we've delivered double -digit growth in the ex -US markets. Are we confident of maintaining this trajectory over the next one or two years? That's my first question.
Erez Israeli : Yes, very much so.
Madhav Marda: Okay, and could you highlight any key drivers? Like, do we have new launches lined up, or what can help that steady growth? Because India especially, 13% was quite a good number , ahead of market . So just wanted to understand what could drive it.
Erez Israeli : So, each one of the markets, we have different drive rs. So, if you want, I can highlight the markets for you, the main markets. In Europe, it's primarily a combination of the N RT business and the leverage of the U.S. portfolio , in which the pipeline is coming up , and the launch of biosimilar s - Rituximab, Denosumab and Bevacizumab that we have in the UK.
In the case of India, it's primarily our inorganic move s that we made on innovation , and acquisitions of brands that we did, in addition to a normal growth that we had on the legacy pipeline. So , I always mention that in India , our legacy pipeline will be like the market, and what we are adding value is in the places in which we are bringing products better than the standard of care. This is the strategy. And now that we have accumulate d enough of those, it's starting to show. It took us, as I'm sure we all remember , quite a few years to build that.
In the Emerging Market s, it's primarily, again, leverage of the generic business, especially on injectable s and oncology , as well as, biologics - all of our biologics are going to Emerging Markets, and in each one of them, we have SLA , depend ing on the market, selective innovation that we also license, as part of our deal with India. In the case of Russia, it's primarily our legacy brands as well as some licensing and acquisition s that we made in Russia , on both the OTC, as well as the Rx.
API – It's focus primarily is on peptides, and there is also a lot of demand for the peptides on the API side. I hope I covered all the markets for you. If I forgot something, please let me know .
Madhav Marda: Makes sense. And my second question is just on Abatacept . You said we can fil e, submit the BLA by end of calendar year '25. So , the Phase III trial, I'm assuming, is complete now, and we're expecting an update on that, in terms of whether that's completed successfully, or how should we think about the progress on the trial itself?
Erez Israeli : It should be completed very, very soon, and so far, so good.
Madhav Marda: Okay, okay, understood, got it. And, if we file on time , the approval will be in line with the expiry in early calendar year '27, that's how we should think about it ?

Erez Israeli : That's the idea, yeah.
Madhav Marda: Perfect. Thank you.
Aishwarya Sitharam : Thanks, Madhav. The next question is from the line of Dr. Kunal Dhamesha from Macquarie Capital.
Dr. Kunal Dhamesha: Yeah, hi, thanks for taking my question. Just the first one on Abatacept , so basically, the first filing that we'll do would be for I V version, right?
Erez Israeli : Correct.
Dr. Kunal Dhamesha: And, what kind of, the further development the subcutaneous version would require?
Erez Israeli : There is another set of tests that allow s us to submit the sub cutaneous , but it doesn't require additional study.
Dr. Kunal Dhamesha: Okay, so , no Phase III, but some form of characterization, etc. ?
Erez Israeli : Correct.

Dr. Kunal Dhamesha: And, the first, filing that we'll do by December 2025 , would that include Bachupal ly as a manufacturing source, or the CMO as a manufacturing source?
Erez Israeli : Bach upally . Bach upally will be the start, and the CMO will be a tech transf er from Bach upally .
Dr. Kunal Dhamesha: Okay, tech tra nsfer . So, then Bachupal ly would be still the keystone for us, in a way.
Erez Israeli : Yeah, but in the United States, I'm absolutely building , especially for the sub cutaneous, that the CMO will enable our D ay-1 launch , for the mitigation that we discussed before .
Dr. Kunal Dhamesha: Sure. And the second one on Semaglutide Canada . So, basically, let's say , since we talked in the earlier Q1 earnings call , your expectation about the market formation, has that changed now ? On the day of patent expiry, or how should we think about it? Given that there are more filers whose filings have been accepted by the regulatory authority in Canada.
Erez Israeli : No, so nothing changed, at least in my perspective. We are expecting the market to be competitive. There will be multiple playe rs. The question is just the day that we'll get approval. So, it's all about that. That did

not change. I believe that the market formation will be as expected. Once there is an approval, there is an application for reimbursement, and according to the rules in Canada of the pricing, that's how the market will play. So , nothing changed in the way I think the game will be played . It is now it's about obtaining approval and, obtaining a good outcome from the litigation in India.

Dr. Kunal Dhamesha: Sure, and lastly, on India, for Semaglutide , we have basically conducted trial for Ozempic and Rybelsus. So, does that enable us to launch the weight loss version, which is Wegovy generic as well?
Erez Israeli : For Wegovy , we'll have to have an application by itself.
Dr. Kunal Dhamesha: It would be a separate application ?
Erez Israeli : It will be separate.
Dr. Kunal Dhamesha: Okay, perfect. Thank you, and all the best.
Aishwarya Sitharam : Thanks, Kunal. The next question is from the line of Tushar Ma nudhane from Moti lal Oswal Financial Services. Tushar, please go ahead.
Tushar Manudhane: Thanks for the opportunity. So, just, on a steady, robust traction of biologics across European markets and Indian markets, if you could just highlight how much has been the total biologic s sales across different markets, on an annualized basis till date.
Erez Israeli : We launched , in Europe , Bevacizumab , and recently , Rituximab , in multiple countries, and we will increase the number of countries , as time goes by . And this is after we got the recent approval for Rituximab in Europe. In India and Emerging Markets, we were always there, so it is going well. The main program that we will launch in Europe will be Denosumab and Abata cept. This is the main pipeline. The same product, obviously, will be launched in the India and Emerging Market s. But in India, we'll also have, Pembrolizumab , as well as Nivolumab . So, that's right now the plans in those countries.
Tushar Manudhane: Got it. And so, with respect to Rituximab, now that we are thinking of having a CMO, so will that require at least the stability data from CMO site, and hence, they need more time to get through the regulatory process ?
Erez Israeli : The CMO that I mentioned is for Abatacept, p rimarily for the sub cutaneous , and it will require a tech transfer as well as stability, but we believe that we will be able to be ready for the big quantities , which will be in the beginning of calendar ‘28. So , we should be good by then.
Tushar Manudhane: Understood. And just lastly, on the P SAI segment, where there has been improvement in the gross margin, quarter over quarter, while we are still lower than the historical gross margin . But, if you can just help understand in terms of the current gross margin , and how to think about it over the next one to two yea rs.
M. V. Narasimham: So, we expect, going forward, the PSAI gross margin to be in the range of 20 -25%.
Tushar Manudhane: Compared to 15% currently, right?

M. V. Narasimham: No, this quarter it is 18% . Based on the product mix, and overhead leverage , I think the range you can expect, going forward, is 20% to 25% for PSAI gross margin.
Tushar Manudhane: Got it. And, the earlier comment of peptide sales within PSA I, so if you could quantify how

much has that been?
Erez Israeli : So, we built a capacity of up to 800 kg . Naturally, we are not even close right now to this level.
Right now, it's very small, but it will grow as it will come.
Tushar Manudhane: Got it . Thank you.
Aishwarya Sitharam : Thanks, Tushar . The next question is from the line of K unal Rand eria from A xis Capital. Kunal, please go ahead.
Kunal Randeria: Hi, good evening. So, firstly, I would like to understand how your R&D will take shape, given that you're developing a f

ew biosimilars, like Pembrolizumab and Daratumumab. And , of your R&D budget, how much you would be earmarking for biosimilars and Aurig ene, so basically your non -gene rics business.
Erez Israeli : Sure, so just to clarify, Daratumumab - we are no t developing . It's a product that we license d from He nlius , a Chinese company. Den osumab was developed by Alvotec h, and we have a partnership with them. So, in that respect, the main products that are done internally is still Abatacept , and we basically finished the clinic al trial of it. As you can see, the R&D is about 7%, right now , of the sales, and likely , that it will stay in this range , for now.
Kunal Randeria: Sure, sure, thanks for that. And secondly, again on Semaglutide. So , do you foresee a situation where the market may not turn out to be as favo urable as you think in Canada? Because , besides the number of filers, which are increasing by the day , there are perhaps risks, let's say, from a compounding pharmacy , which is intend ed to enter Canada. And even the innovator has seen volume pressures in several markets . So, there might be a situation where they are aggressive on pricing. So, is ther e a risk of the market deterioration?
Erez Israeli : First of all, I mentioned all along, I think that Canada market will be competitive , with multiple playe rs. So, you know, in 33 years that I am in pharmaceuticals, I learned not to forecast launch . I always mention that it can range from a zero to many, many millions of dolla rs. So, but yeah, to answer it, I anticipate that Canada is going to be very, very competitive as players will get an approval .
Kunal Randeria: Right, and if I can, if you don't mind , ask, is there any particular price erosion that we can see from the current level, maybe 80 -85% kind of price erosion that we'll eventually settle down to?
Erez Israeli : I have no clue. I wish I knew .
Kunal Randeria: Alright, thank you.

Aishwarya Sitharam : Thanks, Kunal. Participants are requested to restrict the number of questions to just one to ensure that everybody in the line gets an opportunity to interact with management.
The next question is from the line of Vivek Agarwal from Citi. Vivek, please go ahead.
Vivek Agrawal: Thanks for the opportunity. My question is related to NRT and branded markets like India , EM. So, the growth was quite decent across the board, and it's a really commendable job. So, just want to understand, how to look at the investment that you are making behind these markets. Are these sustainable investments, or let's say it can be cut down in fut ure? Thank you.
Erez Israeli : First of all, I don't think you see the investment in Emerging Markets. As we speak, we got the market in certain waves. And the markets that we did not get are still managed by Haleon , and we are paying them a fee for doing that for us. So, naturally, as market is coming to us, the fee for Haleon is going. And therefore, the margins are going up, because we don't need to pay them, and we are starting to invest. The markets that we are invest ing are the only the markets that we got at the beginning, meaning UK and Scandinavia . Right now, it's absolutely not a steady state. We have two more waves to go. What I can tell is so far , it's exceeding our expectation s, both, on the pace of growth , as well as on the margin. In both cases, it's much better than what we presented internally, when we approve d the project. So , it's a kind of a good start, I would call it.
Vivek Agrawal: I understand , Erez . And, just a related question here, on operating expenditure . So, on absolute basis, how we should look at the operating expenditure in FY27? So, can it continue to increase, let's say, from ‘26 level, maybe relatively at a slower pace, or is there any possibility of absolute decline in oper

ating expen diture , let's say, in ‘27 compared to FY26? Thank you.
M. V. Narasimham: So, this quarter, we have 30%, and then, if you adjust the one -off, I think , we are close to 29.1%. And then, for your mode lling, I think, we'll be in the zone of 28% to 30%.
Vivek Agrawal: Thanks, MVN. That's all from my side.
Aishwarya Sitharam : Thanks, Vivek. The next question is from the line of Dr. Harith Ah amed from Aven dus Spark. Harith, please go ahead.

Dr. Harith Ahamed: Hi, thanks for the opportunity. Just on, Rituximab, again, so given this is the second unsuccessful PAI and CRL that we've had. Are there any specific challenges related to this facility? I'm asking, also because this is a biologics facility, and our track record otherwise on compliance has been quite excellent in recent yea rs.
Erez Israeli : There is nothing specific, per se. As this is a sterile plant, we got queries that are related to th at nature of the site. We believe it's addressable. In the case that they will come with another set of questions, we have an alternate line as a backup, which is FF M-2. FFM -2 is for fill-and-finish , for those on the line . So, we may need to move the product from one line to another , in a case that it will not come well on the first one. So, it's primarily related to the first line that we have,

FFM -1. Some of the design of it raised those queries, and also last time. We are addressing it, but if it will not work, we'll have to move to FFM -2. I'm not worried on not getting approval, I'm certain we will get approval . Just to remind all of us, Rituxima b was deliberately chosen , in order to start the regulatory process on time, to make sure that by the time that Abatacept will come , Bachupally will face those kind of stuff, and it is serving its purpose, and hopefully we can resolve it soon.
Dr. Harith Ahamed: Okay. Quick one on Tocilizumab biosimilar. It's been a while since we got an update on that one. Can you share the status of that program?
Erez Israeli : We are not planning to have it as a global product.
Dr. Harith Ahamed: Okay.
Erez Israeli : We will have it only for India.
Dr. Harith Ahamed: Okay. Yeah, and then one quick follow -up on the previous question, the cost reductions that we've alluded to in the past, around 500 - 600 basis points. of reductions. Are these reflecting to a small extent in the first half numbers, or should we wait for the coming quarters for this to actually show up in numbers?
Erez Israeli : Yeah, I believe so. You can see that by the fact that Lenalidomide is going down, we are maintaining reasonably low numbers . So, it's absolutely a reflection of those mitigations. Of course, the full force of it will come as quarters will come. MVN also share d the number s, so we believe that with SG&A of around 28%, and R&D of around 7%, it comes to the famous 5 to 7 that was s aid, and there is even opportunity for more , if we need to. So, we are very, very sensitive to the margins. And naturally, we're discussing it every time, and we will absolutely be very disciplined on those.
Dr. Harith Ahamed: Thank you, that's all for me, sir.
Aishwarya Sitharam : Thanks, Harith. In the interest of time, we will restrict the questions to the next two speake rs. Next is G autam R. from Leo Capital. G autam, please go ahead.
Gautam R .: Hi, hi, good evening. My question was on the GLP -1. Do you only plan to do fill -and-finish, or do you also manufacture API drug substances? How much manufacturing capacity do you have, and which all markets are we targeting for this?
Erez Israeli : So, we have, CTO -6 making the API . I mentioned that the overall potential of all the investments that we put can reach even 800 kg, but we are very, very far from this output at this stage. We don't need also . Just, that, but, we are p

reparing it not just for Semaglutide and Liraglutide , but also for 40-something peptides that we identified, and we are going to develop , either by ourselves or with the partners in the next coming yea rs. So, right now, we will have sufficient capacity for the demands that we'll have for Liraglutide, Semaglutid e, and the submissions to

the relevant authorities of all the peptides , that will be o ff-patent, including Tirzepatide . That will be, obviously, an R&D project, but it's very important to submit it in the relevant markets. And we're also making the product. We are planning to make it in FTO-11, and also with the partne r. In general, the approach will be that we will have, for every important product , in-house capabilities, as well as partnership capabilities for all kinds of risk mitigations.
Gautam R .: Okay, so can you just, like, expand on the fill -and-finish also? What's the capacity we have, and the status on that? And the markets we are supplying for that ?
Erez Israeli : I think we discussed it . We have 12 million pens for Semaglutide with the partner. We have two

lines of cartridge that will be a t FTO-11. They can reach even 50 million, but right now it's all theoretical. The cart ridge lines are on the way, and they will be assembled and will be ready . Not for this 12 months, but after.

Gautam R .: Understood, thank you.

Aishwarya Sitharam : Thank you, Gautam. The last question for today is from the line of Sumit Gupta from Centrum Capital. Sumit, please go ahead.

Sumit Gupta: Yeah, hi, thank you, good evening. Yeah, so just one question on the India business. So, sir, can you segregate the volume and price growth?

M. V. Narasimham: So, Sumit, the price is in the range of normal 5%, and then, the balance growth is mainly from the new products and volumes.

Sumit Gupta: Okay, so going forward, should we expect this to continue, or can we expect any significant growth in volumes also?

Erez Israeli : You should expect to continue. We will have new products, volume, and the price will be in that range that MVN shared with you.

Sumit Gupta: Understood. Thank you.

Aishwarya Sitharam : Thank you. We've reached the end of the call. I , now, hand the call over to Richa for the closing comments.

Richa Periwal : Thank you all for joining us today. We truly appreciate your continued interest in Dr. Reddy's Laboratories and the time you've taken to engage with us on our Q2FY26 results. If you have any further questions or need any additional information, please do not hesitate to contact the Investor Relations team. Have a great day, stay safe, and take care. Thank you.

Call: Jan 2026

January 27, 2026
National Stock Exchange of India Ltd. (Scrip Code: DRREDDY)
BSE Limited. (Scrip Code: 500124)
New York Stock Exchange Inc. (Stock Code: RDY)
NSE IFSC Lt d. (Stock C ode: D RREDDY)
Dear Sir/Madam,
Sub: Transcript of the Earnings call conducted on January 21, 2026
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the tran script of the Earnings call for the quarter ended December 31, 2025, conducted on January 21, 2026. Also , please note that this transcript of the call has been uploaded on our website and is available at the following link.
Weblink: https://www.drreddys.com/cms/sites/default/files/2026 -01/DRL_Q3FY26EarningsCallTranscript_21Jan2026.pdf
T
his is for your information and record.
T
hanking you.
Y
ours faithfully,
For Dr. Reddy’s Laboratories Limited
K
Randhir Singh
Company Secretary, Compliance Officer & Head -CSR

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Dr. Reddy's Laboratories Limited's
Q3FY26 Earnings Call

January 21, 202 6

MANAGEMENT : MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. M. V. NARASIMHAM : CHIEF FINANCIAL OFFICER
MS. AISHWARYA SITHARAM : HEAD – INVESTOR RELATIONS

Q3FY26 Earnings Conference Call Transcript
January 21, 202 6

Aishwarya Sitharam : Good day, everyone, and welcome to the Q3FY26 earnings call of Dr. Reddy's Laboratories Limited. We appreciate your continued interest in our Company. I'm Aishwary a Sitharam , Head of Investor Relations at Dr. Reddy's .

Joining us today are members of the leadership team, Mr. Erez Israeli, our C hief Executive Officer and Mr. M. V. Narasimham (MVN), our C hief Financial Officer .

Our quarterly financial results have been published earlier today and are available on our website for your reference.

We will start today's call with MVN providing an overview of our financial performance for the quarter. Following that, Erez will share his insights on key business highlights , as well as the Company's strategic outlook. We will then open the floor for questions.

All commentary and analysis during this call are based on our IFRS Consolidated financial statements. Please note that certain non -GAAP financial measures may also be discussed. Reconciliations to the corresponding GAAP measures are included in our press r elease. I would like to remind everyone that the 'Safe Harbor' provisions outlined in our press release today apply to all forward -looking statements made during this call.

Before we proceed, I would like to call out a few housekeeping points. All participants will be in the 'listen -only' mode during the opening remarks . Should you need any technical assistance during the call, please use the chat function in your Zoom application. The chat will not be monitored for any questions to the management. This session is being recorded, and both the audio and the transcript will be made available on our website. Please note that this call is the proprietary material of Dr. Reddy's Laboratories Limited and may not be rebroadcasted or quoted in any media or public forum , without prior , written permission from the company.

With that, let me now hand the call over to MVN to present the financial highlights for the quarter. Over to you, MVN.

M. V. Narasimham: Thank you, Aishwarya . A warm welcome to all. Thank you for joining us on our Q3FY26 earnings call. It is my pleasure to take you through our financial performance for the quarter.

The business delivered a resilient performance in Q3FY26, reporting a 4.4% revenue growth and steady profitability, despite product -specific headwinds. The performance reported this quarter was largely attributable to the double -digit growth delivered by our underlying base business es, excluding Lenalidomide, aided by favourable forex.

Reported EBITDA margin, which stood at 23.5%, included a one -time provision related to the impact of changes in employee benefit obligations under the new Labour Codes in India. Adjusting for this one -time provision, the EBITDA margin was 24.8%.

All financial figures in this section are translated into US dollars, using a convenience translation rate of ■89.84, the exchange rate prevailing as of December 31, 2025.

Consolidated revenues for the quarter stood at ■8,727 crores, which is US$971 million, a growth of 4.4% YoY and a decline of 0.9% on a sequential basis. Strong performance across our Branded businesses, namely India, Emerging Markets and the acquired consumer healthcare business in Nicotine Replacement Therapy (NRT), further supported by favourable currency exchange rate movements, was partially offset by lower Lenalidomide sales and continued pricing pressure in US and Europe generics.

Consolidated gross profit margin for the quarter was at 53.6%, a decrease of 505 basis points year-over-year and 104 basis points sequentially. The decline in margins during the quarter was largely on account of lower Lenalidomide sales, price erosion in our unbranded Generics businesses, adverse product mix in PSAI and the one -

time provision related to the new Labour Codes mentioned earlier. Adjusting for th is one-off, the margin was at 54.1%. The reported gross margin was 57.4% for Global Generics and 17. 3% for PSAI.

The SG&A spend for the quarter was ■2,692 crores, which is US$300 million, an increase of 12% year-over-year and 2% QoQ. The year-over-year increase was primarily on account of ongoing, targeted investments to support long -term growth of our branded franchises, namely the acquired NRT consumer healthcare business and branded generics, adverse forex impact, as well as the one -time provision re lated to the new Labour Codes. SG&A spends accounted for around 31% of revenues during the quarter and was higher by 199 basis points YoY and 82 basis points on a sequential basis. Excluding the one -off provision, SG&A spends as a % to revenues was around 30% in Q3FY26.

The R&D spend for the quarter was ■615 crores, which is US$68 million, a decline of 8% year-over-year and largely flat sequentially. The decrease reflected lower development spends in biosimilars, given that a large part of investments related to Abatacept have been completed.
The spend this quarter also included the one -time new Labour Codes related prov ision. The R&D spend was 7% of revenues for Q3FY26, lower by 92 basis points year-over-year and at the same level as the previous quarter. Excluding the on e-off, R&D spend was at 6.8% of Q3 revenues.
Other operating income for the quarter was Rs. 77 crores, as against Rs. 44 crores in the corresponding quarter last year.
EBITDA for the quarter, including other income, stood at ■2,049 crores, which is US$228 million, a decline of 11% on a year-over-year basis and 13% sequentially. The EBITDA margin stood at 23.5%, lower by 401 basis points year-over-year and 322 basis points QoQ.
Adjusting for the one -time new Labour Codes related provision, the underlying EBITDA margin was at 24.8%.

The net finance income for the quarter was higher at ■117 crores, as compared to net finance expenses of ■2 crores during the same quarter last year. The increase in net finance income was primarily on account of higher foreign exchange gain this quarter, in comparison to a foreign exchange loss reported in the corresponding quarter last year.
As a result, profit before tax for the quarter stood at ■1,543 crores, that is US$172 million. PBT as a % of revenues was at 17.7%. Excluding the one -time new Labour Codes related provision, the PBT margin was at 19%.
Effective tax rate for the quarter was at 22.9%, compared to 25.1% in the corresponding period last year. The ETR for Q3FY26 was lower primarily due to a favourable jurisdictional mix for the quarter, in comparison to the same period in the previous year.
Profit after tax attributable to equity holders of the parent for the quarter stood at ■1,210 crores, which is US$135 million, a decline of 14% year-over-year and 16% QoQ. This is at 13.9% of revenues, before adjusting for the one -off provision related to the new Labour Codes.
Diluted EPS for the quarter is ■14.52.
Operating working capital as of 31st December 2025 was ■14,142 crores, which is US$1.57 billion, an increase of ■811 crores, which is US$90 million over 30th September 2025.
Capex cash outflow for the quarter stood at ■669 crores, which is US$75 million. Free cash flow generated during the quarter was ■374 crores, which is US$42 million. As of December 31, 2025, we have a net cash surplus of ■3,069 crores, i.e., US$342 million .
Foreign currency cash flow hedges executed through derivative instruments during the period are as follows . US$481 million hedged using combination of forwards & structured derivative contracts, scheduled to mature through March 2027. These contracts are hedged at a rate of ■89.1 to ■90.3 per US dollar. RUB

2.93 billion hedged at a fixed rate of ■1.06 per Russian Ruble, with maturity falling within the next three months.
With this, I now request Erez to take us through the key business highlights .
Erez Israeli : Thank you so much , MVN. Good day, everyone, and thank you for joining us today. We really appreciate your continued engagement and interest in our Company. Thank you all for joining our meeting.
Our overall performance in Q3FY26 remained consistent with our strategy, and we continued to deliver on our strategic priorities during the quarter, namely, growing the base business, driving cost efficiencies across operations, advancing our key pipeline programs, Semaglutide and Abatacept, as well as pursuing selective business development (BD) opportunities to augment our organic growth efforts.

In line with our stated aspirations, our underlying base business delivered overall a double -digit growth this quarter. The Company’s EBITDA margin was about 25% . This is adjusted for a one -time provision related to the new Labour Codes in India.
Let me now walk you through some of the key highlights of the quarter.

Revenue grew by 4.4% year -on-year, despite lower contribution from Lenalidomide. Our base business, excluding Lenalidomide, delivered a double -digit growth. The overall growth for the quarter was also aided by favourable forex. EBITDA margin stood at 23.5%, which included a one-time provision related to the new Labour Codes mentioned earlier. Excluding this one -time provision, EBITDA margin is at 24.8% , like I mentioned about 25%. Annualized ROCE was at 20.4%. Net cash surplus at the end of the quarter was US$342 million.

In alignment with our strategic focus to deliver first -in-class and innovative therapies in India and Emerging Markets , we entered into a strategic collaboration with Immutep for commercialisation of a novel, immunotherapy oncology drug, Eftilagimod Alfa, in key global markets outside of North America, Europe, Japan, and Greater China, with an upfront of US$20 million, potential regulatory and commercial milestones of up to US$350 million as well as royalties. Further, we recently launched Hevaxin®, a novel, recombinant vaccine for the prevention of Hepatitis -E virus infection in India.

We are pleased that the integration of the acquired Nicotine Replacement Therapy (NRT) business is progressing as per plan. 85% of the business by value is now under our operational control. The next phase of integration will include select countries in As ia-Pacific, Middle East, and Latin America. We expect integration largely to be completed by the end of this fiscal.

We continue to make progress on our key pipeline products . During the quarter, we received the marketing authorization for our Semaglutide injection in India from the DCGI (Drugs Controller General of India), following the recommendation of Subject Expert Committee (SEC) under Central Drugs Standard Control Organi zation (CDSCO). Further, the necessary local manufacturing licenses have been secured. We have also started filing in various Emerging Markets through the COPP route. In October 2025 end, we received a Notice of Non - Compliance from the Canadian Pharmaceutical Drugs Directorate for our Semaglutide Injection, which outlined requests for additional information and clarifications on specific aspects of our submission. We promptly submitted our response by mid-November 2025, well within the stipulated time and now we are awaiting a response from the regulatory agency in Canada .

On the biologics front, we have completed the filing of the Biologics License Application (BLA) for the Intravenous (IV) presentation of our Abatacept biosimilar candidate in December 2025, as per the schedule. Following the positive opinion from the CHMP, we received the European Commission approval for Denosumab bios

imilar in Q3FY26. Likewise, we have also received the approval from MHRA in UK. Our in -house commercial team has launched the product in Germany in December and launch preparations are underwa y for the UK and other European countries. We received a Complete Response Letter (CRL) from the USFDA for our Denosumab

biosimilar BLA, which was developed by our partner, Alvotech. The CRL refers to the observations from a pre -license inspection of Alvotech's Reykjavik manufacturing facility.

On the regulatory front , in November 2025, the USFDA concluded a GMP inspection at our API facility, CTO SEZ, in Srikakulam, Andhra Pradesh, with zero observations. In December 2025, the USFDA completed a GMP and a Pre -Approval Inspection (PAI) at our formulations facility , FTO -SEZ PU -01, in Srikakulam, Andhra Pradesh and issued a Form 483 with 5 observations. We have responded to the agency within the stipulated timelines. Recently, the USFDA issued a Post -Application Action Letter (PAAL), in relation to the responses submitted to the observations received post the PAI conducted at our Bachupally biologics facility in September 2025 for our Rituximab biosimilar. We are actively working to resolve the outstanding observations.

Our CDMO business, Aurigene Pharmaceutical Services Limited (APSL), served as the exclusive API manufacturer for two of 46 Novel Drugs approved by USFDA in 2025. Further, APSL delivered three discovery programs through it's in -house, AI assisted drug disco very platform, 'Aurigene.AI'.

We continue to progress on our industry -leading sustainability practices . During the quarter, we announced Science -Based Net Zero Climate Targets, making us the only Indian Pharmaceutical company to commit to such a target by FY2045. We are in the leadership position in CDP's Water Security and Climate Change categories for 2025.

Let me take you through the key business highlights for the quarter. Please note that all financial figures mentioned are reported in their respective local currencies.

Our North America Generics business generated revenues of US$338 million for the quarter, a decline of 16% year -on-year and 9% sequentially. The decline was primarily on account of lower Lenalidomide sales and price erosion in certain key products. During the quarter, we continued

the launch momentum, adding six new products to our portfolio.
Our European Generics business reported revenues of €140 million for the quarter, a growth of 4% on a year -on-year basis as well as sequentially. The acquired Nicotine Replacement Therapy (NRT) portfolio, which is now also in the base, has been performing well. Further, new product launches helped offset the impact of price erosion in generics. During the quarter, we launched ten new generic products across markets, further strengthening our product portfolio in Europe.
Our Emerging Markets business delivered revenues of ■1,896 crores in Q3FY26, reflecting a robust growth of 32% year -on-year and 15% sequentially. Growth was primarily driven by new product launches across various markets and favourable forex. During the qu arter, we introduced 30 new products across countries, in line with our commitment to improving access and further deepening our market presence. Within this segment, our Russia business delivered a growth of 21% year -on-year and 16% sequentially in consta nt currency terms, amid continued adverse macroeconomic conditions.

Our India business reported revenues of ■1,603 crores in Q3FY26, delivering a healthy, double - digit, year -on-year growth of 19% and 2% increase sequentially. This performance was attributable to revenues from our innovation franchise, new brand launches, p rice increases, higher volumes as well as contributions from the recently acquired Stugeron portf

olio.
According to IQVIA, we continue to outperform the Indian Pharmaceutical Market (IPM), with a moving quarterly total (MQT) growth of 12.3%, compared to th e IPM’s growth of 11.8% and a moving annual total (MAT) growth of 9.7%, compared to the IPM’s 8.9% growth. Our IPM Rank is 10 for the quarter and 9 for the month of December 2025. During the quarter, we launched two new brands, as we continue to enhance ou r domestic market presence.
Our PSAI business reported revenues of US$92 million in Q3FY26, resulting in a decline of 5% year-over-year and 15% sequentially. During the quarter, we filed 31 Drug Master Files globally.
In line with our strategic priorities, we remain committed to investing in differentiated R&D programs, especially peptides and biosimilars, that offer meaningful commercial opportunities.
In addition to our in -house developmental efforts, we will also con tinue to strategically collaborate to build our innovation portfolio for India and Emerging markets. During the quarter, we completed 28 global generic filings.
As we look forward, our focus remains on effective execution to deliver on our strategic priorities, improving base business growth, advancing differentiated pipeline products like Semaglutide and Abatacept, driving operational efficiencies and pursuing va lue-accretive acquisitions and partnerships, aimed at creating long -term value for our stakeholders.
Before we move to the Q&A section, I would like to announce that Aishwarya Sitharam has recently taken over as the Head of Investor Relations from Richa Periwal. I wish both Aishwarya and Richa – Richa is staying with our organisation - success in their respective , new, promoted roles.
With that, I welcome your thoughts and questions as we move into the Q&A session .
Aishwarya Sitharam: Thank you very much, Erez. We will now begin the question -and-answer session. To join the question queue, please use the ‘raise hand ’ option available on the bar at the bottom of your Zoom application. If you wish to exit the question queue, you may click on the ‘lower hand ’ option. Participants are requested to not ask more than two questions at a time, and to rejoin the queue in case of any incremental queries. I would like to reiterate that the chat will not be monitored for any questions to the management. However, in case of any technical concerns, please do feel free to reach out to us through the chat option .
The first question is from the line of Neha Manpuria from Bank of America. Neha, please go ahead.
Neha Manpuria: Yeah, thanks, Aish warya . Two questions from me. First, on the India business growth , the 19% growth . How should I think about, you know, organic growth for the India business? Because

we did have the Stugeron acquisition in this quarter. Was that a meaningful contributor to this 19% growth? If I were to strip that out, would that growth still be , let's say north of 15% ? Would

that be a fair assumption?
Erez Israeli : So, it's somewhere between 17% and 18%, if I calculate, I'm not sure exactly where it is, but let's say it's more than 17% organic , without acquisitions.
Neha Manpuria: And what is driving this strong growth , Erez ? Because, I know we've been moving in the double -digit category for a few quarters now, but the step up to 17 -18% does seem very large in a quarter's time. What's changed in this quarter, and how sustainable is this growth trajectory ? Particularly this , let's say, mid -teens sort of growth trajectory as we look through the next few quarters.
Erez Israeli : So, it's primarily the performance of the innovative product s. They're actually very good products that are being really appreciated by the market. So , normally, when you intro duce a brand that is not known, there is a period of time in which you have cycle of physicians that recognize

this product and then recommend it . So, there is a certain growth pattern in introduction of any brand. And, I think , what happen ed to us, is actually the strategy is working. We are , in some of these brands , in the third year since launch , in some of them in the second year. And you will start to see the move . In addition to that, the brand ed generics generally perform ed in a similar manner, meaning that we are increasing the prices, we have the support of those. But it's primarily what we called, at the time, Horizon 2, introducing of innovation to India, this is the primary move that is actually working.
Neha Manpuria: Understood. Sorry, one last question on India. The innovative portfolio would be what portion of our sales, roughly, today? You know, if you were to quantify it?
Erez Israeli : It's somewhere between 10 to 15%, but I'm not sure, Neha .
Neha Manpuria: All right, no problem. And my second question is on Semaglutide . I think , you mentioned that we have submitted the response, and we are awaiting response from the agency. So, have we not got a follow -up goal date as well? And according to you, what would be the next timeline that we should look at for S emaglutide approval in Canada?
Erez Israeli : Yeah, so we do have a goal date, because it come s automatically , 6 months from the response time. So, it takes us to May , but it doesn't mean that we need to get approval by that date, it can be any time between now and May . And hopefully May , no additional question s. I don't know when we will get a response. We are preparing for a launch even in Q4. And there are scenarios like that, and if not, it will be in Q1 . But let's say any time between end of February to May, we should expect a launch in Canada.
Neha Manpuria: Thank you so much, Erez.

Aishwarya Sitharam : Thanks, Neha. The next question is from the line of Damayanti Kerai from HSBC. Damayanti , please go ahead.
Damayanti Kerai: Yeah, hi. Thank you for the opportunity. My question is again on India business. So you mentioned, the innovative products, etc. is helping you to achieve such strong number s. So, two things. Again, what is the sustainability of these growth numbers in India? And also, if you can clarify if the December quarter has some spillover benefit from the prior quarter, where we had seen the GST disruption.
Erez Israeli : So, it's absolutely sustainable. I don't know if it's 19%. It could be also 15%. So, it's absolutely sustainable in this range. And, I don't think that we had a major spillover.
M. V. Narasimham: There's no spillover on account of GST implementation. This is a clear quarter.
Damayanti Kerai: Got it, thank you. My second question is on Semaglutide. I guess, we are waiting for Health Canada to revert, but meanwhile, what are your expectations in terms of pricing compared to, say, a few months back? Given now, most of the companies are gearing up for these opportunities, and what's your broader expectation on the pricing and competition in the key markets where you are looking to launch Sema glutide?
Erez Israeli : So, my expectations did not change much since our recent discussions. We know that eventually there will be competition in Canada. We also know that Novo No rdisk announced that they want also to participate, and they even started to offer certain organizations in Canada, what they call their own generic brands, if you wish, in Canada as well. They made some arrangements like that. I still believe that if we will get the approval, we have a good chance to be alone, or even with the low level of numbers of players that will compete, and over time, they will accumulate . The opportunity, to my opinion, is still there.
Damayanti Kerai: Sure, and earlier, I guess your expectation for pricing across different markets was somewhere, say, $20 to $70 per un

it. So, are you still, expecting the similar range, in terms of pricing in different markets?
Erez Israeli : Yeah, yeah, most of the markets will be on the lower end of the spectrum, but yes, the spectrum is still there. We did not get yet indications that it will be lower . Over time, when people will get approval, we are expecting it to be a very competitive market. There will be a short period of time , which can be from weeks to months, it depends on the market, in which we can have healthier prices, but then we're preparing ourselves for a scenario of very competitive markets.
Damayanti Kerai: So, somewhere closer to the lower end of the range, right? That's the expectation ?
Erez Israeli : Yes. I think , this is a fair assumption for your analysis.
Damayanti Kerai: Okay, thank you, I'll get back in the queue.

Aishwarya Sitharam : Thanks, Damayanti . The next question is from the line of Dr. Bino Pathiparampil from Elara Capital. Bino, please go ahead.
Dr. Bino Pathiparampil: Hi, good evening. Couple of questions. One, how much has gener ic Lenalidomide still contributed to the EBITDA margins in the quarter? And now that we have a visibility of our expense levels, etc. , what shall we look forward to in terms of EBITDA margins in Q4 and FY27?
Erez Israeli : You know, four years, I did not answer this question, and this is the last quarter that I need to answer this question, so I will not be able to tell you the amount, and this is because of the confidentiality agreement that we have with the innovator. It's not because I don't want. But what we can say is that the decline that you see in America is primarily Lenalidomide . And, actually, without Lenalidomide , we even grew . So, you can take it from there.
Dr. Bino Pathiparampil: Got it. When you say , decline in the US, it's Y oY or Q oQ?
Erez Israeli : Both.
Dr. Bino Pathiparampil: Thank you. And, second, can I also understand the latest timelines now for Denosumab and Rituximab in the US?
Erez Israeli : So, for Denos umab, Alvotec h needs to answer the deficiency letter. And then, of course, it depends o n how the US FDA will address the response. So, the answer is I don’t know . But it is likely that it'll be in the second quarter of FY27 and maybe even after. You know, the normal time that they evaluat e the deficiency letter, a new goal date, likely that it will take us to this time frame. But I really don't know, because you know, in biologics, you don't always end up with one deficiency letter. So we need to see.
Dr. Bino Pathiparampil: Got it.
Erez Israeli : Answered on Denusumab . On Rituximab , we have one out of the two comments that they gave, which is related to our respon se, primarily related to one of the lines of the fill and finish. On that, we will answer in the next two weeks, give or take, and then the expectation is that they will come to visit us again, and re -inspect us. So , the approval likely, it's not official, but I'm giving my best assessment , that likely that we'll get re -inspection on that specific line. And I'm already pre -empting one of the next question s, there is no impact on Abat acept, because Abatacept is not on the same lines. But this is the status of rituximab. So right now, it will be the response. Then , they will decide when they want to come to visit. And it will go from there . So, unlikely, let's say, in the next 6 months, and maybe more than that.
Dr. Bino Pathiparampil: Understood. Thank you, I'll join back the queue .
Aishwarya Sitharam : Thank you, Bino. The next question is from the line of Abdul kader Puranwala from ICICI Securities. Abdul, please go ahead.

Abdul kader Puranwala: Yeah, hi, thank you for the opportunity. Firstly, on Semaglutide. I heard your comments about Canada

where you expect entry in Feb ruary to May . How about the other countries in which the patent expires in March, including India? And , we previously talked about having a capacity of 12 million cartridges . Is there any increase to that? And by when we should see a meaningful traction coming from this product?
Erez Israeli : So, the starting point is India . We will launch on time . The date is March 21st, which also happen s to be my birthday . So, this is one. Canada, like I mentioned, it can be any time from now until the goal date of May, that's what I answered N eha. I don't know , in that spectrum, when exactly

it's going to be , but the expectation is that we have an approvable product, and we will launch at this time frame. In addition to that, we are using our COPP that we got already for India to register in other markets. Altogether, like I mentioned in the past, it's much more than 80 markets. I think it's 87 or 80 -something markets altogether. But the most meaningful will be Brazil , somewhere around July , as well as Turkey, give or take , the same time frame. In addition to that, we have partners , both in India as well as outside of India, who want the right for our Semaglutide for their market, and we are obtaining also licensing fee for this kind of activities, not just for this product, but also for other products. So, overall , the 12 million pen s remains the same for that period of time. For the period after, we can have more than that. Right now, as you know, we are using primarily the fill -and-finish from Stel is. But as time will go by, we have additional capacity, and we'll continue to use our partner, as well as our own internal facilities.
Abdul kader Puranwala: Sure, got it. Thanks for that. And, just to follow up on the biosimilars as well. We are having now a CRL for Denosumab and Rituximab. So, internally , how is that impacting our estimates for your entire biosimilar launch timelines? And secondly , with Abatacept, is there any timeline for launch we are planning internally?
Erez Israeli : So, on Rituximab , the main delay of the launch is to our partner, Fresenius. As you recall, Rituxima b was a product we primarily used to qualify Bachupally . And it's actually served the purpose well , maybe even too much engagement with the authorities . It's actually served the purpose really, really well in that respect. So , the overall delay in the launch versus the original plan is probably a year plus. In Europe, we already launched . So Europe is good, and we are progressing there. Denosumab, the same. We launched in Europe and we are going to launch in additional markets. It's a very competitive market over there. Denos umab , right now, because of the deficiency letter, I don't know exactly when it will be answer ed. S o I don't know how much is the delay, but it is at least 6 months, if not more than that. For this particular product, I don't see any impact of Abatacept . Denosumab is made by a partner, Alvotec h, in Reykjavik, Iceland. Abatacept is made on different lines in Bach upally, India. Obviously, we need to get approval for Abatacept in the stipulated time. We submitted it on time, so the first expectation is that we'll get somewhere toward s the end of the calendar 2026, the approval for the IV product, and then we can launch it. The approval for the subcutaneous should be by January or February of 2028. We believe that we are still on time for that. Of course, we need to see that we are actually making it happen. But Abatacept , so far , looks in the right direction, especially in the United States.

Aishwarya Sitharam: All right , thanks, Abdul. The next question is from the line of Dr. Kunal D hamesha from Macquarie . Kunal, please go ahead.
Dr. Kunal Dhamesha: Thank you for the opportunity. Just one on Semaglutide Canada. Is there a r

equirement of plant
inspection from Health Canada before approval, or all those things are already done from our side as well as from our partner's side?
Erez Israeli : So, no inspections are expected or needed . We just hope for approval . Of course, Kunal, they can give us additional queries, like a normal regulatory process. But we are expecting a pproval .
Dr. Kunal Dhamesha: But normal regulatory process does not involve plant inspection from Health Canada, like the USFDA has.
Erez Israeli : No, no inspection.
Dr. Kunal Dhamesha: Sure, sure. And secondly, in one of the media articles, the Health Canada spokesperson has mentioned that the manufacturing of the API is different between generic players versus the innovator, and hence, whether the gen erics would be substitutable is kind of questionable . So, if you could provide any colo ur on this , how much confident we are that our generic would be substitutable, at the pharmacy level?
Erez Israeli : It's absolutely substitutable. And by the way, what he said is not correct. Actually, also, the innovator is using synthetic API for the injectables and the recombinant products for the oral, and we are planning to do the same for the gene rics. So , in that respect, I don't see merit to that statement. I believe , the product is absolutely going to be substitutable, so there is no need for any special pre scription , or branding, or any brand generic activity. It's a normal retail product , once we will get approval.
Dr. Kunal Dhamesha: Sure, thanks for that. And my second question is on the new Labour Codes-related provision that we have provided some Rs. 117 Crores for. So, how should we think of this? Is it some bit of retrospective cost also baked into this Rs. 117 Crores, or it's just prospective cost ? And is it recurring in nature, that structurally our employee expenses would be a little higher now? How should we think about this?

M. V. Narasimham: So, Kunal, the wage definition has been revised , in line with the new Labour Law Codes. For employees on the payroll of the company as of December 31st, we have re-computed retrospectively. It is not prospective . So that's where this entire gratuity , leave encashment provision has been made . And going forward, in line with this , but may not be this extent , that would be, my view . Less than 50 basis points would be the impact, but that's not very significant.
Dr. Kunal Dhamesha: Sure, thank you, and all the best.
Aishwarya Sitharam : Thanks, Kunal. The next question is from the line of Madhav Mar da from Fidelity International. Madhav, please go ahead.

Madhav Marda: Hi, could you talk a little bit about biosimilar Abatacept launch in the European markets as well? Is that something that we are planning to target in the next couple of years? And also, if you could talk about the addressable market in Europe , as well? Thank you. That's my first question.
Erez Isra eli: Europe is a very important market for Abatacept . We are going to do it by ourselves as well as with partner to cover all the markets. Because in some of the markets, we don't have the ability to go to physicians, and so we are trying to cover as much as possible. Obviously, the markets that are tender markets , we can cover easily by ourselves.
M. V. Narasimham: We are submitting in July 2026, and expecting appr oval in 1 2 months.
Erez Isra eli: So, July 2027, you should expect a launch in Europe for both IV and the subcut aneous .
Madhav Marda: And, how large is the addressable market in Europe for Abat acept today?
Erez Isra eli: About US$2 billion, maybe a little bit more.
Madhav Marda: In terms of the competitive landscape , given in Abatacept , seems like we're the only one who has completed Phase III. Maybe one more person is starting it off, I don't know where they are right now,

but even in Europe, similar competitive landscape ? Like we'll probably be the first and only company at launch ?
Erez Isra eli: Yes, and by the way, the idea is to launch Abatacept i n every country that has a demand for this product, either by oursel ves or with a partner. So , we are planning to launch in this time frame in Europe, in the United States, in Japan, in Canada, and in every market where there is a demand for this product.
Madhav Marda: Understood, understood. Great, thank you so much.
Aishwarya Sitharam : Thanks, Madhav . The next question is from the line of Shyam Srinivasan from Goldman Sachs. Shyam, please go ahead.
Shyam Srinivasan: Yeah, good evening and t hank you for taking my question. The first one on NRT . The disclosure you have shared around the growth there is about 25% Y oY. Can you just split it out into constant currency terms , what the growth was ? I remember , we had about Rs. 6 billion that is Rs. 600 Crores last year, same time, and we had Rs. 1 billion pre -tax profits. So how has that evolved from these levels now?
M. V. Narasimham: So, Shya m, constant currency is , year-over-year, 8% growth.
Shyam Srinivasan: Okay, MVN , so the rest is all coming from currency generall y?
M. V. Narasimham: Yes.

Shyam Srinivasan: Okay, so how should we how should we look at the steady -state growth for this? Is th ere something that has changed? Because I remember single -digit growth was what we guided to, so that continues, right , in constant currency ?
Erez Israeli : Yeah, Shyam, firstly, yes. It can be . Right now, we see upside to the model. It's not a significant upside, but let's say we always had single digit, but right now it looks like on the upper side of the single digit . And it may go to double digit, depends . Because we are also participating in certain tenders, like Brazil . So, if you win this tender, it gives you a chunk of sales in a particular situation. Overall, it looks good , it looks that we are exceeding the expectation that we had internally. And, actually, the demand for this product is higher than what we thought.
Shyam Srinivasan: Helpful , Erez. So, the sub -part of the question was on the profitability as well. I know we have done additional brand building exercise , but has the profitability materially changed?
M. V. Narasimham: Sales are also higher, and then, with the A&P investments overall, if you remember, at the business case level, we said EBITDA is around 25% . But now, since we are doing well, the

EBITDA percentage is higher than 25% currently.
Erez Israeli : Right now, it looks really well, above expectations, but let's say, I think fair assumption will be that we'll stay with 25%.
Shyam Srinivasan: Got it, thank you. And just the last question to some of the opening remarks you made on Novo 's strategy in Canada. Just curious, why would they want to tie up with some local organization? They didn't defend their patents originally. Is there a chance that slippage happens across the border into the US for the lower -priced version ? Any philosophy or thought process to understand why they're doing it ?
Erez Israeli : You know, it's beyond my payche que. I'm not managing Novo N ordisk . I hardly manage Dr. Reddy, that too with a lot of difficulties. I'm assuming that they want to protect their market share. They und erstand what will happen when a company like us will launch, and other companies will launch. Apparently, it's important for them to keep the relationship. They also said it . About, over the border, probably, but I have no data or indications about it. We are not building on that, let's say. We are building on selling to Canadian s, and if it will be more, it will be more.
Shyam Srinivasan: Thank you. All the best.
Aishwarya Sitharam : Thanks, Shyam. The next question is from the line of Tushar

Manud hane from Motilal Oswal.
Tushar, please go ahead.
Tushar Manudhane: Thanks for the opportunity. First question on India Semaglutide opportunity. Just would like to understand the approval which we have got is for diabetes and weight management, or only diabetes?

Erez Israeli : We got it for the diabetic product. And we are planning to launch eventually all products in India. Also, the other part of the products are in the queue to get approval. But what we will launch in March is the generic version of Ozempic, if you wish.
Tushar Manudhane: Got it. And, so effectively, if at all, for weight management, it would not be in March, but subsequently, as and when you get the approval from the regulatory authority.
Erez Israeli : You know, the physicians will prescribe the way they believe they should. But the indication of the product we will launch is for diabetic.
Tushar Manudhane: Because the strength of the product is relatively low er for weight management, right?
Erez Israeli : Also, many, many people use the Ozempic for the same, but yeah, the equivalent of Wegovy will come later. In March, we will launch Ozempic , but in India, we have all strains. We will have both the indication s, as well as the or al.
Tushar Manudhane: Got it . So, secondly, on rituximab, let's say , if at all that re -inspection happens, post your response, in your experience, has it happened that USFDA comes only for a particular line for inspection and doesn't inspect the entire site, as such?
Erez Israeli : Absolutely. This is what P AI, pre -approval inspection, is all about. So , they are coming for a specific line. They can extend it , if they wish, it's up to them, but it's very, very common. Especially for sterile products .
Tushar Manudhane: Got it. And on the same thing, what would be the tentative timeline for submitting the subcutaneous version filing for US FDA?
Erez Israeli : In July 2026 , we will submit, and we hope to get approval at the patent date, which is January or February 2028.
Tushar Manudhane: Got it. And just one more from my side, R&D spend guidance, if you could share?
M. V. Narasimham: It's in the range of, Tushar , 7-8%. What we have guided earlier , that remains sa me.
Tushar Manudhane: But now that major part , which was with respect to Abatacept , is largely done, you think that we'll be still on the higher side of this guidance? At least for FY 27?
M. V. Narasimham: So, for Pembroliz umab also, we have just started the collaboration with Alvo tech. New molecules also we'll continue to introduce . That's why we are saying 7% to 8% range.
Erez Israeli: When we finish a budget of a product , we obviously want to develop more products. We have aspiration to launch hundreds of products in the next 15 years. So , there is enough products to develop. So , it's more how much we can afford in a particular time and our capacity in R&D.
Tushar Manudhane: Yes, agreed . Great, absolutely. Thanks, and all the best.

Aishwarya Sitharam : Thanks, Tushar. The next question is from the line of Vivek Agarwal from Citi. Vivek, please go ahead.

Vivek Agrawal: Yeah, thanks. My question is related to SG&A spend. That continues to remain high, and this is against the company's guidance of some moderation ahead of Revlimid cliff. Just want to understand the outlook here. Are we expecting any kind of decline in SG&A spend next year in FY27, or it can still grow Y oY, m aybe at a lower rate ? So if you can help us understand. Thank you.

M. V. Narasimham: Well, Vivek, with lower Lenalidomide sales for the quarter, as a percentage to sales, the SG&A still is , without this Labor Law Codes impact at 30%. Then, the way in which forex has given a favourable impact on the top line, o

ur SG&A spends are also there in Russia, in Europe for the NRT and t here is a forex impact also in SG&A. We have continued to invest in our branded businesses growth, be it India, emerging markets, NRT, all are on the solid path of growth. Despite continuing to invest, with 30% of the sales, we believe, we are in the control of the overall SG&A .

Vivek Agrawal: Understood, and that makes sense, but just want to understand an absolute level, right? So, in the absolute terms, are we expecting any kind of moderation or decline in next year, or it can still grow from here on?

Erez Israeli: So, you'll see that it will grow less . So, moderation of the growth. The reason for that , as we discussed in the past, we obviously prepared for the post -Lenalidomide era for quite some time. We knew it is coming, we are aware of the implications. It did not come as a surprise to us. And part of our cost containment, which is one of the key principles that I mentioned, is that we want to control the cost , also the SG&A. The idea is that, overall , the discretionary cost we are controlling very much, like we discussed in the past , and the pace of the growth of the cost will be less than half of the growth of the top line.

Vivek Agrawal: Thanks, Erez. That's all from my side. Thank you.

Aishwarya Sitharam : Thanks, Vivek. The next question is from the line of Kunal Lakhan from CLSA. Kunal, please go ahead.

Kunal Lakhan: Yeah, hi. Thanks for taking my question. My question was on the emerging markets, especially Russia. We saw some good growth numbers this quarter, and I do read your commentary that it's primarily driven by new product launches. Just wanted to understand how much of this growth was because of the new products, and how much was the base business growth here?

Erez Israeli : It is both. We have grow n in all three segments in Russia , meaning the retail, the hospitals. And in retail , both on the R x and the O TC. So, it's both, you know, the old product s as well as the new product s.

Kunal Lakhan: And also, in terms of pipeline of new products, if you can give some colo ur on the coming quarters and years, how does the pipeline look like, and whether this growth is sustainable , once the current high base is actually in the base.

Erez Israeli : So, the growth in Russia is sustainable. Not always you'll see a 21% growth every quarter, but healthy double digits in Russia is absolutely sustainable.

Kunal Lakhan: Sure, thanks, that's helpful. All the best.

Aishwarya Sitharam : Thanks, Kunal. The next question is from the line of Shashank Krishnakumar from Emkay Global. Shashank, please go ahead.

Shashank Krishnakumar: Hi, thanks for taking my question. Just one question on our Semaglutide tablets filing in India. I think the SEC has asked for some on -site verification of our Phase III trial data. Now, does it typically meaningfully impact approval timelines, or is it sort of relatively easier to address? Just wanted to understand that.

Erez Israeli : I don't have any concerns on this one.

Shashank Krishnakumar: Got it, and just a related question, so, post -March, subject to an approval, there's no litigation overhang even for the launch of tablets, right, in India?

Erez Israeli : Correct.

Shashank Krishnakumar: Good. Thank you. That's helpful. That's it from my side .

Aishwarya Sitharam : Thanks, Shashank. The next question is from the line of Surya Patra, from Phil lipCapital. Surya, please go ahead.

Surya Patra: Thanks for the opportunity. My first question is on the Aurigene CDMO opportunity . In the opening remark s, you have mentioned that, it has been qualified as an exclusive supplier of two innovative APIs. So, how important this opportunity could be for us, and when would that be fructifying , and in terms of the revenue contribution , what we sh

ould be seeing out of it?
Erez Israeli : So, as we speak, this is still a small business. I'm sure you all recall, we started placing more emphasis on this activity for the last two years. What we try today to do is to engage meaningful products . Initially, we start with Phase I, Phase II, and we are very happy that efforts that started about 2 years ago now started to yield. How significant it is now ? It's not that significant, but we should absolutely see, I believe, 100 plus of million dollars coming to us as a growth in the next 2 to 3 years from that. For the overall scheme is not big, but for the CDMO business, it is an important place, because it will allow them to have sustainable capabilities over time.

Surya Patra: Sure. My second question is on Lenalidomide. So, knowing the fact that we are an integrated player, means having our own API also for that. So, given that situation, what is a kind of a tail - end opportunity in Lenalidomide that we should be seeing ?
Erez Israeli : We'll continue to be in the product. But given the fact that we are comparing it to the period of time in which we had this agreement, I always advise people not to give a value to it. So , it will not confuse all of you. So, you should assume that the old arrangement from Q4 is zero. Doesn't mean that we will not sell, but let's say just another molecule for clarity , just it will help everybody.
Surya Patra: Sure, sure. Just one bookkeeping question. We have talked about the forex element, in couple of line items this quarter. So, whether there is a kind of a net positive impact that we have seen? What is the kind of net Forex loss or gain that we have seen in the financials for the quarter? And the same number, if you can give for the corresponding previous quarter also.
M. V. Narasimham: So, Surya, if you see that for each of the sales we have called out, especially in Europe and EM, there's definitely a forex element. At the same time, in the SG&A , as well as COGS on whatever we import also, we have to account at a higher price. There is a net -net positive impact on the EBITDA margins.
Surya Patra: Sure. Are we quantifying, sir?
M. V. Narasimham: It's not that significant.
Erez Israeli : I don't remember exactly the numbers, but it is not very significant . For the sake of analysis, I don't remember exactly the percentage, but it's not huge.
Surya Patra: Thank you, sir. Wish you all the best.
Aishwarya Sitharam : Thanks, Surya . In the interest of time, we will take one last question from For am Par ekh of Bank of Baro da Capital Markets. Foram , please go ahead.
Foram Parekh: Thank you for the opportunity. My question is on the India market. So, with the new acquisition that we have done, we have seen growth expanding to 19%. So, in FY27, can we assume with Semaglutide launch, and as the new acquisition scales up, would it be wise to assume a growth rate higher than the current growth rate of 19%?
Erez Israeli : We feel very , very comfortable with a 15% plus. Can it be more than 19 %? It can, but I don't recommend using it for now. What we can say, that the 15-16% is very sustainable. The rest is dependent on certain scenarios. But it might . Plus , we are not done with BD. So, likely it will come, but of course, we cannot guide for it.
Foram Parekh: Okay, that's helpful. My second question is on the European side, ex of NRT, where we have seen sales mellowing down to 15% growth, even with the launch of biosimilars. So, again, the

question is, as these biosimilars scale up, and probably with the launch of Abatecept in the European market, so can European region ex of NRT, scale, north of 20% or so?
Erez Israeli : Again, it can, but it depends on the scenarios. So , I think what I can say about Europe ,

and this
is something that we are very proud of . You know, in 2018 , we had less than EUR 100 million sales in Europe. And in the future, in the next 2 or 3 years, we will see 10 times this number. So it emphasize s the importance of Europe for us. Europe is not only what we do in Europe, but also what we do with partners in Europe. So it's very, very important for us, because we will not have capability in all the markets. So the answer to if it's possible ? It is possible , but w e are not guiding for that. What we are saying is that all markets should grow double digits , beside the United States. That will grow single digit . And this is without taking the impact of Lenalido mide , like I mentioned, from next quarter, this arrangement is done. And, that's how we should see.

Foram Parekh: Sure. And last question is on the global, generi cs gross margin. As Revlimi d sales have come down, we've seen gross margins also coming down to 57%. So, from next quarter onwards, with zero Revlimid sales, can the gross margin trajec tory scale down further?
M. V. Narasimham: So, we can expect, without Lenalidomide scenario , from Q4 onwards, our gross margin of both Global Generics and PSA I in the range of 50 -55%. Some quarters , depend ing on the products, and business mix, it varies, but the range is 50-55% overall .
Foram Parekh: Sure, thanks for taking my question.
Aishwarya Sitharam : Thanks, Forum. And that was the last question for the call today. Thank you all for joining us. We value your time and participation on the call. If you have any further questions or need additional information, please do feel free to reach out to me. With that, we conclude today's earnings call. Thank you, everyone.

Note: The contents of this transcript have been edited for accuracy and readability , without altering the substance of the discussion.

Call: May 2026

Dr. Reddy's Laboratories Limited's
Q4 and Full Year FY26 Earnings Call

May 12 , 202 6

MANAGEMENT : MR. EREZ ISRAELI : CHIEF EXECUTIVE OFFICER
MR. M. V. NARASIMHAM : CHIEF FINANCIAL OFFICER
MS. AISHWARYA SITHARAM : HEAD – INVESTOR RELATIONS

Aishwarya Sitharam : Good day, everyone, and welcome to the Quarter 4 and full year FY26 earnings call of Dr. Reddy's Laboratories Limited. I'm Aishwary a Sitharam , Head of Investor Relations at Dr. Reddy’s . Joining us today are members of the leadership team, Mr. Erez Israeli, our C hief Executive Officer and Mr. M. V. Narasimham (MVN), our C hief Financial Officer .
Our quarterly financial results have been published earlier today and are available on our website for your reference.
We will start today’s call with MVN providing an overview of our financial performance for the quarter as well as the year . Following that, Erez will share his insights on key business highlights , as well as the Company’s strategic outlook. We will then open the floor for questions.
All commentary and analysis during this call are based on our IFRS Consolidated financial statements. Please note that certain non -GAAP financial measures may also be discussed. Reconciliations to the corresponding GAAP measures are included in our press r elease. I would like to remind everyone that the ‘Safe Harbor’ provisions outlined in our press release today apply to all forward -looking statements made during this call.
Before we proceed, I would like to call out a few housekeeping points. All participants will be in the ‘listen -only’ mode during the opening remarks . Should you need any technical assistance during the call, please use the chat function in your Zoom application. The chat , however, will not be monitored for any questions to the management. This session is being recorded, and both the audio and the transcript will be made available on our website. Please note that this call is the proprietary material of Dr. Reddy's Laboratories Limited and may not be rebroadcasted or quoted in any media or public forum , without prior , written consent from the company.
With that, let me hand the call over to MVN to present the financial highlights for the quarter.
Over to you, MVN.
M. V. Narasimham: Thank you, Aishwarya. Greetings to everyone on the call. It is my pleasure to walk you through our financial performance for the fourth quarter and full year FY26.
FY26 reflected a resilient operating performance, delivering highest ever annual revenues, amid product -specific headwinds and certain one -time impacts. The underlying base business continued to deliver double -digit growth for the quarter as well as for th e full year, FY26.
At the outset, I would like to highlight a few items impacting the quarter:
1) A shelf stock adjustment or ‘SSA’ related to lenalidomide of ■453 crores, taken as a reduction in revenues.
2) An additional provision of ■114 crores related to a potential VAT liability in one of our subsidiaries, included in SG&A expenses.

3) Impairment of ■135 crores, including a n R&D charge of ■6 crores, on account of discontinuation of R&D programs related to CAR -T therapy, as part of portfolio prioritisation.
4) Impairment of ■93 crores on account of discontinuation of a trial by our partner, Immutep, of an in -licensed asset, Eftilagimod Alfa, following an interim futility analysis.
The full year performance was further impacted by provisions related to a potential VAT liability of ■70 crores as well as the impact of the new Labour Codes in India of ■117 crores.
After factoring these items, the adjusted profit before tax (PBT) was ■994 crores for the quarter, versus the reported number of ■199 crores and for the full year, ■6,463 crores versus the reported PBT of ■5,482 crores.
Now, I would like to discuss the underlying performance in detail. Margins in this section are expressed as a percentage of the revenues before the impact of SSA, unless otherwise stated. For the reported figures, please refer to the

respective Earnings Re leases. All financial figures in this
section are translated into US dollars, using a convenience translation rate of ■93.83, the exchange rate prevailing as of March 31, 2026.
Excluding the SSA, the adjusted revenues stood at ■7,969 crores, which is US$849 million for the quarter, a decline of 6% year-over-year and 9% on QoQ basis and at ■34,046 crores, which is US$3.63 billion, for the full year, representing a growth of 4.6%. The decline was primarily on account of lower lenalidomide sales, while the base business, excluding lenalidomide, delivered double -digit growth on year -over-year basis . We expect the base business to sustain its growth momentum in the year ahead.
The gross margin on the adjusted revenue base, after excluding the one -offs, for the quarter was at 48%, lower by 760 basis points year-over-year and 615 basis points sequentially, and at 53.5% for the year, lower by 498 basis points year-over-year. The decline in margins was largely on account of lower lenalidomide sales and price erosion in our unbranded Generics businesses.
The gross margin for Global Generics was 51.7% for the quarter and 57.4% for the year, as a % of its adjusted revenues, while that for PSAI stood at 19.9% for the quarter and 17.2% f or PSAI for the fiscal on its reported revenues. Given our focus on cost efficiencies and productivity improvement, we expect the margins to improve and be above 50% in FY27.
Excluding the one -off provisions mentioned earlier, SG&A spends were at ■2,662 crores for the quarter, an increase of 11% year-over-year and 1% sequentially, and 33% of the adjusted revenue base and ■10,435 crores for the year, an increase of 11% year-over-year and 31% of adjusted revenues. The increase was primarily on account of ongoing, targeted investments to support long -term growth of our branded franchises, namely the acquired N icotine Replacement Therapy (NRT) consumer healthcare business and brande d generics. We expect the spends to be around the same levels as FY26 for the year ahead.

The adjusted R&D spend for the quarter was ■541 crores, a decrease of 26% year-over-year and 12% on a sequential basis and a margin of 6.8% of adjusted revenues. For the year, the spend excluding the one -time Labour code related provision, was ■2,385 crores for FY26, a decrease of 13% and 7% of adjusted revenues. The decrease reflects reduced biosimilars development expend iture, as a significant portion of investments related to abatacept has been completed. We expect the spends to be in the range of 7-8% in the fiscal ahead.
Other operating income for the quarter was ■344 crores, as against ■247 crores in the corresponding quarter last year and ■763 crores in FY26, as against ■436 crores in FY25. The increase during the quarter was largely on account of divestment of non -core brands in India business for a net of ■189 crores.
The underlying EBITDA, including other income, stood at ■1,554 crores for the quarter, which is US$166 million, a decline of 37% on a year-over-year basis and 28% sequentially and reflecting a margin of 19.5% of the adjusted revenues. For FY26, the EBITDA adjusted for the one-offs was at ■8,419 crores, which is US$897 million, 24.7% on the adjusted revenue base.
Impairment charge for the quarter was ■259 crores, as compared to ■77 crores during the same quarter last year. The higher charge this quarter was largely on account of the discontinuation of CAR -T assets and partner ed product, Eftilagimod alfa as mentioned earlier. Impairment charge for the year was ■352 crores, as compared to ■169 crores last year.
The net finance income for the quarter was at ■62 crores, versus ■235 crores during the same quarter last year and ■413 crores for FY26, versus ■472 crores for FY25. The decrease was primarily on account of lower foreign exchange gain, in compa

rison to the corresponding period
last year.
As a result, the underlying profit before tax was at ■994 crores, that is US$106 million, representing a margin of 12.5% and for FY26, at ■6,463 crores, that is US$689 million, a margin of 19%.
Effective tax rate (ETR) for the quarter was a negative 10.8%, compared to 20.8% in the corresponding period last year, while for FY26, ETR was at 22.5% versus 25.4% in FY25. The ETR for Q4FY26 was lower primarily due to a recognition of deferred tax assets on carry forward losses in one of our subsidiaries and a favourable jurisdictional mix for the quarter, in comparison to the same period in the previous year. We expect the ETR to be 24 to 25% for fiscal FY27.
Profit after tax attributable to equity holders of the parent for the quarter stood at ■220 crores, which is US$23 million, a margin of 2.9% on the reported revenues and for the year at ■4,285 crores, which is US$457 million, a margin of 13%, before adjusting for the one -offs items mentioned earlier.

Based on the company’s performance, the Board has recommended payment of a dividend of ■8 per equity share of face value Re. 1/ - each, this is equivalent of 800% of face value , for the year ended March 31, 2026, subject to approval of the shareholders of the company.
Diluted EPS for the quarter is ■2.64 and ■51.42 for FY26.
Operating working capital as of 31st March 2026 was ■14,434 crores, which is US$1.54 billion, an increase of ■2,920 crores, which is US$31 million over 31st December 2025.
Capex cash outflow for the quarter stood at ■438 crores, which is US$47 million and ■2,302 crores, which is US$245 million for FY26. Free cash flow generated during the quarter before acquisition related payout was ■600 crores, which is US$64 million and ■ 2,004 crores, which is US$214 million for FY26. As of March 31st, 2026, we have a net cash surplus of ■3,271 crores, which is US$349 million.
Foreign currency cash flow hedges executed through derivative instruments during the period are as follows . US Dollar 462 million hedged using combination of forwards and risk reversal options, scheduled to mature by Mar ch 2027. These contracts are hedged at a rate of ■91.37 to 93.46 per US dollar. RUB 1.61 billion hedged at a fixed rate of ■1.12 per Russian Ruble, with maturity falling within the next three months.
With this, now I request Erez to take us through the key business highlights .
Erez Israeli : Thank you, MVN and good day, everyone. We appreciate your participation on this call today and value your continued interest in our Company.
During the year, we remained focused on advancing our two -pronged strategy of strengthening the base business, while investing in our future growth drivers across peptides, biosimilars, consumer health, and innovation.
Our FY26 performance reflected consistent and disciplined execution of our strategic priorities, namely, scaling the base business, advancing our key pipeline programs, semaglutide and abatacept, and targeted business development efforts to support our growth ambitions, while continuing to enhance efficiencies across operations.
I am pleased to report that in the first quarter without one of our key products, lenalidomide, the Company delivered an EBITDA margin of around 20%, after adjusting for certain items indicated by MVN earlier. Launches of products offering meaningful opportunity, BD and continued cost optimisation efforts will take us closer to our aspirational 25%. For FY26, the adjusted EBITDA margin was i n the neighbourhood of 25%, consistent with our stated aspirations. Further, the underlying base business delivered do uble■digit growth in Q4 as well as for the full year FY26. All geographies, b eside North America, recorded double -digit growth, while performance in North America was impacted due to lenalidomide sales and

a one -time
shelf stock adjustment related to th is product.

Let me now walk you through some of the key highlights of the quarter.
In line with our strategic priorities, we made progress on our key pipeline assets, semaglutide

and abatacept, during the quarter . We are pleased to announce that Dr. Reddy's became the first company to secure regulatory approval of semaglutide injection for Type 2 Diabetes in Canada, reinforcing our in■house expertise in peptide science and complex product development. Likewise, as the first company to receive approval in India for the same product in November last year, we successfully launched our brand, 'Obeda®' on Day 1 of market formation upon patent expiry in India. Our oral version of semaglutide has been approval by Central Drugs Standard Control Organisation (CDSCO) in India. We continue to engage with ANVISA in Brazil to address its concerns related to our generic semaglutide filing and remain committed to making this important therapy available to patients across several markets, subject to approvals. Further, in February 2026, the USFDA accepted for review our Biologics License Application (BLA) for the Intravenous (IV) presentation of our abatacept biosimilar candidate, following its filing in December 2025. Our partnered product, COYA -302, received 'Fast Track' Review status.

Aligned with our strategic focus on bringing innovation to patients in India, we forayed into Hormone Replacement Therapy segment with the acquisition of Progynova® and Cyclo - Progynova® in India.

In addition, t he operational integration of our acquired consumer health business in Nicotine Replacement Therapy is now largely complete.

On the regulatory front, in March 2026, the USFDA provided a 'VAI' classification to our formulations facility (FTO -SEZ PU -01) in Srikakulam, Andhra Pradesh, following a GMP and a Pre -Approval Inspection (PAI) in December 2025.

We continue to build on our leadership in sustainability . Dr. Reddy's was awarded the Gold Medal by EcoVadis for FY26, achieving its highest -ever score of 80, placing us among the top 5% companies assessed globally. During the quarter, we were named by BusinessWorld among India's Top 5 Most Sustainable Companies, ranking first in the Indian healthcare and pharmaceutical industry for 2024 -25. We have been recognized in the leadership category of the 2025 Indian Corporate Governance Scorecard for the third co nsecutive year.

Let me take you through the key business highlights for the quarter and the full year. Please note that all financial figures mentioned are reported in their respective local currencies.

Our North America Generics business reported revenues of US$199 million for the quarter and US$1.3 billion for FY26. Excluding the one -time shelf stock adjustment, revenues were at US$251 million for the quarter, a decline of 40% year -on-year and 26% seq uentially and at US$1.36 billion, a decline of 21% year -on-year. This decline was primarily on account of

lenalidomide. During the quarter, we added seven new products to our portfolio, taking the annual total to 25 products. We aim to continue the launch momentum in the fiscal ahead.

Our Emerging Markets business reported revenues of ■1,806 crores in Q4FY26, reflecting a robust growth of 29% year -on-year and a decline of 5% sequentially and ■6,761 crores in FY26, a growth of 23% year -on-year. The growth was led by new product launches across markets and higher volumes , particularly in R est of World (RoW) , further aided by favourable currency movements. During the quarter, we introduced 49 new products across countries, taking the FY26 total to 129. Within this segment, our Russia business reported a growth of 8% year -on-year and a decline of 23% sequentia lly in constan

t currency terms.

Our India business posted revenues of ■1,566 crores in Q4FY26, delivering a robust, double - digit, year -on-year growth of 20% and a decline of 2% sequentially, while full year revenues were at ■6,219 crores, a year -on-year growth of 16%. This performance wa s largely driven by revenues from our innovation franchise, new brand launches, price increases and volume growth. IQVIA data as of March 31st, 2026 shows that we continue to outperform the Indian Pharmaceutical Market (IPM), with a moving quarterly total (MQT) growth of 15.2%, compared to the IPM's growth of 11.6% and a moving annual total (MAT) growth of 12.1%, compared to the IPM's growth of 9.9%. Our IPM Rank stood at 9th for the quarter and 10th for the year. We launched ten new brands during the quarter and 28 over FY26, reflecting our continued focus on strengthening our domestic market presence.

Our European business, which includes our acquired consumer health business in Nicotine Replacement Therapy, posted revenues of €136 million for the quarter, a decline of 3% on a year-on-year basis as well as sequentially, and €542 million for FY26, reflec ting an acquisition led growth of 37% YoY. The decline this quarter was primarily on account of price erosion in generics. During the quarter, we launched seven new generic products across markets, taking the full year total to 38, further expanding our Eu ropean product portfolio.

Our PSAI business reported revenues of US$101 million in Q4FY26, resulting in a decline of 10% year -over-year and a growth of 10% sequentially. The decline was primarily on account of lower API volume uptake during the quarter. During the quarter, we filed 48 Drug Master Files globally, taking the total number of filings to 128 for the year.
Looking ahead, we remain focused on delivering on our strategic agenda of strengthening our core business, while building future growth drivers. Underpinning this strategy is a future■ready organization structure, aligned to our business model, with dedica ted leadership across Global Generics, Biologics, Consumer Health, and Innovation, enabling sharper focus, relevant capabilities, and more effective execution across each growth pillar. Within this framework, we will continue to advance our differentiated pipeline programs such as semaglutide and abatacept, drive operational efficiencies, and pursue value■accretive inorganic opportunities that support sustainable, long■term stakeholder value. With that, I invite your questions as we move into the Q&A session .

Aishwarya Sitharam: Thank you very much, Erez. We will now begin the question -and-answer session. To join the question queue, please use the ‘raise hand ’ option available on the bar at the bottom of your Zoom application. If you wish to exit the question queue, you may click on the ‘lower hand ’ option. Participants are requested to not ask more than two questions at a time, and to rejoin the queue in case of any incremental queries. I would like to reiterate that the chat will not be monitored for any questions to the management. However, in case of any technical concerns, please do feel free to use the chat option to reach out to us .
The first question is from the line of Neha Manpuria from Bank of America. Neha, please go ahead.
Neha Manpuria: Yeah, thanks for taking my question. Just wondering, on the shelf stock adjustment that we had in the quarter , a US$50 million number for a product like Rev limid, where we knew that the patent cliff is coming, seems very large. So , if you could just give us some colo ur in terms of why the shel f stock adjustment was so large, given that we knew they were expecting competition in Jan uary.
Erez Israeli : We were also surprised by th at. It was not part of any arrangement or anything like that. I cannot speak on the details on the relationshi

p of the customers, but it came fro m them . I guess , certain planning issues or mistakes at their end, an d that's the outcome of it.
Neha Manpuria: Okay, understood. And my second question is on, semagl utide. Now that we have Canada approval, I think we've mentioned, 12 million unit sales across markets in FY27 , Erez, in your view, what could be the competitive landscape now that Reddy's and the second player have gotten approval? When do you expect more players? And out of the 12 million, based on your assessment, what would be the rough breakup between, let's say, Canada and EMs?
Erez Israeli: So, I believe that the current landscape of, basically , Novo Nordisk as well as the two of us, will stay there probably for several months , and then, likely that others will come. I believe that the market in Canada is give or take , about one-third in , what we call public, one -third cash, and one third , what they call , private . So it's a kind of public , private , cash. So, what I believe will happen is that the reimbursement price will go over time, as expected. The quantity , at least for a couple of years, shou ld be very, very healthy. Obviously, I cannot tell precisely , but they should be very, very healthy.
Neha Manpuria: And, you know, given that we have had a setback in Brazil, are we still confident of the 12 million units of sale for semaglutide in fiscal ‘27, or do you think that would depend on us getting approval in Brazil as well?
Erez Israeli: So Brazil will be part of it. I believe it's still that number, but the number moved by several months. I'm still with the same number, but probably it will be 12 months that will probably end somewhere in the beginni ng of FY28 as well. Specifically , for the next , let's say, until the end of calendar ‘26, I believe that the number is somewhere between 6 to 7 million units.

Neha Manpuria: This is for calendar ‘26.
Erez Israeli: This is for the markets that will get approval, and Canada will be, obviously, a big part of it, but

this is , give or take , the numbe rs.
Neha Manpuria: All right, thank you so much.
Aishwarya Sitharam : Thanks, Neha. The next question is from the line of Dama yanti K erai from HSBC. Dama yanti, please go ahead.
Damayanti Kerai: Hi, thank you for the opportunity. Continuing on semaglutide , so, Erez, just to be clear, this 6 to 7 million units which you expect to market, it's by end of this calendar year, right? By '26?
Erez Israeli: Correct.
Damayanti Kerai: Okay, so can you talk a little bit about your pricing strategy in the market where you'll be coming in, say, another 12 months? And specifically, in Canada, after entry of second generic, how do you position yourself versus Novo Nordisk 's pricing?
Erez Israeli: So, our l ist price will be , give or take , about half of what Novo Nordi sk will be . So that can be shared, because it will be listed. Obviously, the rest is arrangement that we have with the customer that I will not be able to disclose, but let's say it will be the normal arrangement that you normally have.
We believe that, all the prices will be, let's say, in the neighbo urhood of, let's say, US$30 plus. Why I'm saying that number also is because in some markets , we are going to work with the partner, and this reflect s the net price that we have for them. Obviously, they will have their margins. And these numbers may go down if the competition intensified, b ut I don't envision it to, at any case, to be below US$25.
Damayanti Kerai: Okay, so somewhere US$25 to US$30 per unit is the price, you are working with.
Erez Israeli: And there will be market s, obviously, where it will be much more than that. But I just wanted to share with you the neighbourhood of the floor area. Obviously, we are planning to have in markets also prices that are much h

igher than that.
Damayanti Kerai: Okay, that's helpful. My second question is on SG&A spend. So you mentioned this year, FY27, it could be similar to what we had in FY26. So, just wanted to understand, in NRT or some of the initiatives which you had started a few years back, you have been spending for last few years, if I may say. So, where are you looking for investing more? And, this number, do we have any room to take a cut or see any reduction there ? So, if you can just talk a bit on that part. Thank you.

Erez Israeli: Sure. So, we will have absolutely places that will have less, and we'll have places that will have more. But just to address, the NRT is a place in which we will have more. At the same time, the growth will wel l more than finance it, so the level of profitability of the asset will stay the same, and even maybe g row, but in terms of SG&A percent, we will have more. We are also launching innovative products in India and in certain emerging markets, and naturally , we are investing in the marketing of those new products. At the same time, we are putting a lot of productivity activit ies, salesforce excellence, as w ell as additional marketing excellence program s. And this will go up . So that's why we said that , give or take, in terms of nominal value, should be the same level . As sales will go higher, in percentage -wise, it will go down. But, in terms of, the range of the spend, it will be about, give or take, the same range that have now.
Damayanti Kerai: In nominal terms, right?
Erez Israeli: While, of course, the sales will g row double digit up.
Damayanti Kerai: Okay, thank you, and all the best. I'll get back in the queue.
Aishwarya Sitharam : Thanks, Damayanti. The next question is from the line of Tushar Manud hane from M otilal Oswal. Tushar, please go ahead.
Tushar Manudhane: Thanks for the opportunity. So, firstly, on gross margins, even after adjusting the shel f stock, for the quarter, it is 48%. While ex-lenalidomide, also, we have talked in the past that the gross margin has been 50 % plus. So, is there anything which I've missed as far as gross margin for the fourth quarter is concerned?
M. V. Narasimham: So, this quarter , there is a product mix impact . That's why it is at 48%. We believe our gross margin is in the range of 50 to 55 %.
Tushar Manudhane: So, what will drive this in the subsequent quarters, and are you including semaglutide sales for this gross margin?
M. V. Narasimham: Yeah , semaglutide sales, of course, and then product cost improvement programs also are on . And considering the new products we are going to launch in F Y27, including semaglutide, plus product mix. Considering all these things, I think, certainly our gross margin would be 50 % or above.
Erez Israeli: We are planning to launch also products like sugammadex , bosutinib, sitagliptin, brimonidine, and..

Aishwarya Sitharam: Pomalidomide .
Erez Israeli: Yeah, so, in addition to that, there are additional key products to launch . So, the mix of the product s, the mix of the market s, as well as, the activities that we are taking now on our APIs , we are very confident about our ability to manage the gross margins.

Tushar Manudhane: And just on these products which you mentioned . So, currently the U.S. revenue s, even after including the shelf stock investment, is $236 million. So , effectively, maybe $944 million, if I normalize that. So, will we sort of grow over and above this , ex-semaglutide in FY26 ?
Erez Israeli: We will absolutely grow in North America , ex-lenalidomide in double digits.
Tushar Manudhane: Got it, sir. And just lastly, for India market, if you could just share what has been organic and inorganic growth for the qu arter.
Ere

z Israeli: It's organic. What do you mean, inorganic? Licensing -in is considered organic or inorganic?
M. V. Narasimham: Brands, what we acquired did not have a significant impact in this quarter. Stugeron, Progynova are recently acquired brands.
Erez Israeli: No, just to clarify. We consider , if we license -in a product from China, and we are launching it in India , as organic. In this terminology, it's mostly organic . Let’s say, the inorganic is negl igible.
Tushar Manudhane: Got it. Thanks, thanks a lot.
Aishwarya Sitharam : Thanks, T ushar. The next question is from the line of Dr. Bino Pat hiparampil from Elara Capital. Bino, please go ahead.
Dr. Bino Pathiparampil : Hi, good evening. Could you give an update on the status of denosumab and, Orencia? Abatacept?
Erez Israeli: So, denosumab , we launch ed in Europe and we are awaiting approval in the United States. Our partner has a deficiency letter that they need to address for the Uni ted States. Abatacept, the intravenous (IV) was approved for review, so it was accepted. And, so it's going as per the timelines. We are also awaiting an FDA inspection in Bachupally , Hyderabad for the same. So, abatacept so far, is in the right direction. And then, of course, we are working on the sub - cutaneous (SC) that will be submitted later, and also will be launched later, as we discussed in the past.
Dr. Bino Pathiparampil : Got it. So, so the IV is on track for potential launch this calendar year ?
Erez Israeli: IV will be likely at the beginning of calendar ‘27, hopefully this fiscal, that's the plan. But of course, we need to see the approval for that. But right now, that's the plan.
Dr. Bino Pathiparampil : Got it. And third, do you expect denosumab in the US before that?
Erez Israeli: I don't know. I t depends on the ability of Alvotec h to get approval.
Dr. Bino Pathiparampil : Got it. Second, you said that you have wound down your C AR-T related investments and have taken a wri te down. Could you just tell us a bit about what your investment was and why it, failed in that area?

Erez Israeli: No, the investment, give or take, is what MVN guided.
M. V. Narasimham: ■135 crores .
Erez Israeli: ■135 crores, that's what we took down. We saw that we have issues with the clinica l, and we decided to kind of deprioritize it at this stage, a nd we just impair ed it as per appropriate accounting. But this is , give or take , what we invested.
Dr. Bino Pathiparampil : Sorry, I got the figures, but my question was more technical. Is it something wrong with the specific product you used, or with the technology itself?
Erez Israeli: I'm not sure I understand the question. It's what we invested in the clinical trials in getting the products.
Dr. Bino Pathiparampil : The products, okay. So , your product doesn't work, but CAR -T technology , as such , is still okay?
Erez Israeli: The pr oduct is the CAR -T.
Dr. Bino Pathiparampil : Understood. No problem. Thank you, I'll join back the queue .
Aishwarya Sitharam : Thank you, B ino. The next question is from the line of Surya Patra from Phil lipCapital . Surya, please go ahead.
Surya Patra: Yeah, thank you for this opportunity. So, my first question is on the biosimilar business. So, since it’s the fourth quarter of the year, and f ull year data is there , just wanted to have a sense of

what is the size of the biosimilar business right now, and whether it has already broken even, or
it is loss making. If not, then, what is the timeline for break -even for this business?
M. V. Narasimham: So, overall, our global biologic s sales is not very high. It is about US$ 100 million in sales. So, at this sales, whatever investments we are doing for the development of abatacept and other products like p embro lizumab , also we are with Alvotech

, definitely, it's not at break -even. Once we launch abatacept, c ertainly, I think post that we can see break -even.
Surya Patra: FY29?
M. V. Narasimham: Like Ere z said, if everything goes well including our inspection , we'll be launching abatacept in calendar year 2027. That would be, like, F Y28.
Surya Patra: Okay, okay. Second question was on the NRT. Two things here, observation -wise. So, since last two quarters, we have been seeing a strong growth. Last quarter, it was 25% YoY growth. This quarter, it is around 16%. So what is driving this growth, and whether this is a sustainable one? And secondly, in fourth quarter, is there any seasonality? Because last year also, there was a kind of a sequential decline that we had witnessed for NRT.

Erez Israeli: So, the N RT business is indeed growing more than we expected it to be. So , we expect it to be, kind of mid -single digits, it's certainly more than that. Specifically for the 16%, so there is some impact of the fact that in the transition, some customers take more stock. So it's not fully, let's say, in that respect, sustainable. But I believe that the right place for it is either , high single digit, or even low double digit - we will be somewhere in this neighbourhood .
Surya Patra: Okay, just last one point, sir. What is your experience about the sema glutide penetration here in India? Because generally, it is understood that, of the target patient population for weight loss application, let's say, the penetration is very low. It is around 2%, or even less than 2%. So, what is the trend that you are witnessing here in India in terms of the penetration of semaglutide?
Erez Israeli: Yeah, so I don't recall exactly the market share, but so far, it's a great launch.
Aishwarya Sitharam : I think our market share is around 10% on a standalone basis.
Surya Patra: In that light, are we talking anything about the growth for the domestic business?
Erez Israeli: I believe that it will grow . Plus in the next coming days, we will launch also the oral product, so the combination of both should give us a very healthy growth .
Surya Patra: Sure, sir. Okay, yes, thank you.
Aishwarya Sitharam : Thanks, Surya. The next question is from the line of Lavanya T ottala from UBS. Lavanya, please go ahead.
Lavanya Tottala: Hello, thanks for the opportunity. Just one question from my side. So, even after adjusting for SSA in US sales , sequential decline of 25% QoQ, despite having limited drug limit in Q3, seems quite high. So, am I missing something? Is t here anything else which is one of f here?
Erez Israeli: So, we don't see a pattern of a loss of market share, or price erosion, or anything like that. There could be that there were certain, you know, buying patterns by some customer s, but overall, it's very consistent, the way we see it. So , the primary difference between the quarters is lenalidomide (SSA).
Lavanya Tottala: Okay, so the one which is adjusted for SSA in Q4, one can conside r this as base sales for US from here on. Is that right way to look at it?
Erez Israeli: Yeah, I don't know exactly the origin of the SSA specifically, but let's say that there might be some customers that bought a little bit more as per their patterns of acquiring products in terms of dates and stuff like that. But overall, if you look at market share, prices, this kind of stuff, it should be about the same.
M. V. Narasimham: And also, Erez, there is going to be new launches. Today, this is from the existing products, and then going for ward we'll be launching, like, 27 new products overall for the full year.

Lavanya Tottala: Oh, got it, got it. Thank you. Thank you so much for the opportunity.
Aishwarya Sitharam: Thanks, Lavanya. The next ques

tion is from the line of Sa ion Mukherjee from Nomura. Saion, please go ahead.

Saion Mukherjee: Yeah, hi, thanks for taking my question. So, just one question on semaglutide , if you can indicate when you expect approval in Brazil, and what are the key market approvals that you're looking at? And, you know, you mentioned, I think, 6 or 7 million units for this calendar year. What's your expectation for the full fiscal year, FY27?
Erez Israeli: First of all, we are expecting to get approval also in Brazil. We have a partner in Brazil that is also there, and he got also our comment s, so we hope to get approval to our clone product. That is there, and in parallel to that, of course, we are see king approval for our initial submissions. So, we will be in Brazil . Probably, I don't know if it will be 3 months delay or 4 months delay , but that's still the expectation. In addition to that, you have markets like Turkey . And then you have a bunch of relatively high number of smaller markets , where we have a partner that will probably serve, like, in Latin America or in Southeast of Asia. Because all together, we are planning in this calendar to launch in more than 50, and in 12 months in more than 80. So, in terms of number of markets, but many of them, we will do it with a partner that will do it for us. So, between , what we call , the B2B, in which we are selling to the partners, or selling ourselves directly , we probably w ill be in a pace of 3 or 4 million pens per quarter. So , if you add that, it will come to around 10 or 11, close to the 12 that we discussed last time, give or take , one month. So, we are still in th e same neighbo urhood, but with the delay of the few months that those approvals took.
Saion Mukherjee: Understood. And there's one question on US generics . I think , if I heard you right, are you expecting 27 launches? And you actually mentioned a few of those products. It looks like most of them are very competitive. Are there any chunky, large product opportunity in the US, you know, outside of abatacept, that you expect in fiscal ‘27?
Erez Israeli: I believe that bos utinib can be a nice product. And I agree with you about that most of them will be competitive, I fully agree with that. But overall, it should give us a double -digit growth , without lenalidomide.
Saion Mukherjee: Okay. Yeah, thank you.
Aishwarya Sitharam: Thanks , Saion. The next question is from the line of Vivek Ag rawal from Citi. Vivek , please go ahead.
Vivek Agrawal: Yeah, thanks for the opportunity. I just want to understand, out of this 3 -4 million pens per quarter, how much of this capacity that you are going to sell directly, and how much of the sales you are expecting through partners, etc. Can you help us understand ? Thank you.

Erez Israeli: If I need to guess, and I must admit, I did not do any kind of calculations, so top of my head, I would say 50 :50, give or take, in the neighbourhood .
Vivek Agrawal: Understood, so thanks. And one question on North America , if you look at, in this quarter, we have done close to US$250 million kind of revenues , and, it is, again, close to pre -Revlimid levels, right? So, in the last 3 years, we have launched many products, but the US revenues haven't moved up much. So, is it fair to assume that there's a price erosion in some of the major baseline products in the US, and how to look at overall profitability of the US business. Is it still lower than pre -Revlimid levels, o r is it, basically , almost similar? Thank you.
Erez Israeli: Yeah, so firstly, obviously, in this period of time, there was price erosion. And, what it tells is that market share and new products, give or take , cover ed it. I see it as a kind of very low single - digit growth , not flat . But I'm in agreement with you that market is not g rowing as

the other markets that we have, that are all g rowing in double digit. Moving forward, this year, again, without lenalidomide, we will see double -digit growth . And going forward, the main growth in the United States will come from biosimilars , consumer health, as well as certain 505 (b)(2)s. So, over time, the business will diversify itself, but right now, it's mostly generic products.
Vivek Agrawal: Understood , Erez . So, the double -digit growth that you are highlighting for this year, that includes semaglutide in Canada, right? So, I'm just trying to understand how to look at only the US sales . So, what kind of growth you are expecting in the US business ex-lenalidomide this year?
Erez Israeli: Yeah, so it's ex-semaglutide. I t's not with semaglutide . Semaglutide is on top.
Vivek Agrawal: Perfect, this is helpful, thank you.
Aishwarya Sitharam: Thanks, Vivek . The next question is from the line of Ash utosh Jha from Balyasny . Ash utosh, please go ahead.
Ashutosh Jha: Hi, thank you for taking my question. I had two questions. Number one, sir, when you look at the next year, I think you've given the breakup of the costs, by line items, but given that the base business right now is at 19-20% margin, where do you see the overall margin for the business with semaglutide , etc. in the next year and the year after , versus our target of 25% ?

Erez Israeli: Yeah, so we are planning to maintain the base without semaglutide at around 20%. So this is the plan. And then semaglutide is supposed to help us to get more than that. Now, it obviously depends how much we will be able to sell , at what price, and what will be the mix, because I shared already that it will be a range of price that can go, let's say , from US$ 25 to US$30, all the way to US$70, though. Obviously, there will be a range of prices, but let's say, with semaglutide , it should be close to the 25%, but maybe a bit less, depends on how much semaglutide we will sell.
Ashutosh Jha: Understood. And sir, any thoughts on the nu mber of pens that you can possibly sell in F Y28?

Erez Israeli: In FY28, potentially , we will have a lot of capacity, because in addition to the current cartridge suppliers that we have today, we will be able to qualify also the capacity of F TO11. So, it can be any number. Let's say it can be 40 million also, but right now, I don't see a demand for that.
Ashutosh Jha: Thank you so much. Those are my questions.
Aishwarya Sitharam : Thank you, Ash utosh. The next question is from the line of Alo k Dalal from Jefferies. Alo k, please go ahead.
Alok Dalal: Yeah, thank you. One quick clarification. It is on semaglutide in Canada. Has the innovator Novo already introduced an authorised generic (AG) in the market?
Erez Israeli: So, I know that they are offering, I don't know if it was already sold, I don't know, personally, I don't have knowledge of that. But, we are assuming that they will have. That's my assumption.
Alok Dalal: Alright, so in that scenario, will it be a 3 -player market, and lead to 75% discount to the innovat or product? Is that the way to think?
Erez Israeli: I don't think so in that way, because the market is divided into public , cash and private. And what you're discussing is absolutely public, so yeah, likely that this will happen to the public market eventually, but I do see it as a mix of markets. So , we are not planning right now our assumption based on the number that you mentioned.
Alok Dalal: Okay, understood. Thank you so much.
Aishwarya Sitharam : Thanks, Alok . The next question is from the line of Vishal Manchanda from Systemati x. Please go ahead, Vishal.
Vishal Manchanda: Hi, good evening, and thanks for the opportunity. Could you outline how much would you expect in annual biosimilar sales by FY29?
Erez Israeli: Hopefully, it will be in t

he range of US$ half a billion, 600 million, 700 million. It very much depends, of course, of how abatacept will perform. It will be the lion's share of those sales.
Vishal Manchanda: And, would this have margins above company margins? Like, can the entire biosimilar portfolio give you 25% plus margins?
Erez Israeli: In the case that there will be no competition or low competition, absolutely , it will be above the average margin that we have.
Vishal Manchanda: Right, and we are on track to file the subcutaneous version this year in Europe and US?
Erez Israeli: Yes, we are. In the US, for sure. In the Europe, there might be some delay.

Vishal Manchanda: Okay. And just, if you could give the split of sales bet ween IV and subcutaneous SC in the US by value?
M. V. Narasimham: It is 50 :50 in US, whereas in Europe, IV is very less and SC is high.
Vishal Manchanda: Got it, got it. And, your capex plans for the next two years? Annual capex plan?
M. V. Narasimham: So, next year would be around ■2,000 crores.
Vishal Manchanda: Got it. And would this largely be on biosimilars, or you have other areas?
M. V. Narasimham: So, biosimilar s, certain product -specific investments, I think, are there, and then general capex.
Vishal Manchanda: Got it. Thank you, thank you very much.
Aishwarya Sitharam : So, in the interest of time, we'll take one last question, from Sidharth Negandhi, from CWC. Sidharth, please go ahead.
Sidharth Negandhi: Hi, thank you for the opportunity. On biosimilars, you had mentioned that your R&D spends would reduce, given that the spends toward s abatacept have been completed. You know, going forward, given the draft USFDA guidelines, how do you expect your cost per molecule to behave? How do you see competitive intensity playing out? And, you know, given that you're

guiding for a lower R&D spend, should we assume this is because of those draft FDA guidelines, or is it because the new set of launches post -abatacept and denosumab will be, you know , much later, and therefore the spends will be lower.
Yeah, that's one question. On semaglutide, just wanted to get your perspective on how you see dosage forms playing out, given that you're also launching oral in India. Do you see oral being unique to India, or do you see that having a play in other emerging markets, too? And, you know, between the three dosage forms, how do you see the likely salience, say, 2 -3 years out? Those were my two questions.
Erez Israeli: Sure. So , in the R&D, naturally, for abatacept , we paid for a Phase III trial, and going forward, we don't anticipate Phase III. So, obviously, the level of R&D in this area will not be the same. In addition to that , the products that will come in the next coming years , in biologics , for us , will come primarily with partners, unless something that will come in -house. So, obviously, then we share the R&D cost as part of that. And number three, we are becoming more productive. One day we'll discuss it, but we love A rtificial Intelligence (AI) , and we love this kind of stuff, and the overall, the R&D will have less cost and more output. So, this is on the R&D question. On the semagl utide question , definitely, we believe that the oral will grow, not just in India, for sure in India, but also in ot her places. Depends, of course, on how people appreciate the compliance of the oral product . And as time will go by, also the oral will have , probably , additional forms , because that's what the innovator is doing. And we will have all of them, so there is a lifecycle

management that we are looking at, and obviously we are following as well, and we will launch the same , as Intellectual Property (IP) will allow us to do that

.
Sidharth Negandhi: Sure, and any, any thoughts around how do you see the salience between, pens, vials, and orals, in emerging markets for semaglutide?
Erez Israeli: In the emerging market s, you have countries in which there is a full use of the pens, and the innovator fully launched the product , in place s that it was done partially, and also markets that not at all. And obviously, the price point for each one of the markets is a bit different. In the places with the lower prices, we believe that the oral w ill be more successful than in the lucrative markets, at least the way we look at it now.
Sidharth Negandhi: Thank you.
Aishwarya Sitharam : Thanks, S idharth . That was the last question. Thank you for joining us today. We value your time and participation on the call. If you have any further questions or need additional information, please feel free to reach out to me. With that, we conclude today's earnings c all.
Thank you, everyone. Have a good evening.
Note: The contents of this transcript have been edited for accuracy and readability , without altering the substance of the discussion.